

EPL (EPL)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-06-08.

Call: May 2023

26 May 2023

Corporate Service Department

BSE Limited

25th Floor, Phiroze Jeejeebhoy Towers,

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I The Listing Department I

j National Stock Exchange of India Ltd j

1 Exchange Plaza, Plot no. C/1, G Block, 1

1 Bandra-Kurla Complex, Bandra (E) j ! Mumbai 400051 !

j Scrip: Equity 500135. NCDs 960311 j Trading Symbol: EPL j

Ref.: EPL Limited (EPL)

Sub.: Transcript of investors' call held on 20 May 2023.

Dear Sirs,

Please find attached Transcript for Investors call held on 20 May 2023.

The above-mentioned Transcript is available on the Company's website www.cplglobal.com under section Investors> Shareholders Information> Investor call transcripts, the link of which is furnished below:

<https://www.eplglobal.com/investors/shareholder-information/#investor-call-transcripts>

The above is pursuant to the SEBI (Listing Obligations and Disclosure Requirements)

Regulations 2015, for your information and record.

Thanking You,

Yours faithfully,

For EPL Limited

Keyur Doshi

Company Secretary

Encl: As above

Filed online

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"EPL Limited

Q4 FY '23 Earnings Conference Call"

May 20, 2023

MANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR AND

GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED

MR. M.R. RAMASAMY – CHIEF OPERATING OFFICER –

EPL LIMITED

MR. AMIT JAIN – CHIEF FINANCIAL OFFICER – EPL

LIMITED

MR. SHRIHARI RAO – PRESIDENT , AMESA REGION –

EPL LIMITED

MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX INSTITUTIONAL
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SYSTEMATIX GROUP

Investments Re-defined C H O R L L'

EPL Limited

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Moderator: Ladies and gentlemen, good day, and welcome to EPL Limited Q4 FY '23 Earnings Conference Call, hosted by Systematix Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix. Thank you. And over to you, sir.

Pratik Tholiya: Good morning, everyone. On behalf of Systematix Institutional Equities, I would like to welcome all the participants on this earnings conference call of EPL to discuss fourth quarter and full-year numbers. Today, we have us from the management team, Mr. Anand Kripalu, MD and Global CEO; Mr. M. R. Ramasamy, COO; Mr. Amit Jain, CFO; and Mr. Shrihari Rao, President, AMESA Region.

I would like to now invite Mr. Anand Kripalu to give his opening remarks. Thank you. And over to you, sir.

Anand Kripalu: Thank you, Pratik, and hello, everybody. And a very warm welcome to this earnings call. Before discussing the results, you will be pleased to know that EPL has now completed 40 years since its inception in December 1982. We have come a long way from a single plant in Vasind to 21 plants today across five continents. During these years, EPL has continued to lead the pack in every aspect, be it innovation, cost leadership or sustainability.

In the year gone by, the external environment continued to be challenging and volatile. However, the silver lining is that things started to settle and become more predictable with each passing quarter. Consequently, I'm pleased to share robust results for Q4. We achieved double-digit revenue growth of 10.1%, which was broad-based across all regions. AMESA grew by 7.6%, and these numbers were significantly impacted

by the devaluation of the Egyptian pound. At constant currency, AMESA grew at 15.5%.

Americas grew by 17.1% and Europe by 19.9%. With the lifting of COVID restrictions, EAP bounced back to deliver growth of 8.6%. Excluding the impact of setup costs in Brazil, we delivered strong EBITDA margin at 17.2%, which is an improvement of 186 basis points versus Q4 last year. Absolute EBITDA was the highest ever and grew by 23.4%. Including setup costs in Brazil, EBITDA margin stood at 16.9%.

Net profit grew by 80.7%, partly enabled by tax credit pertaining to earlier years. Strong cash flow generation led to lower net debt to EBITDA, which stood at 0.60. Importantly, as the year progressed, our business recovered. Our margins started at 15.1% in Q1, then moved to 16.3%, then 16.6% and ended at 17.2%. Absolute EBITDA moved from declines in Q1 and Q2 to strong double-digit growths in Q3 and Q4.

Over the full year, the category mix also progressed in the right direction, with personal care and beyond growing at 11.6%, faster than oral at 9.5%. Personal Care and beyond now contributes ®

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to 47% of our total business. Overall, we believe we delivered a solid quarter with clear signs of improvement through the year.

With respect to our Brazil greenfield project, I'm very happy to share that production has commenced in the plant and will be ramped up in the first quarter of FY '24. This is a testament to our project management skills and our rising global footprint. As far as innovations and business wins are concerned, our focus on innovations across laminates, tubes, caps and printing ensures that we continue to offer our customers the best solutions in the industry.

Recently, two of our tubes won the National Award for Excellence in Packaging at the prestigious Indiarstar and Pacmachine 2022 Awards for food and pharma categories. Our deck carries examples of some of the other business wins we had this quarter. We also continue to make Neo Seam a success in Europe and Americas, a technology that will eliminate the seam and provide 360 degree printing.

Moving on to sustainability. We steadfastly continue to pursue our ambition to be the most sustainable packaging company in the world. Consequently, we are delighted to share a major milestone in this pursuit. EPL has received a Gold Medal in the EcoVadis 2023 Sustainability Assessment, placing us in the top 5% of 90,000 companies worldwide. We are now in the top

3% of businesses involved in the manufacture of plastic products.

Importantly, in FY 23, we increased volumes of sustainable tubes by nearly 2.5 times. These now account for almost 10% of the total. We aim to double this again next year. We have recently been awarded with 5 ISO certifications for sustainable global practice. We also released the third edition of our Sustainability Report.

Finally, our efforts to create a positive employee experience have been recognized with the Best Employer Brand Award in the National Best Employer Brands 2022. Looking ahead, while many of the known challenges of FY '23 have eased, everything isn't completely normal.

Inflation and recessionary fears, especially in the western economies makes demand less predictable. Interest rates remain high and forex remains unstable. Increase in minimum wage across the globe has resulted in cost increases.

In this context, our priorities for FY '24 include; to continue to deliver double-digit revenue growth, drive recovery in East Asia-Pacific based on expected revival of the China economy post COVID, ramp up volumes in Brazil and expand the customer base and fourth, continue focus on selective price increases wherever we are suffering cost increases, margin improvement through mix and cost management, manufacturing location optimization and efficient capital allocation. So net-net, we believe we have delivered a robust q

uarter in Q4 and we remain

cautiously optimistic about the future to deliver on our ambition of double-digit growth with margin improvement.

Thank you very much. With that, we will now open this up for questions. And I'll be joined by my colleagues in responding to your questions.

Moderator: The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead. ®

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Sanjesh Jain: I have few. First, on the revenue mix for this quarter at least, it looks like personal care has significantly slowed. I can understand why the oral care has grown faster, thanks to the Brazil.

Can you help us explain why the personal care has seen a sudden deceleration in the growth?

We have now fallen less than double-digit in the personal care for this quarter.

Anand Kripalu: Do you have other questions as well that you want to just readout and then we can just share the questions between me and my team?

Sanjesh Jain: Okay. Got it. My second question is on the Brazil side. Now that we have commenced, any thoughts, how much can it contribute in FY '24? Have we succeeded in signing more contracts beyond the one long-term contract, which we have started this plant? That's the second one. The third one is on the gross profit margin, which has sequentially declined by 80 basis points. While the assumption was that last quarter we were carrying a high cost inventory and that should ease out and should help us then positively benefiting on the gross profit margin. Well, it's completely otherwise. Can you help us explain the per region side, the decline in the gross profit margin?

And last question on the other expenses. Freight cost and the power cost at least significantly, normalized. If we look at our numbers, they aren't showing that. There is a little bit of it, but not to the magnitude probably one would have anticipated. Yes, these are all my questions.

Anand Kripalu: Okay. Perfect. So, I'll just kick off with the first couple and then hand it over to Amit and Ram.

So first of all, as far as the revenue mix are concerned, I would really request you to look at category mix, right, at least on a full-year basis rather than a quarter-to-quarter basis, right? I have to say that there is absolutely no issue and no concern, right? And on a full-year basis, I read it out in my opening comments, right, personal care and beyond, which includes beauty and cosmetics and pharmaceuticals and little of other stuff as well that we do has grown faster than oral care, okay. And you should absolutely expect that personal care and beyond will grow faster, right, on a sustained basis and its contribution to our business, which is now at 47% will continue to grow.

Now quarter-to-quarter, you may have some pluses and minuses, but it is absolutely not reflective of the underlying trend in the business. So, I want to just reassure you that there is absolutely no issue in our ability to grow personal care and beyond faster than oral. And I think the silver lining is that a lot of people feel that oral itself increased -- how much can it grow by? And on a full-year basis, we have grown oral by 9.5%. So the fact is oral continues to grow. And I can reassure you that personal care and beyond will continue to grow faster. You might have pluses or minus in the quarter. And as you know, we can't run this business and we don't run it on a quarter-to-quarter basis, okay. So customers also are more long-term in this industry rather than short term. So that's the first point about personal care.

The second point about Brazil. So Brazil, the full commercial production has just started and the ramping-up is happening as we speak, right? I said that the ramp-up will commence in FY in Q1 FY '24, which is this quarter, right? And that is happening as we speak. I think on the positive side, we believe that in one of the most compl

ex countries in the world in terms of operating ®

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environment and a new country like this, right, I think -- I mean, we have setup this plant and this operation in record time, okay.

Now as far as other customers are concerned, I can tell you that there is significant interest being evinced by both multinational and local customers in Brazil. But as we have said earlier, we have gone into Brazil on the back of an anchor customer and our first priority is to ramp-up and deliver the commitments that we have made to the anchor customer. But in parallel with that, we are absolutely exploring possibilities for customer base expansion.

Now this will take time for the full ramp-up to happen of the project as in any project of this kind you would imagine. All I can tell you that it is going to be growth and margin accretive to EPL, right? That you can be sure of, right? The setup quarter, etcetera, etcetera, you don't have the scale yet of the operation, but you can be assured that it will be growth, obviously growth because it's a greenfield project in a virgin market, but also margin accretive, which I'm sure is of interest to everybody over here.

So let me just hand over to Amit on the GP margin issue and the other expenses area? Amit, will you take that, please.

Amit Jain: Yes. So, Sanjesh, as far as gross profit margin is concerned, it is actually a mix of your business category, geography, everything. Correct? As far as softening of raw material is concerned, yes, we have seen from Q2 to Q3 and Q3 to Q4, and now we're seeing it as more or less stable, so that has happened. But because of the mix of the business, the percentage can be here or there. Second is, there is a component of translation impact also in the GP. So that is on the gross profit.

As far as other expenses are concerned, overall, if you see this quarter, the other expenses excluding the employee costs remained flat compared to last year. And freight costs, you are right that there is a softening, and we are seeing that softening in the freight costs. But as far as power cost is concerned and you are aware that last quarter also we talked about the Europe power cost which has increased year-on-year if you see, it has started from April last year.

So power cost is an impact of Europe increase and other geographies also. If you see India, there are power cost tariff increases in some of the factories, as well as the FAC charges on the power. So that has increased. And you know that we are constantly negotiating with the customers on the inflationary side agreements. So that's on the costs.

Sanjesh Jain: Two follow-ups. One, this year can we achieve the 18% kind of a margin, which we have historically below on the EBITDA front? That's number one. Number two, I wanted to congratulate on the Gold Medal for EcoVadis. Are there any other company in India, which has got medal or you are the only one in India to get this?

Anand Kripalu: So -- and your first question was whether we are going to deliver what number?

Sanjesh Jain: 18% EBITDA margin. That's it. ®

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Anand Kripalu: 18% EBITDA margin? All right. So as far as EcoVadis is concerned, I don't know if there's any other country -- company in India. I think it's also one of the few companies in the world that has got gold as a global company, right. See, different for one plant to get a certification, but for the global operations to get it, it means it's a massive company-wide effort to get to it. And so I don't think there is, but we will check this out again whether anybody has got EcoVadis Gold in India.

But you will imagine that in today's ESG journeys that companies are embarking on, this will be a huge fillip as a source of competitive advantage for the company. So, these thin

gs will

deliver, hopefully, with interests, right, in the future. Having said that, our journey has started, not finished. We have a long way to go and a lot more to do as far as sustainability is concerned. As far as margins are concerned, I mean, you'll appreciate that I cannot give you a number, okay? But you have to absolutely believe the fact that what we have been saying consistently, we are committed to continuous margin improvement, right? And I don't mean quarter-to-quarter. But certainly, on a full-year basis, because quarters, they have seasonality and so on and so forth. We are absolutely committed. And even in a choppy like last year, our internal comprehensive cost effectiveness program has really, really helped us, right? And you would also imagine that pricing has been very aggressive, right? And we have been pushing very, very hard on pricing as well, right?

Now obviously, with commodities beginning to wane, right, the effort on price increases have come down, but it's still prevalent in certain geographies, particularly like Europe, right, for the reasons that Amit also mentioned. So, I think you have to absolutely believe that we are committed to continuous margin improvement, right? What that number is, I would hesitate to say because I don't think it's helpful to give that kind of sharp guidance, right?

But you have seen how we have moved margins in the last 4 quarters of last year and I said that in my opening comments as well, and you obviously track that. But you have to believe that this company and this management team is absolutely committed to doing this. That's something we have been saying. So hopefully, we've built some credibility with you that this journey will continue.

Sanjesh Jain: Fair enough. That answers all my questions.

Moderator: The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: First of all, congrats on a good set of numbers this quarter. A few questions from my side. If I look at Americas, the EBITDA margin, even the absolute EBITDA has been more of a flattish over the past 4 quarters. My understanding was that this is an oral care heavy geography. So, we have contractual pass-throughs and should have got price hikes relatively easier in these geographies and Brazil component is there. But on an EBITDA line, I don't think it would have affected that much in this quarter. So just wanted to understand broadly what is going on in Americas?

Anand Kripalu: So I'll chip in and then I'll hand it over to Ram as well. Now as far as Americas is concerned, you're right, the large part are contracted with customers and therefore, the pricing does come, ®

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right? However, there has also been inflation-related costs beyond the contract, which has required us to negotiate separately with those customers, which we have done and we have achieved as well, okay? So everything is not covered in contract, right? There are a few things outside, but we have got specific inflation-related price increases from those key customers for that also.

I think the Americas margin for last year, right, has been impacted by some one-off items related to inventory build-up during COVID, right, which has hit the P&L this quarter, okay. So please recognize that there are some one-off hits that have hit the Americas numbers, and they are one-off, okay? They will not recur. So, that's really the point about the Americas margin. It has less to do with pricing or pricing ability or contract customers or anything else, but more to do with that -- more to do with that one-off.

As far as Brazil is concerned, I mean the numbers -- we have shown the numbers, excluding Brazil, actually. I've spoken about that, including Brazil largely and even in the investor deck it is excluding Brazil. So please recognize that the impact of Brazil

is not there in those numbers

as far as this quarter is concerned, right, the Q4 is concerned, right? Brazil will now start coming on stream as the volumes starts ramping up.

Is there anything else that Ram you wanted to add on Americas specifically on the margin?

M. R. Ramasamy: No, no. You have covered well. Is there anything else, Sameer, that you'd like to know?

Sameer Gupta: Yes, yes. So on the Brazil, just any revenue targets you have for this geography in FY '23, '24? This is just for modelling purposes, I'm asking.

Anand Kripalu: I mean, I don't think we're in a position to give you because recognize that it's one lead anchor customer, and there is some level of confidentiality in the contract about what we can share publicly, what we can't. But what I said earlier to the previous questions, it will be growth and margin accretive to this business and it will ramp up through the course of this year. And you will start seeing the materiality of those in subsequent quarters. I think, honestly, that's the best we can give you. But the reassurance I want to give you is that whatever we plan, whatever we

have been talking about for the last 3, 4 quarters in Brazil is now a reality and will happen. And there are no surprises, no misses, no change in our position on Brazil. So the confidence on what Brazil will achieve remains.

Sameer Gupta: That's very helpful, sir. Just one follow-up here. So INR130 crores of investment is, I believe, has gone here. What is the revenue that you envisage on a full capacity level? Now, I understand that you can't give the timeline, but at least that you would have in mind, right, as in how much at peak capacity this plant can deliver? Obviously, there can be more plants if there is growth in that geography, but just this aspect.

Anand Kripalu: Amit, do you want to take that there? I'm not sure we're in a position to give you what revenue we have built into the model right now, but you can give an update on the investment in the project. Amit? ®

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Amit Jain: Yes. So Sameer, as we informed earlier that the total investment in this project will be approx \$20 million. So, that is what is the investment in the project. As far as the specific numbers are concerned, as Anand told you that because currently, it is only a single customer contract, so we are not able to give that volume and revenue number.

But as we go along quarter-on-quarter based on actual performance, we'll keep you informed about the various developments. But one thing is there that it will definitely be a revenue accretive and margin effective. And second is that one thing I want to tell you that in this short time, which is, if we say when we started the project, which is almost in the month of June, July and 9 months building this kind of big project is a phenomenal job, which we have done. So, that's how -- that much I can share with you on the Brazil as of now.

Sameer Gupta: Margin accretive from the first year itself?

Amit Jain: Margin accretive will be from the first year itself, but don't see it on a quarter-on-quarter basis because normally in this business, ramp-up needs some time because normally, the customer, they stop the other supplier, bring the volumes to us. So on a yearly basis, yes, it will be margin accretive this year. Quarter-on-quarter, there will be some pluses or minuses.

Sameer Gupta: That's great. Last question from my side, capex guidance and tax rate guidance for FY '24, if you can give?

Amit Jain: So capex, I think the guidance remains the same more or less. Depreciation or maybe a little lower than that because our depreciation is also increasing now. Second is that if you see this year, we have focused on the capital allocation on the capex also and the NWC also. I mean, if you see Q4, it's a strong operating cash flow, which we have generated. So that is on t

he capex.

And on the tax rate, again, the guidance remains same that it will be between, say, 26% to 28%.

Sameer Gupta: Just a follow-up on the capex number. You envisage a double-digit growth. In a growing business, I would assume capex to be slightly higher than depreciation, right?

Amit Jain: Capex, I think, guidance, more or less within the depreciation amount, we are able to deliver that double-digit growth because these are all modular additions to the plant. We need not to have the full and everything. And strategic capex are out of that thing like Brazil is out of that guidance.

Moderator: Next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.

Bharat Sheth: Sir, coming back to the sustainability, is that fair understanding, the 10%, which is that, that is recyclable, correct?

Anand Kripalu: Yes.

Bharat Sheth: So, sir, what I understand that all, I mean, FMCG global large players would have played that they want to achieve 100% recyclable in the packaging side. So are we not too much lagging behind? Because next year, even if it becomes 10% to 20% by doubling, so if you can give little more colour on that. ®

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Anand Kripalu: So first of all, you're right. When we say sustainable tubes, we mean fully recyclable tubes. I can tell you that globally, across regions, we are leading amongst tube suppliers in sustainable tube

supply, okay. So, we are leading the pack on sustainability. Now, you will see significant ramp-up starting with some customers, right? So FY '24, there will be significant ramp-up with some customers. Some customers there will be FY '25.

But over the next few years, you will see this 10% number go up significantly, right? All I can tell you is that we are re-equipping all our plants to be fully capable to produce sustainable tubes, right? And there are some small modifications we need to make, right? And we are doing it as we are seeing customer demand picking up, okay? So, there's a bit of a journey. But I just want to tell you, we are not lagging. We are leading any other company in the world, right, as far as supply of recyclable tubes is concerned. And you will see an acceleration in momentum. So, I can tell you in FY '23 also the momentum in H2 was much more than H1. okay.

So as FY '25-'26 approaches and people's deadlines approach of many of the commitments people have made, you will see an acceleration in adoption of recyclable tubes, okay? And you have to be absolutely reassured that we are not lagging. We are leading as far as this is concerned, and we will continue to lead. That's our commitment and that's why EcoVadis Gold and all the stuff we are doing on sustainability, not just tubes, but in terms of making EPL the company sustainable in terms of sustainable practices, okay, to make sure that people see us as the most sustainable supplier in tubes. That is important. So, we are absolutely on that journey here.

Bharat Sheth: And second question on that lines. So how that will, in a global market, will be able to make a differentiation where other tube players may not be? And will that help us in gaining a market share?

Anand Kripalu: It will absolutely help us in gaining market share, right? Now, how will we differentiate, okay?

So, I'll try and explain to you in simple terms, right? Other companies are also making sustainable tubes, right? Everybody has to make sustainable tubes.

Bharat Sheth: Correct.

Anand Kripalu: So what is the differentiation? I could make a sustainable tube using less plastic. I could make a sustainable tube that has better barrier properties for less plastic and less thickness compared to some other suppliers. So the customers' product may be unstable in somebody else's tube, but the product will be stable in our tube. So, our constant effort is to reduce thickness and therefore, the amount of plastic going into the tube and keep increasing the barrier properties so that the customer's product is stable. That is where research is going now.

And that is where, again, and on multiple customer tests, competitors' products have failed, whereas our products have succeeded the stability test. And no customer will put their product inside the tube if it is not stable, right, if the product is not stable, right? Now, I'm just explaining to you in simple terms, that is how we are aiming to lead the pack and stay one step ahead on the sustainability agenda.

Bharat Sheth: Okay. And last question on that. Also, sir, that can help us, I mean, whether gaining market share or intersect, but some kind of a price better than the costs, I mean. ®

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Anand Kripalu: I mean market share, definitely. Now price is a choice. That's a management choice. Now, I can charge a premium and make it difficult for people to convert, or I can say almost parity pricing, but you give me more volume, more market share and let me grow my business disproportionately during this period. No, that is a choice on strategy. That's how we are thinking about it. All right.

Moderator: Yes, sir. Next question is from the line of Mitul Shah from Reliance Securities. Please go ahead.

Mitul Shah: Yes. Congratulations for a very strong performance. Sir, my first question is based on your initial remark about these challenges in the global market currently, including currency-related issues.

So out of all these markets, which market do you see more challenge or slightly more longer time to come back? And which geography you think are rebounding strongly or is expected to rebound strongly.

Anand Kripalu: So, I'll give you a broad view on this. I expect AMESA and India particularly to remain strong. right? However, AMESA has Egypt. And by the way, Egypt's performance is strong, but there's a currency challenge and inflation challenge, therefore, that is there in Egypt, right? And I've already talked about the fact that those have impacted the AMESA growth numbers because of the translation impact of Egyptian pound devaluation.

I expect China to come back, partly because it has a low base and partly because after the opening up of the COVID policy, the Chinese government also is putting in a lot of effort to get the economy to bounce back, right? So the Chinese government also needs to do that. So, I expect China to bounce back. I expect the Western world to be a little more uncertain. Europe, right,

the environment in Europe. So the Western world has inflation, while it has softened a little bit, but still has inflation much higher than what it has had over the last few decades. The Western world is not used to having 7%, 8%, 9% inflation. They are used to 1%, 2% inflation.

The challenges in Europe are partly inflation, partly the Ukraine war and going on affecting it. And therefore, there is every possibility that some demand impact could be there in Europe, okay. There is every possibility. When price increases are high, when inflation is so high, then there could be some demand-related impact, okay? And therefore, Americas as well, but less in Europe, right? There's no -- I don't think there's a currency issue, except that the dollar is actually quite strong, but there's no currency issue really in the US, right?

However, inflation has remained quite high, right? And you all know that interest rates and so on have been increasing. So inflation remained high. So, I'm just saying that it's a bit of a mixed bag around the world. And that's why in my opening comment, I said everything isn't completely normal. Inflation and recessionary fears, especially in the Western economy makes demand less predictable, okay.

So this is -- I mean, everybody is talking about some kind of a recession in the Western world, right? People in A

sia are not talking about recession that much. So, I'm just trying to make sure that we understand the context in which we are doing our business. And in that context, I've already told you what we aim to deliver next year and beyond. ®

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Mitul Shah: Okay, sir. Sir, within all these geographies due to local currency depreciation, in any of these geographies, do we require to rationalize pricing or reduce prices in order to compensate for currency devaluation?

Anand Kripalu: Compensate for pricing, reduced pricing? Well, it should be the reverse. See, if the currency devalues, fundamentally, it means there's high inflation. And fundamentally, it means you have to take more pricing. So if I take the case of Egypt, right, where there the currency has halved in 9 months, the value of the currency has gone from EGP15 to the \$1 to EGP30 to the \$1, Egyptian pound to the dollar, right? We've had to take huge increase, and that is what has ensured that we have protected our margins in the Egyptian P&L in Egyptian currency. What you are seeing in our global consolidated results is the translation loss of the Egyptian pound into our global results.

So, I think, quite to the contrary, when the inflation is high, the pricing -- I mean, you have to be very, very hardnosed about pricing, like we have been in Europe, by the way. In Europe, cost increases have been high. Inflation has been high. We have taken unprecedented pricing in Europe, right? That's how we have somehow delivered, I would say, a reasonable P&L for Europe on the back of very aggressive pricing decisions.

Mitul Shah: Pricing is not, on a USD basis, where we decide USD pricing and then -- even if the currency of their current country depreciates, we realize that.

Anand Kripalu: No, we have to take input costs as experienced in a country, right? Now recognize, we do a lot of our polymer making and laminate making in India and China, right, and ship it out there. But we take whatever input costs we suffer, plus there are all local labour costs, energy costs. All that stuff is local. And then you look at that and decide what pricing do you need to go and take to the customers.

Mitul Shah: Okay, sir. Sir, second question on sustainability. In case of this sustainable, we are saying 10% of the products now based on this recycled. So it's all PP, polypropylene?

Anand Kripalu: Ram, do you want to take that question?

M. R. Ramasamy: It's a combination of many polymers, but recycled. What we eliminate is, we eliminate non-polymer product used to be in the tube form, which we have now eliminated. Similar, family applications. It's not one mono material. It's a still combination of material in a similar timeframe. Got that?

Mitul Shah: Yes, sir. So on this, again, what I understand is it is primarily with the polymer only or a material in terms of recycling rather than equipment like molds or dyes or even machines like blow molding or injection molding. So once the material you are finalizing or you're getting success with that, it should be relatively very easy to implement across. So why it should take more time going from 10% to 20%, 30%? Because it's entirely -- probably 90% would be related to material, 10%, 15% just related to equipment, right?

M. R. Ramasamy: See, there are three different ways that we should see. Each customer globally has a goal to get into full recyclability by a certain number of years. Some of them are 2030, some are 2025, some ®

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are a little greater. Now this drives their ability to transport products, display it, sell it, all that in their consideration to decide that timeline. Now as a subset, we need to be ready. Well, as and when every segment like oral care, beauty and cosmetics, medicine and everything get

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converted into recyclable format, as a company, are we ready to offer products?

We are ready now for 80%, 85% of the products today can convert into recyclable tube with the other supplier. We have strong innovation capabilities because I just wanted to repeat, in the global scenario, EPL is one company, starts from polymers to tube making. Many tube-making companies try intermediary products. So, we will always be first to innovate and we will always have a leading edge conversion, right? So, we are in that sphere and the second question is we are ready today.

Now the third question is bringing equipments. All equipment in the current status is not fully capable of doing recyclable effective level. Every machine can do a recyclable product, but not at a full efficiency. That means small modifications, which we keep doing year-on-year. Today, 85% of our equipment can do recycle products. 50% of our machines can do with full efficiency. The remaining as it converts, that we will start updating year-on-year. So, this is 3 types. So it's customer driven. From our side, we should have a full capability to offer recyclable products in every segment. We are ready. We should have the capability to produce when customers asks. That we are ready up to 50%. And we will be ready over a period of time to do up to 85% full effective. But the current rate of conversion is only 10%. So, we are well adept in term of meeting the market demand, offering products for wide range of products.

Mitul Shah: Yes, sir. Good to hear this. Sir, are we using any reprocessed plastic in our combination or it's all virgin natural at present?

M. R. Ramasamy: Every country has regulations. We have products which have post industrial recycling inclusive, up to certain percentage. It depends upon the customer. One thing that what we have done is we do not have, at this point of time, 2 major clients that we make films and polymers. We don't have any industrial waste going out of the country. Everything gets recycled into some or other form. So that's how the EcoVadis Gold comes from our ability to ensure we don't discharge wastages into the industry.

Mitul Shah: Okay, sir. Sir, lastly, on the Brazil, sir. Whatever we got initial commitment orders from our anchor customer, we are saying we are ramping up. So are we in a position to meet that requirement in Q3 or Q4? Or it will take slightly more time to get the initial commitment order getting delivered?

M. R. Ramasamy: In terms of capacity, capability planning, that is how the project has gone up. We are ready, fully ready. Customers will now start converting one by one because he has to ship the volumes on my existing supplier to us. So, he will see our performance, see commitment to direct customers. Slowly, it will start building up. The short answer is yes, we are pretty ready to deliver as agreed with the customer.

Moderator: Thank you. Next question is from the line of Nikhil Upadhyay from Securities Investment Management. Please go ahead. ®

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Nikhil Upadhyay: Yes. I hope I'm audible.

Anand Kripalu: Yes.

Nikhil Upadhyay: Yes. One question on the oral care side. If you look at like since 2013, '14 and today, the oral care business for us has grown at 9% to 10% CAGR, probably more than that as well. Would this -- but if you look at the overall oral care market across the world has been growing in single digits in volume terms or even in value terms. From where -- and now we've also entered Brazil, which was -- which we were not present earlier. So from a, say, a 35%, 36% global market share, post Brazil, where do you think our market share would reach? And where do you see that post this much market share, growing oral care will become a challenge?

M. R. Ramasamy: There are 2 parts. One that is you mentioned about oral care as a category growing broadly, probabl

y that whatever number you said is a correct number. But our growth is not purely organic growth. We also gained wallet share-- like, for example, we have got into Brazil, that we see a wallet share addition to whatever we are having currently in oral care. That's our growth of 9% as you mentioned comes from wallet share sharing in addition to the organic growth in the existing markets. So, we are confident that we will continue to grow anywhere between 8% to 10% of the Oral Care sustained effort. We continue to scout around customers for whom we are not supplying.

We continue to look for products, which could be made into premium so that our revenue goes higher. Every customer is also trying, and we are also helping them to put products in the premium packaging items. So the revenue actually grows. So those efforts are on. We continue to believe -- in volumes terms, probably we will be in the same range because -- let's say between 30%, 35%. In values, we should grow slightly faster than that.

Nikhil Upadhyay: Okay. So volume terms, we would be growing at a similar range as the overall market is growing? It's only a mix change or better pricing, which is helping us to grow at this rate, which can sustain?

M. R. Ramasamy: Yes. Organic plus wallet share gaining will be the volume gain. Value gain will be, as we start making, more premium segment supplies.

Nikhil Upadhyay: Okay. And on the inorganic side, you said gaining more wallet share or gaining more customers. Would you say that like at 40%, 45% market share once we reach, there won't be much more opportunities because we would become -- so most of the players would be highly dependent upon us? Or would you say -- because at the end, it's a supplier kind of a business. So would there be so much -- nice to be so much dependent on one company?

M. R. Ramasamy: No. See, there are -- many things are happening in the marketplace. Most regional players are coming up. In India, maybe about 10 years or 15 years back, we've had stronger MNC's. But now there are stronger regional players, right? In every market, those things continue to happen. As we earlier explained, the sustainability initiatives gives us leading advantage to us to be able to offer more products to more number of customers. I'm not sure about the percentage that you are talking about, 40%, 44%. But certainly, our growth at this rate of 8% to 9% in oral care is what we target to achieve here as well. ®

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Nikhil Upadhyay: Okay. And last question on Brazil. Now till the time the scale-up comes to the required volumes and all, would there be a -- so would there be an underutilization or under achievement of costs? So would it still be contributing negatively to the EBITDA? Or would it be breaking even as of now?

M. R. Ramasamy: The project plan is done using this staggered ramp-up, that's how the project time is put in. We are on time. But we -- there is not an industry -- we went with the lead customer. There are many customers who are interested as we all know. We don't want to overcommit and jeopardize quality, establishment, new countries, unknown environments. So, we will use this period to ensure other customers qualify our products and we are ready to supply at some point of time to them. So that's our plan. That is as per the original project plan.

Nikhil Upadhyay: Okay. And last question. The kind of opportunity, say, we got in Brazil and we put up a new greenfield plant, I think after almost 4 years or 5 years, do you sense there are more greenfield opportunities, which may come up our way? Or would it be like with this plant set up across all the 4 or 5 major continents, would you say that more of the capex would remain on a brownfield kind of a level?

M. R. Ramasamy: Anand?

Anand Kripalu: Yes. I'll take that. So let me put it this way that, listen, we are open to in

vesting for growth, okay.

Now if opportunities are in M&A, we are actively looking at M&A opportunities, right? And if anything works out, which is in the right strategic area in terms of location, in terms of technology and obviously, at the right price, then we are open to that. Brownfield, obviously, you will continue to do, right?

And I don't think you need greenfield plants every couple of years. But whenever it is needed, if there is a virgin geography, right, or an anchor customer tells us to come and do something in another geography, then we are happy to do it. But you're right, broadly speaking, I think we are in a position to supply most markets and geographies in the world with the manufacturing footprint we already have, okay? So, I don't think we really need to add more greenfield unless it is a demand or a request from a specific anchor customer.

So, your deduction that it will be more tilted towards brownfield rather than greenfield is right.

But please add the M&A part, right? And we've done only one in recent times, which is accretive,

right? And they are open to others, right? And we are hungry and looking all the time for opportunities. We have examined some, but they've just not been either right or at the right price.
Moderator: The next question is from the line of Jenish from Antique Stock Broking. Please go ahead.
Jenish: Yes. And congratulations on a great set of numbers. I have 2 questions. Firstly, if you can share what is Egypt's contribution to AMESA revenue for the quarter and full year? And secondly, there was a higher gain...

Anand Kripalu: Again, I'm sorry, sorry. Who's contribution?

Jenish: Egypt's region contribution to AMESA revenue for the quarter and full year? ®

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Anand Kripalu: Okay. And what's the other question?

Jenish: The second question is that there was a higher share of government grants and other income for the quarter. So if you could just highlight the nature of those grants and what can be a sustainable number if any? That would be all.

Anand Kripalu: Yes. I'll hand this over to Amit. On Egypt specifically or any country within a region, I don't think we are sharing specific data on any country. Amit, is that correct?

Amit Jain: Yes.

Anand Kripalu: Okay. So, all I can tell you is that Egypt is an important country. We have some great customers there. And the business is doing really well in terms of top line and bottom line, right? So that's what I can tell you. So Egypt is a good performing business, obviously, impacted in consolidation because of the Egyptian pound, right, and the currency challenge that we have there. Amit, do you want to take the question on tax incentives?

Amit Jain: Can you again, Jenish, tell me what was the question?

Jenish: Sir, in other income, there was a huge proportion of government grants around INR239 million for the quarter. So for what purpose we have received these grants? And is there any sustainable number to that?

Amit Jain: Yes. So this grant is basically a duty benefit in terms of import of machines, and this will continue to reoccur based on our capital expenditures.

Jenish: Sure, sir. No problem. And just one last question. When we have entered Brazil market, we had said that this is one of the first phases of entries to the market. So are we planning any second phase of expansion in Brazil region in the next 2 years?

Anand Kripalu: I mean, expansion in the sense, I think our first thing is we've put a project in place and our first priority is to build that plant. So honestly, we have not thought of further expansion, but we are covered on capacity, certainly, for the next couple of years in terms of the basic project plan itself.

Jenish: Sure, sir. That helps.

Anand Kripalu: And if we can take one last question now, please.

Moderator: Yes, sir. The next question is from the lin

e of Umang Parekh from Ashika India. Please go ahead.

Umang Parekh: Sir, my question was mainly on the input prices. So while it has stabilized, I just wanted to understand the current pricing of the payment, how do you see this going forward?

Anand Kripalu: So I'm not sure -- so the input prices have definitely softened and more than softened, the volatility has gone away. So it's more range bound, which is helpful, right? Otherwise, it's very, very -- when it's volatile, it becomes unpredictable and then it's very difficult to manage pricing with customers. Now it's range bound. So it's softened to an extent, and it's range bound, which ®

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is good moves. There are a couple of input costs and commodities that are still high and are inflating, all right? But that's a smaller part of our total input cost base, okay? Now your question is about how is it impacting pricing?

Umang Parekh: Yes.

Anand Kripalu: Well, I'm saying pricing is a dynamic thing. As you know, half our business is contracted and that follows the formula based on input cost movement. The other half is negotiated specifically, and that happened. So the contracted part happens with a lag and the other part happens based

on negotiation. And I mean, we are trying to make sure that we don't give any discounts on pricing, right, which is lower than what the starting position was in terms of customer profitability. All right.

So, this is a dynamic situation. It keeps moving, and these are constant conversations. So all I'll say is that we are still looking for price increases in some places. There is some pricing pressure for softening in some parts of the world with softening input costs and contracted customers that gets reflected automatically. But our objective is to make sure that our overall P&L and margin profile, right, remains better than what it used to be, right? And that's our objective when we get into these pricing discussion.

Umang Parekh: Understood. And sir, lastly, on the debt numbers. So our net debt has come down because of the significant cash flow generation, where do we see our gross debt number heading to?

Amit Jain: Yes. So, I think the debt number normally we see based on our different ratios kind of servicing debt and debt service coverage ratio. And if you see net debt to EBITDA is also 0.6. So in all those parameters, we are good on the borrowing level. And I would say that we can leverage further for the growth of the business.

Umang Parekh: Okay. Got it. That was it from my side.

Moderator: Thank you very much. I now hand the conference over to Pratik Tholiya for closing comments.

Pratik Tholiya: Yes. Thanks, Nirav. On behalf of Systematix Institutional Equities, I would like to thank all the participants for logging in to this call. I'd like to thank the management for giving us the opportunity to host this conference call. Anand sir, would you like to make any closing comments, please?

Anand Kripalu: No. I just want to thank, everybody, for their patience and their confidence in this business.

We've obviously had choppy times in previous couple of years for all the reasons that we know, right? But I just hope that you are seeing the confidence that we are seeing. With more predictability in the operating environment, you are seeing a rebound of our business as well.

And I hope that we have managed to meet that confidence with you during this call.

Pratik Tholiya: Sure, sir.

Anand Kripalu: Thank you. ®

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Moderator: On behalf of Systematix Institutional Equities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Anand Kripalu: Thank you very much. Bye. ®

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Call: Aug 2023

11 August 2023

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I Mumbai 400051 1

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Ref.: EPL Limited (EPL)

Sub.: Transcript of investors' call held on 8 August 2023.

Dear Sirs,

Please find attached Transcript for Investors call held on 8 August 2023.

The above-mentioned Transcript is available on the Company's website www.eplglobal.com

in Investors, Shareholders Information, Investor call transcripts.

<https://www.eplglobal.com/investors/shareholder-information/#investor-call-transcripts>

The above is pursuant to the SEBI (Listing Obligations and Disclosure Requirements)

Regulations 2015, for your information and record.

Yours faithfully,

For EPL Limited

Keyur Doshi

Company Secretary

Encl: A/a

Filed online

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"EPL Limited Q1 FY24 Earnings Conference Call "

August 08, 2023

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ANAGEMENT : MR. ANAND KRIPALU - MD AND GLOBAL CEO, EPL LIMITED

MR. M. R. RAMASAMY - COO, EPL LIMITED

MR. AMIT JAIN - CFO, EPL LIMITED

MR. SRIHARI RAO - PRESIDENT , AMESA REGION , EPL LIMITED

MODERATOR : MR. PRATIK THOLIYA - SYSTEMATIX INSTITUTIONAL EQUITIES

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Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of EPL Limited hosted by Systematix Institutional Equities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ' * ' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now have the conference over to Mr. Pratik Tholiya from Systematic Institutional Equities.

Thank you and over to you, Mr. Tholiya.

Pratik Tholiya: Thanks, Michelle. Good evening, everyone. On behalf of Systematic Institutional Equities, I would like to welcome all the participants who logged into the 1st Quarter FY24 Earnings Conference Call of EPL.

From the management team, we have Mr. Anand Kripalu – MD and Global CEO, Mr. M. R. Ramasamy – COO, Mr. Amit Jain – CFO, Mr. Srihari Rao – President, AMESA Region.

At the outset, I would like to thank the management for giving us the opportunity to host this conference call. I would like to now invite Mr. Anand Kripalu to begin the proceedings by taking us through the quarters that has gone back. Thank you and over to you, sir.

Anand Kripalu: Thank you very much, Pratik and hello everyone. Very good evening to you and welcome to the Q1 FY24 Earnings Call.

Before we get into the discussion on Q1 Results, I am pleased to introduce EPL's new CFO – Deepak Goyal, who is here with us today on the call. We are very excited to have Deepak on board and I have no doubt that he will be a great addition to the team. He brings a wealth of rich experience of over 22 years across diverse industries like FMCG, financial services and hospitality tech. He has a proven track record in Indian and global roles in established companies like PepsiCo, GE and OYO. Most recently, Deepak was the CFO for OYO Vacation Homes, one of the largest vacation rental businesses in Europe and was based in Switzerland, so he has now relocated with his family to Mumbai. I would also like to take this opportunity to thank our outgoing CFO, Amit Jain, for his eleven years at EPL, particularly through the COVID crisis and the promoter stake sale. And Amit, of course is also with us here today and will be helping me to respond to some of your questions.

So, moving on to our performance for Q1 FY24:

The operating environment continued to steadily move in the right direction in the last quarter with input costs stabilizing. EPL's Brazil operations have been steadily ramping up. But for EPL Limited

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better comparison, all financial numbers are excluding Brazil unless otherwise mentioned. In Q1, EPL posted a solid revenue growth of 9.2%, broad based across all regions. AMESA grew at 5%, partly impacted by the devaluation of the Egyptian pound. EAP continues to bounce back with double digit growth of 11.5%. Europe grew by 7.8% and Americas grew by 9.5%. Our continued focus on personal care and beyond has seen success with the category now contributing 49% to total sales in Q1.

Importantly, the journey on EBITDA margin recovery has persisted. We delivered a solid EBITDA margin of 17.9%, an improvement of 282 basis points with an absolute EBITDA growth of 29.6% year-on-year. This is a result of softening costs coupled with active price management, mix improvement and productivity. Significantly, this is the fourth straight quarter of EBITDA margin increase, signaling the recovery in the business. Net profit for the company grew by 82.3%. ROCE also improved to 16.2%. Including Brazil, the EBITDA margin stood at 17.5% and absolute EBITDA and PAT growth rates were 26.6% and 57.4% respectively.

We have an update on Brazil:

Our Brazil plant is now

fully operational. It is a state-of-the-art manufacturing facility integrated with SAP. Commercial production and delivery is underway. Several potential customers have evinced keen interest and we are confident of winning new business and expanding our market share in the near future.

As far as sustainability, innovations, recognition and wins are concerned, we steadfastly continue to pursue our ambition to be the most sustainable packaging company in the world. Getting assessed as Gold by EcoVadis was a major step towards that objective. Our efforts are now being recognized across forums with EPL winning two prestigious awards at the 4th Edition of the India EAC Summit and Awards 2023 by Transformance. EPL was presented with the ESG Best Performer of the year, while EPL's Global lead on sustainability was recognized as a top 20 ESG champion. We continue to remain signatories to the Ellen MacArthur Foundation, the United Nations Global Compact and the India Plastics Pact, while continuously working towards improvement on external validations and recognitions. With this backdrop, we have launched a company wide effort towards EcoVadis Platinum. EPL's continuous efforts on innovations, with the company receiving three awards at the recent Res Pack, which is responsible packaging awards for its innovative and sustainable packaging. Some of our business wins include entry into new categories and laminate tube and platina conversions. Examples of these have been shown in the investor pack that have been circulated.

So, looking ahead, clearly the environment is looking more stable and more predictable, but some challenges remain. Our priorities as we look ahead include continued growth momentum in India and China, though recognize that there is some demand softening in Western

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expand our customer base in Brazil, continued focus on margin improvement through mix and cost efficiency, efficient capital allocation and manufacturing location optimization and finally drive customer conversion to sustainable solutions. So, in continuation of past quarters, we remain focused on driving growth with continuing margin recovery. Net-net, we are cautiously optimistic about the future to deliver double digit growth with margin improvement. Thank you. We will now open the call up for questions.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. The first question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Firstly, just trying to get more color on the overall top line growth performance. What I notice is that there has been a slowdown in the revenue growth trajectory across all geographies except China. China also, the base was very low, so 11.5% growth looks good, but I would believe on a low base, it's still on the lower side. So, just wanted to understand this performance geography wise, is it just a phasing issue? Any major issues that you would want to highlight?

Anand Kripalu: So, I would say that as far as the demand outlook is concerned, our assessment is that India remains solid. China, you're right, we are lapping a relatively low base. What has happened in China is that there has been some shift away from China for exports by large multinationals, but that's already in the base, okay. Exports out of China that we do right, beyond that to places like Thailand and so on remain robust. I would say that given the overall environment in China, I think we are just being watchful of how China plays out, okay. We have seen some demand softness in US, but particularly in Europe, okay, and we are continuing to see a bit of that softness play out as far as these two geographies are concerned. I think we remain more, what should I

say, realistic about what's going to happen in the US, but probably a little more pessimistic given the overall environment in Europe. So, that's really a round up. So, the numbers are the numbers which you've seen, but that's really a flavor of how we are seeing it. As far as we are concerned, I can tell you that over the last year and a half or so, a lot of the management intensity went behind margin improvement and cost reduction, we are keeping a tight leash on costs and keeping the belts tight. But we are renewing our efforts to push growth harder, particularly behind B&C, Beauty and Cosmetics where you know we have lower global share and we have a big head room for improvement. So, we are doubling up efforts to push growth in B&C, so that's a broadly I would say some of the top line.

Sameer Gupta: Second question is on the margins, Europe and Americas, I mean they continue to be subpar. So, are we still getting, facing issues getting price hikes here or are we done with the price hikes and this is the new normal? Is it just a function of negative leverage? Any color here would be helpful.

Anand Kripalu: I'm not sure if, well, your judgment on them being subpar, but let me put it this way that both have delivered double digit margin. I think there's opportunity for margin improvement,
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particularly in the Americas there have been some one-off to do with health insurance and so on, which will not happen again, because of which the margins are a little subdued. But overall, I think that as we drive growth momentum and as margin comes back to Europe, we have significant opportunities to improve margin. What I can tell you is that the belts have been tight on cost and by and large, we met whatever OPEX forecast we had. So, it's really a bit of growth leverage that we need to continue to drive.

Sameer Gupta: Just to follow up, sir, here the price hikes that were due here in Americas and Europe are we still in that process or that is done now and going forward it is about getting more customers here and growth?

Anand Kripalu: Yes, I would say that price hike in general, not just for Europe and Americas, in general now are few and far between. By and large whatever have to come have come. However, I have to say that there are some, particularly with our contracted customers, there's a pass through of input cost reductions that have started flowing into pricing as well. So, I think one has to recognize that there will be a tempering of pricing, not so much in terms of positive pricing, but there will be some negative pricing as well, that were flowing through and some of it has started flowing through particularly for contracted customers already.

Moderator: Thank you. The next question is from the line of Ritesh Gandhi from Discovery Capital. Please go ahead.

Ritesh Gandhi: So, if you could just share with us the EBITDA per ton by product and by geography, it would be helpful to help us evaluate the trajectory of this business.

Anand Kripalu: By product, we don't share. By geography it is there in the deck, by geography and we give

geography by regions, 4 regions, that data is in the deck already and that should be available to you if you access the investor deck.

Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Sorry, I'm sticking on this revenue growth again. You said that AMESA you are satisfied, but if you look at the number of 5% growth, Y-o-Y, really doesn't picture the kind of robustness we are seeing. And if you look at for last four quarters, progressively the revenue has only decelerated well, last year it was a double-digit growth. Now we are at a mid-single digit growth. Is it to do more with the price pass through? If that is the question, then why margins have again fall

en sequentially with price pass through our EBITDA per KG or gross profit per KG is protected which should have implied that we our margins ideally should have gone up? While AMESA, if you see sequentially margins have also dipped by 200 basis point and revenue growth has also fallen to 5% Y-o-Y growth. How should we reconcile this on the AMESA side?

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Anand Kripalu: So, I'll request Amit to chip in on the margin part. See on the growth part I just want to say this that, so there is some tempering of the revenue growth numbers because we've had a specific short-term challenge in Egypt. There is a translation loss of the Egyptian pound, which I mentioned earlier, and the reality is that now fresh pricing is few and far between. So, when you combine all of that, the optics of the revenue growth are going to be a little softer in the immediate term. And that's what is there. Now this does not mean by the way, that we are not doing lots of things to push growth harder and I said that in response to the earlier question. We are absolutely doing stuff to push growth harder, but that is a reflection also of the softening input costs. And therefore what is happening to the optical revenue numbers. Now as far as the margin is concerned ...

Amit Jain: Sanjesh, margin for you can't see it on sequential basis because there are seasonality also in this business. And if you see for the last quarter the revenue was also higher, if you see the June numbers, correct. So, that will depend on the product mix.

Sanjesh Jain: It was only two crore more, Amit. It was only two crore more in the AMESA. We were at 338 crore. We are at 336 crore. I don't see too much of a difference in revenue there.

Amit Jain: That's right. But there are seasonality and there are product mix also, correct? Because from the seasonal your product mix also changes between Beauty, Pharma and Oral.

Sanjesh Jain: Continuing on this revenue growth again, Amit, I thought we have a dollar billing. So, how should the currency depreciation or devaluation really hit us on the revenue? You're telling that itself has collapsed there and that's the reason and how much is Egypt hitting if you can also number, assuming Egypt was normalized, what would have been a revenue growth?

Amit Jain: See, in each country, there are some of the export sales also which is dollar billing also. But the local sales are in the local currencies, correct? So, that is one, but if you see India is standalone, and the numbers are there in the public, India's standalone growth is almost around 7%, 6.9%.

Sanjesh Jain: But again, 6.9% is really not that encouraging. We were talking of a double-digit growth to sustain and in that context, is that a slowdown? Are we losing market share? What is really, how should one see this?

Anand Kripalu: So, I just want to say that, our medium to long term ambition absolutely is double digit. Now we are going through cycles of commodity of acceleration and inflation and softening of commodities and obviously that affects pricing and revenue. So, I just want to say categorically that as far as India is concerned, we have actually build market share. There is absolutely no question of market share loss. Now the revenue numbers are combination obviously of margin, of mix and of pricing and it's a combination of that. So, I think we're just going through this cycle when you had hyperinflation of input now for having softening to an extent. And part of

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that is playing out in the revenue numbers. So, are we alarmed about performance in India? No. There is absolutely nothing that has to do with market share loss or any challenge other than the fact that the numbers is the combination of these three factors, right. And I think these things will normalize themselves as we look ahead.

Sa

Sanjesh Jain: Fair enough. My next question is on Americas. In America, if you go back to FY20, we had a quarterly revenue of close to Rs. 150 crore - Rs. 170 crore and we used to do and EBITDA margin of 20 plus percent. The revenue has scaled up to above 200 crores kind of a run rate while margins have fallen to a 11% kind of a thing. How should we see the margins in America

again going back to 20%, is it really possible or you think the new normal level of margins in America will be significantly lower than the historical trend?

Anand Kripalu: Americas is a combination of a mix of the countries as well which is Mexico and Colombia. So, there has been some margin erosion particularly in the US during this period. During this period of hyper input cost inflation there has been some loss of margin. We have a very clear plan for margin recovery, I'm not going to say whether it's 20% or some other number but we have a very, very clear plan for margin recovery, which includes growing the business as well as some structural cost changes. And we are absolutely working on that. So, that's the best visibility I think I can give you as far as the US is concerned. There has been no big margin erosion and I'm not looking at one quarter alone, no big margin erosion in the other smaller countries. There has been something in the US and there is a clear plan to recover that.

Sanjesh Jain: Last question from my side, on the Brazil can you give more color on the financial in terms of what is the revenue run rate annualized for say exit month, what kind of utilization level have we reached and are you achieving the profitability what we anticipated at the time of starting the project? That will be helpful.

Anand Kripalu: It's too early to give you any steady state kind of indication as far as Brazil is concerned, I will say that there was a slight delay in the volume ramping up and that is absolutely normal in the project of this kind when customers are also down stocking volumes, et cetera. I think we have started reaching the kind of ramp up that we would like in July. That we have seen the step up happen, Q1 was relatively soft on volume, but a lot of trial was happening, some commercial sales started happening. But July I think the ramp up has started. We are nowhere near the ramp up numbers that we want and it will still ramp up from July onwards. But July, we have had a sizable volume as far as Brazil is concerned. I think we'll have to wait at least for another quarter for us to give you a better guidance on where the stable volumes are, what really contribute and how the profitability will look for the project. But by and large apart from a month here or there, for most factors I would say we are broadly on track.

Sanjesh Jain: Just one follow up, are we still in active discussion with the potential client and how is that pipeline looking in Brazil?

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Amit Jain: So, we are in active conversation with several customers. And I think we are very close to having got order from one new customer, as we speak. So, this journey of expanding the customer base has started always with one customer right now, but the teams on the ground are at it. We have ourselves connected with many global MNCs who are present on the ground in Brazil and all I can say is that there's huge interest and I think you will see momentum building in terms of widening the customer base.

Moderator: Thank you. We'll take the next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Can you talk about, you were talking about health insurance cost in America, so ex of health insurance, what is EBIT margin for America?

Amit Jain: I can share the number specifically, Sumant, but this is kind of a timing difference only which will over a period of time during the course of the year will nullify.

Sumant Kumar: So, net-net, if we incorporate health insurance cost, there is no margin decline.

Amit Jain: No, I'm not saying that. I'm saying that there is a one-off in this quarter because of the health insurance. And I'm saying that it is just a timing difference over a period of time in this year, this cost will nullify over a period of time.

Sumant Kumar: And tax side we have a lower tax this quarter. What is the effective tax rate for FY24?

Amit Jain: FY24, you can take effective tax rate as a normal around say 26%-27%.

Sumant Kumar: So, you are talking about, in three quarter the tax rate will be higher.

Amit Jain: And it will also depend on certain dividends which comes from the subsidiary which we have seen last two-three quarters. So, there will be some benefit also, maybe just wait for one more quarter and then we will have visibility on those things also.

Sumant Kumar: So, we can maintain the previous guidance what we have given in the Q4, the tax rate?

Amit Jain: Yes.

Moderator: Thank you. We'll take the next question from the line of Ritesh Gandhi from Discovery Capital. Please go ahead.

Ritesh Gandhi: I just had a relook through with the presentation. I'm not able to locate the EBITDA per unit ton anywhere actually, if you could point me out where it is.

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Amit Jain: Ritesh, normally we do not share EBITDA per ton or per thousand or product wise, our normal

reporting is the segment results and you will see region wise EBITDA on Slide #25.

Ritesh Gandhi: I see that. Sir in actually a business where our revenue increases when raw material prices increase, which leads to then the lower EBITDA margin in an environment where obviously raw material reduces, our revenue may go down and our EBITDA percentage may go up. So, all through our introductory comment, we are talking about EBITDA percentage increasing. But that in actuality is irrelevant from an investor angle, right sir? Because unless we know what is the volume growth which is happening, what is the historical EBITDA per ton, where are we now, how are we able to make a like a decision on how to look at the business? Because the actual percentage is totally irrelevant, right?

Anand Kripalu: So, forget the percentage. In my opening comment, I talked of absolute EBITDA growth.

Ritesh Gandhi: But I am saying that would also be a factor of actually the capacity utilization can also lead to higher absolute EBITDA, right? So, how do we get a break up to know how much of absolute EBITDA growth is driven by actual increase in volume versus by increase in pricing. So, we can get a hands on where the trends are heading in this business?

Anand Kripalu: See, we are not giving granularity on pricing separately. Our revenue growth is a combination of volume, price and mix. And I've explained many times before that strategically this business is driving growth through B&C overall. Therefore doing mix improvement and of course there has been some pricing as well, but there's also volume as well. So, we are not giving that granularity because strategically we are trying to drive revenue growth through all these three.

Ritesh Gandhi: I understand that, sir. But I'm saying for us to evaluate, are we driving the revenue growth at the cost of the margins or are we not? I'm sure you've got a Blackstone as an investor, you can ask them also this would be a key data point anyone who would have looked at to invest in any business which is actually a convertible business.?

Anand Kripalu: So, Ritesh, I think we normally do not share this kind of granular data and ...

Ritesh Gandhi: I just then leave this as a request with you. If you could consider in the future to actually bring in high quality public investors, this is a very important data point in my view for us to get a real view on what is the quality of the

business going ahead and how good the job existing team has been able to do.

Anand Kripalu: Ritesh, we can take it offline.

Moderator: Thank you. We'll take the next question from the line of Sameer Gupta from India Infoline.

Please go ahead.

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Sameer Gupta: Now, earlier when we were going through the inflationary period and there were subsequent price increases lined up, we had said that the typical margin equivalent of the previous years will be 18.5 because of the optical impact on price increases and cost going up. Now in line with the deflationary time when we are passing on the decrease in commodity cost, at least where we are contracted, would it be fair to assume that this 18.5 will probably settle at a higher rate, maybe it will take some from the revenue growth, but margins should settle at a higher number. Would that be a fair assumption?

Anand Kripalu: See, we're not going to give you a number of our margin ambition, but what I have said in the opening comments is that we are committed to continuous margin improvement and we'll get the margin to what we believe will keep us competitive in the marketplace as well. So, we cannot keep increasing the margins indefinitely. But please also look at absolute EBITDA growth because that's a reflection of real profits that the business is making and one more comment that I would like to make is, from a revenue standpoint this is business with some seasonality. So, sequential comparisons, we don't really believe reflect the performance of the company. It is Y-o-Y. You have to look at the same quarter the previous year to get a proper assessment of how we are performing. So, I just want to leave that as well, not just for you, but for everyone else on the call.

Moderator: Thank you. We'll take the next question from the line of Udit Gupta and individual investor.

Please go ahead.

Udit Gupta: Sir, my question is regarding the debt level. By the end of the financial year, do we see it moving higher or lower? So, what is the trajectory?

Amit Jain: See Udit, debts are normally we track our debts based on different ratios. It's not question of absolute values where the debts are. Based on the growth we definitely leverage our balance sheet, but our leverage ratios are very strong, be it DSCR, ICR and debt equity. So, if there are growth opportunities, yes, the balance sheet can take more leverage, but that's how we monitor our debt.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Pratik Tholiya for closing comments. Over to you, Mr. Tholiya.

Pratik Tholiya: Thanks, Michele. On behalf of Systematix Institutional Equities, I would like to thank all the participants. I would like to also take this opportunity to thank Mr. Amit Jain, our outgoing CFO for his support over the last many years to all of us as well as investors. And I would like to also

welcome our incoming CFO , Mr. Deepak Goyal . So, once again thanks to management for giving us the opportunity to host this conference call . Mr. Kripalu, would like to make any closing comments ?

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Anand Kripalu: No, I just want to thank everyone who attended this call for the interest that you've shown. That's it. Thank you.

Moderator: Ladies and gentlemen, on behalf of Systematic Institutional Equities, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

November 16, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited.
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Dear Sir/ Madam,

In furtherance of our intimation (s) dated November 1, 2023 and November 8, 2023, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on November 8, 2023, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and six months ended September 30, 2023 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at www.eplglobal.com/investors/shareholder-information.

This is for your information and records.

Thanking you.

Yours faithfully,

For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

Encl.: As above

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Q2 FY20 24 Earnings Conference Call "

November 08 , 2023

A
NALYST MR. PRATIK THOLIYA – SYSTEMATIX INSTITUTIONAL
EQUITIES

M
ANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR &
GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED
MR. M.R. RAMASAMY – CHIEF OPERATING OFFICER -
EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER - EPL
LIMITED
MR. SHRIHARI RAO - PRESIDENT AMESA REGION - EPL
LIMITED
MR. ONKAR GHANGURDE - HEAD - LEGAL , COMPANY
SECRETARY & COMPLIANCE OFFICER - EPL LIMITED

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Moderator : Ladies and gentlemen good day and welcome to EPL Limited's Q2 FY2024 earnings conference call hosted by Systematix Institutional Equities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call please

signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Tholiya from Systematix. Thank you and over to you Sir!

Pratik Tholiya: Thank you very much. Good evening everyone. On behalf of Systematix Institutional Equities I would like to welcome all the participants who logged into this conference call of EPL to discuss Q2 FY2024 Results. From the management we have with us Mr. Anand Kripalu - MD & Global CEO, Mr. M.R. Ramasamy - COO, Mr. Deepak Goyal - CFO, Mr. Shrihari Rao - President AMESA region; and Mr. Onkar Ghangurde - Head - Legal, Company Secretary & Compliance Officer. At the outset I would like to thank the management for giving us this opportunity to host the call. I would like to now welcome Mr. Anand Kripalu to start the proceedings by giving his opening remarks. Thank you and over to you Sir!

Anand Kripalu: Hello everyone and very good evening and welcome to the Q2 FY 2024 Earnings Call.

The operating environment continued to move in the right direction with relatively benign commodity cost. During the quarter significantly EPL crossed Rs. 1000 Crore revenue for the first time and also delivered the highest ever quarterly absolute EBITDA of Rs. 181 Crores. Specifically in Q2, EPL posted a revenue growth of 5.6% impacted by softening commodities, which necessitated some pricing pass-through. Excluding Brazil, the underlying business growth was 4% broad-based across all regions. AMESA grew at 5.5% impacted by the devaluation of the Egyptian pound. India's standalone however grew by 6.9%. EAP continued its strong performance with double digit growth of 13.2%. Europe grew by 5.5%, and Americas by 6%. Inter-region elimination led to the overall growth being 4%. Our continued focus on personal care and beyond has seen success with the category now contributing 48% to our total sales in H1. Importantly our journey on EBITDA margin recovery continued very strongly. We delivered a solid EBITDA margin of 19%, which was an improvement of 267 basis points year-on-year and 103 basis points sequentially versus the previous quarter with an absolute EBITDA growth of 21% year-on-year, this is a result of, of course some softening costs coupled with active price management, mix improvement and significant P & L productivity. This is the fifth straight quarter of EBITDA margin increase reposing confidence in the ability of this business to sustainably deliver industry-leading margin. Net profit for the company grew by 50.4% and ROCE also improved to 16.5%,
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including Brazil EBITDA margins stood at 18.1% and absolute EBITDA and PAT growth was 18.3% and 9.5% respectively. Specifically, on Brazil our plant is scaling up really well, as you know it is a state-of-the-art manufacturing facility integrated with SAP HANA. In the first full quarter of operations itself Brazil reached over 80% of the lead customers committed volume. It is poised to fulfill the lead customers demand in the next few months and can open up to take other customers' orders. In fact, we have already produced a few sample batches for validation and are confident of expanding the customer base in the near future. Moving onto sustainability, innovations and so on, we continue to make progress towards our ambition to be the most sustainable packaging company in the world. External r

ecognitions

and awards further validate that we continue to move in the right direction. As you are aware we were awarded Gold by EcoVadis which puts us in the top 5% of all manufacturing companies worldwide. I shared earlier we have launched a company wide effort towards EcoVadis Platinum which will put us in the top 1% of all companies worldwide on sustainability. It is important to note that our key global customers like Colgate, Unilever, P&G and so on have announced bold target to move to recyclable packaging in the very near future. Our strong portfolio of recyclable tubes, backend capability through substantial investment over the past few years coupled with sustainable processes puts us in a very advantageous position to capitalize on this opportunity, all this while contributing towards making the world a better place.

Looking ahead what do we see, and there are two legs to our agenda for looking ahead the first is driving revenue growth and the second is margin expansion. Clearly one of our key priorities is to accelerate our revenue growth towards our stated ambition of double-digit

growth. To achieve this, we are taking two key initiatives building on everything else that we are doing already on the business. The first is an even more aggressive play in personal care and beyond of which beauty and cosmetics is the largest segment. Now this is a very large category of 25 billion tubes where EPL has about a 10% share. Now as you know we have been growing at a fast pace in this category and it contributes 48% of our revenue already. However, the opportunity and headroom for accelerated growth remains very large and this is a big, big focus for us. To capture this opportunity, we have strengthened our portfolio through multiple innovations such as near seam elimination called NEO Seam, high-end printing and decoration capabilities. This has improved our right to succeed significantly. Further we have invested in the

backend to deliver requirements of smaller customers in the personal care category like short and smaller batch sizes with frequent changeovers and so on.
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Finally, we are strengthening our front-end team through additional headcount and re-skilling so as to aggressively hunt down additional volume. So this is all what we are doing to accelerate our growth within personal care and beyond. The second leg of our growth agenda is to fully capitalize on the Brazil opportunity and as I mentioned before we feel very excited about this, we have only just started and believe there is significant opportunity to expand and grow. The second leg of looking ahead apart from revenue growth is margin expansion. We have consistently improved our margins over the last few quarters. In this process we have developed some important muscles like active price management and strong middle of the P&L productivity. We continue to have a very strong pipeline of initiatives that will help us continue the journey on margin improvement and take us to 20% plus margin. To summarize our priorities going ahead are to continue the growth momentum in India and China and deal with some demand softening in Western geographies, accelerate beauty and cosmetics through innovation and back end capability, ramp up Brazil volumes and expand the customer base there, leverage our sustainable portfolio to drive customer conversion and wallet share gain as our customers themselves strive to achieve the commitments that they have made and finally continued focus on margin improvement through mix and cost efficiency, efficient capital allocation and manufacturing, local location optimization. So in continuation of past quarter we remain focused on driving growth with margin expansion and remain confident about our ability to deliver double digit growth with margin improvement. With that, I will open up the

line for question.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nilesh Dahiya from Julius Baer Bank. Please go ahead.

Nilesh Dahiya : Hi. Thanks a lot for your fairly comprehensive opening remarks. I saw in your presentation there is a section where you are talking about recycled tubes and this is about 10% and you wanted to go to 20% and there is a glide path going forward. Can you talk a bit about two aspects, first - what is your role in the supply chain to enable this recycling to happen and second - is there advantage that you have from a margin point of view as you substitute your sort of normal tubes to recycle tubes?

Anand Kripalu: The thing is this that we have technology that allows us to apply recyclable tubes to our customers. Last year 10% of the tubes that we applied were recyclable and this year we expect it to be over 20% and we expect it to accelerate very dramatically over the next couple of years, as the customer commitments also need to get achieved and therefore, they are putting

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pressure on us. Now there are two aspects to this, we believe that we have amongst the best recyclable tube in terms of just the thickness, the use of the plastic and barrier properties, but importantly also have the best back end capability and capacity to be able to supply these recyclable tubes around the world. Now as far as the second part of your question is concerned about margins, this is a question I have addressed in the past.

In the area of sustainability, charging a higher margin versus chasing market share is a strategic choice. You can choose, try and make a higher margin and put background dispersion and make it more difficult for companies to convert or what you could say is I will supply to at pretty much the same price, give or take a bit, cover your margins fully make the same amount of money maybe a bit more, be sure that you will be able to supply them, so that the conversion happens. And while this helps customers, you do this in the quest to get a higher share of wallet. It is the right thing to do for a company where sustainability is an important driver of our business.

Nilesh Dahiya : That makes a lot of sense. I think the only sort of insight that I was looking for is that, is there an IP or an edge in terms of recyclable tube versus normal tubes and does that allow you to sort of build a deeper relationship with your customers?

Anand Kripalu: So the thing is this that everybody will ultimately have to have recyclable tubes, otherwise they will go out of business. Question about this game is, are you one step ahead always compared to other people -so are you able to provide solutions ahead of others, are you able to do it with less use of plastic, are you able to create better or deliver better barrier properties, are you able to deliver better decorations and look and feel like, see-through tubes or metallic finish tubes that are fully recyclable. So this game is about staying one step ahead. Now we believe that we are currently at least one if not several steps ahead of other players when you look at this in totality, but the work on R&D and staying one step ahead is something that

you have to keep doing. Now couple this with the fact that you require capex and enhancement in the backend to deliver these, exactly the same machines cannot deliver the tubes at the same capacity. So you need to do unlocks and that is something we have been doing for the last two to three years to make sure that we are recyclable ready in terms of our capacity and today 85% of our capacity is recyclable ready. So if you look at this in totality that gives you a source of competitive advantage, at least that is what we see.

Nilesh Dahiya : Thought right and I will get back in the queue. Thank you

u.

Moderator : Thank you. Next question is from land of Sameer Gupta from India Infoline. Please go ahead.

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Sameer Gupta : Hi Sir. Good evening and thanks for taking my questions. One thing I noticed during the quarter is that interest cost has seen a spike around Rs. 31 Crores this quarter and I see there is no material change in the net-debt or lease liabilities in the balance sheet, so any particular reason why there is an interest cost plus price and how should we model this going forward?

Anand Kripalu: Yes, I am just passing this on to Deepak, our CFO.

Deepak Goyal : So the interest cost increased the combination of the hard interest rate scenario, which continues across the world, but more specifically in the western side of the world, both US and Europe. We have taken a debt for our Brazil capex, which is a Greenfield capex and we kind of funded through external borrowings. The interest rate in Brazil and for that matter in South America kind of is high and that reflects in the interest cost.

Sameer Gupta : Got it and this is going to continue for the foreseeable future I believe?

Deepak Goyal : I think that probably for next two to three quarters probably the interest rates will continue to stay hard as kind of everyone is predicting. But hopefully after that we should start seeing some softening in the interest costs, which will then flow into our P&L.

Sameer Gupta : Second question on Europe and Americas. I see the growth here continue to be sub-par.

Americas if you adjust for the additional sales of Brazil, it is still a mid-single digit kind of a growth, Europe also around 5% -5.5% so what is basically going on here and what is the outlook in this part of the business?

Anand Kripalu: I think I will address Americas and Europe separately. I think as far as Americas is concerned and we are talking about excluding Brazil for now. Having said that Brazil is organic growth for this business, so ultimately we must look at it including Brazil, but since I have read out America's growth at 6% excluding Brazil let me comment on that. I think you should expect to see some acceleration of the America's growth as we look ahead, but you will also see that there has been a significant P&L improvement in terms of EBITDA margin in the America.

So I think we are focused on making sure that we fix the P & L for the Americas and you can see now we are at mid-teens margins and we are hoping for that to even go up further and a lot of the other initiatives that I talked to you about particularly on B&C where we actually have the smaller shares in the US for instance, that acceleration is going to help us to accelerate revenues in the future, but the good news is that we would have kind of fixed the P&L so the accelerated revenue will actually yield dividends back to the business. I think as far as Europe is concerned I think the growth is modest if at all, but 5%-6% growth is not a

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disaster in Europe if you think of what is happening in the continent. Our bigger challenge in Europe is to fix the P&L like we have done for the Americas and I just want to say that we are seized of this issue. This issue has been going on for many quarters now and the EBITDA margin is something that we need to fix. We have currently structured our cost base in Europe for higher levels of growth and I think what we are very clear about today is that either we quickly accelerate growth in Europe or else we start cooling the cost base, and we are seized of this and we are committed to delivering mid-teens margins in Europe. Having said all of this I just want you and others on this call to recognize that Europe accounts for about 5% of our total EBIT so that is the materiality of Europe. So while we are seized for fixing it, it is

not something that is significantly moving the needle adversely for EPL as a whole.

Sameer Gupta : Got it Sir. Just a followup on Americas we had an expectation of margin improvement because there were some one-off insurance related costs, so how much of this margin improvement that you are seeing 15.7% is because of that?

Anand Kripalu: The higher insurance cost is actually a structural issue in US because the insurance loss has become fairly stringent and because of that our insurance cost has gone up. We are working on couple of projects which involve capital investments as well as efforts to bring it down

structurally. Those projects will fructify by Q4 of FY 2024, so even in 15.7% margin we continue to incur the higher investment cost, post Q4 of FY 2024 we will start seeing the benefit of lower insurance coming.

Deepak Goyal : So directionally , I think you should take away that we are absolutely committed to delivering mid to high teens margins for the America , and this is a step in that direction. I think that is what we need to probably take away from this.

Sameer Gupta : Great Sir. That is all from me. I will come back in the queue if I have any followups. Thanks.

Moderator : Thank you. Next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Good evening Sir. Thanks for taking the question. First again on the recyclable tubes you did allude to tell us that the tube pricing s are not really very different for our traditional laminated tubes versus the recyclable tubes . Can you give the entire economics , are we even same at the EBITDA level or are we incurring higher cost, and can increase in the renewable tubes we are looking at going to 60% would be dilute or would it be a margin accretive of a larger mix which you have this on a scale?

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Anand Kripalu: No, it will absolutely not dilute. I think the question earlier was about taking a premium for these tubes and make a higher margin in the worst -case scenario. We will make as much money as we are making today. We will not dilute the margin per million tube or the percentage margin that we make, so I think we are very, very clear about that. The question is whether we will make more margin or not and we have said strategically we do not want to be opportunistic as far as this is concerned, we want to invest with our customers for the long-term growth of sustainable tubes as a larger industry and that is the decision that is why we are playing it the way we are playing.

Sanjesh Jain: Got it. Just one related question. I think Colgate is largely backward integrated if I understand it right for their own tubes barring India and does it give us an opportunity to currently deeper into Colgate as a global account?

Anand Kripalu: Well , we would love to and it is something that we are absolutely seized off, now it represents a big structural model change for Colgate and whether they will open up their doors to outsourcing the tubes or not is the larger question, but we are looking at it step -by-step when we start supplying laminate, printed laminate, can we do whatever we can to make inroads, but I think that is an absolute opportunity, and we are exploring everything that we can as far as that is concerned.

Sanjesh Jain: But any initial talks, anything you can share , do they have that much of a technology bandwidth because this is not something which is the core for them . Any initial thoughts we had discussion because they are our customer as well ?

Anand Kripalu: Of course they are and all I can tell you is we are very seized of this opportunity . They are the biggest oral care player in the world, we are very seized with this opportunity, we will do everything we can, we will leave no stone unturned but beyond that to share here what conversations we are having with the customer and

so on I think is not appropriate honestly ,

but just recognize that we are seized of this and we will do everything we can.

Sanjesh Jain: Fair enough. Just again extending the same recyclable tube. We are looking to grow big in beauty and cosmetic and extruded tubes are very popular in that segment and they are naturally recyclable single plastic, they qualify for most of those qualifications. Given this scenario , do you think the conversion from an extruded tube to the laminated tubes in beauty and cosmetic can actually be slower in a scenario of growing recyclable tubes ?

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Anand Kripalu: We actually think that we absolutely can convert and I think , what is the right to win our laminated tubes - First of all the barrier to conversion to laminated tube historically was the cosmetic appeal of the tube because of the size scene and I called out my opening comments that now with near zero seam, which we are calling NEOSeam technology, we are able to almost eliminate the negative cosmetic appeal of the seal so that is the first thing. The second thing is that as far as extruded tubes are concerned; it is very hard to have extruded tubes with plastic less than 350 to 400 microns. In laminated tubes you can go to 200 microns. So while one of the things is recyclability is cosmetic appeal, the other thing that is really important is the total plastic consumed and because the total plastic consumed in a laminated tube could be significantly less than in an extruded tube , there is also a significant price advantage that you can offer to laminated tubes. So net -net, less plastic , actually better barrier properties because of the layers that you can have in a laminated tube, better barrier properties depending

on the product in size, as good cosmetic appeal because of elimination of high seam as well as all the bells and whistles of printing and other design embellishments, and a cost advantage. So there are significant benefits of a laminated tube. The only barrier for conversion was the seam for which now we have an alternative technology that can eliminate that or near eliminate that. So that is the story.

Sanjesh Jain: One related question to Brazil. This quarter we have done a revenue of close to Rs. 16 Crores (Rs. 159 million), EBITDA loss of Rs. 58 million and a PAT loss of Rs. 220 Million, even if I take 100% reaching to this customer, we will be at Rs. 190 million of revenues that means even at 100% conversion to this customer we will not completely recover at the EBITDA level let alone attack. At what level do you think you will break even at EBITDA and PAT level and will FY2025 entire year be a journey of incurring losses or you think next year you can turn at least at the EBITDA level profitable for Brazil?

Anand Kripalu: First of all the journey of incurring losses is start-up related and not steady state business related. So in the start-up phase, which includes the data that you read out, which is absolutely correct, is to do with all the high start-up costs, setup cost and higher cost inventory and so on and so forth that we are carrying. Actually as we look ahead not in FY2025 but even in FY2024, towards the end of FY2024, we will absolutely not just break even we will be making positive EBITDA and positive EBITDA margin. So FY2025 will be full steady state and we believe will be EBITDA margin accretive to the total business.

Sanjesh Jain: We will do more than 20% EBITDA margin in Brazil in FY2025 in that case.

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Anand Kripalu: This question is related to EPL global. Now you can assume whatever number that is, but that is what I am saying. So I would request you not to extrapolate the current quarter's numbers the way they look and think that that is how Brazil will play out. So that is the message on Brazil and Brazil.

ry quickly I would say in the next month and certainly quarter will start delivering positive EBITDA.

Sanjesh Jain: This is my last question, I know I have extended it, but this one will be the last one, and the Brazil how many customers are we talking today beyond the anchor customer?

Anand Kripalu: Well, we have a list of I would say 10 interesting prospects, a couple of whom we have already given samples to which they have put into storage in testing because the process that you follow in this business and we have like I said apart from these couple of seven or eight

more we have shown interest and some include big multinational players who have shown a lot of interest in actually substantive volume. Now if some of those orders come through, we might need to actually expand our facility and add another line and the good news is the civil work and utilities and so on has been done, so it is quite easy for us to put another line to

service any big customer orders that come our way. So I would say 8 to 10 is the list of prospects we have, I would say couple of those are hot, the others are warm, and there may be many more cold prospects as well, but as I had mentioned earlier we are currently focused on delivering our commitments to the anchor customer fully and then expanding our customer base. But on the side we have started talking to other customers as well, but currently we are only supplying to our anchor customer because that is our commitment today.

Sanjesh Jain: That is fairly comprehensive answer. Thanks Anand for answering all the questions and best of luck for the coming quarters.

Moderator: Thank you. Next question is from line of Douglas from Invesco. Please go ahead.

Douglas Turnbull: Thanks very much. You mentioned in the slide deck that the underlying business performance was partially offset by soft commodity impact in pricing, could you just unpack this statement a bit, how much is this headwind to the topline and to what degree is it kind of flip side of the improving margins?

Anand Kripalu: So we are not presently breaking up volume and price mix and so on and so forth in terms of granular details and we have mentioned in the past reasons why we do not think that would be a good reflection or measure of our strategy. All I can say is that price mix has been negative and that has therefore affected our revenue numbers in the quarter. Now what I can

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also say is that that is likely to continue for another quarter or so because last year we were lapping higher input costs and therefore some higher pricing levels related to those input costs. So this thing has to unwind a bit further because commodities remain benign or I would say relatively flattish. So they are not going down any further incidents, they have remained flattish now for the last several months, but the pricing has to unwind back, and we are obviously playing this as best as we can contractual customers it plays out almost directly

based on the contract and non-contractual customers we are trying to see how best we can retain as much of that as possible, but that will play out over the next quarter or so till the commodities and pricing catches up with each other. Having said all of this I think it is important to say that we are confident of continuing to deliver solid absolute EBITDA growth in this business.

Douglas Turnbull : Thank you. I just wonder how much of the margin expansion we have seen was a function of price catching up to soft commodity prices which have obviously been high we have been passing that through and regaining margin as those soft commodities are now a bit lower to flat and we unwind that, is there margin expansion still to come from this, is it the case that if the topline still remains with this as a headwind that we are still going to get some margin expansion benefit?

Anand Kripalu: You will

I get margin expansion benefit and you are right, part of the percentage margin expansion is translation, part of it is real, but if you look at just the absolute EBITDA growth, that is the real reflection of the profit pool and the profit of the company that we are generating, and that is growing solidly and there is no optical benefit as far as absolute EBITDA is concerned. So the margin is what it is, but the absolute EBITDA and I just said that it will continue to grow solidly, now we can decode what solidly means, but it will continue to be solid in terms of absolute EBITDA growth.

Douglas Turnbull : Thank you very much.

Moderator : Thank you. Next question is from the line of Viraj from SIMPL. Please go ahead.

Viraj Kacharia: Hi, thanks for the opportunity and congratulations on good numbers in such a challenging environment. Most of my queries have been answered, just two specific queries. I think you shared a presentation towards the end of the last quarter and it was quite a very detailed elaborate strategic presentation, so thank you for that. Just had one query on that if you look at our own expectation over the next 3- 4 years in terms of margins we are expecting

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eventually the business to move towards say 21% -22% EBITDA margins, so just kind of want to get the thought process into what gives you the confidence to achieve those kind of a margin structure especially if I look at last 10 -15 years we have never had that kind of a margin base, so if you can just build more drivers of those margins and what are the factors internally which we have in our control and maybe irrespective of the growth strategy which we are expecting which you can help us achieve that kind of a margin so some more deeper color on that?

Anand Kripalu: No, absolutely. So first of all, the 21 and 22 numbers are yours, they are not mine by the way.

Viraj Kacharia: This is on the implicit derivation on the EBITDA and the sales, which we are expecting the high and the low end so just on the derivation on that.

Anand Kripalu: I have said 20% plus and they will get to 20% plus. Now what is going to give us confidence that we can continue to improve margins. There are four, five things there. First is this aggressive accelerated growth that we are going after in B&C beauty and cosmetics, which

is mix accretive and margin accretive so that is the first thing. As we accelerate B&C even faster than the historical growth rates which were called it by the way, then we are going to get an improvement in margin. Apart from this we believe that the muscles we built on strategic price management is a muscle that is going to help us and as we look ahead and there are many things that we are doing incidentally for opportunities for margin improvement through cost takeout. We have opportunities for continued insourcing to bring in-house some of the things that we outsource like the amount of caps that we buy from outside, and there is an opportunity to bring those in and steal those margins and keep it in-house. Some manufacturing realignment and as we speak there are some shifts we are doing between plants to move capacity and volume from higher cost locations to lower cost locations. They are exploring possibilities of cross sourcing between plants and even between regions as opportunities and collective automation particularly in high-cost regions. So there are many things that we are going to continue to do while keeping our belts absolutely tight on our operating expenses and we believe there is still juice as far as some of these things are concerned. So when you look at these, which will include some structural cost takeout and some continuous improvement projects, we feel there is enough in the part to continue to drive the margin agenda. If I am honest with all of you on the call today, I think in the last two years we,

as a management team, were upset with margin and cost because of the crazy input cost environment that we were all part of and therefore if you like we had taken a bit of our eye off growth and put a lot, probably both eyes behind cost and margin and many of you

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will recall that every call was about margin and when will we get our margins back. All I am telling you now is that we are doubling up management focus and intensity behind accelerating growth and that I think is what will create a very robust P&L while still keeping one foot on the break of costs through all the initiatives that I spoke about, but I just want to be sure that people recognize that we are significantly stepping up efforts behind growth. Cost is actually more deterministic; it is more with an internal control on margin and cost management. Growth is a bit more probabilistic because it is more external pacing, and that requires a lot more focus from management, but that is how we are approaching the business as we look ahead and this is not something that will play out in one quarter, two quarters, but to your question over the next couple of years.

Viraj Kacharia: Just a followup on this, so the elements like product mix is more external driven, but if I have to look at these three-four factors which you talked about what will be the major driver of the margin improvement, and second question is so elements like insourcing or moving from high cost to low cost definition where would we be in that whole journey is it still early days

or a good amount of work is already done, any more perspective if you can share on these?

Anand Kripalu: We are not at the start of the journey, but there is still a lot of me at available in that journey, whether it is in -sourcing or cross-sourcing and so on and so forth. We also have opportunities for some structural cost takeouts, which we are looking at, honestly with a fine-tooth comb. Now none of these are things that we have never done before, but cost takeout is something that every time you look at the same problem through different lens you find opportunity, and we have opportunities on the table today that we know we can exploit. Apart from which the muscles we have let us say on productivity improvement, just regular day-to-day efficiency improvements are actually quite substandard and have been delivering every year. Otherwise our margin erosion may have been even higher. So these are all things that we are doing, some of them have different lead times because they may involve some capex, some transferring of equipment from one place to the other and so on and so forth, but we are absolutely seized of these and when I have given a guidance of saying we are absolutely focused on taking our margin to 20% plus and this is not a guidance for a quarter. We run the business on a year-to-year basis, but we have confidence that we will get to this sooner rather than later.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

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Sumant Kumar: Can you talk about America's margin normalized and in couple of years what are the steps we have taken and can we assume in next couple of years America's margin can be the level of what it was two to three years ago?

Anand Kripalu: We are committed to getting America's margins to mid to high teen in that range. So it is very close to where we used to be certainly earlier. Now what has happened is that as far as America's is concerned a lot of the margin erosion was because of the time it took us to get pricing particularly some of our contracted customers in a highly inflationary environment and the second thing is that just the cost impact particularly in the US of COVID, of wages, of healthcare, of absenteeism, of overtime was just unpre-

cedented, so a lot of these were kind of input cost driven, which actually today have basically started unwinding, and we also had other challenges internally have come up with some inventory, some manufacturing challenges and so on and many of these are now behind. So as these have started unwinding you have started seeing an improvement in the margins which are reflected in our Q2 numbers and we remain confident, you can always have a little bit plus and minus here or there in the dynamic environment, but we are confident that the trajectory for improvement is well on its way.

Sumant Kumar: So Brazil is also a key reason for lower margin of Americas so with the stabilization of Brazil and Brazil, we are assuming a better margin business segment, so can we assume that America's margin will have a better than what it was two to three years ago?

Anand Kripalu: So the America's margin that you are seeing in the investor deck is excluding Brazil. The 15.7 EBITDA margin that is there in the investor deck is excluding Brazil. Our plan is that Brazil in steady state will be margin accretive to America's and have actually said that will be margin accretive to EPL globally as well so that is how you should read it as well.

Sumant Kumar: Thank you.

Moderator: Thank you. Next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Hello. Good evening. Just two questions. First one is a continuation. Sir you mentioned that

one of the key levers for the margins and overall for the company the focus area is shifted from margins and cost to growth and growth in the beauty and cosmetic segment. Now if I look at this journey EPL has been going through this over the last many years, so consistently we have been improving the mix between oral and beauty and cosmetics what has changed at the marketplace level where you believe that probably it is a good time to accelerate on

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this segment or what differently you are doing as to what we have been doing all these years that is one. And secondly if you look at EPL's history in last 15 years we have seen all kinds of external challenges including at promoter level and all which have impacted the business, but the business has remained steady, now as a CEO if I have to ask you about what would be the key risk which you see in this business and I would not go into the risk on the oil volatility and all because that has been happening over the last 15 years and company has recovered margins and again moved on to business as usual, but other than this what could be the biggest challenges or risks which you foresee?

Anand Kripalu: As far as B&C acceleration is concerned, you are absolutely right. This business was an oral care company a decade ago and it has come a long way since then where half the business today is in personal care and beyond, so non-oral care sale. Now we believe that oral care will continue to grow at the rate at which it is growing with some step changes in growth coming through Brazil and so on and so forth and some opportunities for share gain and wallet share gain. However, if you want to accelerate the total business to solid double-digit growth then it has to come through a further acceleration of beauty and cosmetics beyond what we have grown in the last decade. Now what has changed I think is first and foremost our ability to compete with extruded tubes, which is the mainstay of beauty and cosmetics in the marketplace today, and that is through the creation of the NEOSeam technology, which I said earlier has eliminated the seam. Opportunities of innovation through printing and design and applicators and nozzles and so on, I think we have either we are equal to or better than what can be offered by extruded tube as far as all these things are concerned with the added advantage of cost and less plastic usage. So I think

sometimes what happens in life is suddenly you feel the stars are aligned, the ducks are in a row and the penny dropped, and I think the

cracking NEOSeam capability has brought the whole thing together and we said now we can take a real onslaught onto extruded tubes and we have clear right to win versus extruded tubes may not be in brands where the cost of the tube is not important to them or where the amount of plastic they use is not important to them, but for a massive market segment where the cost is important and the amount of plastic they are using is important. So I think this is a big thing that has changed and our ability to service them. The second thing is this, by and large if you want to increase your customer base in beauty and cosmetics, you have to have faster turnarounds, you have to do smaller batch sizes, in short you need backend flexibility and agility, which is of a different order from what you need in oral care. We have now either built or well on the way to building that kind of backend and finally as the management team we are saying we are going to significantly step up our hiring organization which is both the number of people and the skill level to get a new business. So when you put all this

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together we feel we have an opportunity to accelerate the B&C growth. It is an ambition, we have a plan beneath it, we have already segmented the market to identify which customers we must go after and we have started that journey. So that is exactly how we are doing it and that is what is different. As far as you are saying as the CEO what are the risks. So I will tell you the last two years what I have seen is just the ability in a B2B business to get pricing in a highly inflationary cost environment. So what keeps me awake is if you are in a benign cost environment then it is kind of smooth water, the ship sailing, kind of shining. It is relatively more predictable to do business. So one of the risks of this business and may not be to do oil but it could be do of anything else that happened last time, where suddenly the input costs go out of whack and it takes you time to catch up on pricing. The only confidence I have is that this time we catch up much faster than we did last time. Second is our ability to grow at aggressively in the Western geography so I would say as I said in my summary continue the growth momentum in India and China and deal with some demand softening in the Western geography. Now given that we are a global business, we have the benefits of a global business and sometimes also a victim of some of the regions where there could be local issues that could impact the total business. So the other thing is really how are we going to make sure we deliver robust P&L in the Western world and what we are doing which is within

management control is to make sure we get the cost based right and therefore we deliver the right margins that we have fired for in the western world without the margins being a drag as they have been actually in the last couple of years there have been a drag on our total business. MSI and EAP have been delivering by and large stable margin, but we have taken a hit on margin in the Western world. How do we make that more predictable by getting a better grip on the cost base and how we will deal with that. While figuring out how to grow faster and the ambition of growth is not a certainty. You have an ambition, you have a plan, you go after customers, but it is probably to translate into numbers and all I can tell you is that normally when management puts mind and might behind something you have a higher probability of succeeding and that is what we are aiming to do. So I would say that really the answer for your question.

Nikhil : Sure, thanks a lot.

Anand Kripalu: We will take one more question before we close. We are out of time, but we started 2 minutes

late so we can take one more question if there is one in the queue.

Moderator : Thank you. We will take the next followup question from the line of Nilesh Dahiya from Julius Baer Bank. Please go ahead.

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Nilesh Dahiya : Thanks for the followup. I just wanted to ask you one thing I see you are talking there is several responses you have spoken about how there is an opportunity to migrate from extruded tubes to your tube I just want to understand how does that and have you had any success already of this kind and if so can you talk a bit about the account management practices, EPL historically has had a set of very loyal captive customers and has not really been a hunting focused organization, how would you really start this journey so I would pause there and wait for your response ? Thank you.

Anand Kripalu: Yes, first of all we have absolutely had successive conversion already to NEOSeam and we have made some professional supplies already. So the journey has started it is not absolute kind of message that I am giving you. Now I think you are partly right we have had expertise at the account management, but it is not true that we have had no helping capability otherwise our B&P business would not have grown several times faster than our oral business over the last few years because by definition B&P is a bit more fragmented. I think what we are doing now is they are bolstering it in a very strategic thoughtful way and putting resources behind that. So apart from key account management and managing large customers we are putting a whole program and organization and capability behind hunting down and managing smaller customers with the right backend capability to service them. So I would say it is not as if here again the journey is starting from scratch, but this is an opportunity to accelerate what we have done and that is what we really do.

Nilesh Dahiya : Thank you.

Moderator : Thank you very much. I now hand the conference over to the management for closing comments.

Anand Kripalu: I would like to thank everyone who dialed into this call and who is engaged with the company and asking absolutely sharp questions and what we are doing. I also want to thank you for having supported the company through the challenging period that we have been through and all I can say is that I think we can clearly see light at the end of the tunnel, about accelerating our performance and building on the kinds of numbers that you have seen in this quarter. So thank you very much everybody for your interest in the company.

Moderator : Thank you very much. On behalf of Systematic Institutional Equities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

February 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Dear Sir/ Madam,
In furtherance of our intimation (s) dated January 30, 2024 and February 7, 2024, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on February 7, 2024, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2023 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at www.eplglobal.com/investors/shareholder-information.

This is for your information and records.

Thanking you.

Yours faithfully,

For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

Encl.: As above

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"EPL Limited Q3 FY24 Investor Conc all"

February 7, 2024

MANAGEMENT : MR. ANAND KRIPALU – MD AND GLOBAL CEO, EPL LIMITED

MR. M. R. RAMASAMY – COO, EPL LIMITED

MR. DEEPAK GOYAL – CFO, EPL LIMITED

MR. SRIHARI RAO – PRESIDENT, AMESA REGION, EPL LIMITED

MR. ONKAR GHANGURDE – HEAD LEGAL, CS & COMPLIANCE OFFICER, EPL LIMITED

MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX GROUP

EPL Limited

February 07, 2024

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Moderator: Ladies and gentlemen, good day and welcome to EPL Limited Q3 FY24 Investor Conference

Call hosted by Systematix Institutional Equities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should any need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix Institutional Equities.

Thank you and over to you, sir.

Pratik Tholiya : Thanks, Sagar . Good evening everyone.

On behalf of Systematix Institutional Equities, I would like to welcome all the participants who have logged into this conference call on EPL to discuss the 3rd Quarter and Nine Months ending FY24 Earnings Conference Call .

At the outset, I would like to thank the Management for giving us the opportunity to host this call. From the management team, we have Mr. Anand Kripalu – MD and Global CEO , Mr. M. R. Ramasamy – COO, Mr. Deepak Goyal – CFO , Mr. Srihari Rao, President - AMESA Region , Mr. Onkar Ghangurde, Head - Legal , CS & Compliance Officer.

I would like to welcome Mr. Anand Kripalu to start with his " Opening Remarks ". Thank you and over to you, sir.

Anand Kripalu : Thank you, Pratik. Hello everybody and thank you for joining the Q3 FY24 Earnings Call .

At the outset, I am pleased to share that our Brazil plant, which became operational last quarter, has successfully stabilized. Our focus is now directed towards harnessing further growth in this promising market. Hence, from this quarter, we are taking the step to present a consolidated view, including Brazil, in all our results. In any case, Greenfield expansion is very much part of our growth strategy.

In Q3, we reported a revenue growth of 3.2% versus the previous year. This was underpinned by strong underlying business performance in most regions impacted by negative pricing due to soft commodities as well as the adverse impact of the Egypt economic challenges. Hence, while the India standalone business grew by 4.2%, AMESA as a region witnessed a negative growth of minus 0.6%. EAP has continued its consistent strong performance of double-digit growth at 11.6%, Europe grew by 8.6% and Americas by 11.9%.

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Our focus on ' Personal Care and Beyond' continues with the category now contributing 48% to total sales in the year-to-date FY24. Along with personal care, we have seen significant gains in the pharma category as well, with India doing the highest ever revenue in pharma in December 2023.

In line with our recent communication, while our revenue growth was impacted by negative pricing pressure, our EBITDA growth and margins continues to progress strongly. In Q3 FY 24, we delivered a robust EBITDA margin of 18.8%, which is an increase of 74 basis points quarter-on-quarter. Our year-on-year margins improved by 224 basis points and absolute EBITDA grew by solid 17.1%.

Importantly, while our business is not a sequential business and quarter-on-quarter comparison is not the right way to measure performance, our consistent 6 quarters EBITDA margin improvement journey reflects our commitment to bring margin back to pre-COVID levels . Our margin improvement plan including active price management, mixed improvement and cost optimization gives us confidence that we are well on our way on our margin improvement journey. PAT during the quarter grew by 37.2% and ROCE stood at 14.5%.

Moving on to sustainability - innovations, recognitions and wins , are at a core of our strategy and daily operations is a commitment to sustainability. The global sense of responsibility towards our planet of growing and the growing a

ceptance of our product mirrors this shift. We

are on track to double our recyclable tube sales versus the prior year accounting for 20% of our total volume .

Additionally, as the days of customer 's commitments for conversion to sustainable solutions draw closer, we are confident of benefiting from that transition .

Our sustainability endeavors have not only resonated within our organization but have also received external recognition. We were recognized for the " Best Overall Sustainability Performance" at the World Sustainability Congress organized in Mauritius . We were awarded as the winner in the " Excellence in Procurement Sustainability " Category by ISM -India . We also achieved a Green Rating , which signals positive progress on Ellen MacArthur Foundation for the second successive quarter. We remain committed to innovation, garnering recognition at the recent IFCA Awards for our "Pioneering Tube" .

Looking ahead, we continue to remain optimistic about our revenue and margin potential , though soft commodity prices will continue to put pressure on revenue growth in the short term.

Let me walk you through the key initiatives for revenue as well as margin :

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First on revenue and I must add here that accelerating revenue is our top priority. We are aggressively targeting the vast potential in the Personal Care and Beyond segment, actively pursuing smaller customers and scaling up our hunting capabilities. We have made significant progress in building flexibility in our system for smaller back size orders that is critical for Personal Care and Beyond category. In East Asia Pacific specifically China, has already put in place this kind of flexibility and we are making rapid progress in both AMESA and Europe. Complementing this is the increasing range of innovative and high-quality products.

Importantly, we have commenced commercialization of NEOSeam which nearly eliminates the Side Seam in Lamitube across India, the US and Europe. Our robust portfolio of sustainable solutions continues to provide significant competitive advantage. The increasing emphasis on sustainability coupled with our key customer's commitment to swift adoption of recyclable packaging will continue to play in our favor. We are optimistic about our Brazil operations as it opens up significant avenues for growth.

So, overall, we are confident that these initiatives will accelerate future growth, which when coupled with mix and moderate pricing will help us to get to our longer-term ambition of double digit growth. And secondly on margin, we have delivered consistent margin improvement in the last few quarters. We are continuing our efforts behind active pricing, mix improvement and cost as well as structural interventions in Europe. We have a solid pipeline of these initiatives which will continue playing over the medium term to help us to get to our stated objective of delivering a 20% margin.

With that, we will now open this up for questions.

Moderator

: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sameer Gupta from India Inf online. Please go ahead.

Sameer Gupta: Sir, you mentioned that there is negative pricing sitting in the sales growth. And when I see the segmental performance, it's actually only AMESA where there is a lower growth. The rest all geographies have done double digit and there also you called out Egyptian currency impact. So, excluding which India has grown at 4%. So, suffice to say that the negative pricing is right now only affecting India and no other geographies, or this is more like a performance excluding pricing that you are seeing in India as well because last few quarters also, we are tracking around 4%-5% in AMESA region.

Anand Kripalu : Yes, so I specifically called out India standalone, because Egypt is an except

ional situation in

terms of economic challenge and devaluation and inflation. So, that you all could understand what is happening in India. The reality is there is some negative pricing in all regions. The scale changes based on how much of our business in each region is contracted because contractual

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flow-through happens automatically with a lag of 3 or 4 months, but negative pricing based on softening of commodities is affecting our overall results.

Sameer Gupta: Got it, sir. So, just a request. I mean if there is a way, you know, because these pricing pass-throughs will always be there in inflationary or deflationary times. Is there any metric that we can track to see the underlying performance of the business, maybe gross profit as an indicator, does it board well like it's grown up around 10%, is that a fair understanding of how the business is growing going forward? I'm just trying to get a metric to understand, not to pinpoint or anything?

Anand Kripalu : No, I understand. I think, you see, when you look at our overall P&L, despite a revenue growth of 3.2%, which I said has been negatively impacted by pricing, the absolute EBITDA growth we are delivering reflects how we've done. And I think what is worth just decoding is the fact that negative pricing is in no way impacting our margins at gross margins or EBITDA margin, that journey is intact. So, it is just what's happening on input cost that is getting translated into pricing and that's impacting the optics of our revenue numbers, but the profit of the company both as a percentage and in absolute is robust and is growing robustly back towards the journey from where we started. So, I think that is the ultimate way in which and listen you guys are far better in this game than I am, but for me the absolute profit pool of our company is growing, the company is growing. The rest are pluses and minuses, sometimes inflationary, sometimes deflationary, those things happen. But whatever environment you are in, the question is your profit growing or not and that is one way of looking at it.

Sameer Gupta: Got it sir. Just a follow up there. So, this negative pricing element, is it something like a carry forward of the previous quarters because I see most of the commodities which are there affecting

our basket, they are largely stable. So, what exactly is this negative pricing coming from and is it likely to come in the future quarters as well?

Anand Kripalu : See the negative pricing first of all plays out typically a quarter or so after the actual negative pricing of commodities happens. And just remember you are comparing the same quarter of the previous year. So, what is happening is that while there has been the stocking of commodities happens quarter-on-quarter, the pricing impact happens a quarter later but you're comparing with a denominator where the pricing was probably higher based on much higher commodities. So, the optics of that negative when you compare Y-o-Y is dark and that's what is affecting the number.

Moderator: Thank you. The next question is from the line of Jenish Karia from Antique Stock Broking. Please go ahead.

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Jenish Karia: My question is with regards to the Europe region. So, we see that the revenue growth rate has been healthy around high single digit kind of a number in Europe. However, the EBITDA margins on a sequential basis have been on a declining trend. So, if the polymer prices are declining, it indicates a strong volume growth, but despite that we are not able to ramp up our margin. So, any commentary on that?

Anand Kripalu : So, I agree with you, first of all, that in Europe, interventions are needed to either accelerate growth further or to prune the costs. I can tell you we are putting one foot on the accelerator growth in Europe and the other foot on

the break of cost in Europe in this quarter particularly.

But the benefits are not playing through yet. But in this quarter under review, we have started making some structural interventions in Europe to optimize and prune the costs and you will see the benefits of that beginning to flow through in Q4 and beyond. So, we are absolutely focused on looking at the cost base in Europe to improve the margins while continuing the journey to accelerate our growth performance.

Deepak Goyal : I would just add one quick point here. If you look at Europe performance versus prior year, the EBITDA has already started improving. So, last year 5.7, this year 9.2. Sequentially when you see, Western geographies typically have a softer Q3 because of Christmas because second half of December is usually shut down and hence it results into lower growth and that is why when we are looking at this business, we should not look at it sequentially, we should look at it versus previous year that's a better comparison.

Jenish Karia: Secondly sir, we have highlighted that we are going to focus on smaller quantities to be delivered in Europe region. Like I just want a broad understanding how much incremental profit do we make on delivering smaller quantities compared to bulk? Any sense on that broad indication also?

Anand Kripalu : So, let me put it this way. Our focus to go after smaller customers is because as we have said earlier, our wallet shares globally in Personal Care and Beyond are about just sub of 10%. So, there is a huge headroom for growth in this segment. So, what I was basically saying is, our effort of going after B&C is because there is a huge headroom for growth. And while we are already reasonably large with some of the big customers in the world, right? We have a big opportunity to go after the relatively smaller customers who are not global but are regional and who have requirements for smaller back sizes with higher paces of innovation which could be innovation success or innovation failure and we are therefore putting in place our hunting capabilities in terms of sales guys to go and bring that business and the backend capabilities to have that flexibility to be able to supply. Now in reality, the cost of manufacture of smaller lot sizes is higher than what we do in terms of the maths run that we have in categories like oral care; however, we make sure we charge more. So, the ASPs are typically higher. Our intent is to make sure that the margins are better, the costs are also higher, but overall, the objective is

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that Personal Care and Beyond should be margin accretive to our business both in terms of positive revenue mix as well as overall margin mix. So, that is our approach. Now, it is very hard for me to give you a number because it is a strategic priority, but you will see this playing through as this strategy gets into action in reality.

Jenish Karia: Understood, sir. How has been our experience with smaller customers? I guess we are doing that in India also and China also. So, how has been the experience with smaller customers in regards to repeat orders from them?

Anand Kripalu : So, you know some amount of small customers we do everywhere, right? But as a big thrust we are doubling up our efforts. China has had very significant success. And you know in China, we use a term called local king because in skin care, the Chinese brand is different from the Korean

brand is different from the Japanese brand and our China teams have done really well in terms of capturing those small back size volumes. Sometimes very high pricing per tube and being able to supply them with shorter lead time. So, we have had success though. Within EPL, we know how to do it. But there's a cost of the sales kind of resources, there is a cost of backend capacity and that is what we are doing. Even in India, inc

identally, we service a very large

number of small customers, but also there are lots of small customers who the other local player supply to. We believe with EPL remains in quality and far more agile serviceability, we can get a part of that volume and that is what we are targeting.

Jenish Karia: Just one last question. Ocean freight has gone up. How much of our margins would have been impacted if there is an estimation at your end because of the increased ocean freight?

M. R. Ramasamy : The price will be incurring in this quarter, but normally it's a pass through in most of the contractual businesses, it will get pass through. So, it impacts trade but it largely gets passed on.

So, the impact on EPL margin is likely to be immaterial. In terms of the lead times, the lead times due to Red Sea issues have gone up especially when we send laminates to our Europe and US businesses. For that, our inventory, we have started increasing our inventories or the safety stocks because of this higher GIT, which we will unwind as soon as the issue is over.

Jenish Karia: Okay, but there is no loss of sale during the quarter.

M. R. Ramasamy : No, we are ensuring that our customer service levels don't get impacted because of the high lead times and then we are increasing our safety stocks and GITs as required to manage that.

Anand Kripalu : Which we will unwind the moment the conflict resolves.

Moderator: Thank you. The next question is from the line of Vikram Kotak from Ace Lansdowne Investments. Please go ahead.

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Vikram Kotak: Actually, my one question is answered, but I have two questions. One is, Anand, you talk about the margin path with the cautiously optimistic statement. We moved to almost 18.5 now from 15 or bottom 6 quarters back. Of course, we've seen a glorious path in 2020 and 21 of 20% plus. Do you see this journey with the different drivers, whether it's Brazil or the recycled area or the optimization, you see this journey coming back soon. What's your view, maybe what's your take on this 20% kind of path? You think so this is possible?

Anand Kripalu : It is absolutely possible. I would be very categorical on that. And as a management team, we are very focused. We're actually very clear on a few things that we need to do to get to a 20 plus number. All I cannot tell you is if it is a one quarter or two quarter journey or bit more medium term, but I think you should absolutely count on the fact that management is, I would say, obsessed with hitting two in front of our margin numbers and we are going to leave no stone unturned to get there.

Vikram Kotak: My second question is on the recycle volume and I think you've done a brilliant job in moving from 10% to 19% recycle and you're targeting 60% which is a big task. Any risk to that? Any risk to that you see or you are on track to go to 60% because maybe two years from now you want to go to 60% of the volume in the recycle?

Anand Kripalu

: I don't think that the risk is only, when I've seen, when conversions like this happen, I think the only risk is that the conversion may happen faster than we are ready for. I think that is the only risk. This is the absolute journey that is moving in that direction, right. And actually our back end capabilities are we'd like to believe more ready than anyone else is and customer's own deadlines draw near, we believe we are more ready to get a higher share of their wallet than otherwise. And that has been our quest both on technology as well as readiness of capacity. So, that is what we are absolutely focused on. So, I think the only risk is that customers will suddenly come and say I want it tomorrow and it is happening in a few cases by the way because suddenly they get pressure from the top to say let us go faster and suddenly that pressure comes on suppliers as well.

Moderator : Thank you. The next question is

from the line of Pramod Dangi from Unifi Investment Management LLP. Please go ahead.

Pramod Dangi: There are two questions. One is, I think I missed the point. Where we are on Brazil today in terms of the capacity utilization? And I think you said that by 25 we should be looking at the higher numbers. So, like what kind of a road path we are looking by financial year 25 end?

M. R. Ramasamy : We are on track to deliver what we intend to deliver in the first year because it is a contractual business with a lead customer. We are almost there to deliver what we have, but we have created a little larger capacity in terms of serving other customers, which we are now getting a lot of

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interest to serve them. That will start happening sooner than we expect because of the interest shown by other customers. Utilization will go higher once everything start happening because it's a new country, we created a little larger capacity than our contractual capacity.

Pramod Dangi: And then secondly, as you said that we are looking to 2/3rd margins very soon and we continue to improve on that. But during this process of the last two years and we have seen a huge cycle in commodity prices. Have you made any changes to our contract with the customers, or have you made any structural change in the contract where this volatility will be kept going forward? And we will not see that 20% again going to 15%, 14% if the commodity prices again shoot up for whatever reason.

Deepak Goyal : Yes, thanks for asking this question and it's also something which we as management have discussed extensively amongst ourselves. See, I think the reason of delayed pricing or partial pricing that we got in subsequent margin erosion was not the contracts as much as the speed of negotiations with the customers. There are two kinds of customers that we have. One are contractual where the price flow through happens every quarter and then there are non-contractual customers where we go and negotiate the price. In the last cycle when unprecedented commodity inflation got combined with supply chain disruptions , very high freight rates, wage inflation, etc. , we as a business were not prepared to go and have those discussions with the customers and taking significant pricing. And this is happening when in the last 40 years, we have never taken more than 1% to 2% annual pricing, right? Now, in the last few quarters, what we have developed as a muscle is our ability to monitor the margins on a real -time basis and have discussions with the customers in case the need arises much faster than what we did last time. So, today we review our customer level gross margins regularly almost on a monthly basis right and then our readiness to go and have those discussions is much faster. So, in case this happens , we will not kind of go back to what happened in the past right. Our readiness is much better now.

Pramod Dangi: Now that's great to hear because that means our volatility and the lag period will be much lower than what it was in the previous cycle.

Deepak Goyal : So, see, there is a saying called never waste a good crisis. I think what we have used this crisis is to learn and develop a few very important muscles. One of them is active price management and second is the middle of the P&L productivity. And that is how I think we have come very close to, let's say, the peak margins . We are now close to 19% already, and then we'll keep improving. But these two learnings are there to stay with us for a long time.

Pramod Dangi: And then lastly, I will just go back to the first question which another participant asked. If you can give some light on the last 1 year , 2 years, 3 years, and the current quarter number also. On our revenue, if we can break into the volume and the price growth or the degrowth, I think that will help everybody understand where we are

because ultimately the raw material price is pass -

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through . So, what the real growth is what we are concerned actually ? Break that into volume and the price, which will be a great help for everybody.

Deepak Goyal : Yes, I understand. Also, another complexity that we need to keep in mind is the complexity of our business. We play in large number of geographies and in large number of categories. Now in the volume we kind of tend to equalize a volume that we are selling in Europe , a 50 dia large beauty and cosmetic tube in Europe versus a 16 dia small dental care tube in India. Now the price between the two could be like 20- 25x, right, and that once you start equalizing, the numbers don't remain comparable. And then we will get into the moment we start talking volume, then we are talking mix more than the real impact of pricing etc. And that is the reason in this business, revenue, despite its flaws, is still a better metric and we should continue monitoring gross contribution and EBITDA, how the underlying business is doing and that is why Anand in his response also said that our absolute EBITDA growth of 17% reflects that the underlying business performance is solid.

Moderator: Thank you. The next question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi sir, thank you for taking my question and congrats on a very strong performance on margin improvement despite a low operating leverage from a relatively lower sales growth performance.

So, firstly, just sticking on to margins, I did hear Mr. Kripalu highlighting improvement will continue on margins, but wanted to understand the headroom that is there for improvement and apart from understanding the headroom, will this gradual improvement continue? And are there any headwinds that one should keep in mind where this margin improvement probably gets stalled for some time or the other? So, that's my first question.

Anand Kripalu: Yes, so let me just say this. So, first of all, I think it's really important to understand that there is seasonality in this business. There is always a depressed margin for China business and hence EAP . If we look at Q4 margins, Q4 is a softer margin quarter. So, I think the first guidance is

that don't look at it linearly sequentially ; however, on a year -on-year basis , right, the attempt is to continue this margin improvement journey and step by step as I said earlier, so take it to 20%. Now, what is the headroom is very hard to answer, right? Do we hit the circuit breaker at 20, will we continue to improve margin thereafter? I think it's really hard to answer. But I tell you there's a strategic drive -in business. If you try and make too much margin, then at some time, you will outprice yourself and you will compromise growth. So, the management judgment really is about what margin will give us the right balance in terms of absolute EBITDA improvement and value creation. Therefore, what will give us the right combination of growth and margin and that's really the judgment. Now our focus for the last 6 quarters has been to try and get our margins back to where they used to be. I think honestly now we need to focus much more on growth and if we grow faster, the margins will continue to improve. But I don't want to fix a circuit breaker or define a headroom other than to say our first goal is to get t wo as soon as

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we can. And once we have 2 in front of our numbers, to apply management judgment on the right combina tion between growth and margin.

Mihir Shah: Got it sir. And any headwinds that we should keep in mind that can derail this margin improvement or relatively as of now there is no visi bility on any headw inds that can derail this path?

Anand Kripalu: I mean honestly after so much choppiness over the last couple of years , I think we are definitely

sailing in calm of water. Now we don't know what we don't know. Yes , this Red Sea thing as long as it doesn't become worse , I think it is manageable through h igher inventories but who knows where it's going . Egypt has been a damn spot even though the country itself is an attractive country, our business in local currency is doing well and is profitable. But there's a big issue with the exchange rate and the ability to get dollars out of the country and those kinds of conflicts. T hese are the things we know . I think Europe is now a known situation . It is not getting any worse and the situation in Europe is what it is and we are very clear that we need to do a few intervention s as manageme nt in Europe as well. So, honestly, all things considered, yes people talk about softness in C hina for instance now , how much is it as of now , we're looking okay i n China okay . Suddenly turns for the worse , we don't know, and we have an im portant business in C hina but I would say world is never perfect and right now, I think things are calmer than topping in overall terms.

Mihir Shah: Perfect. That's heartening to know, sir. Secondly, I wanted to check on the negative pricing. When do you think this can get anniversarized ? I mean, are there incremental new price cuts or

prices that you have to pass on to your customers or these are the carry forward ones that are continuing? I believe the negative price cut started like 2 quarters back. So, can one assume maybe this can continue for the next 2 quarters, and then everything will be in the base?

Anand Kripalu: Yes, I think roughly speaking probably a couple of quarters more, right of some level of negative pricing, okay? But it's not as if there's fresh negative pricing thing. But contracts are no w there, some stuff is there, some customers who are not contractual , we have been negotiating and holding out pricing for as long as possible. Those are all the tactics that obviously you do. But yes, very roughly speaking, and Ram and Deepak, please chip in if you have a slightly different view, but I would say probably a couple of quarters and re ally no more in terms of any material price reduction thereafter, assuming commodities stay where they are today , right? Currently seems quite stable, I have to say. Commodities have been quite stable now f or the last couple of quarters.

Moderator: Thank y ou. The next question is from the line of Ganesh from Bharat Bet Research. Please go ahead.

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Ganesh: So, my question is primarily regarding the Salesforce recruitment for the smaller beauty and personal care space. So, three questions there. So, firstly, in terms of our kind of intent over venturing to space, are we kind of seeing, say, increased competitive intensity with the larger players? And is that a motivation to kind of move here or is it primarily a growth intent?

Secondly, I think you've checked that this change will be kind of margin neutral going forward in, say, at least the first few years. But say, 2 -3 years down the line, do you think this will turn out to be a margin positive se gment for us compared to our larger clientele as such? And the third is, would we need to make any ma terial changes on the tech back end side? And would there be any investments that w ould be required, or can we do it with our existing stack that's there?

Anand Kripalu: I'll take the first couple and on the tech side I'll request Ram to chip in. So, as far as why we are

doing this, we're doing it because there is a growth opportunity here. We're not doing it because somebody else is doing it. We believe there's a growth opportunity. There is an opportunity to steal share from some of the bigger players and there's only one other major global player and we believe there's an option to steal share from some of them, from the large companies, but there's an opport

unity to steal share from some of the smaller regional tube makers around the world, right. And we believe we can bring EPL's expertise and combined that with funding and backend service capability to do better than what anyone else can do in this space. So, that's the reason why they're doing it as a source of growth. And quite simply, oral care is never going to give us the double-digit growth we aspire for as a company. So, you start looking at where are your headroom for growth and clearly Personal Care and Beyond which is beauty and cosmetics and to some extent pharma are places where the headroom is high and therefore we are absolutely going to be pursuing it as a growth opportunity. Now as far as margins are concerned, absolutely as you trade up so to speak, then the percentage of packaging cost as a percentage of total COGS of the end consumer price as you go in the beauty and cosmetics and so on tends to be lower than what it is in oral care. So, honestly, I think there's an opportunity for margin improvement once we build a big enough base of business there and by the way, just to be clear, we already have a large enough base, we want to grow faster with it. It needs to be margin-accretive in the fullness of time and we believe it's absolutely possible. As far as technical capability is concerned, I'm just going to hand over to Ram to comment on whether any differences are there in terms of the technical capability we need at the backend for B&C.

M. R. Ramasamy: Each segment of the business needs different kind of decoration capabilities, dispensing capabilities, the appearance of the cap, size of the cap, it all changes. So, beauty and cosmetics has much more variability. For a period of time that we have developed those kinds of skill sets including production ability, that is there in that business. If we compare between two segments, beauty and cosmetics has too much of variability, but thereby higher pricing, higher margin, all that will come along with that. Am I answering your question correctly?

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Ganesh: Yes. So, I think all three of that is very helpful. Just one last question here. If you could just broadly quantify the mix between, say, the volumes that the large players control and the volume that the medium and small players control, just to see the incremental increase in the market that we're targeting. So, if you could have the broad mix available?

M. R. Ramasamy: Mix will be difficult. But see what happens, you say contractual business versus a non-contractual business which includes all the small players will be in the range of 50, 52, 48, something like that. This keeps happening over a period of time because both segments are the customer growths. We also get larger contracts every time that we look for those contracts. We are also working on small businesses. So, it will be percentage wise that you may not be able to differentiate. Absolute volume we are growing on both fronts. Like Brazil is a large contract, right? Suddenly we got that business. So, the percentage would have equalized. So, it happens on both sides. The effort of every business to grow in every segment we are there, right.

Moderator: Thank you. The next question is from the line of Udit Gupta, who is an individual investor. Please go ahead.

Udit Gupta: So, my question is sir, how are we going to get growth in our companies? Earlier we were talking about some acquisitions in Europe or somewhere else. Is that something we are looking at and is it in an advanced stage or something like that?

Anand Kripalu: So, M&A, Greenfield, Brownfield are all elements of our growth strategy. Now, as you can see, we have done one M&A a couple of years ago. We've done a greenfield expansion into Brazil, and we are continuing to do brownfield expansion as needed in terms of new CAPEX every year. Now, we

believe that all these elements are going to contribute to our growth strategy. But I would really request you to not think of just the current revenue growth numbers of modest 3%, 4%, 5% numbers as the norm. You look at this company historically, it has grown 7%, 8%, 9% traditionally in terms of total revenue growth, okay and for long periods of time. This period is a specific period where we are impacted because of negative prices. And if you looked at our historical growth rates between 7% and 9%, all you needed is a few more percent in terms of harnessing growth opportunities to get us querying to the double digit of the scale. And therefore that's something that is eminently, eminently doable and these things that I spoke about will all be contributors to what's us getting to that goal.

Udit Gupta: Yes, sir, but nothing as such on the acquisition front?

Anand Kripalu: No, as far as M&A right now is concerned, we absolutely looked at stuff in Europe. Honestly, the environment in Europe is probably not right for us to make a major investment at this point in time. So, we looked at some targets very close. If it was available at a throwaway price, you

could have considered it. But you know, given the overall issues that are there in Europe, it just doesn't seem conducive to making a major investment. Now, we set up a green field in Brazil,
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that's a big one. And we are absolutely hungry for M&A by the way. It's not because of financial constraints or anything else at all. We're absolutely hungry. But M&A has to make sense in terms of being growth-accretive, margin-accretive, strategic synergies and has to come in the right price. So, in M&A if you do an acquisition, it is a long-term, so it has to make business and so that's where we are today and therefore the good news is that we've done this due diligence well which is a big fillip and I believe through this, we're just started in terms of the opportunity in Latin America that we connected through the strength we have on ground. So, we are going to continue to look at those other things while continuing to drive organic growth like greenfield, brownfield and so on.

Udit Gupta: Sir, when will the Brazil business scale up? Do we have any timeline for that?

Anand Kripalu: No, it has scaled up in the sense that the initial investment, we are very close to 70 %-80% of whatever was the originally contracted volume there, right? And the Brazil business record is now stable in terms of scaling up and in terms of its overall contribution to the Americas and the global P&L. Now, beyond our anchor customers, we have now started conversations with many other customers which we are trying very dedicatedly. And we will continue to expand because the civil site that we have created there has space. The civil site and utilities have space for further lines being added within the site which can be done at shorter notice. And we will manage that as new demand and new orders come in, we will manage the further fill up of that site. So, the initial investment, we have pretty much reached where we wanted to reach. We still have capacity there for further volume. And as discontinuous volumes come, we will make that investment because the rest of the stuff on the ground is ready to receive. So, we believe that Brazil can be a big driver of growth and it will continue.

Moderator: Thank you. The next question is from the line of Douglas Turnbull from Invesco. Please go ahead.

Douglas Turnbull: Two questions from me. Could you explain what was behind such a large other income number this quarter? And then secondly, perhaps if you could just recap for us where there is likely to be seasonality in a positive or negative sense in the fourth quarter and how you would expect that to play out or net out?

Anand Kripalu: Other income, I will wait for De

epak to come back and to give you a bit more insight into the other income line. See, on seasonality, basically, what happens is, typically, the Jan to March quarter is the biggest quarter for the Western geographies and the December quarter tends to be softer for the Western geographies because in December, half of December, generally plants are closed, and everyone's gone off on holiday. Also, in the Jan -March quarter, while the Western geographies have stronger quarters because they also pick up what they lost in December, China, because China is pretty much shut as a country for a week, eight days actually, for Chinese New Year. And therefore, our China business has its softest quarter and because China has 20 plus

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margins, it shows a softer quarter in terms of revenue as well as margin. And that affects our global numbers. So, those are the elements that play out in the aggregation. So, I'm just saying looking at the business sequentially is not always right. It's probably right when we have gone sharply down and every quarter you would keep improving. But really this is a year-on-year business and not a quarter-on-quarter business.

Deepak Goyal: So, in other income, we get our export incentives, which are against our import of equipment etc. So, there are export liabilities that when we fulfill, we get the benefits and there are a few other subsidies etc. that we get in our other businesses. So, those are the large components.

Douglas Turnbull: And does that get booked just in one quarter? I think that maybe in the fourth quarter last year. Has that come earlier this year?

Deepak Goyal: You are saying that why was it not their same quarter last year?

Douglas Turnbull: Yes, exactly.

Deepak Goyal: So, this is a change in accounting. Earlier, the export liabilities were part of the contingent liability below the P&L. However, the accounting was changed from Q4 of last financial year.

Now, it is included in our other income, then it's also part of the amortizations. At a profit level, net profit level, there is no impact.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes, can you talk about the volume growth, can we assume lower double digit volume growth

this quarter?

Anand Kripalu: We've explained the tyranny of discussing volumes, and Deepak explained that. And it's not that we don't want to share. The problem is we don't want to mislead you guys on what is happening and we will get into conversations that will be impossible to explain. Suddenly somebody in India orders three sample tubes, millions of tubes and that way the volume numbers going up but it doesn't mean anything because the ASP is so different across that, across geographies, across categories between oral care and beauty and cosmetics. All I can tell you is this, whatever revenue growth you are seeing right now or volume growth, there is negative pricing. So, our volume growth is better because there is negative pricing by deduction. That is really the best that I can share.

Sumant Kumar: And for AMESA, we have seen a subdued margin, subdued dividend growth. Can you explain the key reason for that?

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Deepak Goyal: AMESA as a region is fairly strong. We have delivered an EBITDA margin of 21.4% and if I look at same quarter last year, we were at 20.8%. So, versus previous year, we have improved our EBITDA margin in AMESA. There is obviously an impact of Egypt because of which our revenue growth in AMESA is lower and that is impacting our margins as well. However, despite that the margin profile is improving. As I've said again, at a regional level we should not look at this business sequentially because sequential comparison may not be the right comparison. There are pulls

and pushes that happen in each quarter. But fundamentally, the business in AMESA remains resilient and very strong.

Sumant Kumar: So, I am talking about Y-o-Y only. Y-o-Y, we have a subdued growth in AMESA?

Deepak Goyal: Subdued revenue growth, Anand explained India standalone is growing at 4.2%; however, Egypt is going through significant economic challenges and because of that coupled with the currency issues and the currency devaluation, the revenue growth in Egypt is impacting the numbers and hence AMESA overall is at negative 0.6%, but India standalone is 4.2% positive.

Moderator: The last follow-up question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: So, firstly, on NEOSeam tubes, can you share what has the progress there been if there are any more customers that we have been able to get asking for the NEOSeam tubes? And just like the recyclable tubes, can you also share the continuous progress for them because I believe that is where the delta can come through with new customer acquisitions?

Anand Kripalu: So, that is absolutely right and that is our effort. Now earlier we were speaking of NEOSeam as an idea, as a technology and as a capability. But in my opening comments today, I said that we have started commercializing NEOSeam and we have started commercializing across India and Europe and the US. So, we have made a start now towards commercial supply. Now the attempt is going to be to get more customers and get more business and go back that technology and that capability. But we have made a start. It's no longer just an idea now. It is in the market.

Mihir Shah: Understood, sir. Got it. So, secondly, on the competitive intensity from recyclable tubes, I know we are completely geared up. 90% of our capacities are geared up to deliver recyclable tubes and it is significantly ahead of any competition. But is there anything that you can share on how competition is shaping up or catching up to deliver these recyclable tubes?

Anand Kripalu: So, everybody is going to offer recyclable tubes of some kind. Otherwise, they will go out of business. Now, the question is, do you have technology to offer the same value of properties with low plastic content? Do you have the ability to supply and service it in terms of backend capability? So, there is a total system offering that is there. So, everyone is going to keep offering. The question is as a total system we believe we are at least one step ahead, if not a few steps ahead. And therefore, as the momentum builds towards conversion now, aggressively, as

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we hit 2025 and beyond, when customers have said they will go to almost 100% recyclable tube, we believe we are one step ahead and probably more ready than anyone else. And that's when they will start taking hopefully more of share than what was our erstwhile share. That is how we are approaching.

Mihir Shah: Got it sir. So, last one, bookkeeping question on Brazil. I believe ideally Brazil was, you know, the drag on margins of Brazil were supposed to conclude in the 3rd Quarter and become margin accretive from fourth quarter. Is that a correct understanding and are we on track for that?

Deepak Goyal: Yes, so, Mihir, absolutely. First of all, Brazil operations have stabilized. And that is why this quarter onwards, we are not discussing excluding Brazil etc. We have confidence in the project that we can now consolidate the numbers and discuss the overall numbers together. Second, the margins as stated in Brazil are very encouraging and they are accretive both to our America's

business as well as global business.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Pratik Tholiya for closing comments.

Pratik Tholiya: Yes, thanks, Sagar . On behalf of Systemati x Institutional Equity, I w

ould like to once again

thank all the participants for logging into the call. I'd also like to thank the management for giving us the opportunity to host this call. Anand sir, would you like to make any closing comments, please?

Anand Kripalu: No, I just want to thank you for organizing this call and thanks to all the participants of the call. And thank you for your interest , and you are your support for EPL. Thank you very much.

Pratik Tholiya: Thank you so much, sir.

Moderator: Thank you. On behalf of Systemati x Institutional Equities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2024

June 4, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation (s) dated May 21, 2024 and May 28, 2024, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on May 28, 2024, to discuss the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2024 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at www.eplglobal.com/investors/shareholder-information.

This is for your information and records.

Thanking you. Yours faithfully,

For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

Encl.: As above

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"EPL Limited Q4FY24 Earnings Conference Call"

May 28, 2024

MANAGEMENT : M R. ANAND KRIPALU – MANAGING DIRECTOR & GLOBAL
CHIEF EXECUTIVE OFFICER, EPL LIMITED
MR. M R RAMASAMY – CHIEF OPERATING OFFICER, EPL
LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER, EPL
LIMITED
MR. SHRIHARI K RAO – PRESIDENT (AMESA REGION),
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD (LEGAL), CS &
COMPLIANCE OFFICER, EPL LIMITED
MODERATOR : M R. PRATIK THOLIYA – SYSTEMATIX INSTITUTIONAL
EQUITIES

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Moderator: Ladies and Gentlemen, Good Day and Welcome to EPL Limited Q4 FY'24 Earnings Conference Call hosted by Systematix Institutional Equities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call,

please signal an operator by pressing "*" then "0" on your touchtone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Tholiya from Systematix Institutional Equities. Thank you and over to you, sir.

Pratik Tholiya: Good evening, everyone. On behalf of Systematix Institutional Equities, I would like to welcome all the participants who have logged in for this Conference Call of EPL Limited to understand and discuss the 4th Quarter and financial year FY'24 Results.

From the Management side, we have Mr. Anand Kripalu – MD & Global CEO, Mr. M.R. Ramasamy – COO, Mr. Deepak Goyal – CFO, Mr. Shrihari K Rao – President, AMESA Region and Mr. Onkar Ghangurde – Head (Legal), CS and Compliance Officer.

At the outset, I would like to thank the management for giving us the opportunity to host this conference call. I would like to now Invite Mr. Anand Kripalu to give his Opening Remarks. Thank you.

Anand Kripalu: Thank you very much, Pratik and hello, everyone, and welcome to the Q4 & FY'24 earnings call.

We had a strong quarter amidst the challenging global landscape marked by economic uncertainties, supply chain disruptions and geopolitical tensions.

Our revenue for the quarter grew by 6.2%, EBITDA grew by a solid 16.5% and adjusted PAT grew by 22%. I'm happy to report that we are firmly on track to achieve our target of double-digit revenue growth with 20% margin.

Going deeper into the results, our underlying business registered robust growth, which was partially offset by negative pricing specifically, AMESA saw revenue growth of 4.6%, EAP increased by 4.1%, the Americas surged by 15.9%, while Europe was at 2.4%. Our EBITDA margin stood strong at 18.5%, an improvement of 164 basis points versus Q4 last year. Our absolute EBITDA grew by 16.5%, marking the sixth consecutive quarter of robust double-digit

EBITDA growth. Despite the impact of seasonality, our efforts ensured that our sequential margins were more or less in line.

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Adjusted PAT excluding exceptional items and one-off tax refunds grew by 22%; however, reported PAT declined by 73.5% due to one-time exceptional items of INR 605 million in Q4 FY'24 and prior period tax refund of INR 165 million in the previous year Q4. The details of the two exceptional items included in the quarter are one, Egypt currency devaluation. Now, Egypt

faced significant challenges in the past couple of years leading to FOREX shortages. The Egyptian government managed to attract U.S. dollar inflows through investments and aid,

leading them to make the Egyptian pound a free float currency. This resulted in the Egyptian pound depreciating by approximately 60% against the US dollar, causing, INR 465 million in one-off losses in our books on all US dollar payable. The underlying business in Egypt however, remains strong with good profitability and this one-time hit will not impact our long-term prospects in the country.

And the second exceptional item is Europe restructuring. We're actively addressing the lower margins in Europe, primarily stemming from high fixed costs. Our approach involves optimizing headcount at senior and operator level and initiatives such as manufacturing capacity realignment. This is leading to a one-time impact of 140 million. These efforts are geared towards achieving mid-teens margins in the near future with benefits expected to start accruing from this year itself. Our ROC stood at 14.7%, a year-on-year increase of 148 basis points.

Over the full year, our revenue grew by 6%, EBITDA grew by a solid 19.2% and EBITDA margin expanded by a strong 202 basis points and adjusted PAT grew by 28%.

We saw a positive shift in the category mix. Personal care and beyond grew by 8.1% compared to 5% growth in oral care. Personal care and beyond contributes to 47% of our total business.

Overall, based on our performance in FY'24, we are pleased to propose an increased final dividend of Rs.2.30 paise per share.

As you know, sustainability at EPL is a fundamental principle guiding every aspect of our business. In the past year, we have more than doubled our sustainable sales contribution to 21%.

During the quarter, we received multiple awards including Innovation Award by SIES SOP Star, Best Employer Award for 2023 by Kincentric and the best CSR Processes Award by the World HRD Congress.

Looking ahead, let me walk you through the key initiatives that we are focused on as a management team for both revenue growth and margin enhancement. First on revenue. Our continued emphasis on the beauty and cosmetics category remains strong with active pursuit of smaller customers supported by increased headcount dedicated to the staff.

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Our Neoseam tubes have entered the market and is steadily gaining traction across regions.

Second, we will continue to leverage our competitive advantage in sustainable products to gain

wallet share.

And third, our Brazil Greenfield project is on track. We have now fulfilled 100% demand of our anchor customer and have received orders from both other MNC as well as local customers. We remain very excited about the opportunities in this market. With all of these drivers moving in the right direction, the path to achieving double-digit growth is on track.

Moving on to margins, our margins are now in a solid position, demonstrated by a consistent progress over the past several quarters. We are firmly on track to deliver 20% margin through initiatives like Europe restructuring, mixed improvement, active price management and cost optimization.

In summary, we are encouraged by the progress we have made and energized by the opportunities ahead. We are marching strongly towards our ambition of double-digit revenue growth with 20% margin.

With that, we will open this up for questions.

Moderator: We'll now begin the question-and-answer session.

Sanjay: This is Sanjay from ICICI Securities. I have got a few questions. First on the East Asia Pacific (EAP), sequentially there was 11% dip in the revenue and the 25% dip in the EBITDA for this quarter. Can you help us understand why there is such a sharp dip in the performance of EAP?

Second is on the AMESA, particularly in India. Even if I look at the standalone entity, the gross profit which represented probably more closer to the volume growth negating the pricing decline in the raw material is still growing at best at mid-single digit. What's the challenge we are facing in India market, which should be growing faster than the mid-single digit probably. Are we losing market share, is there a shift from soft packaging to hard packaging, what's the story in the India market?

Anand Kripalu: So the first one, as far as EAP is concerned, Q4 in EAP is always subdued relative to previous quarters, because the Chinese New Year. And as you may know, the country actually shuts not just our factories, but the customers and the country at large. So typically Q4 is a subdued quarter.

And therefore comparing it sequentially, it's probably not the right comparator. Now, having said that, the Q4 in FY'23 was actually boosted because the market had just started opening up post-COVID and therefore there was a surge of volume that happened. But I'd like to tell you that the underlying performance in EAP and particularly China access is actually very solid. We are very confident about robust growth. The market is shifting aggressively towards b

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cosmetics, which is margin-accretive. We are being able to exploit export opportunities from China to other countries in East Asia Pacific, and therefore actually we remain very confident and I would hasten to say, almost bullish about our opportunities in China and East Asia Pacific. So that's the first point. Now, as far as India is concerned and India standalone, because Egypt has some challenges of currency and so on and so forth, actually our business in India is solid. I can tell you, let alone losing market share, we have received orders from some customers, right, from whom we are actually very limited businesses and who are actually quite stubborn in terms of giving us business and growth opportunities and we have received orders from some large customers, which will actually boost growth. So volume growth remains solid, even though we don't declare volume and don't really measure volume, but it remains solid and actually the outlook with some of the new opportunities coming our way is actually much stronger. So, I absolutely have no concern that we are losing share. I actually believe that growth, as we look ahead is going to be very, very solid as far as India is concerned.

Sanjay: But what happened in Q4, that's what you're talking is more outlook. I am more looking at what happened in Q4 that remains soft, right?

Anand Kripalu: Well, see, like I told you, there has been negative pricing...

Sanjay: No, no. I'm looking at more gross profit, Anand, which negates that negative pricing impact.

Anand Kripalu: You're commenting on India standalone or AMESA?

Sanjay: No, no, I'm commenting on India's standalone gross profit growth.

Anand Kripalu: We'll get back to you and we'll answer it in the call itself and just try and explain that a bit better for you.

Sanjay: On the Brazil, you are very confident now that we have met 100% demand of the anchor customer. How many new customers have we added? You did mention that we have won few MNC and local customers. How much volume can they give vis-à-vis the existing anchor customer, can we double that revenue next year and how fast can we turn around the Brazil so that it adds to the EBITDA margin?

Anand Kripalu: So first of all, I'm not sure we need to turn around Brazil, because Brazil, as I mentioned earlier is both growth and margin-accretive to the mother business, and it is already showing very strong positive EBITDA even though we're not reporting the Brazil results separately.

Sanjay: In Q4, margin-accretive is what you're telling now?

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Anand Kripalu: In Q4, Brazil is EBITDA margin-accretive to the total business. It is margin-accretive to the total business. So EBITDA is strong. So there's no turnaround to be done as far as EBITDA is concerned. Now in terms of volume opportunities, I can't give you the number of customers, but I can tell you that we have started receiving orders from both multinational and local, large multinationals who we deal with other geographies, right, as well as some exciting local customers as well. And I can tell you it has just started, right. The first orders have started coming in. I think the potential is significant. Now, whether you can double the volume in business, I'm not going to comment on, right, because I don't think it will go that far, but it will be significantly accretive to the base plan. I said Brazil as far as EBITDA is concerned is margin-accretive. So it's already margin-accretive, right. Actually delivering very solid margins. So that's not our concern at all. I think the opportunity is the volume growth and customer beyond the anchor customer, the first orders have started coming in both from multinationals as well as local customers. I think the potential is huge. Now, I'm not going to comment on whether it will double the base business and so on and so forth, but it

will be significantly accretive to our growth.

Now, a lot of this is built into our own internal plan, right, and we are monitoring against that.

But all I'll tell you is that with every passing month, the opportunities seem more and more I think rather than the other way around. So therefore, we remain very excited about our investment in Brazil and what it will deliver for us as a business.

Anand Kripalu: I will come back to you on the other one.

Moderator: Next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Firstly, my question is taking over from the previous participant, so maybe you can add this to the answer when you're answering his question as well that the EBITDA there has been a decline for two consecutive quarters now. So in an environment where there is a commodity benefit, even if top line is depressed, EBITDA decline shouldn't happen. So just trying to get clarifications on what is going on in the last two quarters here, maybe you can just answer this as well when you're answering the previous participant's question?

Anand Kripalu: No, no, we will absolutely do that. So we'll answer properly and then we will absolutely address that maybe. Do you have any other question right now?

Sameer Gupta: So I have two actually. So Americas, the margins actually here this quarter has seen very steady expansion and right now at 18% EBITDA margin. I haven't seen this kind of a higher level in many quarters. So, just trying to understand if there are any one-offs here or exceptional unsustainable factors or these are pretty much what it is the margins right now?

Anand Kripalu: So just two points I want to make that the Americas really is constituted by four countries. So first is Brazil, which I've already answered, which is margin-accretive to us globally, it is significantly margin-accretive to the Americas numbers as well. So that's the first point. The

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second is in terms of specific interventions. We have a program to significantly improve our US margins, right, and it's a very detailed program. And we expect to see significant improvement in US margins during the course of this year itself. So what you're seeing is not a flash in the pan, it's part of our plan right, and if anything, you should see it holding, if not further improving from this point.

Sameer Gupta: Secondly, on the CAPEX part, first of all, is there any guidance for the next few years it will be great and in FY'24 itself we have spent around Rs.380 crores on CAPEX. I understand that the Brazil plant was mostly done in the previous year. So this kind of seems a little on the higher side, so more than 10% of sales this year. So just wanted your comments on the CAPEX part.

Deepak Goyal: We have always maintained that our CAPEX will be in line with our overall amortization at about Rs. 374 crores this year. The CAPEX is slightly higher because of the Brazil spends. I think we spent about Rs. 70-75 crores additionally this year on Brazil, because the plant was commercialized this year and then multiple deliveries and payment happened this year. If I take that out, the base CAPEX spend this year were slightly lower than the amortization that we have and that is what we will continue doing in the next few years as well. Without M&A or a Greenfield, our CAPEX will be in line with our amortization and that are sufficient to fund our both growth as well as maintenance CAPEX. So the double digit growth target that we talk about, our internal accruals will be sufficient to fund for those CAPEX.

Sameer Gupta: Just a follow up here. Any Greenfield you are expecting in the next two years?

Deepak Goyal: See, we are looking at the CAPEX is generally in a block of, let's say, two years and hence I think over a period of two years the overall CAPEX will be in line with the overall amortization. Now, because of phasing within th

e quarters and within the years, there could be little bit of up and down, but otherwise over a block of period, it will be in line with the amortization excluding

M&A and Greenfield, right?

Sameer Gupta: Fair enough, I will come back to the Q&A and I look forward to the AMESA question.

Moderator: Next question is from the line of Prateek from Subh Labh Research. Please go ahead.

Prateek: So, I have been closely tracking this recyclable tubes volume, Anand. I just wanted your thoughts on what it is actually bringing to us, I mean probably it has gone from 10% to 21% this year, which is commendable. Margins, you have already iterated that strategically it won't fetch better

margins. So I mean if you can help us understand how is it helping us, if you can throw some numbers around it?

Anand Kripalu: So I don't have specific numbers other than the fact that's the number of sustainable tubes that we have supplied. But I'll tell you and you will see this play out. Basically in terms of a trigger

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for growth through wallet share gain, right, now, I'm not in a position to share specific customers, but there are already customers, right, with whom we have gained traction, gained share, because we are more ready than other people to supply recyclable tubes and sustainable tubes. So, I think as this plays out fully, there has to be sustainable wallet share gain and therefore sustainable volume that will come to us, right? So, that is the fundamental premise on which it is done. Once that happens, we will get benefits of scale, better utilization and therefore better overall margins in the business. That is the way it's going. And so far I think whatever we have said is broadly I would say on track in terms of whatever we have said in terms of what we will achieve on sustainable tubes, right, and the philosophy of conversion without a premium price associated with it. I can tell you that by and large around the world, we are leading the conversion in terms of number of sustainable tubes being supplied, and some of those gains that are coming will be permanent. So, I'm not sure we'll answer your question completely, but that's the philosophy and we are seeing the gains beginning to come. And the one thing I said in my opening comments that negative pricing is subduing our revenue numbers that you all are seeing right now. Negative pricing has begun to unwind and therefore you begun to see a slight positive blip in terms of our revenue numbers and this will now slowly start finishing off the negative price, right. And as that turns into neutral or positive price, you will start seeing the positive trend in terms of our revenue growth numbers as well.

Prateek: So, this anticipation, or rather target of double-digit top line growth, that is a lot dependent upon this transition also, because from 10% to 20% we have gone, top line growth this year is 6%, but you're saying in future, with this wallet share gain, this top line growth will be added via this transition and that's how the incremental growth will come, is that understanding fair enough?

Anand Kripalu: Yes, and this will be one of the drivers. The other driver of course is our focus on beauty and cosmetics, another driver is what Brazil is going to contribute. When you look at all this, add to it some positive price mix, that happens in the normal course both on price and on mix. Right now, that's a negative. When you add these drivers of fundamental business with some positive price mix, all our modeling shows that it will take us clearly into the double-digit zone, and I believe we are closer to that than we were earlier and we should be making progress with each passing quarter.

Prateek: So in last con-call, we had discussion around some volume numbers to be shown to the analysts and the investors community where there were some comments from the management side that it's practica

lly not possible. I was just wondering, if we can share some amount of raw material melted in a particular quarter, be it PET or the most used raw material which is melted and converted into tubes, can there be something worked around that, Anand, if?

Anand Kripalu: Sorry, I'm just trying to understand. You want to understand our consumption cost of some key raw material?

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Prateek: No, not at all. So, volume growth or rather volume number has never been discussed or disclosed in EPL presentations or calls. And the reason given for that is that there are multiple size of tubes and this segment of tubes, category of tubes. So, we are always devoid of volume understanding of the business. How that is panning? So is it possible to help the investors and analysts with the volume of major raw material which is consumed in a particular quarter?

Anand Kripalu: So I'll take that away and we'll think about it internally, whether we can share the volume of key commodities that we are buying and using. Honestly, I'm not sure. If I don't provide more information that is relevant, I think we will just create confusion about what's happening. I still believe there is a very good reason why we are not sharing the volume numbers because it's not a reflective of the strategy, right? However, the only thing I can tell you is that if I were to look at our simple volume numbers where I'm adding apples and oranges, so I'm adding small tubes with big tubes and beauty and cosmetic tubes with oral tubes and pharma tubes, it is materially

ahead of our revenue numbers. If I were to do an un-sophisticated addition of different kinds of tubes and call that volume for a moment, it will be ahead of our revenue numbers. And that's why I'm saying, there is negative price mix and the word mix is also operative. So one is price and other is mix as well, right? With the whole thing combined is negative and therefore reducing our so-called volume numbers by the negative price mix, resulting in the revenue that we're reporting. So, that much I can tell you.

Deepak Goyal: So, to an earlier question, AMESA, first of all, all the things that Anand said in the previous question that the volume or underlying business performance is robust, that is true for AMESA as well. So the underlying business performance for AMESA is robust. In the revenue, there is a negative pricing impact as well as mix. In the gross contribution, there's a negative mix impact, which is coming in. AMESA is also producer of laminates and our laminate when we sell it to the intercompany units, it is sold at a lower gross contribution compared to our tubes. Now, when we look at the standalone financials, this laminate sale gets factored in. When we look at our consolidated numbers, this gets eliminated. However, for the purpose of the standalone financials, the gross contribution kind of has an impact of increased laminate sales. The EBITDA, which is negative this quarter, there were multiple one-off items which are, let's say, operating in nature and hence we are not calling them out at a consolidated level but within AMESA, there were a multiple one-off benefits which were factored in. This quarter, it's a more operating performance which is resulting in a negative EBITDA performance. So, if I were to, let's say, simplify it to a one sentence, robust business performance, revenue GC impacted by negative pricing and mix, EBITDA impacted by last year one-off items. The performance wise, I think both Anand and I feel very confident about our performance in AMESA as well as in India.

Anand Kripalu: Just adding to that, we really do believe that some of the new businesses that have started coming to us will actually be a fillip in our numbers looking ahead.

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Moderator: Next question is from the line of Akshat from Flute Aura Enterprises. Please go ahead.

Akshat: So I

if we look at the consolidated debt for FY'24 compared to FY'23, it has just increased by Rs. 35 crores, but if we look at the interest, so it has increased by Rs. 30 crores. So any color on this why the interest cost has increased so much compared to debt? And are we planning any debt reduction going further, because we don't have any Greenfield CAPEX plan? So any color on this, sir?

Deepak Goyal: So first of all, the reason for higher interest is primarily because of Brazil. Last year same quarter, while we had debt for our Brazil Greenfield, the interest was getting capitalized. The plant was commercialized in Q1 of FY'24. This quarter the entire interest is kind of coming in and that's why the disparity between the debt and the interest cost number. On the debt reduction, again, we are generating healthy cash flow. However, we are also a healthy dividend paying company. If you will look at this quarter, we have increased our dividend from past let's say many quarters of Rs.2.15 to Rs.2.30 already. We believe that rewarding our shareholders with healthy dividend is a critical part of our strategy. We will continue evaluating whether how to deploy cash, but fundamentally the business will continue generating good amount of cash.

Akshat: So just a follow up. So going further for FY'25, what can we expect as the interest cost in percentage terms?

Deepak Goyal: In percentage terms, I would say that our overall debt, unless we are kind of going for a M&A or for a Greenfield, our interest cost would largely remain at a similar level. And then obviously there can be a little bit of up and down, but our interest cost will not be materially different.

Akshat: So, in the presentation we have mentioned that the Red Sea issue has increased our freight cost, so can you just give some color on this like how does it affect us materially or it's just a small impact?

Deepak Goyal: So Red Sea has two impact on our business. One is let's say in terms of inventory. The lead time and we produce our laminates in India and China and then ship it across the world, the lead times have gone up, which means that our GIT on laminates have gone up. That is marginal impact on our inventory. Second is on the cost. While our freight costs have gone up, accordingly, our pricing also kind of factors in this kind of rate and those pricing have also gone up. So, from a P&L point of view, there is negligible impact, on the inventory, there is some impact which is there.

Moderator: Next question is from the line of A C Alagappan, individual investor. Please go ahead.

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A C Alagappan: In fact, I wanted to ask regarding this net debt. You answered the previous question. Thank you very much for that. Then one more question is, what is the capacity we will be taking of Indian plants compared to the other plants?

Anand Kripalu: What is the capacity utilization of the Indian plants compared to other plants?

A C Alagappan: Yes. Can we produce more here and export instead of going for a Greenfield plant? You are answering that unless we go a plant because see if you have got a capacity, can you do it from India itself?

Anand Kripalu: So I'll just hand it to Mr. Ramasamy. He'll answer your question.

M R Ramasamy: Capacity utilization in India will always be higher because there's a large setup vision centers have large number of plants we have. So it's really comparatively higher compared to our other plants. That's one question. Exporting out of India, we do exports out of India, but tube in general for a long distance is actually you are shipping air, that's one constraint. The second constraint is most of the supply chain lead time because everything is printed to order, right? So most customers prefer a very short lead time of 15 days, 20 days. So it will also be an another bottleneck. Having said that, there are customers who also wait for a longer lead time of 45 -

50 days, because the export business will take about anywhere between 30 to 45 days. Wherever possible, we do export, it's not that we are not exporting, we do export, but that will be a very small percentage of the volume that we do in India.

A C Alagappan: In absolute numbers?

Anand Kripalu: The export volume?

A C Alagappan: Not export volume. The fact is capacity utilization say, Assam plant or any plant in India, what capacity it runs here?

Anand Kripalu: See, capacity utilization, that's what Ramasamy has said is high, right? So you got to believe it will be in the I would say early 80s or something like that if I were to give you a number and this is an aggregate number across everybody. So there is still headroom for more production. Having said that, I think it's important to just understand the business model in this business is, laminates are freight-friendly, therefore they are produced centrally in India and in China and shipped all over the world. Tubes are freight-unfriendly and as Mr. Ramasamy said, you need agility by being close to the customer to be able to supply with shorter lead time. So, tubing and printing is actually done in the last mile closest to the customer. So, we ship globally where it is freight-friendly and we produce locally where it is not freight-friendly and needs to be close to the customer. So, that's how this business model actually has been built. So the capacity utilization in India of tubing is less relevant. We of course import from India to Middle East. I

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think we even export to Middle East, we even export to places far away like Australia and New Zealand, right. In some cases, customers want to buy that and we do that. But it is not core to the strategy to do significant export, let's say from India. Externally, because we have a large domestic market that we're servicing, but we have opportunities to export from other countries

as well, right, as the case arises, so from Brazil tomorrow, we may export tubes to adjacent countries like Argentina and so on and so forth. But that's how the business model works.

Moderator: Next question is from the line of Sumant Kumar from Motilal Oswal Financial Services. Please go ahead.

Sumant Kumar: My question is related to Europe. So there is a huge difference between EBIT and EBITDA of Europe as per the PPT. So what is the higher depreciation charges and if it is there, what is the reason for that?

Deepak Goyal: So there were two large capitalization that happened in our Poland plant in the beginning of this financial year for which the depreciation has come in which was not there last year same quarter and hence there seems to be a difference between EBIT and EBITDA.

Sumant Kumar: How is this new capitalization going to favor Europe growth?

Deepak Goyal: I think as we said, Europe right now, the focus is on fixing the margin. We have created solid restructuring plan to improve Europe margins to mid-teens. We have also then taken a restructuring cost because the plan involves headcount optimization as well as manufacturing realignment. We are working on that. The new capitalization that we have done, those were, let's say specific to the orders that we had received, etc., and hence the utilization of those machine is on track. But the primary focus on Europe is on margin improvement and we should see that happening over the next few quarters.

Moderator: Next question is from the line of Pooja from Ace Lansdowne Investments. Please go ahead.

Pooja: My question is with regards to non-oral care segment. And since we increase our focus in B&C particularly I wanted to understand pharma has lagged in sales, from pharma has moving around 330 - 340 crores around at an annual range. So is there any specific reason this category is not scaling up? And since we are also increasing our headcount in BPC segment, any guidance on the growth?

Anand Kripalu

u: So I'm just trying to understand your question fully. One question is to say, why is pharma not growing? And the second question, you could repeat?

Pooja: Second question is with respect to B&C growth as we increased the sources and the headcount over there. Any particular number you could provide on that front, sir?

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Anand Kripalu: Both these remain priority sectors for us and with even more focus on personal care, right, beauty and cosmetics. As far as pharma is concerned, I can tell you there have been some significant unlocks. Pharma is a much longer process of conversion because of FDA and all kinds of other regulations, right, and products tend to be more invasive and therefore require a lot more protocols before they convert. As far as beauty and cosmetics is concerned, we have just started a couple of quarters ago to put extra resources in and I can tell you that you will begin to see the blip because of the headcount and therefore hunting down new customers as well as our Neoseam technology which I mentioned in my opening comment, because as part of our strategy, we have fully funded whatever is needed to be done to accelerate our beauty and cosmetics growth. And the mixed improvement that will come as a result of that as well as the volume growth opportunity, will start playing out in the next few quarters, because that's our strategy.

Pooja: As I understand our customer base is pretty sticky, so in case of pharma, what would be the conversion time for any particular client?

Anand Kripalu: Most pharma customers by the way are in the real source of business are customers who are in aluminum tube. Now, we have a large share of people who are converting, but the conversion required testing and at the customers end significant change of packing and sealing machinery, right? So significant CAPEX at that point. I don't have a thumb rule, but the conversion once we start the conversation with the pharma customer, at least a year, right, if not longer.

Moderator: Next question is from the line of Jenish Karia for Antique Stock Broking. Please go ahead.

Jenish Karia: My question was with regards to the Europe restructuring. So if you could just throw some more light on what exact restructuring have we done, what measures have we taken to boost the growth and how soon do we plan to achieve the guided margin of mid-teen in the region?

Anand Kripalu: So as we said, our objective is to get Europe to mid-teens margin. And as we said, you will start seeing the benefits of our restructuring start accruing this year itself. As you've seen built in certain exceptional items into our cost base, these exceptional items will go to support three key initiatives that will help us to transform our margins in Europe. The first is people optimization both at the management level and the operation level, and many of these have already been done or are well underway. The second is manufacturing realignment by moving some lines from higher cost German site to a more optimal Poland site. Some of this has already happened and some of this is underway. And the third is to create a center of excellence with respect to two areas. So moving all printing of laminates from Germany and Poland and creating a center of excellence in Poland for printing and creating shared services wherever possible. So whether it's to do with finance or planning and other activities, creating a shared service center in Poland which will give us economies of scale and it will be housed in a lower cost country like Poland rather than a higher cost country like Germany. So, all these things put together are well under

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way and you will start seeing the benefit flowing this year itself, but as I've said, our objective is to clearly deliver mid-teens margins in Europe and that will happen in the foreseeable future.

Jenish Karia: Second

is on the Americas region. As you see, Brazil has now been operational for four to five quarters and the anchor customer commitment is also nearly fully completed. So, what would be the rough utilization level at the Brazil level? And secondly, do we see a growth moderation

happening in Americas region going forward as the base impact of Brazil is already factored in?

M R Ramasamy: In utilization level, there are two aspects to this. One is that we have a contractual customer, that lead customer. We install capacity as per their demand that is now being fully utilized. What we also have done is we have also put in certain seed capacity for seeking other customers. That is now getting till then. But, see, this entire business is about the moment you see a growth that you see a certain level of utilization you put a next capacity, you automatically add up, capacity will never be a constraint, demand decides the capacity so we'll keep increasing. But we have now enough capacity to service the second set of customers.

Jenish Karia: So can we expect Americas as a region on a consol basis growing at a high double digit or mid-teens kind of a number in FY'25?

M R Ramasamy: Double-digit is a growth target and we are very certain that Americas will also grow double-digit.

Anand Kripalu: So Americas as a region definitely. And as I've said earlier, we have a program to improve our margins specifically in the Americas and specifically within that the United States. So as Brazil ramps up, as some of the interventions in the US pick up, Americas should deliver solid growth as well as solid margin improvement.

Jenish Karia: You mentioned the interest cost should maintain at the similar level. So you meant that 32 crores

of interest cost that we have in 4th Quarter that will continue on a quarterly basis?

Deepak Goyal: So the current cost which is in this quarter is the steady state cost and that's the cost that is likely to continue. There would be some up and down depending upon the phasing of cash and hence that's loan debt levels but the cost is representative of the steady state business cost that we have right now.

Moderator: Next question is from the line of Shubham Sehgal from Securities Investment Management. Please go ahead.

Shubham Sehgal: Want to ask one basic question for my understanding. So we're seeing that companies are moving towards this sustainable packaging and even our volumes are at 20% right now as we targeted.

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So to understand the margin for a sustainable packaging for example ecovadis compared to normal tube, are those like in the similar range or how it is working?

Anand Kripalu: So the margins are greater than or equal to what they are for the regular packaging. So sustainable tubes, margin will be greater than or equal to what it is for the non-sustainable tubes. Now, this is a strategic choice, right, because the reality is if you try and charge a premium, chances are that you will slow down the process of conversion or you will lose wallet share in the conversion because somebody else will give it at a lower price. However, if you give it where you do not present an obstacle to conversion, then the chances are, you will convert faster and gain wallet share during that conversion, and that has been our strategy.

Shubham Sehgal: Just for clarification again, so do we actually actively try to price our sustainability with higher wherever it is possible for us or we do not do that?

Anand Kripalu: Sorry, the question is do we try and price it higher wherever possible?

Shubham Sehgal: Yes, like do we do that or we don't do that?

Anand Kripalu: We absolutely try and convert aggressively. The thing is that many companies have their own program for conversion. So our job is to be ready, but there are very smaller companies where we are able to go and offer our solutions, right, and motivate them to start converting

. So, I suppose it's a combination of both.

Shubham Sehgal: But so like, as you already mentioned that we have the capacity to offer it, so going forward, do you think that we could build on this like we could have a pricing power where we could offer our tubes at a better margin so we could get better margins out of our sustainable tubes like going forward, do you think that kind of thing is possible or it won't happen?

Anand Kripalu: It could happen, but I would say it is more by default rather than by design. Strategically, we want to accelerate the process of conversion and gain wallet share during that conversion. In many cases you might be able to get better pricing as well since you have first-mover advantage in terms of your ability to supply, right? But that like I said is by default rather than by design.

Moderator: We'll take the last question from the line of Megh Shah from Prospero Tree Financial Service. Please go ahead.

Megh Shah: I just have one simple question. Sorry if I'm being repetitive. It's regarding Americas. So the margins have suddenly spiked up from around two and half percentage to 9 percentage. So are there any one-offs in that? And is the margin sustainable?

Deepak Goyal: You're talking about the EBIT margin, right, 9%?

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Megh Shah: Yes.

Deepak Goyal: Americas has had an organic quarter. So the margins are representative of the steady state business. We have improved our performance in Americas. Brazil, as you mentioned, also is accretive to Americas region and that also gets consolidated now, so the benefit flows in. As we discussed, we are also putting in more efforts to kind of improve US margins in particular and hence this margin we should maintain and improve as we go forward.

Moderator: I now hand the conference over to Mr. Pratik Tholiya for closing comments.

Pratik Tholiya: On behalf of Systematix Institutional Equities, I'd like to thank the participants for logging into this conference call, and once again, thanks to the management for giving us the opportunity.

Sir, would you like to make any closing comments please?

Anand Kripalu: No, that's it. Just want to thank everybody for logging in and continuing their support to EPL.

Moderator: On behalf of our Systematix Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 20 , 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation (s) dated August 7, 2024 and August 13, 2024, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on August 13, 2024, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended on June 30, 2024 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at www.eplglobal.com/investors/shareholder-information.

This is for your information and records.

Thanking you.

Yours faithfully, For EPL Limited

Onkar Ghangurde
Head - Legal, Company Secretary & Compliance Officer
Encl.: As above

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"EPL Limited Q1 FY 2025 Earnings Conference Call "
August 13, 2024

MANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER - EPL LIMITED
MR. M. R. RAMASAMY – CHIEF OPERATING OFFICER -
EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER - EPL
LIMITED
MR. SHRIHARI K RAO – PRESIDENT , AMESA REGION -
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD, LEGAL , COMPANY
SECRETARY AND COMPLIANCE OFFICER - EPL LIMITED
MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the EPL Limited Q1 FY '25 Earnings Call, hosted

by Systematix Institutional Equities. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix Institutional Equities.

Thank you and over to you, sir.

Pratik Tholiya: Yes, hi. Thanks Siddharth. Good evening, everyone. On behalf of Systematix Institutional Equities, I would like to welcome all the participants who have logged into this conference call of EPL to discuss the Q1 FY '25 results.

From the management team we have Mr. Anand Kripalu, MD and Global CEO; Mr. M. R. Ramasamy, COO; Mr. Deepak Goyal, CFO; Mr. Shrihari K Rao, President, AMESA Region; and Mr. Onkar Ghangurde, Head - Legal, CS and Compliance Officer.

At the outset, I would like to thank the management for giving us the opportunity to host this call. I would now like to welcome Mr. Anand Kripalu to start the proceedings by giving his opening remarks. Thank you and over to you, sir.

Anand Kripalu: Thank you very much, Pratik. And hello, everyone. And thank you very much for joining us for this Q1 FY '25 earnings call.

We had a strong quarter with significant growth across all our key metrics. I am pleased to report double-digit revenue growth of 10.7%, with EBITDA growth of 20.8%, and PAT growth of 35.4%, excluding one-offs. Our EBITDA margin has expanded to 19.1%, marking an improvement of 160 basis points year-on-year. With revenue and EBITDA margin moving in the right direction, we are firmly on track to deliver on our commitment of sustained double-digit revenue growth with 20% plus EBITDA margin.

Our revenue growth is driven by robust demand in all our major markets and the successful execution of our strategic initiatives. In the AMESA region, revenues grew by 9.5%, with India standalone growing at 8.6%. The EAP region delivered a strong growth of 13.9%, while Europe grew by 9%. In the Americas, we achieved a high double-digit growth of 18.9%. On EBITDA, our 19% plus margin demonstrates the efficacy of our strategy. We are confident that our margin improvement plan will successfully deliver a 20% margin as we continue to focus on enhancing efficiency and optimizing our operations.

There was an enhanced oral care demand this quarter, driven by strong organic momentum. But also importantly, wallet share gain with a few customers as we transitioned to sustainable tube. With solid performance across our diversified portfolio, we remain confident of continued strong delivery going ahead.

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Reported PAT for the quarter grew by 18.2%, and adjusted PAT excluding one-offs grew by a solid 35.4%. The one-off includes Rs. 69 million of tax refund, which we received in the previous year, that is Q1 FY '24. ROCE stood at 15.9%, an increase of 1.9 percentage points, excluding one-offs.

Moving on to sustainability and innovation, recognition and wins. Innovation continues to be the cornerstone of our strategy. This quarter, we continued our work on developing innovative products and packaging solutions in close collaboration with our customers. Our ongoing efforts were recognized at the recent SIES SOP Awards, where our tubes were celebrated for their innovative design.

We're also seeing encouraging progress and momentum in our sustainability efforts. Our sustainable tube offerings now represent 29% of our total volume. And we anticipate this proportion to grow further as customer commitments align with our sustainable solutions. We have pro

udly maintained our A rating from CDP for three consecutive years. Additionally, we secured approval for our emission targets from the Science Based Targets initiative, or SBTi, becoming the first Indian MNC in the packaging sector to achieve this milestone. With these accomplishments, we are well on our way to achieving EcoVadis Platinum next year.

Looking ahead, the strong performance in the current quarter reinforces our confidence in our strategic direction. Our initiatives are clearly gaining momentum, and the positive results are becoming increasingly evident.

We have four key priorities as we look ahead. First, Brazil, our expansion efforts in Brazil are progressing well. We have started supplying to new customers in Q1 FY '25, including two multinational clients and a local partner, alongside our anchor customer. The customer base expansion within just one year of plant commercialization reflects a huge potential in this market for EPL. Moreover, we have significant headroom for growth at our plant, both with existing capacity as well as the modular nature of the plant design itself.

Second, personal care and beyond. We continue to drive personal care and beyond as a category. We are making good progress with our Neo-seam tubes, securing commercial orders across three

regions. We have seen strong growth in personal care in EAP and the Americas, even as we continue to build capabilities in AMESA and Europe, across both the back-end and the front-end. Third, margin expansion. Our margin expansion efforts are advancing as planned, with notable improvements observed in Europe and the Americas. In Europe, margins have increased by 230 basis points over the past year, reaching the mid-teens level. Similarly, in the Americas, margins have risen from single-digits to high-teens, underscoring the effectiveness of our efforts. And fourth, sustainability-led competitive advantage. We are seeing continued pull on sustainable tube conversion. We witnessed wallet share gain in the oral category in Q1 FY '25 with a few key customers, aided by our sustainable solutions which has all led to a strong oral growth. Our

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sustainable tube mix reached 29% in Q1 FY '25 versus 21% in FY '24. We believe EPL is well-positioned to take the benefit from this trend with our leading -the-pack capability.

In conclusion, we are encouraged by our progress and optimistic about the future. We remain on track to deliver on our target of sustained double-digit revenue growth, coupled with 20% plus margins. Thank you. We will now open this up for questions.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Mihir P. Shah from Nomura. Please go ahead.

Mihir Shah: Congrats on a good set of numbers. Firstly, I wanted to check if this quarter had any element of price cuts in the sales. And sub part to it was, can one expect the high-teens growth that we have seen in Americas to sustain on the back of new client sign-ups? And any geography that you think that can derail double-digit revenue growth going forward? So that's my first question.

Anand Kripalu: Okay, you have another question?

Mihir Shah: I have a bunch of them, sir. I will just rattle all of them.

Anand Kripalu: You may want to just give me a couple now and then do it later. Otherwise, your colleagues will complain that we gave you too much time and did not spare time for the rest.

Mihir Shah: No problem, sir. Secondly, I wanted to know on gross margins, we are seeing raw material prices inching up for you, does this warrant any price hikes? Or can gross margins be sustained at Q1 levels? That was on the margins front. A sub part to the margins is, Europe margins, a very good improvement. Is it sustainable or do you think this is just a knee-jerk? And any reason for India margins to go down? I

have a few other questions, I will come back in the queue.

Anand Kripalu: Okay. Let me try and deal with these, and I will request my colleagues as needed. So let me start.

Have there been price cuts? Now, have there been some price corrections in a few places with a few customers based on past or based on commodity softening of the past that is now occurring? Yes, there has been. Having said that, I would think that price corrections have largely bottlenecked down as we speak now and there are major price corrections that are pending anymore.

Can we sustain Americas high-teen growth? We've given you guidance on our global growth ambition. I would not like to get into a region-by-region growth ambition because every company, and we included, run a portfolio. But our ambition is to continue to drive growth in all regions, but deliver double-digit growth globally, right. And that's our commitment, and we will play that portfolio to the best of our ability. If some regions grow faster and we grow faster overall, we will not be disappointed. But our commitment is double-digit growth.

Are there any geographies that could derail our double-digit growth story? In this world, as we have seen, there is always something happening, okay? A lot of people are talking about domestic demand in China not being great. But our EAP growth actually remains solid. There is a lot of talk

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of uncertainty and some softening that could happen in the U.S. particularly, okay? So I am just saying these are path of the course, so anything can happen in any geography. We will do our best to make sure that collectively and globally we still get to double-digit growth.

Are our gross margins sustainable? Yes. I think they are sustainable, and I am not telling you something one quarter to the other may go up or down 50 basis points, but broadly I think we are in the zone which is sustainable. As far as Europe is concerned, it is absolutely sustainable, but I just want to say that we have not finished our mid-teens margin commitment journey, and we are still working to improve Europe margins further, so we are not stopping here.

Could India margins go down? If anything, we are doing what it takes to see how we can push India margins up from where they are right now, so we will not allow it to go down easily, okay?

And of course, life is dynamic and many levers will play out, but our effort is to make sure that India margins improve from where we are today. So, I think those are your responses, Mihir, to what you've asked. And maybe we could go to somebody else and come back later if there are more.

Mihir Shah: Perfect, sir. Actually, I want you to know the reasons for India margins going down by 170 basis points.

Anand Kripalu: Well, see first of all, I just want to say a few things which is, as far as India is concerned, there are a couple of things that have happened, okay? Now you might calculate the GC, our GC is actually more or less in the zone where we want to be as far as India is concerned. But the India standalone results, right, have been impacted by investments that we are making to drive improved performance and growth, okay. So I want to make this very clear, investments we are making to drive improved performance and growth.

So what are we doing here? We are investing in capability, so we have increased our capability on the ground in terms of hunting and so on that we have spoken about earlier to accelerate some of our B&C efforts. But we have also invested in some corporate capability building that will benefit the globe, but sits in the India standalone P&L. Now, combined with investments in capability building, and part of that is flowing through into the P&L, we also have an enhanced performance - driven incentive that we are running for people in FY '25, okay?

Now, this will be paid out only if we deliver our e

nhanced performance ambition, which is more than our internal budget, right, during the course of the year. But by way of prudent accounting, it is being accrued for right now. So, what I want to say is, whatever you are seeing here, right, a good part of it is because of conscious decisions we are taking to improve future performance, and I am hoping it will be like that.

Moderator: Thank you. Next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

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Sameer Gupta: Congratulations on a good set of numbers. Firstly, sir, and this is taking from the previous participant, there have been price corrections, but just wanted to understand, is there an element of negative pricing which might be carrying forward from previous quarter, which is there in this quarter as well? And if so, if you could just give a ballpark approximation as to how much it is. And just a sub-question to this, can you also make us understand by when do you expect this number or this phenomenon to anniversarize? In which quarter is it expected to anniversarize? That's my question, sir.

Anand Kripalu: Okay. So, as far as negative pricing is concerned, I mean, I will tell you price mix, okay? Because just pure pricing is very difficult to play, but I will tell you price mix. And it's a mixed portfolio, right? Globally, there is no material negative pricing. Some regions have more of that negative price mix, okay? But, overall, looking ahead, I would say we have more or less anniversarized, to use your words, right, as far as the pricing is concerned.

So I think we are going to see more stability. Hopefully, no negative prices. Maybe no major positive prices either, because that's how commodities are moving. And therefore, you are going to see a more pure play performance coming through. But clearly, there are still opportunities, some small percentage of price increase will come and mix more importantly will come, okay?

And those are the things that will help us in our quest for sustaining double-digit revenue growth.

Sameer Gupta: Great, sir. If I just add another question, while personal care on an annual basis has seen quite a good increase in salience, this quarter particularly there is a large divergence. So just wanted to understand, is it only because of Brazil and some of the good performance in oral care players in India or is there anything else? There's a 15% growth in oral care but 6% in personal care. Just wanted to get a sense of those numbers as well.

Anand Kripalu: No, I think it's a very pertinent question and I just want to make sure I am able to communicate this answer with clarity to everybody. So first of all, I have to say that we are very pleased with the oral performance, okay? We saw, like I said earlier, very strong organic demand, right? And something we have been speaking about, that we are taking the lead on sustainability and this has helped us to get wallet share gain with a few key customers, okay? And this is something that will sustain, right? Particularly the wallet share gain part will sustain. So first of all on oral, I think we are very pleased with the overall oral performance this quarter.

Now, coming on to personal care and beyond, we are seeing strong momentum for personal care and beyond in EAP and the Americas, okay? What I do want to admit here today is that B&C in

AMESA, particularly in India, could have been better, maybe should have been better, okay?

However, we faced some supply chain issues in India specifically, but these have now been sorted out. So looking ahead, we should absolutely see improved performance on B&C and personal care and beyond, right?

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Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: First, again, on the oral care side,

you mentioned that the sustainability tube is driving a wallet share gain for us. Which geography particularly are we speaking about, is it India, America, Europe, or it is across the region we have seen increase in the wallet share? And how much percentage points do you think once this entire transition of sustainability happens in the next two, three years, we should be able to improve market share, which used to be at 35% for many years, where do you think it could settle for EPL?

Anand Kripalu: So I will request my colleague Ram to lead the question and then if there's anything else I will follow up with that.

M. R. Ramasamy: Sustainability, as you know, many companies have given their target dates, right? Now it is getting accelerated in India for some customers, it is getting highly accelerated, so we are gaining there.

We are gaining in Europe, we are also gaining in Americas. So, in terms of wallet share of 35% over a period of time, we believe that it will continue to grow. Exactly predicting how much it will be at this point of time may be slightly difficult, but we will grow.

Sanjesh Jain: But Ram sir, now when we say that we have improved, how much percentage points in those particular customer has the market share gone up for us?

M. R. Ramasamy: Again, see it is a little trickier. As you know, oral care is a very concentrated marketplace, right, there are only four players in the world. By saying anything specific probably is not appropriate.

But when we have seen a 16% growth in this, it's one quarter, we need to see in the next three or four quarters of what we will be able to sustain and grow. But all indications are that we will be able to sustain and grow further.

Sanjesh Jain: One follow-up question on that. In Europe we have always been personal care heavy and we said that oral care will drive growth there. And you specifically mentioned Europe where we have won some market share in oral care. So that mix change what we were trying to do, driving more oral care sales in Europe and hence driving the volumes in Europe, that's happening. And is that what is driving a margin improvement partially as well?

M. R. Ramasamy: Yes, as I told you, every region is doing well, Europe is also doing well. Just to be very specific to you, we have gained wallet with two more customers in Europe, which we never used to do earlier.

So those are all accumulating to ensure this 16% growth comes in. But any oral care commitment, as you know, are long-term commitments. Most of the orals are sustainable and it will only grow. So, even though market grows at a certain percentage, these are all wallet share gains, it will remain with us.

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Sanjesh Jain: That's fair enough. My second question is on the gross profit margin translating into EBITDA margin. We have improved gross profit margin by 200 basis point. But when I look at EBITDA margin, the translation looks far lower sequentially. It's actually flattish quarter-on-quarter. Any reason why we are not able to translate the gross profit margin into EBITDA margin? Or we are investing cautiously to grow the revenue and maintain the margin as you have earlier indicated that we will keep it at 20% and try to reinvest for the growth? Is that what's happening into the business?

Anand Kripalu: So, Deepak will respond to that, Sanjesh.

Deepak Goyal: So, if you look at what is the overall shape of the P&L, I think we are happy with the metrics that we are seeing. Our revenue has grown 10.7%, our EBITDA margin has grown 20.8%, our margin has expanded by 160 basis points. Our PAT reported has grown 18%, like-to-like, because there was a tax refund in India in same quarter last year, if I take that out it has grown 35%. So, a 10.5% revenue, 20% plus EBITDA and 35% PAT growth is a good P&L metric in our view. Now, there is obviously some investment that we are making

in the people cost that Anand just spoke about, etc. But those are, I am saying, the overall expense management that we keep doing, right?

Sanjesh Jain: Correct. So, how do we now look at this margin trajectory? We keep telling that we will be doing 20% kind of a margin, and we are already at 19%. So, this year we should exit with the 20% margin ambition we always targeted for ourselves?

Deepak Goyal: See, I do not want to give a time limit, but I can tell you that the margin progression has been encouraging, right? And with the initiatives being in place, we should get there sooner rather than later. I do not want to commit to a timing. But we are well on track to kind of get there.

Moderator: Thank you. So, next question is from the line of Akshat Bharti from RSPN Ventures. Please go ahead.

Akshat Bharti: Sir, I have some questions on Brazil. What is the current capacity utilization of Brazil? And what is our dependency on our anchor customer?

Anand Kripalu: So your question is, what is our current capacity utilization and how much capacity is available after our anchor customer is serviced, right?

Akshat Bharti: Yes, sir.

Anand Kripalu: Okay. I will request Ram to answer that.

M. R. Ramasamy: See, as we told you in the previous calls, this plant is a modular plant. We have created capacity

needed for our anchor customer as per the contractual commitment. Plus, we have provided some capacity for the other customers to grow. Now, what we are seeing is anchor customers are doing well. As well, we are able to quickly accelerate other customers also faster than what we thought about. Currently, probably that will be somewhere around 65% to 70% of the utilization levels.

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But we still have headspace. But the plant is built modular. As we start getting more traction on the market demand, we will just plug and play kind of a situation that we can add any time capacity. I just wanted to say, compared to our own anticipation of the ramp-up period, we are really doing well. Market is also responding really well. And we have added many more customers in the last one quarter.

Akshat Bharti: And, sir, next is a bookkeeping question. So, our tax rate for the quarter was just 17%. So, for the whole year, any tax guidance, what will be the tax rate?

Deepak Goyal: Yes. So, the tax rate generally is a mix of multiple countries. And that is why kind of it varies up and down. I think in the long term we have said that our effective tax rate will be, let's say, anywhere between 21% to 23%, 24%. I think it's likely to be there. Quarter-on-quarter, it can go up and down, depending upon the profit mix across various countries.

Akshat Bharti: So, sir, this year we can expect around 21% to 23%?

Deepak Goyal: I think that is the likely steady state tax rate where we would fall.

Moderator: Thank you. The next question is from the line of Meet Shah, from Prospero Tree Financial Services. Please go ahead.

Meet Shah: I just have a simple question regarding the Americas region. Last year, Brazil was not contributing to the revenue, so I would like to look at just this region on a Q-o-Q basis. So, there has been a slight degrowth in the revenue from Americas from Q4 to Q1, and so has the margin decreased as well. What would be the reason for this?

Anand Kripalu: Yes. So first and foremost, while you could look at quarter-on-quarter, we do not look at the business that way, because there is a significant seasonality in the business, cyclical in that business, okay? So that's the first point, right? So I think that comparison of sequential can be erroneous in this business. I think the second thing is to say that, listen, we believe that we have delivered solid growth and of course there Brazil contributed to that, but even despite that it's very solid growth. And the margin is in the range where we want to be with some headroom for

or further

improvement, okay? And I think that's the way to just think about it, correct? And above all, the quarter, particularly if you look at the margin, the absolute EBITDA and so on versus the same quarter of the previous year is a radical shift in terms of the overall shape of the P&L of that region. So, I think when you look at the right parameters, it should indicate to you that the business in the region is solidly moving in the right direction.

Moderator: Thank you. Next question is a follow-up question from the line of Sameer Gupta from India Infoline. Please go ahead.

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Sameer Gupta: Just wanted some clarity on the interest cost part. I believe there is a higher interest rate due to Brazil debt. Any idea when we expect to pay this off completely and bring the interest cost down pertaining to this aspect?

Deepak Goyal: So, Sameer, I have been kind of maintaining that generally we leverage our accruals to drive growth CapExes, pay dividend. We are a high dividend paying company, and invest in working capital to make sure that the growth does not get hindered, right? And after that, whatever is left, we pay to, let's say, pay off our debt. However, we do not pay off debt to compromise or we do not compromise our growth for paying off debt. And that is our strategy. We believe that in this market, we have a great opportunity to gain market share and drive growth for many quarters to come. And in the foreseeable future, that is how we plan to work.

On the interest rate, I agree this quarter kind of looks higher because this is the first quarter when Brazil's interest is coming in, right? However, if you look at the ROCE, our ROCE is improving. We are at 15.9% versus 14% last year same quarter. And as we keep delivering incremental profits without increasing our net asset, because our CapEx investments are equal to our amortization, our overall ROCE will keep improving and that is what we are working towards.

Sameer Gupta: Just a follow-up, Deepak. So let's say you have Rs. 100 of debt in Brazilian currency, which is incurring a higher interest rate, would it not make more sense to just replace it with an INR currency or currency which you are more comfortable with, given that it's a greenfield CapEx and does not require any recurring servicing?

Deepak Goyal: Yes. So that is, let's say, first of all, debt cost optimization is part of our core strategy. Now, Brazil as a country, and I am going to the specific point that you are making, Brazil as a country has a

volatile currency. And hence, the moment you add, if you take, let's say for example INR loan or USD loan or Yen loan, or we have looked at various currencies, the moment you add the forward covers to that, the landed cost in that country comes to be the same. And when you net off the tax benefits that you are getting in the country, etc., it could be marginally negative, right? And hence, the local debt at this point in time is making more sense compared to funding it from anywhere else in the world. However, having said that, our treasury team and we are kind of constantly looking at various options, how to optimize that, but that's part of the regular business that we are doing.

Moderator: Thank you. Next question is from the line of Pramod Parasmal Dangi from Unifi Investment Management, LLP. Please go ahead.

Pramod Dangi: Thanks and congratulations for the good set of numbers. Two questions. One is on the India, you said that there was some supply chain issue which is now being sorted out. Can you throw some light, was it some vendor supply issue or some machinery thing, if you can throw some light on that. Is it going to have some impact this quarter also, or now it's sorted out for the time to come?

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Anand Kripalu: It has been sorted out. And really one of the big ones was, we had planned to

augment our

specialized printing facility capability or capacity, and that installation was delayed, right, due to various supply chain reasons, right? And that is now fully installed, okay? We have also done other augmentation and so on and so forth, right, to ensure there is no supply chain barriers to our servicing demand. And sitting where we are sitting today, I feel that we are in a good place.

Pramod Dangi: Okay, great. And second, in Americas, as you just spoke, what the last participant asked, see, 19% growth in Americas, obviously, a part of that is driven by Brazil. If you can throw some light on like-to-like growth or ex-Brazil growth of the rest of Americas, how it may change, lower single-digit, higher single-digit, any rough number that will help?

Anand Kripalu: So, honestly, M&A, greenfield setup, and so on is part of our strategy to drive the growth ambition that we have, okay? So, Brazil is an integral part of that, and now an integral part of Americas.

Now, obviously, there is a kicker because the base was very small for Brazil, and the numbers are accruing now. However, all I will tell you is that the growth momentum from Brazil is going to continue. It is not as if the moment we lack the base for Brazil, that the growth coming from Brazil will disappear completely, okay? And every effort, through what Ram just said about new customers, augmenting capacity if needed, our modular plant and all that, is aiming to sustain high levels of growth from Brazil for the foreseeable future. So, while it will temper a little bit the contribution from Brazil, our ambition is to make sure that the overall growth rate for Americas stays reasonably strong. It may not stay at the current level of 18%, or 19%, but will stay strong. So, I think that's the best kind of flavor I can give you about what's happening there.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Can you talk about what is the capacity utilization of Brazil plant, and how is the growth in Brazil? And any client addition we have in this quarter?

Anand Kripalu: We have answered some of that.

M. R. Ramasamy: The answer is, 65% to 70% is the current utilization. As I told you that it's a modular plant, as we reach 75%, 80%, then we will add capacity, it's easy to add. It's a plug and play kind of a model.

So there is lots of traction. We expect that after a year that we will start scouting around the additional customers. But we now are able to get additional customers quicker than what we thought. It's a good market, it's a good acceleration. I think you will see going forward good results from there.

Sumant Kumar: So, do we add the 75% and do we require a CapEx for Brazil?

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M. R. Ramasamy: No. See, there's a lead time for any capacity accommodation. So we need to plan that once we have commitments from the customer, we will add. So, all I am saying is, it's not going to be longer to add capacity when there's a demand. So capacity demand, we keep continuing to mark quarter-on-quarter. The moment we see an accelerated demand, we will act fast.

Anand Kripalu: But the current growth ambition, we have capacity for that in Brazil, just to be clear. As we get new orders or new commitments from customers, as we start coming in, then we will augment that with a fresh line. But everything else in the plant is ready, utilities, everything, we just have to put the line in place. That is how it's been designed.

Moderator: Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil Upadhyay: Good evening and congratulations on a good set of numbers. I just have two questions. One is on

the India part. You mentioned that we have taken a provision for the employee cost because of the higher growth. If I adjust for the India performance

, and last full year we had seen Egypt was actually driving down the performance, but how's the performance at India? Are the things looking better for you? And can you quantify what is the amount of provisions we have taken in the employee cost?

Anand Kripalu: So, I am not going to tell you how much is provision for employee cost, but suffice to say that this is a provision. If we deliver the higher performance that we seek, then we will pay this out, right? Unfortunately, if we do not, then this will go back into the P&L, okay? So either way, for you, it should be a win-win situation. If the higher performance comes and it has to be paid out, you are still going to see the higher performance, which is great. If not, this will flow back into the P&L, right? So, I do not think it should be any concern other than the fact that there is some accrual right now that has happened, right, in our P&L. I say this as you can see this probably as a positive, that here's the incentive that people will get if they deliver a higher growth or a higher performance target, okay? So that's as far as the people cost part is concerned. What was the other thing?

Nikhil Upadhyay: Ex-of India, how is the performance?

Anand Kripalu: Ex of India meaning?

Nikhil Upadhyay: Sir, in AMESA if I consider, if we remove India, last year because of Egypt and some of those countries the performance was always under pressure. So, are you seeing any changes in underlying economies or you believe the performance is not changing for you there?

Anand Kripalu: Other than India there is only Egypt really. And I think Egypt has largely sorted itself out now. And performance in Egypt now is largely coming back on track, both performance and the P&L itself. We took the hit, as you know, as an exceptional item last time for the currency loss. And now Egypt is largely back on track, so Egypt should not be a drag on our AMESA numbers or on the India numbers a year after.

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Nikhil Upadhyay: Okay. Second question, see if I compare EAP versus Europe, the EAP growth has been better than Europe, but still there is a margin compression. Why is this difference of profitability when growth has been much higher but still margins are coming under pressure in EAP? Is there some one-off there?

Deepak Goyal : See, Nikhil, a 14% revenue growth and a close to 22% EBITDA margin and 16% EBIT margin I think is the kind of P&L that we believe is a very strong P&L. Now, 22% EBITDA margin is in the target zone for EAP. The team is working very hard to ensure that we keep growing or keep delivering a robust growth. Our B&C performance there is very, very strong. The margin is in the range. It's a combination of product mix, some pricing discussion, commodity mix, etc. So I think it's in the zone. So, I do not see a challenge in EBITDA margin there.

Nikhil Upadhyay: Okay. And just last question. It's very interesting that you said in India you are pushing for growth and you have created higher growth aspirations in creating an incentive system. But if you look at for all the four geographies, India is where the growth should be coming naturally, because the GDP growth and everything, all the tailwinds are much stronger. Is it competitive intensity has increased that's why we have pushed the team for higher growth and created a separate incentive system? Or is the incentive system across all the geographies similar?

Anand Kripalu: It's an incentive system across all geographies. And the incentive system, just so that it's clear, is about global EPL showing accelerated performance, and not only India or one region showing accelerated performance. Now, the reason why I called it out for India is that the corporate overheads and therefore the provision for this corporate people fits in the India standalone P&L. And their costs fit in the India

standalone P&L and hence that explanation.

Moderator: Thank you. The next question is a follow-up from the line of Mihir P. Shah from Nomura. Please go ahead.

Mihir Shah: Most of my questions are answered. Just one bookkeeping question on TSA. If you can just jog my memory, when does this end? I thought it was ending in August '24. And does this quarter also have some TSA element? And the margin of 20% you are talking about includes or excludes the TSA part as well?

Deepak Goyal: So August '24, Mihir, Deepak here. You are right that the amortization of the cost ends in August 2024 and hence Q2 FY '25 will be the last quarter to have this. The 20% plus margin that we speak about is all-inclusive, right? But the cost is about Rs.16 crore a year, which is what, 40 bps. So the benefit is kind of included in the 20% plus margin, but obviously we are saying that's exclusive of margin, but it's included.

Mihir Shah: And for this quarter, it will be like Rs.13 million and next quarter it will be like Rs.15 million, sorry, how much? It will be, say Rs.20 million or something. Is that correct?

Deepak Goyal : The total cost is Rs.40 million per quarter.

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Anand Kripalu: Yes, the total cost is about Rs .40 million per quarter.

Deepak Goyal : Next quarter it will come only for two months and after that it will not come.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Pratik Tholiya, for closing comments.

Pratik Tholiya: On behalf of Systematix Institutional Equities, I would like to once thank all the participants for logging i nto the call. And special thanks to the management for giving us the opportunity to host this call. Anand sir, would you like to make any closing comments?

Anand Kripalu: No, I just want to thank everybody for joining in and really asking some incisive que stions, and I look forward to your continued support.

Pratik Tholiya: Thank you so much, sir.

Moderator: Thank you. On behalf of Systematix Institutional Equities, that concludes this conference. Thank you for joining us. And you may now disconnect your li nes.

Call: Nov 2024

November 14, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation (s) dated November 4, 2024 and November 11, 2024, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on November 11, 2024, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 2024 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>

This is for your information and records.
Thanking you.

Yours faithfully,
For EPL Limited
Onkar Ghangurde
Head - Legal, Company Secretary & Compliance Officer
Encl.: As above

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"EPL Limited Q2 FY25 Investors Conference Call "

November 11, 2024

MANAGEMENT : MR. ANAND KRIPALU – MD AND GLOBAL CEO, EPL LIMITED
MR. M. R. RAMASAMY – COO, EPL LIMITED
MR. DEEPAK GOYAL – CFO, EPL LIMITED
MR. SHRIHARI RAO – PRESIDENT , AMESA REGION , EPL LIMITED
MR. ONKAR GHANGURDE – HEAD LEGAL , CS & COMPLIANCE OFFICER , EPL LIMITED
MODERATORS : MR. PRATIK THOLIYA – SYSTEMATIX INSTITUTIONAL EQUITIES

EPL Limited
November 11, 2024

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Moderator: Ladies and gentlemen, good day and welcome to EPL Limited Q 2 FY25 Investors Conference

Call hosted by Systemati x Institutional Equities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systemati x Institutional Equities.

Thank you and over to you, sir.

Pratik Tholiya : Thanks, Yusuf. Good evening everyone. On behalf of Systemati x Institutional Equities, I would like to welcome all the participants who logged into this Conference Call of EPL to discuss the 2nd Quarter and half year ending FY25 Result .

From the Management side, we have Mr. Anand Kripalu – MD and Global CEO ; Mr. M. R. Ramasamy – COO; Mr. Deepak Goyal – CFO ; Mr. Shrihari K. Rao - President, AMESA Region; Mr. Onkar Ghangurde - Head Legal , CS & Compliance Officer.

At the outset, I would like to thank the Management for giving us the opportunity to host this call. I would now like to welcome Mr. Anand Kripalu to take the proceedings forward and start with his opening remarks. Thank you and over to you, sir.

Anand Kripalu : Thank you so much , Pratik and hello everyone. And thank you for joining us for EPL's Q2 FY25 Earnings Call .

We are pleased to report a strong Q2 Performance with improvements across all core financial metrics, reflecting the impact of our strategic priorities as well as consistent execution. Our revenue for the quarter grew by 8.4% with an EBITDA growth of 19.7% and a PAT growth of 72%. Our EBITDA margin reached 20%, an improvement of 188 basis points, and that is in line with our commitment of delivering more than 20% margin. We delivered a ROCE of 16.5%, which expanded by 260 basis points over the previous year. Revenue growth was driven by good demand in major markets.

In the AMESA region, revenue grew by 3.7% with growth impacted by currency devaluation in Egypt. India reported 5% growth. The EAP region grew at 8.7% and the Americas recorded a solid increase of 9.4%. Europe demonstrated particularly robust demand with a high double-digit growth of 21% on a year-over-year basis.

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Our strategic focus on expanding the personal care and beyond categories yielded strong performance this quarter, with these segments growing 10.2% and now accounting for 48.2% of total revenue. Our continuous EBITDA margin improvement has been driven by revenue leverage, operational efficiency, and effective cost management. We saw continued improvement in Europe and Americas in line with our commitment. Europe margin reached 17% while Americas delivered a robust 18% margin. With nine consecutive quarters of steady growth, we are on track to reach our target of delivering more than 20% EBITDA margin on a sustained basis. Our PAT for the quarter grew by 72%. The depreciation and interest costs for the quarter were steady versus the prior year and the strong growth in revenue and EBITDA helped in delivering robust PAT growth. This is in line with our narrative that EPL presents a great ROE and ROCE expansion opportunity.

We have delivered a strong EPS of Rs. 2.73 per share, an increase of 73% over prior year. Consequently, we are delighted to announce an enhanced interim dividend of Rs. 2.50 per share.

Moving on to sustainability and recognitions :

Our dedication to sustainability and innovation continues to yield substantial recognition and results. We continue to support our customers in converting to sustainable tubes, and our recyclable tube mix reached 33% in quarter 2 of FY25. We are pleased to report a retail

and

improved EcoVadis Gold rating with our score advancing from 70 to 78, now placing us amongst the top 2% of companies globally, a testament to our reduced environment impact and commitment to ethical practices. Additionally, we surpassed our renewable energy sourcing goal

by achieving a 25% share of global energy from renewable resources, positioning us as a leader in sustainable energy use.

Our efforts in sustainability were further acknowledged through several awards. We received the Great Indian ESG Organization of the Year Award at the India Sustainability Summit. Our Nalagarh factory was named Factory of the Year at the PrintWeek Awards 2024 for operational excellence. And our community-oriented CSR initiative earned us the project of the year.

Moreover, EPL was certified as a Great Place to Work, highlighting our commitment to a positive and inclusive workplace culture.

Looking ahead, as we look to the future, we are well positioned to build on our recent achievements and drive continued growth. Our strategic focus remains on four key areas that will shape our journey moving ahead.

One, Brazil. I am happy to share that Brazil expansion is progressing very well. We gained one

more multi-national customer in the quarter and we have now three MNC customers in addition to the anchor customer. This progress demonstrates the tremendous potential of this exciting EPL Limited
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market. On margin, Brazil continues to have a positive impact and is accretive to our overall margin.

Second, Personal Care and Beyond. The personal care and beyond category recorded a solid 10% growth this quarter, driven by strong growth in the EAP and the Americas. We have a robust B & C pipeline anchored by Neo-Seam tubes and superior printing capability, which continue to see traction across market. On a long-term basis, we remain confident of delivering consistent growth in this category.

Third, sustainability. Our Q2 FY25 mix of recyclable products reached 33% versus 29% in the previous quarter and versus 21% in the previous financial year. All this is driven by accelerated conversion to sustainable tubes. Our broad portfolio of sustainable solutions positions us strongly versus our competition so as to further gain market share.

And our fourth priority, margin improvement. Our EBITDA margin of 20% in the quarter demonstrates the effectiveness of pretty much everything that we've done. The Europe margin at 17% and the America's margin at 18% are in line with our commitment to deliver operational efficiencies in these two regions. We will continue to drive cost optimization and operational productivity to deliver more than 20% margin on a sustainable basis. Further, our strategy of low increase in depreciation and interest costs augurs very well for consistent strong growth in profit after tax.

In conclusion, we remain focused on achieving sustainable double-digit growth while consistently delivering margins above 20%. Our commitment to innovation and sustainability will guide us as we navigate the future, positioning EPL for continued success.

With that, we will now open the floor for questions.

Moderator : Thank you very much. We will now begin the question and answer session. First question is from the line of Sameer Gupta from IIFL Securities Limited. Please go ahead.

Sameer Gupta: Firstly, on the India growth of 5%, now overall oral care space in India is doing well. We know the numbers, Colgate and HUL have reported. So, I just wanted to understand, I mean, it looks kind of subdued at an overall level. Is it primarily the beauty and pharma segments which are subdued in this category or your thoughts?

Anand Kripalu : Yes, so I'll give you just the overall perspective rather than getting into categories. So, I just want you to know that the 5% growth for India is affected by negative price mix. And let me just explain t

hat a bit more. In Q2 of the previous fiscal, we had amongst the lowest commodity prices and a positive overhang of pricing. In subsequent quarters, we corrected the prices

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downwards in line with commodity prices. And therefore, in Q2, what I can tell you, and while we don't report volume because we do believe it does not reflect our strategy, our volume growth in India is ahead of the revenue growth that we have declared because of that negative price mix.

Sameer Gupta : And this quarter it has anniversarized more or less ?

Anand Kripalu : It will anniversarize from Q3 onwards .

Sameer Gupta: Got it. Secondly, sir, on America's, now there is a lot of noise around with the new government coming in around more trade barriers and EPL exports from India and China to America's, the laminates part. And I know we have gone through this journey before with Trump 1.0, but I guess that was more limited to China. Is there any risk that you see this time and any broad strategy to counter that?

Anand Kripalu : Now, I may be answering questions above my pay grade now because what Trump is going to do, I really don't know right now. I'm not sure if anyone knows. Now I'll just give you my point of view, right? It may not be the way that point of view plays out, right. I think we have India and China as sourcing base for our laminates. So, today for instance most of the laminates we sent to the US go from India because there is a penal rate of import duty from imports from China. Now, the probability that there'll be penal rates of import duty from both India and China at the same time, I would reckon is probably low. If anything, I would say that India could have a point of global competitive advantage in a situation where imports from China become taxed more heavily. So, that is the view and that is the tax really that is there on laminates and the import duty on laminates. Now the reality is this, if there are some taxes to some extent that whatever is there, I mean that will ultimately reflect in our landing cost and that will go into the pricing model with customers. So, I don't think we should assume that will be out of pocket and all I can tell you is that because as a company we have cost leadership in our operating model

and our cost base, we will still be very competitive, right, even if we have to supply in the US market.

Sameer Gupta: Got it sir, that's very clear. Thanks for answering that. Lastly sir, if I may squeeze in, Europe, I understand there is a large growth and that is why the margin also has seen an uptake, historically high level of 17%. Now, over the years we have seen Europe has been kind of up and down, both in terms of growth and margins. So, just wanted to understand what is driving this growth and margins subsequently, and do you see this sustaining in the current ballpark or are there any one-offs that you would want to call out?

Anand Kripalu : So, there are no one-offs first of all, okay . Now we have given guidance that our Europe margins will be mid -teen , right and we absolutely believe that mid -teen is absolutely sustainable . Now,
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yes Europe has benefited from high volumes, but what is the sustainable part? Is that there have been significant interventions, whether it's to do with key management changes, and whether it's to do with manufacturing realignment to make the whole manufacturing cost base more cost effective. Now those are permanent, and all I'll tell you is this, that the interventions on manufacturing realignment have not yet fully played out. There is more to come. So, even if volumes were to temper to an extent, there are other cost interventions that will play out and that will help the overall margin. So, net-net, mid-teens margin for Europe is absolutely sustainable .

Moderator: Thank you. Next question is f

rom the line of Sudarshan Padmanabhan from J M Financial PMS.
Please go ahead.

Sudarshan Padmanabhan: Sir, while all the regions have been extremely well as far as margins are concerned, if I look at AMESA, right from last 6 quarters, the margins have been coming down. You did talk about currency impacts on Egypt. But except of it, is there any cost pressure that you see and how do you see the margins say in the next 4 to 6 quarters?

Anand Kripalu: So, you have visibility for India standalone numbers. So, let's remove the Egypt part and the currency impact in Egypt. I just want to say that Egypt in overall terms is doing extremely well as a business and we are very confident of solid growth and solid margins from Egypt. So, let's come to India. Now, if you look at India standalone, I explained that we had some low -cost commodity quarters with the benefits of price overhang. And therefore, the margins were probably a tad higher than our targeted range of margins for the India business . Today where we stand is we are probably not out of range by the way on the India margins, but probably at the lower end of that margin range. We actually believe that with certain interventions that the India margins will inch up from where we are now , right. But like I said , we are in the range, we are now at the lower end of the range and it will probably go towards the middle or the higher level of the range. But it is not as if that the margin of the India business is below where we have targeted for it to be with an overall ambition, which is the only margin guidance we've given of 20% for the company as a whole.

Sudarshan Padmanabhan: Sure. And sir my second question, there are two parts to it. It's more strategic in nature. I mean, if I look at from a strategic level, we have a new plant today in Latin America and Brazil, and we are vying for volumes . In your thought process , I mean, today, when you go and bid for business as you need to reinvest in your business, say from a longer term perspective, because as the volume comes in, the growth comes in, the operating leverage comes in, the margin keeps growing up. But what is it that you are comfortable with as far as margins are concerned? Because you also need to reinvest in the business and give the cost benefit to your plans to basically mine more wallet shares. So, if you can talk a little bit more the thin line between volumes taking market share and where you are comfortable as far as long- term margins are concerned?

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Anand Kripalu: I mean, if your question is really focused on long- term margin, I have nothing more to say other than to say that we want to deliver 20 -plus margins on a sustainable basis, okay? So, we are not changing our margin guidance beyond that, right, because we have given guidance on growth and margin and said we need sustainable double -digit growth and sustainable margins above 20% and I need to make sure that we start delivering both these on a consistent basis. So, I don't want to go out of step and give any different guidance as far as margin is concerned. I think your other hidden question on that was really about growth and our ability to invest in growth. Now, just as an example, for instance, the last major investment we made was the Greenfield in Brazil , which I have already said in my opening comments, is actually tracked very well. And I have to say we are pleasantly surprised at the opportunity that Brazil presents. And we are actually exploring the possibility of further expanding capacity in Brazil. Now, the other big opportunity

we think could be an onshore production facility somewhere in Southeast Asia. That is where we see a bit of a gap in our global portfolio. And that is something that we are actively evaluating.

Deepak Goyal: And if I could add Anand to this, Deepak here, we have always kind of maintained that this

business needs consistent growth investment. We invest our CAPEX equal to our depreciation or amortization every year, which is a sizable amount. It's about, let's say, anywhere between 350 to 400 crores and 60% of this amount goes into growth CAPEX. So, we have a sizable kitty which is available to us to drive that growth of double-digit revenue and we believe we will continue delivering on that promise.

Moderator: Thank you. Next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: I have two questions. One was, you spoke about some carry forward negative pricing impact on the base was high in India on the pricing side. Any other markets where you placed similar kind of deflationary impact. I just wanted to gauge how much would be that impact at a consolidated level. So, that's the source of my question?

Anand Kripalu: Yes, actually the only one that was material in terms of a negative pricing was really India. Other than that, I think everything has got anniversarized by and large.

Harit Kapoor: Got it. So, just a follow up is that Q3 should see almost a complete anniversarization across the markets basically?

Anand Kripalu: Yes, that is correct.

Harit Kapoor: And the second one was on Europe. You did answer the question on the margins etc. But just on this 21% growth, this could kind of double click a little bit more on any new customer wins or significant change etc. that's happened for this quarter because as the earlier participant was

asking, it's not been very common to see this kind of a number in the European market. So, while

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the cost side is obviously well appreciated, I just wanted to get a sense of also this 21% of growth and what's kind of driven that number specifically?

Anand Kripalu: Yes, so we have called out that the Europe growth is somewhat exceptional at 21%. What has fundamentally happened is that there is some new business that's come our way, but that may not have come into Q2, but will come as we speak around the corner. Q2, some of the existing customers have actually given us solid orders and therefore improvement in their wallet share. I think what is really important is that our teams have been able to significantly step up our ability to produce and our ability to provide service and quality at the right standard. So, historically, if such windfall volumes had come, we might have struggled to supply it fully and convert that into sales. This time, I think the team has really done a good job in making sure that production volumes and service levels meet the customer's demand and requirements. And I think that's the positive that's come out of that.

Harit Kapoor: Got it. And last thing was on sustainability. So, I think I read in your presentation that a third of the portfolio is now in terms of sustainability. Could you please remind me in terms of what are the targets for what part of the portfolio, how much percentage of the portfolio will be on sustainable products, maybe in the next 2 to 3 years? Is there some stated intent there?

Anand Kripalu: Yes, in 2 to 3 years, see we are currently at 33%. In the next 2 to 3 years, (+60%) for sure, okay?

Maybe even higher, right? And as you would appreciate, the percentage will be a combination of customers wanting to convert and our ability to supply, right? And both these conditions need

to be met, right? I mean, a customer doesn't want to convert, he's not going to convert, right?

But I think what we are seeing is accelerated conversion demand from customers. Some of the customers out there in India, for instance, and that is in the public domain have made a commitment that there will be 100% recyclable tubes in the not too distant future. Okay, now obviously we need to have the backend ready, which we do, and we are going to supply it there.

All I can say is that last fiscal for

the full year was 21, right? We are now at 33. This year average probably will be mid to late 30, maybe even touching 40. So, it is converting at an exponential rate at an accelerating rate, right, and I think this is here to stay.

Harit Kapoor: And the last question from my end was, are you seeing this as a source of competitive advantage from a market share perspective right now? Are you already seeing that, given you have the backend, you can scale up small clients, big clients, etc. You have the patents, the ratings are also in your favor in terms of, you mentioned EcoVadis Gold, etc. Are you already seeing that within existing customers or new customers, this is becoming a source of kind of competitive advantage in market share, winning market share gain, leading outcome?

Anand Kripalu: So, I just want to frame this. So, we are not the only people in the world who are doing sustainable tubes. Having said that, I think we have sources of competitive advantage which are to do with our laminate structure and therefore the amount of polymers that goes into a laminate

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that delivers the right barrier properties and our back-end readiness, we have over three years, we have been investing in CAPEX to ensure that we are able to deliver sustainable and recyclable tubes. So, we are ahead of others in the game. Now, as a result of this, we have seen wallet share gains happening in multiple markets around the world. Now, we believe this source of competitive advantage will stay and play out in the times to come and our objective is to stay one step ahead of this game, right. I can tell you that in Europe we are going to see shifts and therefore wallet share gain. We've seen some of that happening in India, right and there are opportunities in other places as well. So, net-net, absolutely yes. We see this as a source of competitive advantage and an opportunity to gain wallet share.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes sir, when we talk about Europe margin, you are talking about manufacturing alignment. So, can you elaborate what is the manufacturing alignment? And the second thing is for the margin expense and any other factors like operating leverage or product mix changes, what are the other factors driving margin for Europe?

Anand Kripalu: I mean all the factors obviously are contributing to drive in margin for Europe. But just on a cost standpoint, what we have done is we have realigned some production capacity from Germany to Poland. When you move lines from Germany to Poland, the labor costs are lower in Poland, second is you can actually run seven days whereas in Germany, you run five days. So, you get 40% more capacity from the same machine. So, you can actually sweat your assets far better. There has been some rationalization in terms of organization structure. And like I said, there is another intervention in terms of manufacturing realignment of a project that is currently underway that will play out in the next 4-5 months. So, apart from that, of course, like I said, the volumes have helped, let's throw the mix but the volumes have certainly helped and our pricing has helped. The ASPs have helped as well. But the cost part is fully sustainable, right? And as I said earlier, we aim to build on that with a few more interventions.

Sumant Kumar: And this margin is going to sustain?

Anand Kripalu: Well, I have said that mid-teens' margin will sustain. Now, mid-teens could be 100 points more or less here and there, but mid-teens' margin will sustain that is the guidance we will give.

Sumant Kumar: Can you talk about Brazil, how the Brazil's sales margin and are we doing any capacity expansion there?

Anand Kripalu: So, Brazil is doing very well and Brazil margin are margin accretive to the Americas and

to our

global markets. We have been pleasantly surprised with the kind of demand we are getting and we are getting demand not just for oral care but by the way, we are getting a lot of demand also for EPL Limited

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beauty and cosmetics which is in line with our strategy. Beauty and cosmetics typically tends to be ASP accretive and margin accretive for the business. We are currently evaluating capacity expansion in Brazil particularly to support the beauty and cosmetics demand that we are seeing.

Moderator: The next question is from the line of Akshat Bairathi from RSPN Ventures. Please go ahead.

Akshat Bairathi: So, I have just one bookkeeping question. So, why your other income has doubled from the previous quarters. So, is there any one-off or what has contributed to the increase in the other income?

Deepak Goyal: It has two parts. One is that we get some incentive in Brazil, which is linked to our investment in Brazil. It's a long-term incentive and that kind of goes in there. And then second is our export linked incentives are kind of higher and that also goes in there. So, those are the two facts.

Akshat Bairathi: And just a follow-up, sir. So, will this come in the coming quarters as well, or this comes in single quarter in any ways?

Deepak Goyal: See, the Brazil incentive will continue. The export incentive is dependent on the quantity of export that is done in a particular quarter and could go up and down. And hence, it could kind of go up and down accordingly.

Moderator: Thank you. Next question is from the line of Anish Jobalia from Girik Capital. Please proceed.

Anish Jobalia: Sir, my question is related to the finance cost. So, we are basically generating at around Rs. 30 odd crores. So, if we annualize this, we are paying around Rs. 120 odd crores of finance cost and at the start of the year our debt was around Rs. 800 odd crores. So, just want to understand why our finance cost as a percentage of debt runs in high double digits and what can we expect going forward in the next few quarters would be helpful to understand this year?

Deepak Goyal: Yes. So, there are two points here. One is the finance cost is not only the interest. It also includes our bank charges and things like, let's say, factoring, which does not come in the debt. However, factoring is the invoice discounting. However, the cost of that comes in the financing cost. So,

dividing, let's say, Rs. 120 crore versus Rs. 800 crores are not like -to-like comparisons. Second is what you see is a closing debt number and hence average for the quarter could be different. The third point is that we also have debts in countries like Brazil, Mexico and Colombia and these Latin American countries have higher rate of interest. So, like-to-like we are amongst the lowest cost kind of companies because of our AA+ rating that we have. So, in India our cost of interest would be very, very competitive. But because of our global presence, we also borrow in countries where the cost of borrowing is quite high. So, it's a combination of these three things, because of which it appears like that.

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Anish Jobalia: Got it sir, so is there any scope for restructuring in this high-cost countries so as to be able to reduce this interest cost going forward? Is there any strategic vision around this?

Deepak Goyal : So, if you look at our overall finance cost, it has grown versus prior year only at about 5% while the revenue has gone up etc. and it is our consistent effort to optimize the cost. Unfortunately, when the prima facie while it seems that could be kind of borrowed in India and then invest in, let's say Latin American countries etc. The moment you add the forward cover cost and we don't want to take currency risk, we are a conservative organization, the cost more or less fits there. However, having said that,

we are consistently evaluating various options and will continue to do so.

Anish Jobalia: Okay sir, and my second question is, do we expect to do double digit growth rate for the full year, given the visibility that we would be having in the business?

Anand Kripalu: I mean, what I'll tell you is that on an H1 basis, we are at 9.5% growth, right, if you add Q1 and Q2. Now, our effort absolutely is to deliver double-digit growth. Now we play an overall portfolio of regions and countries, and we are hoping that if something goes up, something else may go down and vice versa. What we do not know therefore is really what how this will play out really in India and China where there is some flavor of softness that seems to be emerging right now not so much in our business but in terms of what we can see. So, what we are doing to try and securitize double digit board is to make sure that you have a strategy to compensate right for any softness that comes in this key market. Now, whether that will definitely total up to 10% in this fiscal or not is really hard for me to say. But at the end of H1, we are within spitting distance of that. But how exactly things will play out in H2 is really a little hard for me to see right now and I think we'll have to just suck and see how it goes.

Moderator: Thank you. Next question is from the line of Hemant, individual investor. Please go ahead.

Hemant: Sir, I have one question. Like in H1 FY 25, we have done an EBITDA of close to Rs. 410 crores and revenue of Rs. 2100 crores approximately. And our expectation for FY27 was Rs.1050 crores to Rs. 1200 crores of EBITDA and revenue in the range of Rs. 5400 to Rs. 5800 crores. So, are we sort of in our aspirational target for FY27 given the kind of decent growth which we had in H1 ?

Anand Kripalu: You were talking about the guidance we had done for FY27 when we did the investor road show and in the investor deck. Is that right?

Hemant: Yes, I had a look at one of the old investor presentations. I think it was even FY24 Investor Presentation.

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Anand Kripalu: Yes. So, let me say this, I don't think we are upping anything right now. Now, if we are a little ahead of the curve versus the medium-term ambition we have set, right? That's great. But I think we have our task cut out to actually deliver whatever we have committed till now. But as we have said, we are doing everything we can to get to those aspirations, right? Both in terms of growth and of course in terms of absolute EBITDA and margin.

Deepak Goyal : And Anand, if I could just add, I think more important is that the initiatives that we called out in that presentation. And we called out initiatives for double digit revenue growth, sustainability led competitive advantage, and continued margin expansion. I think those initiatives have played out quite well. And we can see those initiatives reflecting in our results. So, if everything goes well, hopefully we will achieve and kind of beat those results. But I think we are continuously, we as management are continuously striving to achieve and beat those targets.

Hemant: Because I think sir, Rs. 410 crores of revenue in H1, even if I annualize it, Rs. 410 crores of EBITDA in H1 FY 25, and if I just annualize it, it comes down to nearly Rs. 800 crores of EBITDA, right? And Rs. 1050 to Rs. 1200 crores of EBITDA is our aspirational target for FY 27?

And we are hitting maybe crossing at Rs. 800 crores of EBITDA in FY24 only?

Deepak Goyal : I think you are complimenting us for the good work that we have done. We will kind of do that and then we kind of do our next set of let's say investor presentation. We will come and talk about how the future is looking.

But at this point in time, I think we are very happy with the progress that we have made, how we have delivered on the initiatives that we spoke about. And I think our effort

is that we continue making this progress.

Hemant: So, sir, will it be possible for you to quantify the double-digit revenue growth, I mean quantify numbers? Range may be or any ballpark number, will it be in high teens, will it be in late teens or something? Or will it be early teens?

Anand Kripalu: I think we first need to get to double digit growth.

Hemant: Double digit growth is, we are already at 9.5% right?

Anand Kripalu: No, we are at 9.5 but we are not at 10.5. See, listen, I do not want to raise our guidance. Our guidance is what we have given. Once we consistently start delivering, and I can tell you a lot of the initiatives we've taken on growth, we'll start bearing fruit because in this business, customer acquisition, once you get it, it's sticky, but it also takes time to get new business. But all the initiatives we have put in, we are confident we'll start delivering higher levels of growth, particularly through beauty and cosmetics. And once we are there, I think we would revisit whether we are in a position to then raise our guidance. But as of now, we should assume double-digit growth is 10 plus.

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Hemant: So, sir, can we expect a sequential kind of growth from Q3?

Anand Kripalu: No, I'm not going to give more flavor than this, honestly. And we are not a sequential business either. We are in a year-on-year business. For instance, in Q3, right you'll see that in our base numbers as well some of the regions have a softer quarter because of Christmas, so the western world tends to shut for a week or two weeks because of Christmas and therefore the quarter is softer, so we don't want to give sequential guidance of any kind. Please stick to double digit growth with 20 plus margins really as our guidance.

Hemant: So, I'll forget about the quarter sir, I'll just talk about the H2, so H2 should be better than H1?

Anand Kripalu: You're asking me to say things that we don't want to submit beyond what guidance we have given. I can't really give you short-term guidance beyond that.

Moderator: Thank you. Next follow-up question is from the line of Sudarshan Padmanabhan from JM Financial PMS, please go ahead.

Sudarshan Padmanabhan: Sir, I would like to understand if I look at your margins, I mean, we had talked about 20% plus. Can you give some color with respect to the raw material and crude? You should be working on a gross contribution per kg, which means that if the crude goes up or down, probably our absolute EBITDA doesn't change, only the margin changes?

M. R. Ramasamy: See, currently most of the raw materials are range-bound. It's not going very high or very low.

And as you know, 50%-55% of our business is contractual business. We will catch up with the price in the next quarter. So, we don't see a big risk. Then you also have that all our efforts are on beauty and cosmetics, which is a margin-accretive, right? So, we will get much better absolute margin on those areas. That's where the growth is also at. And we are saying 10% growth in this quarter has come down, personal care products. So, I think we don't see a big risk that we will continue to be in the range of 20% globally figure that is our objective.

Sudarshan Padmanabhan: And my second question is on Brazil. You we talked about availability of further expansion potential in Brazil. Just wanted to understand how much is the CAPEX we have put and how much is the land available for us to expand?

M. R. Ramasamy: See, we explained in the earlier calls, it's a modular rule, right? We have built in such a way that we could continue to expand for the next 1 or 2 years. That's how the plan is built. So, we don't need to add any additional cost and utility and building something like that. However, we need to invest on the CAPEX. Our total CAPEX guidelines will continue to be in our depreciation level. We invest

in Brazil, we invest in that, that we will try and ensure that CAPEX is well within that. But we will prioritize where the opportunity is at.

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Sudarshan Padmanabhan: So, how much are we invested in Brazil till now?

M. R. Ramasamy: \$25 million is what we have invested so far.

Sudarshan Padmanabhan: One final strategic question. Sir, beyond FY27, your aspirational goal in achieving. Do we have enough on the plate on the current set of businesses or with the cash that we are generating, should we be looking at any adjacent fees or additional businesses to go further?

Anand Kripalu: Actually, our stated position as of now is that we want to play in tubes and in no other area of packaging. We don't want to play in aluminum tubes, so we want to play in all forms of ABL and PBL and recyclable tubes. Okay? That's our business. Now, our market shares actually are

just about 10% in pharmaceuticals and in beauty and cosmetics. So, we believe the headroom for growth through beauty and cosmetics within tube is huge while we continue to inch up on our shares on oral care. Now we believe that this construct of the market opportunity will allow us to deliver sustainable double digit growth. I think if and when we start seeing diminishing opportunities for double digit growth coming out of our existing space or our chosen strategic areas, that's when we will think about whether we should use cash to go into any kind of adjacencies. But what I want to say is that we are an end-to-end integrated business starting from polymers all the way to the finished tube. And one of the things we are doing is actually to increase the amount of in-house manufacturing of caps for instance, which is a captive business. Now you may call it an adjacency but it goes snug with the tube. So, those are the things we are doing. But do we want to go into other kinds of laminate? Do we want to go into paper packaging? Honestly, right now, that is out of scope.

Moderator: Thank you. Next question is from the line of Pushkar from Sequent Investments. Please go ahead.

Pushkar: My only question is, for the next couple of years, we are only planning maintenance CAPEX or there is some CAPEX for capacity addition or something a huge CAPEX in the next 2-3 years that we are planning?

Deepak Goyal: Sure. I will take that question. So, we sell more than eight billion tubes kind of every year and when we say double digit revenue growth, it definitely means high single digit volume growth as well which means that we will be adding anywhere between 600 to 800 million tubes every year. That is more than the capacity of most players in this business. To deliver that kind of volume growth, we consistently do capacity expansions. And that is built into our double-digit revenue model or the cash flow model that we've been talking about. Do we foresee any out of the order, extra ordinarily large CAPEX at this point in time for the organic business growth, no, that kind of CAPEX is not foreseen. If there is any M&A opportunity that comes in etc., that would come on top. But for that, even growth could be on top.

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Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Pratik Tholiya for the closing comments.

Pratik Tholiya: Thanks, Yusuf. On behalf of Systematic Institutional Equities, I'd like to thank the management for their candid replies to all the questions. Thanks to all the participants for asking the questions.

I'd like to hand it over to Anand sir for any closing comments.

Anand Kripalu: No, I think thank you, Pratik, and thank you everyone for participating and continuing to keep the faith in EPL. Thank you.

Pratik Tholiya: Thank you so much, sir.

Moderator: Thank you. On behalf of Systematic Institution

al Equities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 17, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation (s) dated February 4, 2025 and February 11, 2025, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on February 11, 2025, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on December 31, 2024 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>

This is for your information and records.
Thanking you.

Yours faithfully,
For EPL Limited
Onkar Ghangurde
Head - Legal, Company Secretary & Compliance Officer
Encl.: As above
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"EPL Limited
Q3 FY '25 Earnings Conference Call "
February 11, 2025

MANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER –
EPL LIMITED
MR. SHRIHARI RAO – PRESIDENT , AMESA REGION –
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD - LEGAL , COMPANY
SECRETARY & COMPLIANCE OFFICER – EPL LIMITED

MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX SHARES AND
STOCKS

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Moderator : Ladies and gentlemen, good day, and welcome to EPL Limited Q3 FY '25 Earnings Conference Call hosted by Systematix Shares and Stocks. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix Shares and Stocks. Thank you, and over to you, sir.

Pratik Tholiya: Thanks, Nirav. Good evening, everyone. On behalf of Systematix, I would like to welcome all the participants who have logged into this conference call of EPL Limited to discuss the third quarter and 9 month ending FY '25. Today, we have with us from the management team Mr. Anand Kripalu, MD and Global CEO; Mr. Deepak Goyal, CFO; Mr. Shrihari Rao, President, AMESA Region ; and Mr. Onkar Ghangurde, Head - Legal, Company Secretary and Compliance Officer. At the outset, I would like to thank the management for giving us the opportunity to host this conference call.

I would like to now invite Mr. Anand Kripalu to begin the proceedings with his opening remarks.

Thank you, and over to you, sir.

Anand Kripalu: Thank you very much, Pratik, and hello, everybody. And thank you for joining us for EPL Q3 FY '25 Earnings Call. We have delivered another solid quarter, culminating in 10 consecutive quarters of margin expansion, coupled with continuous double-digit EBITDA growth. The strong turnaround in Europe and Americas is now evident and our B&C business, in line with our strategy, has delivered double-digit growth.

Importantly, PAT grew very strongly, and ROCE has improved even further. EBITDA grew by 12.4%. EBITDA margin reached 20.3%, delivering an improvement of 152 basis points year-on-year. Our adjusted PAT, excluding base year one-offs, grew by a solid 34% versus the prior year.

We delivered an ROCE of 16.9%, which expanded by 321 basis points year-on-year. Revenue growth was a modest 4%, driven by strong performance in Europe and Americas, partially offset by AMESA and EAP. Specifically, Europe and Americas grew by 8.7% and 7.3%, respectively, reflecting the efficacy of our growth strategies and the strong pipeline in the regions.

AMESA grew by 1%, impacted by demand slowdown in India and currency devaluation impact in Egypt. In India, we believe the market softness is short-term in nature. EAP revenue declined by 1% due to the continued effect of macros in China. However, we continue to make strong overall progress in the B&C sector, where we experienced double digit growth year-over-year at 10.3%.

The Non-Oral Care segment now accounts for 48.7% of our total revenue. In summary, the growth in EBITDA and PAT, coupled with strong cash flow generation, helped reduce our net debt-to-EBITDA ratio to 0.76x and the ROCE further improved to 16.9%. Sustainability remains at the heart of our strategy, and we are pleased with the progress we have made so far.

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Today, 31% of our portfolio consists of sustainable tubes, and we are actively collaborating with customers to provide innovative solutions that align with their own sustainability goals. Our commitment to responsible practices has been consistently recognized, including a Green rating for the third consecutive year under the Ellen MacArthur Foundation's Plastic Circular Economy goals.

Innovation continues to be a key driver of our success, as demonstrated by recent recognition with two prestigious IFCA awards for our advanced tube solutions. Looking ahead, we remain focused on achieving EcoVadis platinum, further strengthening our position as a leader in sustainability

and innovation.

As we look to the future, we believe we are well positioned to continue our journey towards delivering double digit revenue growth and strong operating margins. Specifically, in addition to our ongoing strategic focus areas, we are taking further initiatives to mitigate the soft macro impact in India and China.

In relation to this, I am very happy to share that we have approved a Greenfield expansion in Thailand. Southeast Asia is a very promising tubes market, and we cater to parts of this market today through exports from China. We know this market well and already have an established customer base, along with a strong pipeline. Our significant success in Brazil gives us huge confidence to replicate that experience.

We have committed an initial investment for this beauty and cosmetics focused facility, repeat with tubing, printing, etc., and it will start production in H2 FY '26. Additionally, we have aggressively started capturing export opportunities from India and China. We have added new business development headcount for exports and have started building new pipelines there.

Further, we have made positive progress on a few large accounts in India, which hold significant potential and should materialize in the next few quarters. At the same time, we are pursuing our other priorities even harder. First, Brazil. I am pleased to share that Brazil continues to perform very well. We see new product orders from our newly acquired customers, especially in Beauty & Cosmetics as well as Neo Seam.

We have initiated capacity expansion in Brazil to cater to better-than-expected Beauty & Cosmetics demand, and this new capacity will go online by Q1 FY '26. Capacity expansion in this Greenfield location in less than two years post-commercialization speaks volumes about our confidence in this market.

This also gives the confidence to succeed in new geographies. As far as Personal Care & Beyond is concerned, we have delivered double digit growth in Beauty & Cosmetics in Q3 FY '25, led by robust performance in EAP and the Americas regions. We have a robust B&C pipeline anchored by Neo Seam tubes and superior printing capabilities. We are getting new customer contracts across geographies and feel confident as we build our performance in this important category even further.

On sustainability, we continue to see strong conversion towards sustainable tubes, and our YTD mix reached 31% compared to 21% in FY '24. We see sustainable tubes as a way to gain wallet

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share over the medium-term, and the current momentum in sustainable tubes is strongly taking us in that direction. Finally, on margins.

Our margins, as you would agree, are in a strong position, as demonstrated by our consistent progress over the past many, many quarters. We have seen continued margin expansion in Europe and Americas, driven by specific restructuring and cost optimization initiatives. We feel optimistic about sustaining and improving these margins even further.

There is a comprehensive plan to bring back margins in India, and we have initiated actions to make sure that this happens. Hence, we feel very confident of delivering continued EBITDA growth ahead of revenue growth. In addition, our strategy of controlling capex and interest costs positions us well for consistent, strong growth in PAT as well as improvements in ROCE.

Finally, as we look ahead, we remain focused on manoeuvring the short-term market softness that we've been experiencing and accelerating our top line to deliver double digit growth with continued margin improvement.

With those opening remarks, I would now like to open up the line for questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain

in: In fact, two questions. First is on the India. I think in the previous earnings call; we mentioned that the slowness in the India revenue was temporary, and we were taking price hike and that should push the Q3 revenue. I think things have gone down ways post that call because the revenue growth has been just 1%, which implies there has been a volume decline on a Y-o-Y basis. How does the Q4 look like now we are already a month past into that?

Number two, India EBITDA margin sequentially has declined, and you have mentioned that you are able to completely pass on the raw material prices. Can you break it what is the margin forgone in this quarter because of timing mismatch in the raw material price increase and our price increase for the customer? That is my first question.

Anand Kripalu: Yes. So, I'll deal with the volume and on the India margin, what exactly happened. But more importantly, what we are going to do to improve it, I'm going to just ask Deepak to help me out there. Now first of all, I just want to say that we have had volume growth in India, and we don't report volume for good reason.

We have had volume growth in India. And YTD, our volume growth in India is about 5%, okay?

So, I just want to articulate and make sure that we understand that there is volume growth momentum as far as the marketplace is concerned. Now some quarters, you sell a bit more, some quarters, you sell a bit less.

And if you were to compare that with customer performance, there is a lead lag factor that actually happens. So, we are not actually concerned that there is a significant slowdown.

The revenue, of course, I agree with you, is less than what we would have desired. And the impact of that revenue is partly the market where there is some slowdown without a doubt, okay?

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And also, the mix that has actually not been favorable this particular quarter, okay? So, I just

want to say that I can't tell you what's going to happen in Q4, but I don't think the numbers of revenue actually reflect how we feel. We feel a lot better because there is underlying momentum in the business, okay? So let me just share -- ask Deepak to share a bit about margin and what's happened there.

Deepak Goyal: Yes. Thanks, Anand. So, India margins, EBITDA at about 17% is lower than our expectations.

We are not happy with it. The reason for the lower EBITDA is slow revenue growth, which obviously puts a lot of pressure on the fixed cost leverage. The gross margins are marginally lower, driven by the continued pricing impact and the mix that Anand just spoke about.

And also, we shared in earlier calls that we have invested in personnel cost in AMESA, especially in India, in functions like sales. And those costs, we have not been able to leverage because of the slower revenue growth.

The culmination of this is reflecting in the EBITDA numbers, which is at 17%. However, we have taken very concrete actions to shore these margins up, and we are confident of bringing these back by about 150 basis points over next few quarters. And those actions have already been implemented in the business.

Sanjesh Jain: But Anand, in the presentation, we have mentioned that the Beauty & Personal Care has grown by double digits, I think more in India and EAP region. I thought that mix could have improved...

Moderator: Sanjesh, your audio is not clear. Can you speak a little louder, please?

Sanjesh Jain: Anand, you mentioned in your opening remarks that we have seen double digit growth in the Personal Care in these regions, which is AMESA. Then how has the mix deteriorated? Can you elaborate on that?

Anand Kripalu: No, I said Beauty & Cosmetics has grown globally double digit, right? I did not say specifically that it's grown double digit in AMESA, okay? So, we have had higher growth in the other regions and less growth on Beauty & Cosmetics

clearly in AMESA. But what I want to tell you is this

that on Beauty & Cosmetics specifically, you will see renewed momentum, particularly in India, right, in the subsequent quarters, right? And we can see that beginning to actually play out now.

Sanjesh Jain: My second question is on the Thailand Greenfield expansion. Why there is a requirement now?

Because geographically, China is quite close. What compels us in terms of putting the capacity in Thailand and what advantage that it gives? And number two, what is the quantum of capex are we looking to invest in this plant?

Anand Kripalu: So, I'm not in a position to tell you the quantum of capex just now, right? And we will disclose that at a subsequent date. However, I'll give you the logic of why we are doing this. So, we're already exporting a fair amount of tubes, largely Oral Care, from China to Thailand. Now as we have put business development resources on the ground in Thailand, what we have seen in terms of our pipeline is a very large number of Beauty & Cosmetics customers where typically the MOQs, the lead time, the pace of ...

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Moderator: Ladies and gentlemen, please stay connected. The line for the management dropped.

Participants, please stay connected while we rejoin the management back to the call. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Sir, you may go ahead.

Anand Kripalu: Yes. So first of all, I'm not in a position to disclose the specific capex investment that we are putting into Thailand. But what I do want to say is that we have already built a reasonable business in Thailand, predominantly Oral Care exporting from China. As we put two business development people on the ground in Thailand to sense out and develop that market, what we have realized is that Thailand is a very evolved beauty and cosmetics market.

And when we look at the pipeline that these two business development managers have put together, we find that there's a huge list of Beauty & Cosmetics customers, but they typically have smaller MOQs, lower lead times, and higher rates of change in innovation. Now that kind of business is not possible for us to do from outside the country.

We believe that the high ASP margin accretive opportunity is there with Beauty & Cosmetics.

And that's why we are setting up a focused Beauty & Cosmetics unit at least to start with in

Thailand. Once we are on the ground there, then we will see whether we want to localize whatever is exported from China and so on and so forth. But that's plan B. That's not the plan for now.

But Thailand is a large market of about 1.5 billion tubes, right, based on our last assessment.

There's one large tube supplier on the ground in Thailand. And we believe we have a huge opportunity to get a significant wallet share in that market today. What we have today is a small part, right, of that wallet share. So that is our thinking. And given our confidence from Brazil, I mean, we really feel we can have a bite of this cherry, which is Thailand.

Deepak Goyal: And Anand, I would also add that there are markets of Indonesia, Vietnam, Malaysia, right, which are nearby and having a facility in Thailand also allows us to cater to those markets, especially in the B&C category that we are not able to do from China today. So, it's a very large, exciting market and we believe we have a great opportunity to build share there.

Sanjesh Jain: That's pretty clear. My last question is on the EAP. That geography was doing decent. What's transpired there? It appears to be declining now?

Anand Kripalu: Yes. So, there have been macro challenges in China, okay, which have been there for probably the last couple of quarters, okay? Now how do I see China evolving? See, first and foremost, we don't export from China to markets that could get impacted by a Trump tax. We do some exports,

like I said, in Thailand and so on in Southeast Asia, in ASEAN.

And the rest of our business is actually now domestic demand. So, what we are doing is we are staying focused on domestic demand and going to further accelerate our efforts behind Beauty & Cosmetics. Specifically, we have also put in place -- earlier, we used to only focus on converting Beauty & Cosmetics from extruded tubes to laminated tubes.

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But now we have also put in an extruded facility in our China market to go head on and gain share of the extruded tube market and we've already tasted some initial success, right? And we are thinking of even expanding this capability and facility further. So, we are going to keep pushing Beauty & Cosmetics.

Oral will probably go at a very modest rate within China. So, Beauty & Cosmetics has to be the mainstay of our growth strategy. But through extruded tubes, through the setting up of Thailand, through more aggressive exports into ASEAN countries that Deepak said, whether it's Malaysia or Indonesia, we are committed to bringing back solid growth to EAP and working around the, at least the short to medium-term softness that may exist in China.

Our own team's reading though is that the domestic market in China is not very soft. It is the export driven companies and employment of people who are export driven companies that is more impacted than a company like ours. So that is our thinking. And basically, we can't do anything about the macros. I think what you have to -- just recognize is that everything around those macros that we are doing to make sure we mitigate any impact of those macros.

Moderator: Next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Firstly, just a continuation of the previous participant. So, we've seen a slowdown in revenue growth across geographies, more so in AMESA and EAP, but even Americas and Europe has seen a decent slowdown from the last quarter. So -- and particularly in AMESA, I remember that you had mentioned there was negative pricing till last quarter, which was to be anniversarized in this quarter?

So, considering that the slowdown is even more, now my question is that if particularly China and India are affected by a soft macro, these are not things that just turn around in a couple of quarters. So, what is your outlook? I mean, if double digit revenue growth is the guidance, by when do you think you can get back on track to deliver those?

Anand Kripalu: So, I mean, you're absolutely right. The macros may be short-term, medium-term, but more importantly, there is very little we can do about it. What we can do something about is everything around those macros, right, to make sure we mitigate the impact of the macros. So first of all, let me just focus on India.

China, I spoke about the various things we are doing, right, which we believe will get us back to a high level of growth. As far as India is concerned, our Beauty & Cosmetics performance thus far has been soft. But I'm telling you that looking ahead, the performance is going to be much stronger, and we're already seeing signs of that happening.

When we call ourselves AMESA region, there are markets outside of India and we are significantly increasing the aggressiveness behind getting business outside of India, which is the

export market, okay? And thirdly, there are some big customers with whom we have made actually significant progress, right, which could unlock significant market opportunity.

Now these are the things we are doing really to make sure that we beef up whatever growth we have to compensate for the macros, right? And of course, we've already spoken about what we

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are doing on the margin side. So absolutely, when we look at our numbers, when we look

at our

outlook, right, for, let's say, FY '26 and beyond, we are absolutely aiming for double digit growth in this business, okay? And we are building multiple levers in terms of plan to get there. Now if the macros also turn around, well, I think that will be magical.

Sameer Gupta: Second question, sir, on Thai land. I know you do not want to disclose capex and revenue run rate details at this point. But just trying to understand the thought process. Typically, we do Greenfield where there are committed volumes and a large anchor customer, which was our experience in Brazil?

This time in Thailand, if it's going to be for Beauty & Cosmetics with multiple number of players, smaller batch sizes, not committed type of volumes, also pricing, I remember, in Non-Oral Care is not contracted. So how do you mitigate these risks? So, let's say, volumes drop, or customers back out, what happens then?

Anand Kripalu: So, you're absolutely right. Historically, we have always gone on the back of a customer commitment. But that by definition has been Oral Care. And therefore, we have been an oral company to start with in those markets. In Thailand, what we are planning to do, and that's why I'm just explaining the concept is, we have a significant oral volume.

We're going to keep exporting that from China for now. But what we are doing is to set up a facility, repeat with printing, tubing, etc., to give us local presence and therefore agility of a very different order. Our pipeline is very strong. And I think the moment we set up shop, we are very confident that we are going to get significant B&C volume from the start, okay?

But what we are doing is, therefore, we are not setting up a facility like we did in Brazil, right?

We're setting up something smaller, but we'll have all the modular capability that we have had in Brazil, right? So, this is our approach to also unlock Beauty & Cosmetics first rather than going as an oral company.

Deepak Goyal: Sameer, just to kind of add, we now have had our salespeople on the ground in Thailand for more than a year. And in this past year, we have developed a very strong pipeline on the ground already, where multiple many of those orders are in finalization stage. So, we feel very confident of getting that volume given the response that we have seen. And hence, it would be an exciting opportunity to capture.

Sameer Gupta: So just a follow-up here. What would be the nature of these customers? I mean will there be contracted customers and committed volumes even, let's say, for a two year, three year period?

Or it will be as you go, you will get volumes, etc. ?

Deepak Goyal: These are Beauty - largely Beauty & Cosmetics players, with whom we will have contracts, may not be driven by the quantity-led contracts, but there would be agreement, which will say that EPL is a supplier to these players. Many of these products are long-term or long development kind of product in nature.

And hence, continuance of supply is kind of very high probability. Also, Thailand is a large skin care market. And the entire Southeast Asia that this facility can cater to is a very strong beauty EPL Limited

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and cosmetics kind of play. And hence, our ability to capture to all of that market and build this geography is very high.

Sameer Gupta: Just final question, if I may squeeze in, and this is more of a bookkeeping one. Tax rate this quarter is low. I understand base quarter had some one-off, but you haven't called out anything this quarter. So just trying to understand any guidance you can give for FY '25 and beyond, especially for tax rates. We kind of struggle in modelling this?

Deepak Goyal: Yes. So, Sameer, this quarter, we have had the benefit in China. In China, we get an exempted - not exempted, but concessional tax rate due to high technology -- being a high technology company. That concession

for year 2024 onwards was due for renewal. That renewal came in December.

And hence, earlier months when we provided for 25%, we took that reversal in this quarter. Large part of this concession or the reversal belongs to this financial year itself. And hence, it's not a one-off in nature or exceptional item in nature. However, this quarter, we have had the benefit.

For a steady-state tax rate, we should look at YTD. YTD, our tax rate ETR is about 16.9%, which is pretty much, let's say, in line with last year, which was about 18%. There's a country mix benefit, which is coming in. And long-term, I think our tax rate guidance has always been between 20% to 22%, and that should remain.

Moderator: Next question is from the line of Akshat from RSPN Ventures.

Akshat: So, sir, my question firstly is on the gross margins. So, this quarter, our EBITDA margins are broadly driven by 200 bps improvement in our gross margin. So, do we see this sustaining going forward? And second question will be on the Brazil and Egypt currency depreciation this quarter. So, there have been a sharp depreciation in Brazil and Egypt. So how much will be the impact

of that in the revenue this quarter?

Deepak Goyal: Yes. So, first, talking about the GC. GC is driven by -- first of all, there is a mix improvement. Second, there is also a positive geography benefit. We have seen Europe and Americas results improve. These geographies deliver a strong gross margin. And with that mix improving, our overall gross margins have improved.

We look at our EBITDA performance as a full P&L. And now I'm coming to the second part of your question, do we see it sustaining? So, on the EBITDA margin, we are confident of keep

improving our EBITDA margins and delivering growth ahead of revenue because there are multiple initiatives which are still under play. The Europe and America initiatives that we have taken are still being played out, and hence, there is a little -- some juice there.

On top of that, AMESA margins, as I mentioned earlier, are not up to the mark, and we have an opportunity to improve them further. So, with the combination of that, we are confident that EBITDA margins will keep improving. The second point is on Brazil and forex. So, we have seen a forex loss in this quarter, primarily driven by Brazil and Egypt.

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The currencies have been volatile. But see, the overall on a full year basis, I think one benefit with EPL is that we deal in some 10 currencies, and we cover most of the countries from East to the West. So, we are -- we have a lot of revenue in Chinese Yuan. In Europe and Middle East, we have Egyptian Pound and Polish Zloty Euro.

On the Western side, we have got Dollars and Mexican Peso, Brazilian Real, etc. What it does is that it gives us a natural coverage. Whenever there will be currencies that will keep devaluing and then appreciating. But on overall basis, currency generally gets offset on a full year basis.

That's how we see this playing. Just for context in this quarter, Q4, so far, Brazilian Real has again improved, and Egyptian Pound has also improved. So, this is not something we see moving in one direction.

Akshat: And just one last question from my side. So, I understand you cannot guide on the capex number for Thailand, but can you do that for Brazil brownfield capex?

Deepak Goyal: See, Brazil, I think important point, rather than the quantum of the investment, I think the important point is that we have already within two years of our commercialization, we have decided to go for a capital expansion, right? And that is a very, very positive movement. We have seen strong demand for Beauty & Cosmetics in that geography.

And this capex is now needed much earlier than we anticipated. That positivity, I think we should capture. The amount of investment we should be able to confirm subsequently.

ually.

Anand Kripalu: And this expansion is purely for Beauty & Cosmetics, right, which is going to give us higher ASPs and be far better from a P&L standpoint as well.

Moderator: Next question is from the line of Vinamra Hirawat from JM Financial.

Vinamra Hirawat: Sir, my question was regarding the Trump tariffs. For your U.S. customers, could we have a breakdown of where the tubes originate from in terms of country of manufacturing? Which countries are the largest exporter of the tubes to the U.S. market? Because this would help us assess potential supply chain risks if tariffs were imposed on specific countries?

Anand Kripalu: So actually, we are not too worried about the Trump tax. We don't, first of all, we don't export any tubes to the U.S. We make all the tubes that we sell in the U.S. in the U.S. The only thing we export are laminates. Now we make laminates in India and China. Earlier, we used to export from China to the U.S. and then the Trump tax came.

And we then moved all the supply of laminates from India, right, to the U.S. So today, it all goes from India. And everything else we manufacture on the ground in the U.S., okay? We have a manufacturing plant in Mexico that caters essentially to the Mexican market as well, okay?

So, I mean, we don't know what we don't know. We don't know what he might do against India, right? We'll have to just wait and see for any adverse announcements in that area. But for now, I don't think we're losing sleep over that.

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Deepak Goyal: And also, there could be some benefits coming our way if there are large duties imposed on China. China today as a country exports a lot of extruded tube to U.S. And if duties are imposed, then some of that demand actually can be fulfilled from India. We have an extruded facility in India, and then we could capture that demand. So, we are watching the space. And if there are any opportunities, we will go and capture them.

Anand Kripalu: I think that's a good point. We might actually benefit from the Trump tax given our geographic

flexibility.

Mode rator: Next question is from the line of Vedant Bhasin from Minerva Asset Management.

Vedant Bhasin: Yes. So, my question is more of a qualitative one. I just want to understand for two specific geographies, Brazil and Europe, Americas, but Brazil is more focused. I'm just trying to understand how we're able to grow at maybe double digits in an industry that I don't think grows more than mid-single digits. So, I want to understand what exactly our strategies are over here. Is it pricing? Is it higher ASPs? And how sustainable is this maybe?

Anand Kripalu: And you want to -- you want me to explain specifically Brazil and Europe, right?

Vedant Bhasin: Correct.

Anand Kripalu: Okay. So, first, let me take Europe. Now Europe, we've been present for a long time, but we have been a single -digit market share player in Europe, okay? And Europe is the biggest beauty and cosmetics region in the world. If I'm honest, we have been fraught with internal challenges in Europe for many, many years.

We were manufacturing too much in Germany. The costs were too high, and we had just a space of internal challenges because of which, I think, honestly, we were too internally focused on fixing the problems rather than being externally focused to gain share. In the last few quarters, ever since we have made some structural and people interventions in Europe, I think that thing has started transforming.

And actually, while we don't share volume numbers, we have been, I would say, pleasantly surprised with the amount of volumes that we've been getting in Europe, okay? What we believe

is that Europe is going to grow very strongly just because now we have fixed our ability to service our cost model in Europe and put the right people in place to get that business, and the first signs of that are

already visible, okay?

So, Europe is about gaining a share of the huge headroom that exists, which we could not harness before. Brazil, we have just entered, and we are still a very small player in Brazil again. We have been commercially active in Brazil for under two years, actually 1.5 years to be precise, okay? And while in Oral Care, we went on the back of a contract customer, we have had orders from other customers.

But what we've been really pleasantly surprised about is what's happening in Beauty & Cosmetics, and most of that is Neo Seam incidentally. We've been really surprised by the amount

of orders and the pipeline that we are getting there. So again, in Brazil, we have started recently,

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and it's a massive market in itself, and we are probably just still a single -digit player in that market, right, or a low double -digit player in that market. So, it's again, headroom for growth. So, I think when we have low shares, so if you look at India where we have very high shares, the category growth is far more critical to our growth strategy, right? And we have to do different things to grow if the category is not supportive of growth. But in Europe and Brazil, it is really about being competitive. It is not about discounting on price. I want to make it clear. But it's about innovation, service, and quality that delights the customers in that market compared to the other suppliers who are there, right? And like I said, in both these cases, we've tasted blood, right, over the last few quarters over the last year or so.

So, I am actually very confident about

our ability to grow, well, double digit, time will tell, but grow very strongly in both these markets.

Vedant Bhasin: And my second question is just a quantitative question on if you can just tell me what margins are on a general blended level because I know you don't give volumes or because there are a lot of different types of products. But if you can tell me what the margins are on Oral versus Beauty, that would be helpful to model?

Deepak Goyal: So, you are asking...

Anand Kripalu: Oral versus Beauty margins.

Deepak Goyal: Yes. On Beauty & Cosmetics, on a per tube basis, the margins are significantly higher than Oral.

That is driven by the higher selling price because the selling price of Beauty & Cosmetics is significantly higher than Oral Care tubes. On a percentage basis, however, they are very similar, right?

Beauty & Cosmetics, in some markets, Beauty & Cosmetics, depending upon the kind of embellishment which is there on the tube is slightly higher, in other markets, slightly lower. But on a whole, they are very, very similar.

However, at the EBITDA level, and Anand, thanks for reminding, the Beauty & Cosmetics are significantly better because the fixed cost allocation, when you're selling a tube, you're selling a tube, right? So, the fixed cost allocation that happens on Beauty & Cosmetic tubes as a percentage are lower with the benefit of higher revenue, and hence, EBITDA that the Beauty & Cosmetic tubes make are better.

Moderator: Next question is from the line of Siddharth Purohit from InvesQ Investment Advisors.

Siddharth Purohit: So, a lot of my questions have been answered. Just one clarification. When you talk about double digit growth, do you mean to say in terms of volume because -- or it's a mix of pricing and volume that you are looking at?

Anand Kripalu: Yes, it is revenue growth. And therefore, it has a volume, have mix because we have clearly said that B&C will grow faster than Oral Care. So, there's a mix, right? And there is some pricing depending on how commodities move, okay? So, it has all three components in our double-digit growth guidance, which is a revenue growth guidance.

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Siddharth Purohit: And sir, given the s

lowdown in this quarter and almost half of the quarter has gone now, so in the coming quarter also, we might see further slowdown given the global environment, how is it shaping up?

Anand Kripalu: I don't expect so. But I don't know what I don't know, but I don't expect so, right? I expect things to only get better in this quarter and beyond. But I mean, who the hell knows what's going to happen in March, right? So that's the problem, right? There's that uncertainty is there. But honestly, I feel it will be better.

Moderator: Thank you. As there are no further questions, I'll now hand the conference over to Mr. Pratik Tholiya for closing comments.

Pratik Tholiya: Yes. Thanks, Nirav. Once again, on behalf of Systematix, I'd like to thank all the participants who have logged into this call. Thanks to the management for giving us the opportunity and answering all the questions very candidly. Sir, would you like to make any closing comments?

Anand Kripalu: No. I just want to thank everyone for their continued interest in our company.

Moderator: Thank you. On behalf of Systematix Shares and Stocks, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Mar 2025

March 5 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation (s) dated February 24, 2025 and February 28, 2025, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on February 28 , 2025 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at [https://www.eplglobal.com/investors/shareholder -information/](https://www.eplglobal.com/investors/shareholder-information/)

This is for your information and records.

Thanking you.

Yours faithfully, For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

Encl.: As above

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"EPL Limited
Transaction Update Conference Call "
February 28, 2025

MANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED
MR. M. R. RAMASAMY – CHIEF OPERATING OFFICER
– EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER –
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD - LEGAL , COMPANY
SECRETARY AND COMPLIANCE OFFICER – EPL
LIMITED

MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX INSTITUTIONAL
EQUITIES

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Moderator : Ladies and gentlemen, good day, and welcome to the ' EPL Limited - Transaction Update Conference Call ' hosted by Systematix Institutional Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix Institutional Equities.

Thank you, and over to you, sir.

Pratik Tholiya : Yes. Thanks, Lizan. On behalf of the Systematix Institutional Equities, I would like to welcome all the participants who've logged into this call to discuss the recent transaction in EPL. From the management team, we have with us Mr. Anand Kripalu, MD and Global CEO; Mr. M. R. Ramasamy, COO; Mr. Deepak Goyal, CFO ; and Mr. Onkar Ghangurde, Head - Legal, Company Secretary and Compliance Officer.

At the outset, I'd like to thank the management for giving us the opportunity to host the call. I would like to now invite Mr. Anand Kripalu to begin the proceedings of the call. Thank you, and over to you, sir.

Anand Kripalu: Thank you very much, Pratik, and hello, everyone. Welcome to this investor meeting. I really appreciate your time and your continued trust in EPL as we embark on an exciting new chapter.

Today, I would like to talk about a significant milestone in our journey. As you are aware, Indorama Ventures Limited, IVL, has entered into a definitive agreement to acquire a 24.9% minority stake in EPL from Blackstone. We are pleased to welcome Indorama as our investor. Indorama brings extensive global expertise in the packaging sector and have complementary geographic presence.

IVL's business spans packaging, recycling and specialty chemicals, serving marquee customers across diverse global markets, including pharmaceuticals, cosmetics, and personal care. Their deep industry knowledge and insights will strengthen our position and open new avenues for growth and innovation.

Importantly, Blackstone will continue as our largest shareholder and promoter, reaffirming their strong belief in EPL's value creation journey and also its future growth potential. Their decision to retain half of their stake underscores their confidence in EPL, our leadership team and the company's future prospects. The day-to-day operations of EPL remain unchanged. And we, as the leadership team, remain committed to driving growth and profitability as indeed we always have. But let me talk a little bit more about Indorama Ventures. Indorama Ventures is a global leader in sustainable packaging and chemical solutions with annual revenues of more than US\$15 billion.

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With manufacturing operations at 117 locations across 31 countries, Indorama has a formidable presence in Asia Pacific, in Africa, in Europe and the Americas. The company is the world's number one PET producer and recycler, Americas number one non-ionic surfactant and fabric ingredient provider; and ASEAN's number one PET staple fiber manufacturer. Indorama delivered an EBITDA of \$1.5 billion in 2024 and maintains a strong balance sheet with liquidity of \$2.1 billion, ensuring significant financial resilience and growth capacity.

They are rated AA - with a stable outlook from TRIS Rating 2024. Indorama's diversified business spans three key segments: combined PET and Packaging, Indovinyl and Fibers.

The PET business is the largest with a US \$10 billion turnover. Indorama has developed a packaging business in the last 5 years, and this is important, it had a turnover of \$0.5 billion, delivering 21% EBITDA. So in some ways, a similar scale to EPL's packaging business,

but

well differentiated from EPL's packaging business. Indorama has a workforce of over 26,000 employees worldwide and have an enterprise value of \$10 billion with a robust asset base. Indorama is ranked EcoVadis Platinum for sustainability, aligning well with EPL's own leadership in responsible business practices. Indorama has been following EPL for several years and has been impressed by our transformational journey, our leadership in sustainable packaging, our geographic expansion, our growing presence in the beauty and cosmetic sector and our consistent margin improvement. Their investment is a strong validation of EPL's business fundamentals and future growth potential.

Let me now talk about the strategic synergies and benefits for EPL that arise from this partnership. First, accelerated growth through geographic expansion. IVL's strong presence in South-East Asia and Africa perfectly complements our strength in India, China, Europe and the Americas. This creates significant opportunities for EPL to accelerate its geographic expansion, something that we have been pursuing organically over the last few years, for example, our entry into Brazil. For example, their regional expertise and strong presence will support our recently announced greenfield investment in Thailand, enabling faster market entry as well as deeper customer engagement.

Number two, operational synergies and cost efficiency. Indorama's expertise in specialty chemicals and packaging enhances our access to high-quality raw materials and also procurement efficiencies. Their packaging business provides opportunities in cross-pollination of customers. Their scale in the polymer and packaging industries presents opportunities for

sourcing efficiencies, further strengthening our cost competitiveness while supporting margin expansion.

Third, sustainability. Indorama's EcoVadis Platinum rating and leadership in sustainable materials and recycling aligns with our vision to 'Lead the Pack Sustainably'. Their expertise in advanced materials and circular economy initiatives will accelerate our transition to next-generation packaging solutions, reinforcing our commitment to responsible growth and industry leadership.

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And fourth, innovation and product synergies. EPL's expertise in laminated tubes and Indorama's leadership in PET-based packaging creates opportunities for collaborative innovation. By leveraging our complementary strengths, we could develop new and sustainable packaging solutions, enhanced product offerings and better serve the evolving needs of our customers. Let me now talk a bit about Blackstone's continued commitment. Another crucial aspect of this transaction is that Blackstone remains our largest shareholder and promoter. Their decision to retain half of their stake is a testament to their confidence in EPL's long-term growth and value creation potential.

Blackstone is fully committed to the company, the management team and all shareholders. They continue to believe in our business fundamentals, strategic direction and the ability to drive strong financial performance. Blackstone will maintain its existing majority Board representation and will continue to work closely with the management team to support EPL's next phase of growth. They are also keen to welcome Indorama as a shareholder and look forward to the synergies this partnership will bring to the table to accelerate EPL's growth prospects.

Looking ahead, this marks a new chapter for the management team at EPL. Over the years, we have built a strong foundation, delivering 10 consecutive quarters of strong EBITDA growth, expanding into high potential markets and consistently strengthening our financial performance. Our ability to drive continuous margin improvement has positioned us as a leader in the packaging industry.

Our dedication to sustainability has earned us

a CDP 'A' rating in Climate and Water, and a

ranking of EcoVadis Gold. Our focus on innovation to develop Platina, a 100% recyclable sustainable tube, now forms 31% of our overall tube sales and is rapidly ramping up.

With Indorama Ventures joining as a strategic investor, combined with Blackstone's continued commitment as our promoter, we are well positioned to accelerate our momentum. This collaboration, alongside our dedicated management team, strengthens our ability to drive innovation, expand our global footprint and create long-term value for all stakeholders.

Net-net, we see this as a win-win for EPL. As we move forward, our priorities remain unchanged: delivering double-digit revenue growth, EBITDA growth ahead of revenue increase, driving sustainability initiatives and expanding into new geographies like Brazil and Thailand, while enhancing our presence in high-growth segments such as beauty and cosmetics.

We continue to remain focused on delivering consistent improvement on ROCE. With a strong foundation, the right strategic partner and the clear vision, we remain confident in our ability to sustain our leadership and continue delivering long-term value for all stakeholders.

Thank you very much. And with that, we will open up the call for some questions.

Mod erator : Thank you. The first question is from the line of Jayesh Gandhi from Harshad Gandhi Securities Private Limited. Please go ahead.

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Jayesh Gandhi : Sir, congrats on the deal. I have two questions. First is who were the competitors that had bid for EPL's stake? And what made you to choose Indorama Ventures? That is the first question.

The second is, is Indorama Group a supplier of any raw material to EPL currently?

Anand Kripalu: So as far as the second question is concerned, Indorama is not a supplier to any of our ingredients, okay?

Now as far as who were the other bidders and our decision to go with Indorama, I'm not going to really comment on that because this is a transaction between shareholders. What I can tell you is that there were other bidders.

And importantly, my understanding is that Blackstone was looking for a strategic investor who would have a long-term interest in the development of EPL in the packaging sector. And that's the core reason why the deal was done with Indorama.

Moderator : The next question is from the line of Tanay from Investec. Please go ahead.

Tanay: I just wanted to understand what's the time line like for the completion of this transaction?

Anand Kripalu: I mean the time line will really be dependent on the regulatory requirements that are there before we get the full approval, right, from the various regulatory authorities in India at a couple of overseas markets. Our sense is that it could take a couple of months, but probably 3 months at the outset. That's the best estimate we have really.

Tanay : Got it. Thank you. That's all.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor : Just one question, sir. I just wanted to check, so if you look at Indorama's business, they don't have a significant business in India. And so does EPL then become the vehicle for their product categories also in India? And how can that -- how does that play out going forward? Or is that too forward a thought process?

Anand Kripalu: No, I think we're getting ahead of ourselves. There is no such plan of that kind. EPL will remain an independent company. There are no conversations about any products of Indorama being distributed or sold through EPL at all. At this point in time, they are a strategic investor, and they will come on to the board once the regulatory approvals happen. And our job as a management of EPL is to leverage the know-how and on-ground capability of Indorama across different markets and really leverage that for EPL's

accelerated growth and performance. So that

is really the framework of the arrangement at this point in time.

Harit Kapoor : Got it. And apart from that, is there any cost-led benefits also, given that we have a global footprint? So for example, say, you have a Thailand opportunity, and obviously, they're a very large player in Thailand. Apart from the reach -- is it also -- is there a cost capex, any of such kind of benefits that will come in with Indorama already being there as a partner? I'm just trying to think of other benefits.

Anand Kripalu: Yes. So accelerating our geographic expansion, clearly, there is a benefit of synergy in terms of know-how and on-ground understanding, okay, particularly when you're entering a new country.

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On cost, I've actually called out in my opening comments that there could be opportunities, particularly in terms of sourcing and getting some negotiations done, getting to the right suppliers for certain products for our manufacturing and so on.

And some of these things, we will start scoping out as quickly as possible, but really, once Indorama actually formally comes on to the Board, right? But in terms of geographic expansion, that's something where we are going to start taking help from them almost right away.

Harit Kapoor : Got it. Wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri : Yes. Thank you so much. Two questions from my side. You mentioned that once the agreements are concluded and...

Moderator: I'm sorry to interrupt, Mr. Javeri. We are not able to hear you clearly.

Kashyap Javeri : I have two questions. One, you mentioned that once the relevant agreements are concluded and the relevant permissions from the authorities also come in, they will have some Board representation also. So once the deal is concluded, does the share purchase agreement also talk about what could be the Board composition eventually?

Anand Kripalu: So I'll tell you how it's currently envisaged. So like I said earlier, Indorama gets 1 Board seat.

Currently, our Board comprises 8 Directors, 4 of them are Blackstone nominees. There is me as the Managing Director of the company, and then there are 3 Independent Directors. So currently, we have 8.

The current plan is that all these 8 continue. So the 4 Blackstone Directors, me and the 3 Independent Directors, and there is provision for a ninth Board seat, and that goes to Indorama, okay? And then they will accordingly nominate a person to take that Board seat. And therefore, it will be a construct of 9 Board positions.

Kashyap Javeri: Okay. And second question is, again, on the share purchase agreement, does it have any call put option from the either side or as of now it's restricted to the 25.85 or the numbers which has been part of the share purchase agreement today?

Anand Kripalu : Yes, I'm requesting Deepak to just answer that for you.

Deepak Goyal : So the current agreement is only about the 24.9% share sale and there is no further call or put option or ROFR, which is right of first refusal.

Kashyap Javeri: From either side?

Deepak Goyal : From either side. Yes.

Kashyap Javeri: Okay. Sure. Thank you so much. That's it from my side.

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Moderator: Thank you. The next question is from the line of Nikhil Kanodia from Monarch Network Capital. Please go ahead.

Nikhil Kanodia: Good evening sir. Am I audible?

Management: Yes. Good evening.

Nikhil Kanodia: Sir, first of all, congratulations on this strategic transaction. Sir, my first question on the Board provision has been answered. So my next questions are number one with Indorama coming in, what are Board envisage that you will -- like in a year or so like on an immediate basis, you will get i

nto diversification into that geographies, number one?

And the second question is with Indorama coming in, are we envisaging anything on the PET - based products or we will continue to have the teams which are based on HDP and LDP?

Anand Kripalu : Unfortunately, your voice is not coming through very clearly. But I think I've got a hang of your second question and then we'll come back to your first one, again, request you to repeat it . On the second one is, there is no shift in our planned product portfolio from what we do today and what we do, in other words, essentially, our vision strategy and strategic priorities remain pretty much the same.

We aim to use the knowledge that Indorama brings to the table to accelerate the journey along the same lines of our existing strategy. So it's about acceleration rather than a new strategy of any kind. Now if you can repeat your first question.

Nikhil Kanodia : So my first question was, like you mentioned in your opening remarks, there will be some geographical diversifications with Indorama coming in. So just wanted to check with you, is there any -- like have they identified any geographies which we will be doing on an immediate basis in a year -or-so?

Anand Kripalu : So I can't answer that question fully at this point in time because we are at scoping stage. However, what we have done is announced our entry into Thailand, and we aim to leverage Indorama's knowledge on the ground. They're headquartered in Thailand to help us to really accelerate our presence there, get started and also help with introductions to deepen our customer engagement over there.

So Thailand is very clearly a case in point where we aim to get off the ground even faster than we would have been able to do on our own. All I can tell you is that there are many other geographic synergy possibilities. For example, in Africa, and I'm not specifying the country, but Africa is largely -- Sub-Saharan Africa is largely a virgin market for EPL . So it's a massive market.

Clearly, we are going to look at opportunities to plant an EPL flag in Sub-Saharan Africa. When I look at Southeast Asia itself, apart from Thailand there are many other large markets in

Southeast Asia and generally, those are robust economies. We will be exploring possibility for extension of planting an EPL flag in countries beyond Thailand as well. But this is at a very high

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level of scoping. Suffice to say that across these markets, at least, there would be opportunities in terms of geographic acceleration.

Nikhil Kanodia : Okay, sir. Understood. Thanks for answering those questions and all the best for your future and business.

Anand Kripalu : Thank you so much.

Moderator: Thank you. The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta : Hi, sir. Thanks for taking my questions. Firstly, just wanted a clarification on the Board control. I heard in some of the earlier interviews that you said that the control of the Board will remain with Blackstone. But my understanding is that they will have 4 Board members out of 9. So the control is not with Blackstone. So just wanted you to clarify on this part.

Anand Kripalu: Well, see, Blackstone is the largest significant shareholder and they are the promoter of the Company, right? They will have 4 Board seats, like I said, through our direct Blackstone nominees and then 4 others, like I said, me and 3 other independents, right? And 1 is with Indorama. So if you think about it the way we were running pretty much now, I don't expect any significant shifts in decision-making. And I suppose your question is what happens if the decision gets put to vote, right? Is that your real question?

Sameer Gupta: Yes. I mean if they don't have majority in the Board, right?

Anand Kripalu: Yes. But I'm just saying that -- well, hypothetically, yes.

But the reality is any decision in the 3 years that I've been here, which we have had to put to vote, right, there has been 100% alignment in all decision-making. And it's unlikely that there's going to be a major shift, particularly with the independent directors and so on, given that our strategy is fully owned by the Board of the Company.

Sameer Gupta: Sir, I understand that, sir. I just wanted -- I mean, am I reading it wrong because that's all I was trying to clarify. And it's very clear, thanks for this. Secondly, what I understand amount clear synergies from the transaction is you get clientele or you may get clientele access in beauty and cosmetics and entry in Thailand and Africa, that seems to be very clear. The other thing that you mentioned on procurement, sourcing, sustainability, etc., those seem to be more like may or may not happen and can be explored, is this understanding correct?

Anand Kripalu: Well, the point is this, which is at a high level, there are bound to be synergies on the cost side. But you're right at a micro level, these are still being teased out. As you'd imagine, we only announced the deal on Monday. And therefore, these are things that will be scoped out. And like I said earlier, will take probably a more concrete form when Indorama firmly get inducted on to the Board and when the stake sale is approved.

Deepak Goyal: But Anand, if I could just add here. The way, Sameer, we look at the deal is that we are getting a very, very large packaging -- global packaging company as our investor, right? They have global expertise, they are strong in multiple geographies, et c. And hence, from EPL's point of

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view, it will benefit us in our geographical expansion, cost synergies, etc., that is bound to happen, right?

So timing aside, and we will accelerate it as much as possible, but the deal is positive from EPL's skill sets point of view. We are getting much better skill sets, much higher global penetration as a representation on our cap table.

Sameer Gupta: Got it. One last question, if I may squeeze in. What is the salience or revenue contribution for Indorama from Africa?

Deepak Goyal: I know that they are very large in Africa. There have been in countries like Nigeria and all for a long time. I don't have a number on their Africa revenue mix as of now, but they are fairly large in that continent.

Anand Kripalu: So they're definitely large, but maybe if you send us a mail or something, we will see if that information is available. We will reach out and try and get that information to you, but we don't have the numbers off hand right now.

Sameer Gupta: No worries, no worries. I'll try to find it out myself. No worries. That's all for me.

Anand Kripalu: All right. Thank you.

Moderator: The next question is from the line of Rishab Bothra from Anand Rathi Shares and Stock Brokers.

Rishab Bothra: Yes, I wanted to understand 2, 3 things. Firstly, will Indorama be also categorized as promoter?

Anand Kripalu: No.

Rishab Bothra: Secondly, by when will the Blackstone second tranche of sale happen, if at all?

Anand Kripalu: There is no plan for the foreseeable future. Blackstone's decision to retain half their stake is because they see significant value creation opportunity and a strong future ahead for EPL. So there is no immediate plan for that for the foreseeable future.

Rishab Bothra: But nothing has been mentioned in the share purchase agreement on this front? Or is there something?

Anand Kripalu: No, nothing of this kind.

Rishab Bothra: Okay. And by when will the open offer trigger? I mean, it's more than 15% stake acquisition by Indorama, correct?

Deepak Goyal: The open offer gets triggered only after -- beyond 25% and also when the investor is taking, let's say, control or becoming a promoter, et c. None of that is happening. Indorama is a strategic financial investor

with only 1 Board seat. They are not going to, let's say -- they are not taking a controlling stake in the company and hence, no open offer is getting triggered.

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Rishab Bothra: Got it. And last question, if some quantification can be there for revenue maximization and cost minimization with this from what will...

Deepak Goyal: I think right now we are, let's say, a bit early in that stage. All we can say is that this deal, an introduction of Indorama on our cap table is positive for the company. Now once all the regulatory approvals happen, they come on the board and they formally become our investor that's when the scoping really can pick up speed. And after that, we will be happy to come back and confirm those numbers.

Rishab Bothra: Last, can Indorama also exit business because you mentioned that they have just come as a financial partner?

Deepak Goyal : Sorry, so what is your question?

Rishab Bothra: So can Indorama also exit at a given point of time, let's say, in medium to long term as well? Because you mentioned they have come as a financial partner ?

Deepak Goyal : So from transaction possibility point of view, can it happen? Is it possible? But Indorama is a large packaging company. They have been very impressed with EPL. They have been very, very interested in this business for a long time. Even in 2019, when the earlier transaction happened, they were looking at the business and they placed a formal bid, right?

So they have seen this business, have been interested in it for a long, long time. Now they have got a stake as a strategic investment. I think whenever a strategic investor comes into the company, they come in for the long haul , right? And not for a short -- they are not looking at it as a financial investment. They are looking at it as a strategic partnership of sort, right? And those run for long term. So my assessment is that now this stake is off the table, right? So yes.

Rishab Bothra: No. You mentioned in one of the remarks as financial investors, then that is why this question came up. And lastly, are we dealing with Indorama and any manner, raw material or finished goods purchases as of now?

Deepak Goyal : Sorry, again, I missed the question. Your voice is not too clear. Can you repeat, please?

Rishab Bothra: Are we dealing with Indorama as of now in any sort of either finished goods purchases or raw material purchases?

Deepak Goyal : So we do not have any transactions with Indorama as of today.

Moderator: The next question is from the line of Vinamra Hirawat from JM Financial. Please go ahead.

Vinamra Hirawat: So with Indorama headquarter all listed in Thailand, we'll likely get maximum support in that country. Now that we have them as investors, is it fair to assume a reasonably large entry in Thailand, since you scale up far quicker with them on board?

Anand Kripalu: Well, I think what we are clear about is that there will be an acceleration of our startup in Thailand. The way we normally approach our business is that the vision is large, but the idea is to act fast and get started and then expand as your customer base expands because normally what

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we do is to have the basic facilities with adequate space for expansion and then invest in new lines as and when the customer base goes up and orders come.

Now if we, with Indorama's support on Thailand, are able to get a customer list that's growing at a faster rate and volumes growing at a faster rate, we will expand at a faster rate. So that's the way I think you could think about it.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Pratik

Tholiya for his closing comments. Mr. Pratik, please proceed with your closing comments.

Pratik Tholiya : Yes. Thanks, Lizan. On behalf of Systematix Institutional Equities, I would lik

e to once again

thank all the participants for logging into this call and thanks for the management for taking all the questions very candidly. Sir, would you like to make any closing comments?

Anand Kripalu: No. Thank you, Pratik, and thank you to everybody for your time and your continued support to EPL.

Pratik Tholiya : Thank you so much, sir. Thanks a lot.

Anand Kripalu: Okay. Bye.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Systematix Institutional Equities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

May 14, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation (s) dated May 2 , 2025 and May 8, 2025, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on May 8 , 2025, to discuss the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year end ed on March 31, 2025 ("said transcript ").

The said t ranscript is also made available on the website of the Company i.e. at [https://www.eplglobal.com/investors/shareholder- information/](https://www.eplglobal.com/investors/shareholder-information/)

This is for your information and records.

Thanking you.

Yours faithfully, For EPL Limited

Onkar Ghangurde
Head - Legal, Company Secretary & Compliance Officer
Encl.: As above

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"EPL Limited Q4 FY '25 Earnings Conference Call"

May 08, 2025

M
ANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR &
GLOBAL CHIEF EXECUTIVE OFFICER , EPL LIMITED
MR. M. R. RAMASAMY – CHIEF OPERATING OFFICER ,
EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER ,
EPL LIMITED
MR. SHRIHARI RAO – PRESIDENT , AMESA REGION ,
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD, LEGAL COMPANY
SECRETARY & COMPLIANCE OFFICER , EPL LIMITED
MODERATOR : MR. PRATIK THOLI YA – SYSTEMATIX INSTITUTIONAL
EQUITIES

EPL Limited
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Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY '25 EPL Limited Earnings Conference Call hosted by Systematix Institutional Equities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during this conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya . Thank you and over to you, sir.

Pratik Tholiya : Yes. Hi. Thank you. On behalf of Systematic Institutional Equities, I would like to welcome all the participants who have logged into this Conference Call of EPL Limited to discuss the 4th Quarter and year ending FY '25 . At the outset, I would like to thank the management for giving us the opportunity .

From the Management Team , we have Mr. Anand Kripalu – MD and Global CEO;

Mr. M. R. Ramasamy – COO; Mr. Deepak Goyal – CFO ; Mr. Shrihari Rao – President , AMESA Region and Mr. Onkar Ghanguade – Head (Legal CS) and Compliance Officer .

I would like to now invite Mr. Anand Kripalu to begin the proceedings followed by his opening remarks . Thank you and over to you, sir.

Anand Kripalu: Thank you very much, Pratik and hello , everyone, very good evening to you and thank you for joining us for EPL's Q4 FY '25 Earnings Call. I am delighted to share the fact that we had a strong quarter in the midst of a challenging macro environment, reflecting the strength of our strategy and the rigor of our execution.

Our revenue for the quarter grew by 7.4% , EBITDA grew by 17.7% and PAT grew by 42.4%. This marks the 11th consecutive quarter of EBITDA margin expansion supported by sustained double -digit EBITDA growth . Our margins remain robust at 20% plus, reflecting specific management actions to correct Europe and Americas while ensuring operating discipline and product mix improvements.

Revenue growth during the quarter was 7.4% driven by a solid performance in the Americas and the EAP regions while Europe recorded modest growth. In AMESA , particularly India, while overall growth remained flat, the underlying business performance is encouraging, negated partly by lower intercompany laminate sales, which helped optimize inventory levels and improve our overall working capital. The underlying demand trend in tubes remains positive. Within Personal Care and Beyond, Beauty & Cosmetics witnessed over 20% growth, fueled by focused investments in capability and technology, adoption of new theme, deeper customer engagement as well as sharper execution. This segment continues to accelerate quarter -on-quarter , reinforcing our strategic direction and all the efforts that we have made on Beauty & Cosmetics over the last year . EBITDA performance was encouraging across all regions. In India, margins have shown a clear recovery in line with our commitment . We saw 100 basis points year-on-year improvement and 170 basis points sequential increase driven by operational efficiencies and improved product mix.

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Looking at the full year, we delivered a well -rounded performance. Revenue grew by 7.6%, EBITDA rose by 17 .5% with margin expansion of 169 basis points. The underlying PAT grew by 44.6%. Our category mix continued to evolve in the right direction with Personal Care & Beyond growing at 10.3% , nearly double the 5.6% growth in Oral Care. This segment now contributes 48% of our total business. Stronger EBITDA and PAT combined with solid cash flow generation has helped reduce our net debt to EBITDA ratio to 0.54x with ROCE improving to 18%, expanding by 335 basis points. Consequently, our EPS has improved from Rs. 7.88 in FY ' 24 to 11.38 in FY '25

, an improvement in EPS of 44%. As a result of our consistent performance and focus on returning value to our shareholders, we are pleased to propose an increased final dividend of Rs. 2.50 per share.

Sustainability remains a cornerstone of our long -term vision . As on FY '25, 33% of our overall portfolio is now recyclable and we are seeing strong customer engagement and conversion momentum in this area. During the quarter, EPL was awarded an A rating by CDP for both climate change and water security, which is actually their highest rating . Further, we were honored with the UNGC Forward Faster Sustainability Award 2025 under the category of sustainable supply chain excellence, reinforcing our leadership and responsible packaging along with multiple awards for our people practices.

Looking ahead, I would like to highlight four key areas of focus :

1. Beauty & Cosmetics growth :

We are excited to build on the momentum in our Beauty & Cosmetic segment. Our order pipeline remains healthy with new customer wins across geographies backed by Neo Seam tubes and superior printing capabilities. We are also making selective investments in extruded tubes to further strengthen our product offerings in this segment. This will remain one of our key focus areas as we continue to leverage our competitive advantage in sustainability and innovation and deliver strong double -digit growth.

2. Expansion in high growth markets :

We see promising growth potential in Brazil where capacity expansion is underway and

expected to be operational in this quarter itself. Similarly, our Thailand Greenfield project is progressing as planned and will contribute from H2 onwards. We will continue to explore

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further Greenfield expansion and M&A as and when it is available. These initiatives demonstrate our ability to scale operations as we look ahead.

3. Sustainability :

Our sustainable tube mix has risen to 33%, up from 21% last year. This shift is helping us gain wallet share with large global brands focused on ESG. We expect this trend to continue strengthening our competitive position in the medium term.

4. Margin Expansion:

We are in a strong position having demonstrated consistent improvement over the past several quarters. Europe and the Americas region continue to show solid momentum through restructuring and cost optimization. Overall, we remain confident of delivering EBITDA growth ahead of revenue growth and our sharp focus on CAPEX and interest costs positions us well for continued PAT growth and ROCE improvement. Further, and importantly, we expect minimal impact of US tariffs as we have local manufacturing in the US. Also, our export to the US is relatively small. Further, EPL has contractual pass through of duties with most customers.

So in summary, FY '25 has been a year of strong execution, solid financial delivery and strategic progress. Our ability to navigate global challenges while advancing our goals and sustainability, margin enhancement and innovation puts us in a strong position for FY '26. We remain confident in our ability to deliver double-digit growth and continue improving margins. With that, we will now open the floor up for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanjesh Jain from ICI CI Securities. Please go ahead.

Sanjesh Jain: Good evening, sir. Thanks for this opportunity. I got few questions. First on the Brazil and Thailand Greenfield expansion, what we are doing, what is the total capacity addition this expansion will lead to as a company?

Anand Kripalu: So in Brazil, we are adding capacity essentially for Beauty & Cosmetics because we have already sold out our existing capacity on Beauty & Cosmetics. So we are adding that. Now, specifically, in terms of volume contribution

is going to be about 40 million tubes a year, right, which is the expansion of Brazil, right. Thailand, we are making an entry as we have said, and the objective in Thailand actually is to start small but scale up fast. So we will start small, establish our factory on the ground, it will affect or impact positively our H2 numbers, but once we are on the ground, as we get more and more customer orders which actually we have a reasonably rich pipeline, we will expand rapidly. So that is how we are thinking about it, Sanjesh.

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Sanjesh Jain: Very clear, sir. Second question on India, you did mention that India underlying growth was encouraging while we were hurt because of laminate sale, what was the underlying growth X of laminates?

Anand Kripalu: So Sanjesh, we are not actually splitting this, I called it out to explain. The fact is we have trimmed our inventory materially, right and that has helped our overall working capital numbers. All I can tell you is that the tube revenue growth, which is the core of our business, right, the rest is kind of trading and WIP, work in progress, right is decent, but we are not splitting these numbers.

Sanjesh Jain: Our mid-single digit will be a decent number for you?

Anand Kripalu: Sorry.

Sanjesh Jain: Will it be mid-single digit of a number?

Anand Kripalu: Sorry, your voice is breaking Sanjesh, can you say that again?

Sanjesh Jain: So is the tube revenue growth in mid-single digit for us in India?

Anand Kripalu: Yes, it is mid-to-high single-digit.

Sanjesh Jain: Mid-to-high single-digit?

Anand Kripalu: Yes.

Sanjesh Jain: And the next follow up question is on the EAP. There is a sharp drop in the EBIT margin sequentially in EAP and any particular reason there?

Anand Kripalu: Yes. So sequentially, I would urge you not to look at the numbers. Q4 in EAP is the Chinese New Year quarter and typically has the softest margins in the year. So our business is best looked at seasonally, which is year-on-year rather than quarter-on-quarter.

Deepak Goyal : Sanjesh, EAP EBIT margin would make lot of sense on a full year basis. There was quarter-on-

quarter fluctuation because of the high technology tax benefit that we get. However, on a full year basis, it is equalized, so full year to full year EBIT margin will make a lot more sense.
Sanjesh Jain: Very clear. Then the next question is on double-digit growth guidance. This year the EBITDA grew, thanks to cost optimization and margin improvement. I think we have reached where we wanted to reach in terms of EBITDA margin now, probably most of the growth will come from EPL Limited
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the revenue growth where we are now at 7%, how should we see double-digit growth guidance for next year in that scenario?

Moderator: Ladies and gentlemen, we have the management back online with us. Sir, please go ahead.

Sanjesh Jain: Sir, you want me to repeat the question?

Anand Kripalu: Yes, the last one I couldn't hear, it got cut.

Sanjesh Jain: Sir, my question was on the double-digit EBITDA growth guidance for next year. In terms of the EBITDA margin, we have reached where we have targeted for almost 20.5%. So next year most of the EBITDA growth should come by the revenue growth where we are at mid-single digit today for the whole year FY '24 as well, what gives us the confidence of a double-digit growth in FY '26?

Anand Kripalu: So first of all, we still have margin improvement opportunities in select geographies. I don't think the full margin improvement has played out in the Americas or indeed even in Europe. And there are some corrections to be done in India. So there is still an opportunity for margin improvement. But I think your point about double-digit revenue growth I think is an important one. Now, the way we are thinking about it and I

listen, we cannot deal with macros, right? And what happens with macros given that there is some softness in FMCG in India and so on and so forth. But what I can tell you is this. So one is first of all that our Beauty & Cosmetics growth where there is massive headroom for expansion, we have been working on this over the last year, probably 15 months and we are now beginning to see this momentum coming. And the day we get to mid to high teens consistently in Beauty & Cosmetics growth, our blended growth will come into the double-digit zone. The second point I want to make is that while there are certain challenges with macros, particularly let us say in India and China to an extent, there are various things we are doing to mitigate this. Just as an example, in China, for instance, we are looking at driving extruded business, right and we have made a selective investment in extruded capability, right. So while we drive conversion to Neo Seam, we head on start taking share in extruded and actually we are seeing very good signs of success by going head on with the extruded tubes. In India for instance, we are mounting lot more aggression on exports out of India and we have the Middle East and the Africa region as part of AMESA, right and those are opportunities for growth. So when you look at all this put together, I think we have a clear line of sight for double-digit growth. If the macros were a little more enabling, that would have happened earlier, but we are doing things to make sure that even if we don't see a major reversal of that, that we get there in quick time.

Sanjesh Jain: Clear. What is the CAPEX for the next FY'26, per annum for last 3 years --

Anand Kripalu: Your voice is still breaking, Sanjesh.

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Sanjesh Jain: Is it audible now?

Anand Kripalu: Yes.

Sanjesh Jain: So I was looking for a CAPEX for FY '26, for the last 3 years, it has been in the range of Rs. 360-Rs. 380 crore. That should be the number for FY '26 as well?

Deepak Goyal: Right, Sanjesh. That is how we are looking at the CAPEX plan right now. This CAPEX is sufficient as I have been mentioning is sufficient to fund our double-digit growth ambition.

Sanjesh Jain: Very clear. Just one on the US tariff side, we do export laminates from India and China and that --

Moderator: Sorry to interrupt you, sir, but your voice is breaking.

Anand Kripalu: Sorry, your voice is breaking again.

Sanjesh Jain: Is it clear now?

Moderator: Sir if you are using a headset, I would request you to use the handset, your voice was breaking.

Sanjesh Jain: Hello. Can you hear me? I am on speaker.

Anand Kripalu: Yes, please try again.

Sanjesh Jain: So I was looking at US export and the tariff impact for the laminates which were from India, China to US, can it bring down our competitiveness in the US market?

Anand Kripalu: No, it is not bring down our competitiveness. We have producing on the ground, right, our customers, we have a contractual pass through, right. And I think we have cost optimal total

delivered cost anyway. So as far as we are concerned, I think it will just remain a kind of stable competitive environment.

Deepak Goyal : And if I could add, Sanjesh also the laminate capacity in the US is hardly there. And most of the supply locations also have similar tariff impact. And hence when we are looking at our laminate landed cost versus competition or versus other geographies, it would still remain competitive. Hence we believe that if this tariff increases of 10% and if further tariff increase happens, then it would most likely get passed on to the consumer because in such a short span of time, it would be very difficult for any industry to really bring in new capacities.

Sanjesh Jain: Very clear.

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Anand Kripalu: And to add one more

point. Actually I think there is a source of competitive advantage for us, a lot of tubes in the US come from China. We have a local production in the US and we have capacity in the US. We actually and there are many customers of ours, including distributors and so on who have been reaching out to us, right. Actually, there could be a source of competitive advantage, right as this thing plays out.

Sanjesh Jain: So do you have a number, how much of tube get exported of China?

Moderator : Sorry to interrupt, sir, but I may request you to rejoin the question queue.

Sanjesh Jain: This is just a follow up, I will come back in the queue. Any idea how much of the tubes in US get exported from China?

Anand Kripalu: Do you have an idea? Listen, it is a very significant part of what sells in the West Coast of the US, right. And it is, by the way, material percentage of total US sales, which means definitely in double-digit percentage contribution to US sales. Specific percentage numbers, we won't have.

Sanjesh Jain: Very clear, sir. Thank you for patiently answering all those questions and best of luck for the coming quarters.

Anand Kripalu: Thank you.

Moderator : Thank you. The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta : Hi, good evening and thanks for taking my question. Sir, firstly, I heard your piece on intercompany laminates which has affected AMESA growth, but my understanding would be that these are lower margin categories and it should have had an impact on a margin improvement. Now, with that not happening, would it assume that going forward as this intercompany laminate issue goes away, we would actually see margin tapering off from here on?

Anand Kripalu: See, first of all, I would just use this as an explanation because what happens is on a full year basis. There is not much difference between generally speaking the tube revenue growth, the laminate growth and the total growth. But quarter to quarter, sometimes there are inventory variations that happens that impact the results that prevents you from reading what is really happening properly. I think what you have to believe is that we have a range for delivering India margins, right, and we are committed to getting to that range in a stable business environment, right. And we have plans in place to make sure we get there, right, but our annual plans and so on has a blended margin and the historic data also has a blended margin. So I only use this for

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this quarter because the difference is material as we have brought down inventory. So I don't think you need to read more into it than just this quarter explanation, but it is nothing to do with the fundamental structure of the business on a full year basis.

Sameer Gupta : Got it, sir. Just to follow up there, so X of the laminate tubes, the margins of tubes are intact, they are not down Y-o-Y? Would that be a correct understanding?

Deepak Goyal : That is right, Sameer. Also on a full year basis, India margin and AMESA margin have been soft and we said last quarter as well that we have taken specific actions to improve our margins.

Those actions are well underway, and we should see improvement as we go along.

Sameer Gupta : Got it. That is very clear. Sir, on the tariff impact again, I understand that Sanjesh also asked you very detailed questions, just one bit here. So what I understand is that instead of exporting laminates from China, we are going to export it from India because the tariff differential is higher in China versus India, does that increase cost for us?

Anand Kripalu: No, so that is not what I meant actually. Then I didn't communicate clearly. So what happens is we are moving laminate to the US already only from India, because China already had a duty, landed duty when it went to the US from China.

So we had moved all our laminate sourcing to

India anyway. What I really meant was that there are a lot of tubes, right, made tubes that are exported from China into the US. Now, the tariffs on China going up, our US business that sources laminate from India and makes tube in the US will have a source of competitive advantage on pricing compared to tubes that are coming in from China. Lots of tubes come in from China directly to the West Coast of the US, right, and a little less so on the East Coast of the US. With our local production, we will be in a position of competitive advantage.

Sameer Gupta : I understand this, sir. That is very clear. Thanks again. One last question, if I may squeeze in. Deepak mentioned about the CAPEX will be in the ballpark of Rs. 360-Rs. 380 crore again, but shouldn't we build in a little higher because in Thailand you are putting a Greenfield, or it is already there in FY '25 part of it?

Deepak Goyal : Some bit of expense is there, but a large part of it will come in FY '26. In theory, we have been saying that the Greenfield expenses would come in higher. However, Thailand is a smaller facility and also we are optimizing our CAPEX spreads through various initiatives. Next year, our plan is to spend around Rs. 380-Rs. 390 crore and that should be sufficient to cover for both the growth plans as well as the Thailand Greenfield.

Sameer Gupta : Very clear. Thank you, Deepak. Thanks, Anand, I will come back in the queue for follow up.

Anand Kripalu: Thank you.

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Moderator : Thank you. The next question is from the line of Akshat Bairathi from RSPN Ventures. Please go ahead.

Akshat Bairathi : Hi, thank you for the opportunity. Sir, given that there was some headwinds in Q3 and Q4 both in China and you mentioned that there was Chinese New Year in Q4 as well. So in spite of that, we have shown 9% growth year-on-year in the EAP region. So can we expect a double-digit kind of growth in China for FY '26 given these numbers? And the second question will be a bookkeeping question on the tax rate. So for the full year, our tax rate has been very low, so why is that and what will be the expected tax rate for FY '26?

Anand Kripalu: So we don't give region growth guidance, just so that we are clear about it, right. But we do expect EAP right to continue to grow strongly and it will also get beefed up in H2 as Thailand comes on stream and Thailand is going to be part of EAP, right. And EAP has to continue to perform well for us to achieve a total global ambition of double-digit growth. So we are doing everything necessary for that to happen. I will just request Deepak on the tax question.

Deepak Goyal : Yes. So the tax rate this year is lower because with the turnaround in Europe, our Poland plant has low tax rate. The mix of that profit has gone up. Also, the higher technology benefit that we get in China, this year, there was marginal impact of last year that also kind of came in this financial year. On a steady state basis, I believe that with the countries mix coming in anywhere between 18%-22% is our rightful tax rate that should be delivering.

Akshat Bairathi : Thank you so much. That is it from my side. All the best.

Anand Kripalu: Thank you very much.

Moderator : Thank you. The next question is from the line of Shalabh Agarwal from Snowball Capital Investments Advisors LLP. Please go ahead.

Shalabh Agarwal : Good evening, sir, and thank you for this opportunity and many congratulations for the continuing good results. Sir, the first question is referring to your presentation, slide number 14, where we have given the categories of the Personal Care & Beyond. So are there any subcategories on the left side where we are still not present and where our competitors are present and where we may have a scope of launching products in that subcategory?

egory?

Anand Kripalu: So there are lots of micro categories that can sell in tubes, for instance, cockroach repellents, right, Mehndi and you can call that Personal Care or whatever you like, but, Mehndi and we are filling, we are providing tubes for the Mehndi industry, but by and large, I would say that the left hand side covers most of the subcategories because the last one we added there was grease and gear oil whereas these small ones really keep emerging, but they won't be so material really. The materials are the ones that start from the top.

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Shalabh Agarwal : Sure. And are there any material categories on in this beauty and care where our exposure is still limited or we are still smaller than our competitors where we can have a much higher scope of growth in future?

Anand Kripalu: So I think we tend to be reasonably good on Hair Care. But I think we have a lot of headroom on Skin Care, right at a very broad level.

Shalabh Agarwal : Sure. And this will primarily be the European market where we will be behind some of the niche competitors?

Anand Kripalu: I think we have relatively lower shares in Beauty & Cosmetics, certainly in most geographies. Specifically, we have very low shares in Europe and Americas, right and we have a very aggressive plan to grow in the Europe and the Americas, and we are beginning to see traction in both these regions. In China, we still have a relatively small share, but we have been growing at 20% for 5 years now in a row. So the opportunities are growing much faster than the category.

So I think the main point is the headroom for growth in Beauty & Cosmetics is significant everywhere in the world, probably a little bigger in some regions and a little less in other regions.

Shalabh Agarwal: Right. And sir, what will be our right to win in some of these markets, especially in these categories where we are still a little smaller, is it if we really benchmark ourselves with competitors on cost, so can we confidently say that we will be given our size and economies of scale, are we the lowest cost manufacturer even for some of these Beauty and Care tubes? Would that be a good statement to make at least on 80%-90% of the product?

Anand Kripalu: So as a principal I can tell you we are the lowest cost producer in the world right by at least 3%, if not more. And that is because compared to any other regional competitor, the Indian mindset of frugality as a culture, right, and our ability to extract more from the machines and run our machines for longer than anybody else in the world. So generally speaking, total delivered cost, like for like EPL is lower and that is why you also see that we have better margins than most other people. Our other right to win apart from cost leadership, right is the fact that we are a leader in laminated tubes and as people convert to laminated tubes, we get a higher share, right as they convert it from extruded. We also have a new theme which is a very cost effective option to ensure that you have all the bells and whistles of the Beauty & Cosmetics tube, but at a much lower price than extruded. And selectively leveraging the deep customer relationships we have, we are also pursuing extruded and with reasonable success and we have a reasonable extruded business in Europe, in India and now in China.

Shalabh Agarwal: Sure. And sir, just lastly, if I may add, if we calculate the contribution of the pharma sector in our sale, it seems this year the growth has been in mid-single digits. Any specific reason why it has not because last 2 years it has been in double-digits, given the size of the category, one would

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have thought that the growth would have been higher. Any particular reason why the growth has come down?

M. R. Ramasamy: I don't think growth has come down

in, but we do pharma largely in certain markets like India,

China we do more, whereas Europe and things like that we are not, we are doing very little of pharma. So maybe that segment in some of the places could have slightly a lower size entry that we continue to grow. If you look at internally that when we track that, we continue to grow in terms of volume, but maybe the value that it generated because of the size of the tube would have been slightly lower than we need to, we will check and revert subsequently when we speak to Deepak.

Anand Kripalu: Pharma is the priority for us and we continue to drive it.

M. R. Ramasamy: And we do really well in India. There are a lot of conversions taking place and we lead the conversions as the market leader in India.

Shalabh Agarwal: Great, sir. Thank you for answering my questions and all the very best.

Anand Kripalu: Thank you.

Moderator: Thank you. The next question is from the line of Shubham Sehgal from SiMPL. Please go ahead.

Shubham Sehgal: Hello. Am I audible?

Anand Kripalu: Yes.

Shubham Sehgal: Yes, I have two questions. So I just want to ask. So as you mentioned earlier that like geography wise, the growth might matter due to the geopolitical conditions and like also the specific geographies. But while modeling or while like targeting the double-digit growth, do we still keep a growth rate in mind for our different geographies or like how do we look at?

Anand Kripalu: Internally, we absolutely have an ambition for every geography, but at a global level, it is really the category that we are focusing on, right. And we know that the headroom for growth is the biggest in Beauty & Cosmetics. You are beginning to see that momentum, right and when the macros improve, you will have the rest of the portfolio also coming back, right, particularly like Oral Care. So as we establish this kind of mid-teens or high teens growth for Beauty & Cosmetics globally and with some recovery in oral, when you put the two together right, it will quite simply get to do double-digit growth. So therefore, that is really the thing, because in Oral, we continue to grow our customer base and grow wallet share. But because we are already so large, that is a little more modest. The big headroom is from Beauty & Cosmetics and you can see the

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momentum picking up for Beauty & Cosmetics. So actually I am very confident that with a little

bit more support from the macros, right, we will be in the double -digit zone.

Shubham Sehgal : Got it. So apart from the macros, do we think there are any other challenges that we could face that like we cannot be able to achieve double -digit growth ?

Anand Kripalu: No, because you see, apart from all this, we are also expanding Brazil. We are getting into Thailand . And of course, we are very open to M& A, and we are looking as much as we can for opportunities in M&A. So if you put all this together right, I think we have a plan to get there, right and at the forefront of that plan is the acceleration of Beauty & Cosmetics where we have put in huge investments as well in terms of resource and capability. So I actually think that it is around the corner.

Shubham Sehgal : Alright, thank you. That is it from my side.

Anand Kripalu: Thank you.

Moderator : Thank you. The next question is from the line of Nikhil Upadhyay from SiMPL . Please go ahead.

Nikhil Upadhyay : Yes. Hi, good evening. Thanks for the opportunity and many congratulations on the results. I think we have delivered what we have been guiding. Good to see that . I have two questions. One is on the growth part with Shubham was just discussing and Anand , when we think about growth, there are two ways. One is new product launches are getting share from existing product. So when you say that we are getting confidence on growth, is it like

we are getting shares in existing

products or our new products which are about to be launched, and we are the sole suppliers. That is where we believe the growth will happen. Just some sense if you can give?

Anand Kripalu: Yes. So, listen, all of the above, honestly, we are expanding our customer base very aggressively on Beauty & Cosmetics , right. In India, we are really going aggressively after all the D2C brands, for instance, so we are expanding our customer base. The second is many of those smaller customers require innovation, right and the innovation could be in the tube delivery in the nozzle or in the nature of the printing. But they also require very different service dimensions, right , your ability to be more agile and turnaround times and service levels that are very different from the Oral Care customers. And of course , with our existing customers, many of our existing large customers, for instance, we have seen them wanting to convert from bottles to tubes in Hair Care, right. And that meant that earlier we were not in the market for healthcare products like conditioners and certainly now , we have a large business that is coming in from Hair Care itself. So really, all I want to tell you is this , on Beauty & Cosmetics , the mantra in the company is we will do what it takes to accelerate Beauty & Cosmetics . No size of order is too small for EPL to go and service that order. So there is a huge movement in the company, and we tell you and huge management focus to transform us from being an oral company that does Beauty & Cosmetics

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to being a Beauty & Cosmetics company. So that is how we are thinking about it. And therefore whatever needs to be done, we are doing.

Nikhil Upadhyay : Second question was and this is the last question and this is interrelated, if you look at our cash flow generation, it has been very strong, almost average of Rs. 600-Rs . 800 crores over last 2 -3 years. And our CAPEX has remained in that range of Rs. 350 -Rs. 400 depending upon Greenfield or brownfield. One point , will our payout ratios remain high because there has been a change at the promoter level , so how is the new promoter or the new entity which has come in, how are they thinking about? And secondly, over the next 2- 3 years from this 18% ROCE, where do you think this business to stabilize? Because margins will not be like a constant trajectory of improvement because then customer will also come back. So where do you think the ROCE 's will stabilize in next 2-3 years ?

Deepak Goyal : Nikhil, first on the dividend and CAPEX , yes, we are a strong cash generating company and the cash flow year -over -year has been improving. In FY '25 itself, if you see we have been able to deliver the company by more than Rs. 100 crores through the organic cash flows after paying for all the CAPEX'S and the dividend. We are also a very strong dividend paying company and our dividend payout ratios or dividend payout has been improving year -over -year. In FY '25, if the final dividend gets approved in the AGM, we will pay Rs. 5 per share dividend versus Rs. 4.35 paisa that we paid last year, so our dividend has also been improving. We believe that we will continue the policy of this strong dividend payout and marginal improvement year -over -year even when we deliver the company a bit, but also look for M &A's more aggressively. Your second question was on the.

Nikhil Upadhyay : ROCE, where will they stabilize in the next 2-3 years ?

Deepak Goyal : See, this business has a potential of improving ROCE significantly. Our policy of CAPEX investments equal to depreciation has been working well. It means that our net asset base doesn't grow, and this investment helps us deliver double -digit revenue growth and consequent EBITDA and PAT improvement, which means that ROCE expansion as a

model remains. We believe that

in the short term, we should definitely cross 20, but long term this ROCE can expand even faster.

So ROCE expansion is something that we are clearly focusing.

Nikhil Upadhyay : But where do you think there could be a challenge in terms of improving the margins because at the end your customers are FMCG's and all which will push back on if the margins increase too much, is this the right way to think or?

Moderator : Ladies and gentlemen, we have the management back online with us. Sir, you may proceed.

Anand Kripalu: Deepak, you want to complete the answer that you were talking about ROCE ?

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Deepak Goyal : ROCE answer, I completed. Nikhil, I think you had a follow up question.

Nikhil Upadhyay : Yes, I had a last question. See, we are at 21% EBITDA margin and if you look at history in last 15 years, this business has done beyond 20 very rarely and the kind of customer profile we have, which is like FMCG and like which would push back if the margins increase too much or like if we do make very high margins. So where do you think the margins? We may get a pushback from the customers and that can be the cap on the margins or is there a different way of thinking now versus what has happened in the business in the last 15 years?

Deepak Goyal : See, there is a difference in the margin profile this time versus what happened in the past. This time, when we have delivered 20.3% margin in this quarter, we have not done it by huffing and puffing and stretching our P&L. All four regions if you see and AMESA and the EAP margins are actually lower than prior year, right, and Europe is still at 16%-17%, America at 18%-19%, which we believe is in the right range, probably with some opportunity still left. So we have reached this margin without stretching our P&L. So we believe it is in a sustainable zone with some opportunities still left. However, to continuously delivering EBITDA growth, it is essential to deliver a strong revenue growth also and that is where all of us are focused on. So I think as a management team, when we are thinking of it, we are looking at delivering double-digit revenue growth and margin growth ahead of revenue.

Nikhil Upadhyay : Sure. Thanks a lot. That answered my question. Thanks a lot.

Moderator : Thank you. Before we take the next question, we would like to remind participants that you may press * and 1 to ask a question. To ask a question, please press * and 1 now. The next question is from the line of Shubham Sehgal from SIMPL. Please go ahead.

Shubham Sehgal : Yes, I just have a follow up on the margin itself. So previously we had mentioned that we are beginning to target smaller customers as well to get a good margin on our orders. So like that strategy, could you just take elaborate, how it is setting for us as of now and will it have any impactful, like will it have any material impact on our margins, like will it support our margins or will it take a longer time, so if you could just elaborate on that?

Deepak Goyal : Yes. So smaller customers are mostly in Beauty & Cosmetics, right? And as we are getting into Beauty & Cosmetics, we believe that our margin will automatically get a little bit of leverage because the ASP for Beauty & Cosmetics is higher. The fixed cost kind of continues to remain as they are and hence there is a better leverage. That enables us to deliver little bit of leverage on EBITDA; however, you see, we have a large base, right? And for any specific segment to make a material impact on the overall level, it will take some time, but is it a positive as a trend line? I think it will continue to remain positive and that is the reason we as management say that we are looking at delivering double-digit revenue growth and margin growth ahead of revenue.

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Shubham Sehgal : So but also the service the smaller customers like did we like make any changes in our like supply chain or something or because I remember in like I think 3 or 4 calls ago and we had started to mention that we are targeting the smaller customers. So did we have to make any changes at the company level, or we just thought that it would be now better that we can target these levels?

Deepak Goyal : So there are multiple changes that we have made, right and this we have been communicating to our investors now for some time. The first is in the acquisition strategy itself. When we look at Oral Care as a category, you are generally talking about four large players of Colgate, P&G, Unilever, etc., right while Beauty & Cosmetics as a category is smaller customers, regional customers across geography. So the acquisition strategy has to be different, and we have hired more salespeople which we are calling hunters to really acquire those customers. Second is the back end flexibility. We need flexibility for larger type of tubes, more dias, smaller MOQs and more flexibility in our plants, right. And it requires some CAPEX investment that we have mostly done in all of our plants, all of our regions. So those are the investments that we are making to deliver to this growth. So it is not only focus and effort only, it is on the back of solid investment in the ground and initiatives that will take us to accelerated B & C growth.

Shubham Sehgal : Thank you.

Anand Kripalu: Thank you.

Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor : Yes. Namaskar , sir and thank you for the opportunity. Can you give some color on how the raw material basket is currently shaping up and the key constituents in the entire value chain, sir ?

Anand Kripalu: I would say that raw materials basically have been, I would say, benign, if I can use that word and prices of all the key commodities have been kind of range bound. So I think it is a stable commodity cost environment that we are in right now.

Saket Kapoor : And sir, can you give the key constituents in terms of percentage, which constitutes the major raw material basket?

Anand Kripalu: Want to talk about?

Saket Kapoor : Are they crude derivatives?

Anand Kripalu: Are they crude derivatives?

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M. R. Ramasamy : So yes, polymers, some of them are crude derivatives. Some of them are NAFTA , is primarily polymers. Yes, but that is over a period of time , it is a range bound after the COVID escalation and the supply chain disruptions . Now , it has become more or less stable. There is some amount of variations which we pass through because most of our businesses are contractual businesses we pass through.

Saket Kapoor : Sir, for RM continuity, we have long -term contract with optic clause or who are the key suppliers from whom we source our raw material domestically and internationally?

M. R. Ramasamy : Primarily that we have a long -term contract with most of the polymer manufacturers. Global manufacturers are Dow , DuPont, Exxon, that we have a long -term relationship with them, but every time that we will negotiate and do . We don't have a price contract , but we have a volume contracts.

Saket Kapoor : And domestically, sir, we are sourcing from Reliance?

M. R. Ramasamy : Yes, we buy from Reliance , we buy from other Haldia, we buy from wherever suitable we buy.

Saket Kapoor : Thank you, sir and all the best.

Anand Kripalu: Thank you.

Moderator : Thank you. The next question is from the line of Shalabh Agarwal from Snowball Capital. Please go ahead.

Shalabh Agarwal : Thank you, sir, for giving the opportunity again. So I just wanted to get a little more insights into our business with some of the bigger Oral Care customers in terms of do we get

a similar

value contribution or value share like in other businesses in terms of manufacturing laminates and tubes in our factory and selling them and delivering it to their factory, is that how the model works or is it anyways different ?

M. R. Ramasamy : No, you are right. That is how the model works. We are one of the companies which is fully integrated from blown film to tube supplies. We also make in some places cash. So it is a fully integrated plan. Most of the Oral Care vendors , they have their own buying strategies. In some places, maybe for the same customer, we may be the primary supplier. In some regions , we may be a secondary supplier, but that wallet depends upon our service levels, our ability to meet our other targets, right, so it is very stable business , contractual businesses . In many places , it is a contractual business. So what you need to also importantly note over a period of last 10 years, we are also moving to supply to many regional Oral Care players. See like in India, there are many regional Oral Care players ; in China , there are many regional Oral Care players. There are countries specific or region specific. So we also have over a period of time have a good business

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relationship with them. So overall, as a category grows by certain percentage, we will always grow slightly better than that because that we continue to add customers.

Shalabh Agarwal : Sure. But the entire tube and everything is getting manufactured in our factory and being supplied to them ?

M. R. Ramasamy: Yes, we make as you know, we make laminates in few places because laminate is bulkily manufactured, easily transportable, but we make tubes in many places, yes .

Shalabh Agarwal : Sure. Thank you, sir. Thank you.

Anand Kripalu: Thank you.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Pratik Tholiya for closing comments.

Pratik Tholiya : Yes, thanks. Once again, on behalf of Systematic Institutional Equities, I would like to thank all

the participants for joining us for this conference call. And once again, thanks to the management for giving us the opportunity. Sir, would you like to make any closing comments?

Anand Kripalu: No, that is it. I just want to thank everybody for their continued support to EPL.

Pratik Tholiya : Great. Thank you so much, sir.

Anand Kripalu: Thank you. Bye.

Pratik Tholiya : Bye.

Moderator : Thank you. On behalf of Systematic Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

August 11, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2. ISIN: INE255A01020

Sir/ Madam, In furtherance of our intimation(s) dated July 30, 2025 and August 5, 2025, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on August 5, 2025, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended on June 30, 2025 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>
This is for your information and records.
Thanking you.
Yours faithfully, For EPL Limited

Onkar Ghangurde
Head - Legal, Company Secretary & Compliance Officer
Encl.: As above

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"EPL Limited
Q1 FY '26 Earnings Conference Call "
August 5, 2025

MANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED
MR. M. R. RAMASAMY – CHIEF OPERATING OFFICER
– EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER –
EPL LIMITED
MR. SHRIHARI RAO – PRESIDENT , AMESA REGION –
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD-LEGAL , COMPANY
SECRETARY AND COMPLIANCE OFFICER – EPL
LIMITED

MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the EPL Limited Q1 FY '26 Earnings Conference Call , hosted by Systematix Group. As a reminder, all participant lines will be in the

listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix Group for his opening remarks. Thank you, and over to you, sir.

Pratik Tholiya: Yes. Thank s, Muskan . Good evening, everyone. On behalf of Systematix Institutional Equities, I would like to welcome all the participants who logged into this conference call of EPL Limited to discuss the first quarter results. From the management side, we have Mr. Anand Kri palu, MD, and Global CEO; Mr. M. R. Ramasamy, COO; Mr. Deepak Goyal, CFO; Mr. Shrihari Rao, President, AMESA Region; Mr. Onkar Ghangurde, Head, Legal, Company Secretary and Compliance Officer.

At the outset, I'd like to thank the management for giving us the opportunity to host this call. I would now like to welcome Mr. Anand Kripalu to start the proceedings of the call. Thank you, and over to you, sir.

Anand Kripalu: Thank you very much, Pratik, and hello, everybody. Very good evening to you, and thank you for joining us for EPL's Quarter 1 FY '26 Earnings Call. I'm delighted to share that we have had a strong start to the financial year with solid progress across all our key metrics. We have delivered double -digit revenue growth of 10%, robust EBITDA growth of 18.1% and very strong PAT growth of 55.8%.

Our EBITDA margins have expanded to 20.5%, improving by 140 basis points over the previous year. We delivered a ROCE of 18.9%, improving by 299 basis points as compared to last year. This performance is a result of consistent execution, clear strategic direction, and operational discipline.

Our consolidated revenue grew 10%, driven by strong double -digit growth in 3 of our 4 regions.

Europe grew by 15%, Americas by 13% and EAP by a solid 10% through effective execution and robust Beauty & Cosmetics growth.

AMESA's growth, however, was modest at 1.7% amidst macroeconomic headwinds and sluggish FMCG demand. We had another quarter of very strong Beauty & Cosmetics performance with 35% year-on- year growth, reflecting the continued success of our strategic focus on this category.

EBITDA margin expanded to 20.5%, delivering a robust growth of 18.1% versus the previous year. This represents the 12th consecutive quarter of margin expansion, underpinned by sustained double -digit EBITDA growth and 4 successive quarters of 20% plus margi ns.

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Europe and the Americas delivered significant margin improvement driven by strategic interventions and structural cost actions. AMESA and EAP continued to operate within the target margin range, supported by disciplined execution.

Underlying PAT grew 55.8% during the quarter and EPS improved from INR2.02 per share in Q1 FY '25 to INR3.13 per share this quarter. Strong EBITDA and PAT performance, combined with solid cash flow generation, has helped improve our net debt -to-EBITDA ratio to 0.45 with the ROCE improving to 18.9%.

Sustainability remains central to our growth agenda. This quarter, sustainable tube formats contributed 38% of total sales, reflecting growing customer adoption and the impact of our product innovation efforts.

EPL received the top most A rating in the supplier engagement rating category by CDP, making the third consecutive year, the company has retained this distinction in the category, a testament to our consistent leadership in driving sustainability across the entire value chain.

As we loo

k ahead, we have plans in place to build and sustain double -digit revenue growth with strong operating margins through focused execution, combined with strategic clarity. Our priorities remain ; one, strong momentum in Beauty & Cosmetics . We are seeing continued success in our Beauty & Cosmetics segment with strong double -digit growth.

Neo-seam continues to gain traction for its seamless finish, while enhanced printing and investments in extruded tubes are further strengthening our offering. As oral growth gradually comes back over the next quarters, high-growth momentum in this segment will help us deliver sustained overall double -digit revenue growth.

Second, scaling presence in high-growth markets. We are scaling up well in high-growth markets with the Brazil capacity expansion now live and delivering ahead of plan. This not only

strengthens service to our key accounts, but has also enabled us to add s several new customers in the region. The Thailand greenfield is progressing as per time lines and will start contributing in the second half of the year.

Third, sustainability as a commercial differentiator. Our sustainable tube mix has risen to 38%,

driven by close collaboration with customers to co-develop recyclable and PCR formats. This is helping us gain wallet share and strengthens our position in competitive bids. We see continued momentum here with further tailwinds expected as large brands accelerate their sustainability commitments.

And finally, the fourth, margin expansion and improved capital efficiency. We are seeing encouraging momentum on margins across regions. Americas and Europe continue to benefit from building the right structure along with focused execution, better product mix and cost actions. We have already mitigated the impact of earlier U.S. tariffs and are now evaluating the implications of the recent ones.

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Importantly, we manufacture in the U.S. to sell in the U.S. And while we import laminate into the U.S. with contractual pass-through arrangements in place, we expect the impact to be immaterial. In India, despite macroeconomic headwinds, margins remained strong. The business is now back within the target margin range, supported by steady operational improvements and sharper commercial focus.

At the same time, we are maintaining strict discipline on capital allocation, interest costs and working capital. This approach is helping us improve returns as well as efficiency. As a result, we are well poised to deliver PAT growth ahead of revenue and further improve ROCE in the foreseeable future.

We are very pleased with the strong start to the year and the momentum across our priorities. With disciplined execution, customer focus and a clear strategy, we are well positioned to deliver consistent growth so as to create long-term value for all our stakeholders.

With that, we will now open up the line for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Firstly, sir, if I look at AMESA, now growth has been subdued for 4 consecutive quarters. And if I look at the FMCG companies, particularly in oral care, there the weakness typically has started only from last quarter onwards. Also, last quarter, you mentioned that the growth was impacted here because of lower intercompany laminate sales.

Just wanted to understand the weakness in AMESA in terms -- is it just oral care? Are there other factors? And going forward, when do you expect recovery? Any change which is visible on the ground currently?

Anand Kripalu: So let me say, as far as India is concerned, this quarter as well, our tube revenue growth is higher than the overall revenue growth that you are seeing, right? So there is some amount of correction in terms of laminate inventory. Now

more specifically, there has been softness in Oral Care volumes. But what has started happening is that we have seen accelerated momentum in beauty and cosmetics, right? And that is helping our overall numbers.

Now oral, the way we see it, I think we are beginning to see some signs already of recovery of oral volumes. And as oral volumes start coming back with sustained beauty and cosmetics momentum for which we have put in a lot of effort and we are seeing the results. When that starts happening, we should start seeing AMESA overall growth numbers beginning to improve.

Sameer Gupta: And when do you expect AMESA in terms of oral care to start clocking respectable growth in terms of, let's say, mid to high-single digit kind of a number?

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Anand Kripalu: You see the indication we have from our key customers is that they are seeing recovery and H2 is expected to start bouncing back. okay? So if I were to just read that, marry that with our accelerated momentum on B&C, right, I think that's when we should begin to start seeing improved numbers. But while I answer this question to you, I just want to say this that we know that there has been some softness in the overall FMCG environment in India. I think the strength of our portfolio is that we have delivered double-digit growth in 3 of the other regions.

So I think the strength of our portfolio is that we are able to manage one-off slowness that could happen anywhere in the world, but with success in other parts of the world so that we overall deliver double-digit growth, which indeed we have done. So I think for me, the confidence is that our portfolio is coming to play that we are not a victim of only some softness in one region, right, but we can still deliver the overall ambitions that we have for this business.

Sameer Gupta: That's very helpful. Just a bookkeeping question. Tax rate, again, this quarter has been on the lower side. Last year also was low. Any guidance that you can give as to what you expect for the full year here?

Deepak Goyal : Yes. So Sameer, as I've mentioned, the tax rate in the quarter could get impacted by the mix of profit in various countries. I expect steady state tax rate will continue to be in 18% to 20% range. However, it can go up and down depending upon how the mix of the profit has come in.

Sameer Gupta: And this is still for the full year, you expect and not for the remaining quarters?

Deepak Goyal : The 18% to 20% number?

Sameer Gupta: Yes.

Deepak Goyal : Yes. So I would say that depending upon the mix in low tax geographies, this year tax rate could be a bit lower than the steady state rate. The steady state rate will be about 18% to 20%.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got first question on the personal care , very strong performance, 28% Y -o-Y growth on a decent base. I think -- can you help us understand what is driving such a strong and sudden uptick in the growth for personal care? And do you think the run rate are sustainable at least for next 12 months?

Anand Kripalu: So we have been talking about the efforts we are making as a business on beauty and cosmetics or indeed personal care. And we've been talking about it for the last year or so, right? Since then, I would say that the execution of our plan has now permeated across the organization and around the world. So for instance, we have seen very aggressive customer acquisition. Our innovation is beginning to show results, particularly Neo -seam that we were talking about, okay?

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We have invested in people and importantly, in back-end capability, which is both to do with ring-fencing capacity as well as agility to deliver time lines for smaller MOQs, which are far better than what we ever were doing in the past, okay? And finally, I must

tell you that we are

also hungry today for M&A in the beauty and cosmetics space, and we are actually hunting down opportunities in B&C around the world.

Now I think everything that we have put in gives me confidence that you will see a new momentum on Beauty & Cosmetics. Last quarter, we were about 20% growth. This quarter in Beauty & Cosmetics, we have 35% growth. I think you should continue to see solid momentum in Beauty & Cosmetics looking ahead.

Sanjesh Jain: And when you say M&A, will it be going more into the non- laminate segment or it will be more geographical -- how are we looking at M&A?

Anand Kripalu: I mean it could be both, honestly, Sanjesh. It could be geographic, right? So regions where we are relatively under-indexed in terms of our share, right? We can transform our business with the right kind of M&A. And I would say selectively, in markets which are predominantly extruded markets, we may look at extruded manufacturers as well. So we will stay in the space of tubes. We will stay in the space of plastic tubes that could be laminated tubes or extruded tubes, all right? And then it's based on what's available . But all I can tell you is that we have a strategic approach to scanning the market and zeroing in on opportunities. We've actually signed a few NDAs where we are doing some work, right, to explore. But obviously, we will share more information when we are able to share that information. I think the bigger message is that we have always said that B&C is the big growth opportunity for this business.

B&C is where we have relatively low shares compared to oral care. And honestly, that's where a huge amount of management effort is going. And adding to that, we will also put money on the table if we have the right targets to acquire so that we can sustain strong beauty and cosmetics performance.

Sanjesh Jain: That's clear. On Europe segment, I could understand Americas, Brazil adding to the growth, but what's driving Europe growth so strong?

Anand Kripalu: I mean what is driving Europe growth so strong in the sense that -- so you know that we have seen some years of sluggish performance in Europe, right? We've made certain key changes. We have put certain structural interventions in place. We have beefed up our sales resources.

We actually have a new Head of Sales as well. And I think all that put together is beginning to deliver value for the business, okay? And therefore, we are also exploring possibilities of M&A in Europe as well, right, to be able to actually step change our position in Europe.

Deepak Goyal: And I would also -- I would just add to what Anand said that in Europe, our market share is relatively very small. And hence, our ability to gain market share with good service levels goes up significantly. So despite, let's say, inherent category growth, which may be slower than the global growth in Europe, opportunity for us remains very high.

Sanjesh Jain: But the opportunity has always existed, right, Deepak?

Deepak Goyal: Yes. And that is what Anand is mentioning, Sanjesh, that we were not able to capitalize on that opportunity for 2 reasons. Number one, our profit structure, the P&L structure was not optimal. Our margins were suboptimal. And hence, a lot of focus always we nt on fixing the cost base rather than growing the retail. And second, some of the organization level changes that we did last year. So we have been able to fix both of those issues in last 12, 15 months, and the results we are showing in the numbers now.

Sanjesh Jain: That's fair. That's fair. One question, Anand, on your initial comment, you said that we are winning more labels. Can you give more color how many more labels we have won, what is the contribution in the growth, which is coming from the new customer? That would be helpful.

Anand Kripalu: You'

re saying how much growth are we getting from new customers?

Sanjesh Jain: Yes, yes because that was one of the drivers for B&C growth, right?

Anand Kripalu: That absolutely is one of the drivers. And we are going after a large number of smaller customers, okay? If you look at just India, there's a table in front of me here with samples of t ubes from all kinds of brands and a large number of them are D2C brands, okay, online brands, right? I don't know, do we have the number?

Deepak Goyal: Sanjesh, can you hear us now?

Sanjesh Jain: Yes, we can hear you.

Deepak Goyal : Sanjesh, the Beauty & Cosmetics growth is driven through innovation across both the existing customers and new customers. As we are explaining and demonstrating our capabilities for existing customers, we are gaining new projects from them. And equally, we are aggressively acquiring new customers. We don't have the number right now, but this is -- the growth is driven by innovations. And that is why our confidence in sustaining B&C growth even in the future remains high.

Moderator: The next question is from the line of Smith Gala from RSPN Ventures .

Smith Gala: The first question was regarding the recent strategic investment by Indorama. So I wanted to understand will this investment be helping us collaborate with them on take -off strategy?

Anand Kripalu: So I mean, I think the answer is yes. As an example, our Thailand project, right, is done with a lot of support from Indorama. In fact, our unit is being set up on the Indorama premises, of course, with all the arms ' length checks and balances in place. So that's how we are able to get off with great speed. And we are also getting a lot of their support for getting all the licenses and approvals and so on and so forth that we need. Now that's the first example of where we have leveraged Indorama's resources. And we are continuously exploring other opportunities around the world.

Smith Gala: Okay. That was helpful. Secondly, on -- just wanted to understand more on the top line and the EBITDA and the bottom line guidance ?

Anand Kripalu: So what would you like to understand?

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Smith Gala: Double -digit growth of top line, can it be better or we will maintain that double -digit guidance of top line?

Anand Kripalu: No. So we have given a guidance to say that our ambition is to deliver double -digit growth with EBITDA growing faster than revenue and PAT growing faster than EBITDA, okay? So that guidance stays. It's not a quarter- to-quarter guidance, but as a kind of full year guidance, okay? And I think what I've been saying is that we've delivered double -digit growth in a quarter where AMESA has been soft and oral has generally been soft , right? We have seen long -term trends on oral, right?

And this company has been built on oral, and we have seen long-term growth in oral. And therefore, toothpaste is not a category that disappears. People don't stop brushing to put it simply.

And therefore, some of those trends are short term. When those com e back with the ambition -- with the growth that we have been able to establish with beauty and cosmetics, we absolutely believe that we will be squarely in the double -digit zone.

Moderator: The next question is from the line of Pooja Jain from Trinetra Asset Management.

Pooja Jain : So I have a follow -up question on Indorama's stake. So what was the vision for getting this strategic investor on board? And will they be increasing their stake in the future or taking up a more active role?

Anand Kripalu: So I don't have a really answer to your latter question, honestly. What was -- see, the point is that a strategic investor will take a long -term view of a business, okay? A private equity firm

will have a 5 -year, 6 -year horizon.

So I think the purpose of a strategic investor is that decisions should be taken in the fullness

of

time to create long -term value for all stakeholders and to drive long-term transformational growth for this business. Now I'm conjecturing, but that is my understanding of the role of a strategic investor versus a private equity investor.

Pooja Jain: Okay. Understood. And I also wanted to know the Brazil greenfield facility that had gone live last year. Can you please tell me the update on its current utilization levels and how much it's contributing to the revenue?

Anand Kripalu: So as far as Brazil is concerned, so I would say our utilization has been high. As a consequence of that, we have doubled our capacity in beauty and cosmetics in Brazil as we speak, that fully came on stream in June. And we have now started really accelerating our Beauty and Cosmetics business.

So I think you've got to believe that the utilization was high enough for us to take a decision to put another slug of investment into Brazil. Overall, I will say that we are delighted with our performance in Brazil and particularly since a lot of the growth momentum is coming in beauty and cosmetics in Brazil, and it's making a big difference to our overall global performance as well.

Moderator: The next question is from the line of Anupam Jain from Indira Securities .

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Anupam Jain : So my question is what will be the contribution from Thailand capacity once it ramps up in H2?

Anand Kripalu: So we're not specifically giving a number on that. All I will say is that the whole plan on Thailand is to actually start small but accelerate very fast, right? Because the model in Thailand is a little different from our model of expansion to other geographies where it's been done on the back of a customer contract.

In Thailand, right, we have a very strong pipeline of products, particularly in the beauty and cosmetics space. So what we are doing is we're getting started quickly. And as the business comes in, our aim is to ramp up very fast. So I would say that the contribution of Thailand will keep increasing, but we are not specifically giving a number on what it will contribute in H2.

Anupam Jain: More about then how will you use Indorama , will it be personal employee person that you are using in Thailand for that facility for sales and marketing? How will that be? Can you just give me a guidance in that... ?

Anand Kripalu: We will have our own EPL team. We will take help and support from Indorama as needed in area needed. It could be by way of introductions to customers. It could be by way of support to get licenses done. And it could be in other areas, maybe even hiring of people. But finally, EPL is a different entity from Indorama and will run an independent operation in Thailand.

Anupam Jain: Okay. Because what I'm gathering is Thailand will open doors to new geographies if it is successful. And I'm just trying to understand how you're thinking in terms of a very small capital expenditure that you're doing currently.

Anand Kripalu: See, Thailand itself is a very large tube market , okay, where we have very small share and that is linked to whatever we export currently from China into Thailand. So having an onshore production allows us to access the beauty and cosmetics market that typically has larger di a tube and shorter lead times, which is tough to do through an export model.

So our first objective is to truly exploit the Thailand market, specifically in the area of beauty and cosmetics. But you're absolutely right. Once we set up base in Thailand, suddenly, Malaysia is more accessible. Vietnam is more accessible. Indonesia is more accessible, okay? And that's what I said, where I said start small but accelerate fast, okay? So that's our thinking.

Moderator: The next question is from the line of Anupam Jain from Indira Securities.

Anupam Jain : Just one follow -up question on the inorganic acquisition that you're thinking. What is the size

of

this?

Anand Kripalu: No. See, we're not in a position to say that, right? All we are saying is that we have been hunting down opportunities in geographies where we believe it can help us in transforming our business.

We are looking at what's available. I've said that we have already signed a couple of NDAs to have more detailed conversation with a few targeted parties.

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But in terms of timing or scale and whether it will happen or not happen, I don't think I'm in a

position to comment. We will absolutely share that with you when we are -- when we have made a decision. But I just want you to recognize that we are driving the agenda for M&A as hard as we can. And ultimately, it's based on the opportunities available and the price at which you're willing to get it, okay? So that is the whole point about M&A.

Anupam Jain: And any amount that we have earmarked for this?

Anand Kripalu: No, we've not earmarked an amount for this. But all I can say is that as I've already said, our debt-to-EBITDA ratio is 0.45. So we have huge opportunity to leverage our balance sheet. And we would be ready for even a medium-sized or even a larger potential target because our balance sheet permits us to do so.

Moderator: The next question is from the line of Meet from Motilal Oswal .

Meet : First of all, what is the capex amount we are spending on Thailand facility?

Anand Kripalu: It's about -- like I said, we're starting small, right, and we'll accelerate fast. So it's roughly in the zone of about \$5 million to start with in a leased facility, right? But the plan is, as business comes in, we will accelerate very fast.

Meet: Understood. And what kind of margin profile can we see in these operations in like Thailand geography?

Deepak Goyal : Margin will be equal to or slightly better than the global margins.

Meet: And one more thing is like Thailand market, as you already mentioned that it's a very big market. And as you know, Indorama is also a very bigger player in in that location? So won't it be a competitive challenge to like Indorama is like incubating another player in that location or how it will be the entire arrangement in Thailand region?

Anand Kripalu: There is no competition with Indorama. They are not operating in the categories that we are operating in, which is primarily to do with plastic tubes. So there is absolutely no competition. If anything, there are opportunities for synergy rather than competition.

Meet: And apart from Thailand, any major capex plans in any other geography that you planning except for Brazil, as you mentioned, you double d the capacity in Brazil . Any other in U.S., India, or Europe you are planning any capex plans soon?

Deepak Goyal : So capex es are part of the operating model. We have been maintaining that our capex investments every year will be equal to -- roughly equal to our depreciation, which is anywhere between INR350 crores to INR 400 crores. Large part of this capex spends goes into growth capexes . We produce more than 8 billion tubes a year.

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And when we are growing volumes in high-single digits, etcetera, we are adding volumes, which is larger than most players in this market, right? And hence, to deliver to this volume, we continuously keep doing growth capexes . We are mentioning the ones which are specifically into growth geographies like Brazil and Thailand. However, other than that, the normal expansion capexes are happening across geographies.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Pratik Tholiya for his closing comments. Over to you, sir.

Pratik Tholiya: Yes. Thank s, Muskan. On behalf of Systematix Institutional Equities, I'd like to thank all the participants for logging into this call. I would like to also thank the man

agement once again for

giving us the opportunity. I would like to request Anand sir if he has any closing comments to make.

Anand Kripalu: No, I just want to thank you, Pratik, and thank all the participants for your continued interest in EPL. Thank you for joining us.

Pratik Tholiya: Thank you so much, sir.

Moderator: Thank you. On behalf of Systematix Group, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

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October 20, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Investor's Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")

2. ISIN: INE255A01020

Sir/ Madam, In furtherance of our intimation(s) dated October 8, 2025 and October 13, 2025 , we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on October 13, 2025, to discuss the leadership transition at the Company ("said transcript").

The said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>

This is for your information and records.

Thanking you.

Yours faithfully, For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

Encl.: As above

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"EPL Limited
Investor Conference Call"
October 13, 2025

MANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED
MR. HEMANT BAKSHI – CHIEF EXECUTIVE OFFICER -
DESIGNATE – EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER –
EPL LIMITED

MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX SHARES &
STOCKS INDIA LIMITED

EPL Limited
October 13, 2025
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Moderator: Ladies and gentlemen, good day, and welcome to investor conference call to discuss the leadership transition at EPL Limited hosted by Systematix Shares & Stocks India Limited. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix Shares & Stocks India Limited. Thank you, and over to you, Mr. Tholiya.

Pratik Tholiya: Yes. Thanks, Da nish. Good afternoon, everyone. On behalf of Systematix Institutional Equities, I would like to welcome all the participants on this conference call to discuss the leadership

transition team -- leadership transition at EPL, we have been joined by the senior leadership team of EPL, including Mr. Anand Kripalu, Mr. Hemant Bakshi, Mr. Deepak Goyal and other members of the senior management team.

At the outset, I would like to thank the management for giving us this opportunity to hold this conference call. I would also like to take this opportunity to welcome Mr. Hemant Bakshi on this call. Congratulations, sir and welcome to the call.

I would now like to hand it over to Mr. Anand Kripalu to begin the proceedings of the call. Thank you, and over to you, sir.

Anand Kripalu: Thank you very much, Pratik, and hello, everybody, and a very good afternoon to you. Today's call is a little different, and I would say, quite personal for me. As it marks one of my last interactions, and hopefully, I'll be with you when we next announce our results, but it will be one of my last few interactions, as the Managing Director and Global CEO of EPL.

After much reflection, I have decided that the time has come for me to retire from active executive responsibilities. Accordingly, I will be stepping down from my role as the MD and Global CEO of EPL, at the end of this calendar year. I've had the privilege of leading EPL as well as several other large organizations over the last few decades. And I have to say that it's been an immensely fulfilling journey for me.

However, I would now like to devote my time a bit differently. I will take up some part-time assignments in addition to the advisory and board roles that I already have. But importantly, I will also continue as a Non-Executive Director at EPL.

This will allow me to stay connected with EPL, which is a company that I have grown to not just respect but also love. I have taken this decision after considerable thought and in close consultation with promoters of EPL as well as the Board. It is a natural transition, and I feel very confident about this decision because of where EPL stands today.

Over the last few years, EPL's performance has improved significantly. Our margins have expanded by nearly 500 basis points over the last 12 quarters, and we have accelerated our EPL Limited

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growth, particularly in Beauty & Cosmetics. Personal Care & beyond now contribute to over 50% of our revenue. And at the same time, we have expanded to new markets like Brazil and most recently, Thailand as well as advanced our sustainability agenda with 38% of our total volumes now recyclable.

What is hot off the press is something that I'm immensely proud of, in continuance with our vision of becoming the most sustainable packaging company in the world, we have recently been awarded EcoVadis Platinum, putting us in the top 1% of 150,000 companies in the world that have been assessed by EcoVadis. I really feel that this is the crowning loading of our sustainability journey and our sustainability efforts.

However, what I'm very proud about, apart

from all this is the strong foundation that we have

built for the future, the conditions that we have created for the future. We have a very clear and ambitious road map to deliver double-digit revenue growth, while improving ROCE from around 18% today to over 25% by FY '29. This strategy anchored in operational excellence as well as capital efficiency gives me immense confidence that EPL's best years are still ahead.

I'm therefore delighted to hand over the reins to Hemant Bakshi, who will lead EPL from the 1st of January 2026. He joined EPL effective today as the CEO - Designate. I will continue in my current capacity as the MD and CEO till the end of the calendar year, post which Hemant will take over the role. I will, however, continue on the roles of the company till the 31st of March

2026 and will support Hemant as needed. Post that, I will continue and transition to a Board role as a Non-Executive, Non-Independent Director.

Hemant is an accomplished leader with over 30 years of experience in the FMCG industry. An alumni of IIT Mumbai and IIM Ahmedabad, Hemant spent three decades with Unilever in senior leadership roles across India and Indonesia including as CEO of Unilever Indonesia, a \$3 billion public listed business and later as the Non-executive Chairman of Unilever, Indonesia.

He drove consistent profitable growth, transformed go-to-market strategies and led diversity and inclusion initiatives. Hemant also founded and led GroNext Technologies, a Unilever funded venture building a B2B marketplace for traditional trade stores, scaling it to 12 markets across Latin America, Asia and Turkey with over \$1 billion in GMV.

Hemant's leadership experience across global markets and a consistent track record of driving growth at scale makes him an ideal choice to lead EPL. He has implemented transformational initiatives at his prior organizations, focused on innovation, profitable growth, go-to-market strategies and cost optimization.

EPL is the industry leader in innovation and sustainability, Hemant's deep understanding of customer preferences and credibility with EPL's customers will further deepen our customer relationships. His global exposure, ability to inspire high-performing teams and experience in enhancing organizational culture will energize the team at EPL across the length and breadth of

the 11 countries we operate in.
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Hemant is also a good friend and colleague. We have worked together at Unilever for many years. I respect him both personally and professionally. I do believe that Hemant is more than a worthy successor and I'm sure will take EPL to even greater heights.

Importantly, I want to assure all our stakeholders that the strategy that we have built together will continue seamlessly under Hemant's leadership. Hemant and I are working closely during this transition to ensure that there is no disruption in momentum and that EPL continues to deliver strong results.

As I look back, I feel a deep sense of gratitude to our employees across 11 countries, to our customers and partners and to all of you, our investors, for your trust and support through every phase of this journey. It has been a privilege to serve this organization and to build something that I hope and I'm sure will be enduring. While this marks the end of my executive journey, it is certainly not a farewell. Like I said earlier, I will continue to stay associated with EPL as a member of the Board, and I look forward to supporting the company's next phase of growth albeit in a different capacity. Thank you once again for your trust, your engagement and your partnership over the years. I have no doubt in my mind that as far as EPL is concerned, the best is yet to come.

Over to Hemant.

Hemant Bakshi : Thank you, Anand. Good afternoon, everyone. Thank you for joining us today. It's a real privilege to be speaking with you today.

As the CEO - Designate of EPL. First, I want to acknowledge and thank Anand for his outstanding leadership and the strong legacy he leaves behind at EPL. I am deeply honored to have the opportunity to build on the foundation. I look forward to spending the next few months understanding the company deeply and setting in place the plan for the future.

I'm excited to lead EPL a global leader in sustainable packaging and a partner to leading consumer brands with a track record of innovation. As one of India's most successful multinational consumer businesses, EPL is well positioned for its next phase of growth. Anand and I are working closely together during this transition period to ensure that our teams, customers and our partners experience seamless handovers.

Over the next few weeks, I will be meeting our customers and employees across the globe. I'm looking forward to understanding the business from the ground up and hear directly from the teams that make EPL what it is. I look forward to partnering with the Board, our investors and our passionate teams across the world to deliver exceptional value for our customers, suppliers, employees and shareholders.

I also look forward to meeting many of you over the coming months and sharing more about how we'll build on EPL's strong momentum to create enduring value for all stakeholders. Thank you very much.

Deepak Goyal: Pratik, now we can open the line for questions.

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Anand Kripalu: And just as a caveat, I would request all the people who've dialed in to focus questions only on me or Hemant with the transition because you will appreciate, we are in a close period, and therefore, we cannot take any questions apart from that.

Moderator: The first question is from the line of Mr. Sameer Gupta from IIFL Capital.

Sameer Gupta: First of all, I'd like to take this opportunity to wish Anand a solid future after this role ahead, been great interacting with you all these years. So, coming to the first question, I mean, since Anand's appointment in July '21, could you just highlight the major structural initiatives, whatever you feel worth of highlighting, three, four, maybe which you have personally undertaken or overseen at EPL.

And why I'm asking this is that, let's say, like these initiatives, how strengthened or how strong has the organization now become to be more towards a process-driven organization, which lowers dependence on anybody who is at the helm kind of -- that's probably the hallmark of a strong organization. So, if anything you can highlight?

Anand Kripalu: No, I'll just give you a high-level answer, Sameer today, but thank you for that question. One of the vision we set out when I started the journey is to build the most sustainable packaging company in the world. We said we will do that based on the four Cs and the four enablers with sustainability at the heart of everything we do. Just very quickly, as far as the four Cs are concerned, we said it's about categories.

And there, we have over-indexed our growth ambition and our plan to exploit the headroom in Beauty & Cosmetics, and you've seen the momentum there. The second C was on customers and

there was a massive focus to enlist small customers and not only work with large customers around the world, and that again is contributing to the momentum of our Beauty & Cosmetics category.

The third C was about countries and geographic expansion. And you have seen that we have set up a greenfield plant in Brazil, and we have just started production as it happens in Thailand, okay? So, Thailand is now coming on stream. We've also leveraged exports from existing sites to adjacent countries as a strategic priority.

And the fourth was about cost. And you know that we have undertaken structural cost interventions as well as continuous improvement cost intervention to get our margins back to

20

plus, which is what we've been declaring now in recent times. At the heart of this, right, and these are all structural improvements that I believe are here to stay, right?

Supporting this are really four enablers, which is to do with an ambition-driven innovation program, digitization and how we want to leverage the latest technology, hunting down sales and marketing through enhanced capability and finally, building a one EPL culture, so that EPL everywhere is as good as EPL is anywhere, all right?

So, this is really what we have done. And I believe that many of these are fundamental shifts that hopefully is creating the platform to sustain the kind of performance that you've seen us deliver in recent times.

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Sameer Gupta: Great, sir. And one -- second question, if I may squeeze in. So quite a lot of developments have been happening at EPL recently. So, Indorama has picked up a minority stake, the current promoter Blackstone, I mean, it's probable that they are going to exit completely in some amount of time. Nobody knows how much, but it seems to be a -- it seems to be a matter of time. So, I just wanted to get a clarification. Have these developments had any bearing on this decision of yours to retire?

Anand Kripalu: So, Sameer, you seem to know more than me, but anyway. But more recently -- so first of all, as far as Indorama is concerned, you all know, they came in at a 24.9% stake in the business.

And I can tell you, we have leveraged Indorama fully to get our Thailand plant up and running in record time.

In fact, the project that we planned a year ago has actually come on stream bang on time, right? And I can say it would not have happened without Indorama's support on the ground, and we are exploring further opportunities to leverage Indorama's global presence.

Now as far as Blackstone is concerned, all I can tell you is what I am seeing, right? What I am seeing is that Blackstone's commitment, engagement, the depth of reviews in the business is exactly what it was earlier. Now, will they exit one day, I suppose any private equity company will exit one day.

But all I can tell you is what we are seeing today is that their engagement is full swing and our belief is, that they believe that there is significant value to be extracted with the EPL investment in their continued EPL investment. And I'm hoping that they are making to exploit that pot of gold and encash that pot of gold that is certainly there in the future.

Sameer Gupta: I'll come back in the queue for any follow-ups and wish you all the best Hemant for the new role.

Hemant Bakshi: Thank you.

Moderator: The next question is from the line of Mr. Jaymin from ARDEKO Asset Management.

Jaymin : Congratulations to Mr. Kripalu for successful four years in EPL, and I wish you the very best for the future as well. So, my first question is to Mr. Kripalu, so let's say, looking back at your tenure and as you're handing over the reins, so what are the key strategic priorities or cultural strengths that you believe are non-negotiable for sustaining the current growth and the margin momentum for the company?

Anand Kripalu: Well, I've already explained some of the strategic pillars, right? In terms of the four Cs for enablers with sustainability at the heart of everything we do, all that crowned with our EcoVadis Platinum recognition. I would say, the cultural strengths are, I think we have definitely raised the bar on building a more performance-oriented culture.

And I can tell you that is far more constructive challenge and far more objective evaluation of performance, then I think what was there before I came into the company. So that's one.

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Secondly, I think we have tried to build a one EPL culture rather than a region for culture, where we make the whole more than some of the parts, okay?

And finally, I will say that we have raised the bar on the people that we are hiring, the standards are being raised so that over time, we can get people who are even better than the people we had earlier step by step by step. I would say these are the three shifts and all these three, I think, will strengthen the foundation of the company and are here to stay.

Jaymin: Right, right. And my next question is to Mr. Bakshi. So which aspect of the company's business model has impressed you the most? And are there any untapped potential areas which you are seeing, which you would like to explore in the near to medium-term?

Hemant Bakshi: Yes. No, firstly, I must tell you, this is my first day. And I've been in the office, I think, for less than four hours, so maybe it will be a little impertinent for me to now start saying what are the things which I feel can be different. All I can say is I'm truly impressed by the foundations, which have been laid by Anand and his team. This business is in a really, very good shape. The few things which have really impressed me, I would focus on three.

The first is the fact that it's a global leader in sustainability. And that is something which has impressed me. It's been important for me all along, and I'm really happy that I'm coming into a business which is as focused on sustainability.

I think the second thing which makes me really proud is that this is one of the most successful multinational consumer businesses run out of India. And I hope in the future, there'll be many but at this point in time, EPL is clearly one of those, and that makes me proud and happy to be here.

And thirdly, I think it's the quality of people, the talent, which is there in this company. I have - the people I've interacted with, I found them very highly accomplished professionals and I think I'll be -- it'll be really, really good for me to work with them. So those are the 3 things which have impressed me. There are many more, which I'm sure I'll discover as time goes by.

Moderator: As there are no further questions, I would like to hand the conference over to Mr. Pratik Tholiya for closing comments.

Pratik Tholiya: On behalf of Systematix, I would like to once again thank all the participants who joined this conference call. I would like to once again also thank the management for giving us the opportunity. Sir, would you like to make any closing comments. Anand sir, would you like to make any closing comments? Sir, would you like to make any closing comments?

Anand Kripalu: No, I just want to say that I will be here for the next Investor Call when we declare results for Q2, okay? So, we will have another interaction. But I really want to thank everybody for that support, over these years that I have been at EPL. And many of them have also been supporting me in my previous roles in previous companies. And thank you for dialing in today for this leadership change announcement and discussion. And I look forward to connecting at the next results call.

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Moderator: Thank you, sir. On behalf of Systematix Shares & Stock India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 17, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")

2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation(s) dated November 6, 2025 and November 12, 2025, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on November 12, 2025, to discuss the Una udited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 2025 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>

This is for your information and records.

Thanking you.

Yours faithfully, For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

Encl.: As above

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"EPL Limited

Q2 & H1 FY '26 Earnings Conference Call"

November 12, 2025

MANAGEMENT : MR. ANAND KRIPALU – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED
MR. HEMANT BAKSHI – CHIEF EXECUTIVE OFFICER –
DESIGNATE - EPL LIMITED
MR. M. R. RAMASAMY – CHIEF OPERATING OFFICER –
EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER –
EPL LIMITED
MR. THOMAS STEPHEN – PRESIDENT , AMESA REGION
– EPL LIMITED
MR. ONKAR GHANGURDE – HEAD - LEGAL , COMPANY
SECRETARY & COMPLIANCE OFFICER – EPL LIMITED

MODERATOR : MR. PRATIK THOLIYA – SYSTEMATIX SHARES &
STOCKS INDIA LIMITED

EPL Limited

November 12, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to EPL Limited Q2 and H1 FY '26 Earnings Conference Call hosted by Systematix Shares & Stocks Limited.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant line s will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya from Systematix Shares & Stocks Limited. Thank you, and over to you, sir.

Pratik Tholiya: Yes. Thanks, Iqra. Good afternoon, everyone. On behalf of Systematix Institutional Equities, I would like to welcome all the participants who logged into this Q2 FY '26 results conference call of EPL Limited.

From the management team, we have today with us Mr. Anand Kripalu, MD and Global CEO; Mr. Hemant Bakshi, CEO Designate; Mr. M. R. Ramasamy, COO; Mr. Deepak Goyal, CFO; Mr. Thomas Stephen, President, AMESA Region; and Mr. Onkar Ghangurde, Head, Legal, Company Secretary and Compliance Officer.

At the outset, I'd like to thank the management for giving us the opportunity to host this conference call. I would now like to welcome Mr. Anand Kripalu to begin the proceedings of this call today. Thank you, and over to you, sir.

Anand Kripalu: Thank you very much, Pratik, and hello, everybody. Very good afternoon to you and thank you for joining us for EPL Q2 FY '26 Earnings Call. At the outset, I'd like to take a moment to welcome Hemant Bakshi. As many of you know, I will be retiring at the end of this year, and Hemant will be taking over as MD and Global CEO, with effect from Jan 1, 2026. It has been a privilege to lead this exceptional organization, and I'm proud of the progress we have made together over these last 4 years.

Before talking about the results, I also want to share some great news, which marks a proud milestone in EPL's sustainability journey. We are delighted that EPL has been awarded the prestigious EcoVadis Platinum Rating, placing us in the top 1% of 150,000 companies assessed worldwide. We are the only packaging company from India, who is globally certified.

Moving on to the results, I'm pleased to report another quarter of solid performance, marked by sustained growth momentum and enhanced profitability. We delivered double-digit revenue growth of 11%, robust EBITDA growth of 16.1%, and a solid 19.9% growth in PAT.

Our EBITDA margin expanded to 20.9%, an improvement of 91 basis points over the previous year, while ROCE stood at 18.7%, up 217 basis points year-on-year. This performance is a

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testament to the clarity of our strategy, consistent execution and disciplined operational management.

The Beauty & Cosmetics category continued its strong momentum, delivering 26.3% year-on-year growth, reflecting the success of our sustained focus in this segment. From a regional perspective, growth was led by the Americas and East Asia Pacific. The Americas delivered an outstanding 27.4% revenue growth, driven by strong momentum and new customer wins.

EAP grew 10.6%, supported by healthy growth across Oral, as well as Beauty & Cosmetics.

Europe recorded 2.8% growth, impacted by temporary softness from a few large customers while lapsing a strong base. AMESA was largely flat due to Oral, as customers cleared old inventories following the GST impact, even as margins have shown steady im

provement.

With a robust B&C pipeline and Oral recovery expected, growth will rebound in coming quarters. Our EBITDA margin of 20.9%, represents a 91-basis point expansion over last year. This marks our fifth consecutive quarter with 20% plus margin. PAT grew 19.9%, supported by strong operational performance and prudent financial management.

EPS improved to INR3.26 per share compared to INR2.73 per share in quarter 2 FY '24. Our net debt-to-EBITDA ratio stands at 0.52x. ROCE was 18.7%, 217 basis points over last year and nearly 400 basis points over the last 2 years, underscoring our sharp focus on returns and capital efficiency. Consequently, we are delighted to announce an interim dividend of INR2.50 per share.

As I mentioned in the beginning of the call, we are very proud that we have been awarded the prestigious EcoVadis Platinum Rating. We started our EcoVadis journey in 2018, when we were first awarded a Bronze rating. Over the last 4 years, we have made significant improvement in our product portfolio, people processes and carbon footprint to get to platinum.

Further strengthening our culture of excellence, EPL has been again certified as a great place to work across 7 countries, a reflection of our consistent efforts to build an inclusive, engaging and high-performing workplace. As we look ahead, our priorities remain clear: to deliver sustainable, profitable double-digit growth through focused execution portfolio diversification and capital efficient operations.

Our focus remains on the following four areas. First, accelerating growth through continued momentum in Beauty & Cosmetics. The Beauty & Cosmetics category continues to be a strong growth engine, delivering double-digit growth now for four consecutive quarters. The Personal

Care & Beyond portfolio, which also includes P&C, now accounts for 53% of our total revenue, underscoring the continued broadening of our category base.

The investment in NEOSeam as well as extruded format is helping us deepen partnerships by leading global beauty brands. We have a large headroom ahead of us, and this is just the beginning of scaling the success further.

Second, scaling new growth engines. I am pleased to share that the Thailand plant has started operations in October, completing a world-class plant in just 9 months. This could never have

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happened without the enormous support extended by the Indorama team, who enabled us to secure the site as well as critical licenses.

We are starting with customer supplies in Q3, which is this quarter itself in this very promising Beauty & Cosmetics market. Further, our Brazil plant continues to perform exceedingly well, making a meaningful contribution to the region's strong growth. And we feel very confident of continuing this momentum in this high potential market.

Third, sustainability as a growth enabler. Our sustainable tube mix now stands at 38%, and we are making steady progress in this area. Now armed with the EcoVadis Platinum, we will be in the hunt for more business from our key customers who place sustainability as a critical priority.

And finally, fourth, margin expansion and capital efficiency. We have seen consistent margin improvement over the past quarters, in line with our commitment. We expect to continue improving our margins gradually through scale leverage, and a few specific initiatives that will

play out over the next few quarters. We have now turned our focus towards delivering strong ROCE, which has seen consistent expansion.

With further capital efficiency initiatives in place, we feel confident to move towards delivering our commitment of 25% plus ROCE by FY '29. Importantly, we are a company that manufactures in the US, for the US. Even as we await and in fact, as the world awaits the final trade deal, we are well on our way to mitigate the impact

through pricing, as well as some traded solution sourcing options.

As I conclude, I want to express my heartfelt gratitude to all our stakeholders, but specifically you, our investors. It has been an honor to lead EPL through a period of transformation and to see it emerge stronger, more innovative and more sustainable than ever before. I'm confident that under Hemant's leadership, the company will continue to build on this foundation and achieve even greater heights in the years to come.

Before we open up the floor for questions, I would like to request Hemant to say a few words as he completes his first month with the company. Over to you, Hemant.

Hemant Bakshi: I must start by thanking Anand for leading EPL admirably for the last 4 years and laying strong foundations for the business. While I have spent just about 4 weeks in the business, I'm really excited by what I'm seeing. There's a lot to be proud about in our past. But more than that, I'm inspired by what lies ahead for us as a business.

I'm just back from Thailand, where we inaugurated a factory that was built in just 9 months. Not even some of the new age companies can claim to have this level of speed. We also had an opportunity to review our innovation pipeline in Beauty & Cosmetics, and I was just blown away with what I saw. I'm really, really impatient to see it all come alive on store shelves across the world now. These are early days, and I have a lot to learn. I promise to come back to you in the near future with a plan and a program to take this fantastic company to even greater heights. Thanks a lot, and back to you, Anand.

Anand Kripalu: Thank you, Hemant. And with that, we will open up the floor for questions.

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Moderator: Thank you very much. The first question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Firstly, congrats on a good set of numbers. Glad to see double-digit sales growth despite the headwind that we saw from India due to GST transition. It seems except of that, it would have been better. So I have a two-part question here on sales. Firstly, with Americas doing so well, how much of the growth was aided due to forex gains, and how much was driven by Brazil? So that's one.

Secondly, can one expect this double-digit growth trajectory on sales to continue in the second half also? Because it seems there can be a higher base that can start cycling due to higher sales from Brazil in the second half. And maybe AMESA can take a little longer to come back to double-digit growth. So those are the two.

And maybe if I can ask -- with Thailand commissioning production, will you start booking sales

from 3Q? And how much will it start contributing? So that's my first question.

Anand Kripalu: Okay. Thank you, Mihir. Thank you very much. And let me try and address your questions and I'll get my colleagues to chip in as appropriate. Firstly, as far as Brazil is concerned, I mean Brazil is now pretty much in its third year of operation, and we continue to be super happy with how the momentum in Brazil is continuing.

Having said that, I just want you to recognize the fact that our growth in Americas, which is very strong this quarter, is broad-based. All countries have grown double digit. So while Brazil has done extremely well, all the other countries have also done well. So it's a broad-based growth from the Americas.

As far as forex is concerned, it's honestly like this, right? We deal with currencies across the world from the Yuan in China, all the way to the Mexican peso, okay, and everything in between.

So we have a kind of global portfolio of currencies. There are some quarters where we have headwinds from currencies and there are some quarters where we have tailwinds from currencies.

And because we are an INR reporting company, we don't really break this up separately. So, al

I can tell you is that there is some FX benefit that has come this quarter, as indeed there have been FX headwinds in some of the previous quarters.

As far as your question on Thailand is concerned, yes, we will start commercial billing this quarter itself, okay? Now, like any plant, it will start slow and then hopefully accelerate.

And we are already thinking about expansion in Thailand, because we are very encouraged with the strength of our business development pipeline.

So we're already thinking of now the next machine even as the first machines start up and start supplying commercially. So we remain very excited. We've just come back from Thailand, as Hemant said, inaugurating the plant. And, you know, we're all super, super excited by the nature of opportunity as well as the kind of innovation that our teams are over there to harness that opportunity.

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And finally, will double-digit growth continue? Well, we've delivered double-digit growth now for 2 quarters. Our intent has always been to be squarely in the double-digit zone, hugely fueled by success in Beauty & Cosmetics. And I'm honest with you, our momentum on Beauty & Cosmetics has only just started. We have enormous headroom for future growth.

As you would recognize, or al has been a little soft, much better in Q2 than Q1. But as Oral comes back -- because honestly, people aren't going to stop brushing their teeth and our shares are completely intact. As Oral comes back and the benefit of the B&C momentum continues to build, I am confident that this business is set up for sustained double-digit growth.

Mihir Shah: Second question is on margins. Your operating margins are near your peak levels. I know historically, the company has maintained -- mentioned that margins will not go beyond a certain level. However, if I have to just think about with Beauty & Cosmetics continuing to grow strongly, mix improvement can still contribute to that margin lever. Even if one is ...(technical glitch)

Moderator: Sorry to interrupt, Mihir. Ladies and gentlemen, the management's line has been disconnected.

Please hold, while we get them reconnected. Ladies and gentlemen, thanks for being on hold. The management has been reconnected. Thank you, and over to you, sir.

Anand Kripalu: I'm not sure was my last answer fully heard?

Mihir Shah: We heard your answer on the revenue front. I was asking the question on margins. Could you hear any of my questions on the margin side, sir?

Anand Kripalu: No, I didn't get any questions on margin. You got the full answer on the double-digit growth part, right?

Mihir Shah: I did. I did, sir.

Anand Kripalu: Okay. Right, you want to come back in the queue, Mihir? I don't know what the plan is for the operator, but I've answered three or four of your questions already. That's why I'm asking.

Mihir Shah: Sure. No problem, sir. I will come back in the queue. Thank you.

Anand Kripalu: All right. Thank you.

Moderator: Thank you. The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Sir, firstly, book-keeping question. Americas high growth of 27%. I know you mentioned double-digit growth across countries, but still there is a quite visible acceleration this quarter.

Just wanted to understand the driver of this acceleration? And is it sustainable?

Anand Kripalu: See, first and foremost, I just want to say that EPL is a portfolio of countries and regions. And the power of our portfolio is that sometimes when something doesn't do so well, other things come in and chip in, so that we can still deliver our overall global commitments. This quarter,

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Americas has performed extremely well, as I said earlier. Now is it sustainable? I don't have to answer that question. All I'm telling you is that it's b

road-based.

All countries in the Americas region have delivered double-digit growth, with Brazil being even stronger. Our intent is for the Americas to certainly deliver higher growth than the global average on a sustained basis, right? That is for sure, right? This quarter, it's probably a tad higher than normal, but I still expect very strong double-digit growth coming out of the Americas.

Sameer Gupta: Secondly, sir, on AMESA, if you could just call out the growth, which is adjusted for the GST-led inventory corrections and both in Oral and Personal Care, if you could do that in AMESA region this quarter?

Anand Kripalu: So we're not breaking up Oral and Cosmetics growth by region, okay? I think that's the level of detail too far, Sameer. Now having said that, it is hard for us to precisely estimate what has been the impact of GST, right?

Now you guys track all the other consumer goods companies. You know that many companies have delivered a soft quarter or a flattish quarter on the back of a soft September, okay? So it's hard for me to decode that.

Suffice to say that we have plans in place to, of course, recover anything that we may have lost from GST, but also to accelerate momentum in AMESA, and that specifically as far as India is concerned. And the plans there include some recovery from Oral Care and strong momentum from Beauty & Cosmetics.

Moderator: Thank you. The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri: Congratulations for a great set of numbers. Just one question on the Europe margins. We see a significant contraction there, Y-on-Y as well as Q-on-Q. Any particular reason for that? And where do we see those margins particularly for that geography in the coming few quarters?

Anand Kripalu: Yes. So first of all, please don't look at margins sequentially for the business. So I'll give you an example, the countries that celebrate Christmas in a big way tend to have amongst the softest quarters in Q3, our Q3, right, which is the October, November, December quarter. So don't look at it sequentially because there is some seasonality...

Kashyap Javeri: I'm looking at both Y-on-Y as well as Q-on-Q, because for straight 4 quarters you were about 17%, 18%.

Anand Kripalu: Yes, I'm coming to that. So I'm saying don't look at it sequentially. Now if you look at it year-on-year, you're absolutely right that there has been a contraction of margins. That margin drop essentially has been because of loss of scale of the business on top line.

I just want to reassure you that costs are completely intact, okay? Costs have been very tight. It's not that business costs have gone out of control. But there's been a loss of top line and

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specifically, a significant challenge of destocking with one major customer, okay? So that's the reason why the Europe margins have happened.

Now our guidance on Europe margins has always been mid-teens margins, okay? And therefore, our objective is to deliver mid-teens upwards. The comparative last year, right, was particularly high, and therefore, we had a high base as well that we were lapping.

But our objective is absolutely to get quickly back to mid-teens. I would say, this quarter is less than what we would have liked, right and certainly less than our mid-teens guidance. We need to quickly recover from here, and that is the objective.

Moderator: Thank you. The next question is from the line of Raman KV from Sequent Investments. Please go ahead.

Raman KV: Congratulations on good set of numbers. Sir, I just want to understand what's our current utilization on a blended basis? And how much -- if you can give a ballpark number, how much capacity will the Thailand plant add to our entire production capacity.

Anand Kripalu: So I'm going to hand over to Mr. Ramasamy, for a roundup of ou

r capacity utilization. On Thailand's whether we'd be -- I don't want to actually disclose the specific capacity. I think we've already disclosed earlier the investment we are making in the Thailand plant. And I've already said in my response to the previous question that we are already looking at further expansion, right? So we are building this plant in a very modular way.

And as we see the pipeline of orders building, we're going to very quickly go and expand capacity to a second line. So it's too early, I would say, to start reading into the specific capacity for Thailand is. On the overall capacity question, I will hand over to Mr. Ramasamy.

M.R. Ramasamy: Good afternoon. See, overall capacity is the mathematics of many things which happened in the

market, where we have an oral dominated market, which are contractual businesses, our capacity utilization can be anywhere between 65% to 70%. Like where we are dominated by Beauty & Cosmetics growth, the capacity utilization that what we ideally plan will be around 50% to 55%, because the fluctuation in that market is higher.

So generally, you can take anywhere between 60% to 65% .. And when we get into a 65% and the above, we plan for a capacity. Capacity additions happens in modular, whereas market grows leaner. So you will any point of time, we will see anywhere between 65% to 70%. Sometimes when it goes to peak 70%, can we add a capacity to come back to 65%.

So in this business, being a little capital intensive, plus variation in the marketplace is higher, about 5%, 10% that we can always caution away utilization. If there is a sudden, it has to be done. That's how it's planned. I hope I answered your question.

Raman KV: Yes, yes, yes. And sir, one small question. It's mainly on the bookkeeping part. In the PPT, we have seen, there was a strong AMERICAs growth. I mean, it's more or less like a follow-up on the previous participant's question. The American business had a strong growth with revenue

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growing around 27%, and EBITDA growing around 40%, 45% -plus. So how much of this is a contribution to the increase in the US dollar ?

Anand Kripalu: So we're not specifically giving a breakup of FX, even globally or indeed by region, okay? And like I said in the preamble part, there are sometimes pluses and minuses as far as FX is concerned. I mean, we are an INR-denominated company in terms of our performance and results, right, at the end of the day.

So, is there some benefit because of the US dollar? Of course, there is. But I'm not sure what happened with the Brazilian real or the Mexican peso, right? So it is a blend of movement of currencies and not just one currency.

Raman KV: No, I just want to understand, is this tremendous growth, was a n effect of the Europe dollar strengthening? Or was it an operational efficiency? From that point of view, I just wanted to understand.

Anand Kripalu: The bulk of those numbers are because of underlying performance. The cherry on the cake may be the FX, right? But the cake is underlying performance.

Moderator: Thank you. The next question is from the line of Amit Aggarwal from Leeway Investments. Please go ahead.

Amit Aggarwal: Sir, our other expenses have increased by 15% this quarter. Can you throw some light on that?

Anand Kripalu: Other expenses have grown by 15% this quarter. Can we throw some light on that? Will you take that right away?

Deepak Goyal: Yeah.

Anand Kripalu: Okay, I'm going to hand over to Deepak for that.

Deepak Goyal: Yes. So if you see our other expenses, they are a critical part of the revenue growth. So they are slightly ahead of , so the other expenses have grown at 12.4% versus the revenue growth of 11%.

These are driven by some investments that we have made in our S&D expenses. This is also driven by some power and fuel expansion or the inflation that has happened

d in the Western part
of the world.

Equally, some amount of freight cost has gone up because of the customer mix expansion. So this is a combination of inflation in power and fuel, some operating reasons like the freight, as well as some investments that we have made on the S&D expenses. But all of this is the investment part is also driving the revenue.

Amit Aggarwal: So, do you think that it will continue or go back to the normal levels that has been in the last previous quarters?

Deepak Goyal: So, see, ultimately, Amit, what we guide on is our EBITDA margin and EBITDA growth. We continue to maintain that we'll deliver doubled revenue growth. Our EBITDA will grow faster than revenue.

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Our EBITDA margin will show improvement , gradual improvement now, and that is how we manage the P&L. Now the expenses line specifically, I don't want to comment on because it is very important for us to also drive revenue growth.

Amit Aggarwal: And my second question is regarding the polymer prices. So, the polymer prices have remained constant or have gone down in last 2 years. So that must have helped in giving better EBITDA margins. Sir, can you segregate the percentage of polymer cost compared to aluminium cost? And how does it going to affect in the future if polymer prices shoot up to the previous high they had in 2022 ?

Deepak Goyal : So Amit, the commodity price indeed have remained stable, right? However, our revenue is a

mix of contractual pricing where the entire commodity inflation or deflation gets passed on to the customer and non-contractual pricing where we are able to negotiate with our customers on a need basis.

This mix allows us to make sure that our P&L remains predictable and , but at the same time, we also keep improving our EBITDA margin. I'm not sure if you have been part of our investment conferences or earlier calls. But we have always maintained that the effort of the business is to make our performance commodity cyclical proof, right?

So even when the commodities are stable right now, we continuously keep monitoring our gross margins at a customer level. And as the cycle reverses, we will start those pricing discussions

because the commodities are stable over a period of 2 years.

Let me just finish . Because commodities have been stable over a period of 2 years, there is no significant commodity benefit that has led to the EBITDA expansion. That is primarily coming because of our operational efficiencies and the margin improvement initiatives that we have taken.

Amit Aggarwal: Sir, could you give a , how can you segregate the cost...

Moderator: Mr. Amit, please rejoin the queue for more questions. Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities Limited. Please go ahead.

Sanjesh Jain: Sorry, I joined a little late in the call. I apologize if it's a repetition, but I just wanted to understand what has changed in this quarter for the Europe geography. We have been doing quite well in terms of revenue growth.

And again, I know you answered partly on the margin, telling that it's largely driven by operating leverage. But sequentially, it has still grown by 0.6%, while margins have been lower. Is that product mix has changed and the customer who has given lower order was predominantly a higher -margin product? Is that how we should read this number?

Anand Kripalu: No, I don't think that's how you should read it. I think you're probably reading more between the lines that is intentional. See the simple thing is , and I don't want to overstate it, but there's been

a significant challenge of downstocking with a major customer, okay? So this is not a broad-

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based kind of problem that is there in Europe, and I want everyone to just understand that properly , right?

The bulk of the challenge

has been with one customer, there's been some significant

downstocking that happened across some of the countries in Europe, okay? Now our belief is that this is going to bounce back their outlook in the future is much stronger, what they are sharing with us, okay? But basically, the short -term impact on margin is purely a loss of scale, right, largely from a major customer, right?

Now other things keep -- the mix keeps moving some positive , some negative and so on and so forth, okay? The Beauty & Cosmetics performance, right, has been stronger and has been better than Oral Care, right?

And this customer is largely Oral Care, okay? So the drop has been largely in Oral Care. And our understanding is that it is largely because of destocking, right? There's no fundamental loss of business, and therefore, this should bounce back in the foreseeable future.

Sanjesh Jain: No, Anand, I get it. I get it. But my problem is that sequentially the revenue drop is not actually a decline. It is still a growth of 0.6%. Now that doesn't explain why the margin should contract so much, because I can understand one customer moving up and down. But on an aggregate basis, that problem is really not hurting us. That margin mathematics is really something difficult to reconcile.

Deepak Goyal: So, Sanjesh, what happens is that in any business, we plan for cost increases, investments, etc. This was forecasted in the plant revenue. And Europe has definitely delivered a softer quarter than what we expected.

But we have continued with the investment that we had planned for, specifically in Beauty & Cosmetics because Europe remains one of the critical markets for us. And that is why while the overall costs are in control, the natural inflation has come in and the revenue has not kicked in the way we expected.

But is this permanent? No, it's not permanent. The revenue and we are working with the customers, is likely to improve as we go along. The cost lines, the investments have gone into the ground, right? And hence, the margin will improve. So in terms of margin, this quarter, I would say, is an aberration, and it will now start improving.

Sanjesh Jain: Second, on the EAP. Again, exactly opposite to Europe, everything has gone right there. So what's working in EAP for us?

Anand Kripalu: What is working in EAP? That's a rare question. So why is something working ? But anyway, let me explain to you. Actually EAP, China is a country and our region of EAP is really the leader as far as innovation is concerned, okay? China is leading the world on innovation and not just in AI or technology, but also in cosmetics and skin

care.

Two very interesting things have been happening. So one is in Oral Care, we have seen significant volumes coming from a tube in tube format, right? I want to share this with you. A
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tube in tube format is rare for Oral Care, but basically, there are two cylinders, one inside the other, two concentric cylinders with two different products, right, in each that get dispensed, right, on the toothbrush.

The selling price, obviously, of these because they are innovation, but they also got all the bells and whistles in terms of the looks and so on, right, is significant. And that has really propped up our Oral revenue at a time when volumes in Oral grow very modestly, okay? But the revenue has been much stronger on the back of this.

And we've just finished a meeting with the EAP team, and the momentum seems to be continuing as far as this is concerned. The second is, we have said this earlier that EAP for 5 years and now the sixth year has been delivering very solid Beauty & Cosmetics growth on the back of local teams. So local Chinese customers and on the back of stepped-up innovation, which also brings in higher ASPs, okay? So I think EAP is solid from that point of view.

I actually have to tell

you this, I think the best is yet to come. Thailand, we have not even started selling from the Thailand plant, right? It's a greenfield operation with a zero base, and we're going to build that as aggressively as we can, and I've already spoken about thinking about expansion while the first tubes are coming out, right, from that plant, right?

And we also think there are lots of opportunities in EAP, which are unexploited by EPL till now, right? And we are on the hunt for those as well, by the way. So EAP, I think, is a fundamental outcome of the opportunity, the strategy and some of the investment decisions that we have made supported by the right innovation capability.

Sanjesh Jain: Just one last data keeping question on the effective tax rate, now we are back to 25%. Should it continue? Or have we exhausted all the benefits that was there on the tax rate? How should we look at effective tax rate?

Deepak Goyal: Yes. So, Sanjesh, the quarter-on-quarter tax rate is a function of the country mix, as well as the intercompany dividend flow, which happens. So last quarter, our effective tax rate was close to 14%. This quarter is close to 25%. On a full year basis, our tax rate would be in line with the guidance that we have been giving, which is about anywhere between 20% to 22%. And that's how we should look at it.

Sanjesh Jain: That doesn't change right now?

Deepak Goyal: Yes, that's right. It doesn't change.

Sanjesh Jain: Just one last question, if I may?

Moderator: Sorry to interrupt, Sanjesh. Please rejoin the queue for more questions. Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: One question. Sir, it's been 2 to 3 years since we started Brazil. And I think we already went to one phase of expansion...

Moderator: Sorry to interrupt, Nikhil. Your voice is muffled.

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Nikhil: Is it audible now?

Anand Kripalu: Yes. You were a little muffled for a moment, but this is better.

Nikhil: Yes. So what I was trying to ask is that if you look at Brazil, we've been in the market commercial since -- for the last 2, 2.5 years. And I think if I'm not wrong, we've already done one phase of expansion as well. Do you think the market growth can sustain more? Or are we done -- are we saturated in terms of the opportunity which the market was provided?

Anand Kripalu: Listen as far as Brazil is concerned I can tell you we only just started. Brazil is the third largest Beauty & Cosmetics market in the world, okay? While we've done really well, we're still very small. The headroom for expansion and growth, I mean, infinite seems an absolute word, but it is huge. And Brazil will get priority for investment because we also have a very, very good margin profile in Brazil, okay?

And it's not an easy country to manoeuvre, but our teams over there, both the people on the ground as well as our regional leadership, right, really understand that country and really understand how to make things work in that country, right?

And with partnership from our corporate finance teams and so on, we've also weathered the currency uncertainty and so on and so forth. So actually, we feel we've gone through the learning curve, and this is creating a platform for, I would say, explosive opportunities in Brazil in the future, right, probably limited by our own imagination more than anything else.

Nikhil: So are we looking for the next phase of capex like in Brazil, or what's the status there?

Anand Kripalu: Not as we speak today, but all I'll tell you is that the last expansion of capex, we only started production 3 or 4 months ago from that new line and capex. As we see the volumes coming in, we will make sure that we proactively make investment decisions for expansion.

Moderator: Thank you. The next question is from the line of Manan Madlani from MJK Investment. Please go ahead.

head.

Manan Madlani: Congratulations on the good set of numbers. My question is on Thailand. So you mentioned pretty soon we'll be coming up with the new set of expansion. So is it fair to expect that from Q3 or maybe Q4 onwards, will I be EBITDA level positive particularly from that plant?

Anand Kripalu: Sorry, which plant? You mean the Thailand plant?

Manan Madlani: Yes.

Anand Kripalu: I mean it is premature actually for that question. It is ultimately going to be a very, very good margin plant. Right now, we've just incurred all the setup costs and everything else. But once we hit -- so this quarter, you can assume it's more on setup costs and so on and so forth, right? I

don't remember exactly, but will it get margin positive from whatever we see down the line.

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Deepak Goyal: The way we have set up the plant is that the indirect manning cost, which is the supervision cost in the plant is very limited. It's the EAP leadership team, which is also looking at the plant operations in Thailand because it's only 2 hours away from our plant in China.

And hence, the overall overhead costs are very limited, which means that the breakeven point is very small. The plant we are starting small, and hence, it will get to breakeven quickly. The idea is how quickly can we actually expand and explore the potential of the Thailand market. That's what we are focusing on.

Anand Kripalu: So conversely, it is not going to be any kind of a material EBITDA drain on our numbers, essentially.

Manan Madlani: Okay. And putting all together the Thailand plant and the Brazil capacity expansion, what would be the peak revenue that at a company level you can generate?

Anand Kripalu: So we are not getting into specific country-wise volumes.

Manan Madlani: No, at the country level I'm asking.

Anand Kripalu: So there's only one plant. All I'm saying is that in Brazil also, we shared already the capex investment, which has been relatively modest in Thailand because we actually have a very creative model of how we have set up that plant in Thailand, and therefore, the capex also is very, very limited.

In Brazil also, you know, the capacity we've been expanding sequentially based on demand coming in. So what is Brazil's contribution to total revenue today? I mean I don't have that number off my head.

Deepak Goyal: But the challenge also is that we operate in 11 countries with 21 plants. The moment we start going into country level detail, it becomes challenging. But our guidance is already clear that we will deliver double-digit revenue growth consistently. And that growth is a combination of...

Moderator: Ladies and gentlemen, the management line got disconnected. Please hold while we get them reconnected. Ladies and gentlemen, the management line has been connected again. Over to you, sir.

Anand Kripalu: Yes. Apologies, I don't know why this line keeps breaking down and breaking the rhythm. So Deepak, you were completing.

Deepak Goyal: No sir. I'm only saying that our guidance remains double-digit revenue growth on a sustainable basis. It will be a combination of geographical expansion as well as the organic growth in the current country. And that's how we kind of guide for this.

Anand Kripalu: Does that answer your question because I think you have specific country questions, and we aren't really giving country-by-country numbers and profitability.

Manan Madlani: Yes, sir. I understand. I mean to ask at the company level.

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Anand Kripalu: At a company level, I mean I don't have a percentage for you. Because that again is like getting you the country level performance. But these are growth drivers with zero base, greenfield operations, countries where we have zero share, right? We are setting up plants.

And you've seen how Brazil has helped. We already t

alked in this call about the Americas

performance on the back of really an accelerated Brazil performance. And now I'm hoping that you will see EAP performing that way as Thailand ramps up.

Manan Madlani: Okay. And just last question on the Beauty & Cosmetics side. So down the line...

Anand Kripalu: You're breaking up a lot. You're breaking up a lot actually.

Manan Madhani: Is it better now?

Anand Kripalu: No, you're again breaking up, actually. I think maybe your line where -- hello?

Manan Madhani: Hello? Is it better now?

Anand Kripalu: No, no. Your line is -- there is a problem. I think, I'm hearing ...

Moderator: Manan, could you please rejoin the queue?

Manan Madhani: I will join back in the queue. Yeah.

Moderator: Thank you. The next question is from the line of Nilesh Doshi from Prospero Tree Asset Management LLP. Please go ahead.

Nilesh Doshi: Am I audible, sir?

Anand Kripalu: You are audible. But I think there's some problem with -- maybe our line now, I'm beginning to think. Because you guys are breaking up a bit. Please go ahead slowly, and I'll try and follow your question.

Nilesh Doshi: Sir, my question is related to the imposition of the tariff and our business. Say EPL is operating the many plants in different countries. So is it easy for EPL to change the location where the countries which are not affected by the unfavorable changes in the tariff? And if the answer is yes, did the company have done such thing in the past or currently?

Anand Kripalu: So absolutely. And I think that's a very good question as well. So I can tell you that for instance, we make laminates in India and China. When China laminate duties to the US went up, we shifted laminate production to India.

Equally when China commodity prices are lower, we shift manufacturing to China. So we absolutely play the arbitrage as far as sourcing is concerned so that we deliver the best delivered cost to our regions and our countries.

Now very specifically, there is a tariff question which is not easy as easy to mitigate on the US. The good news is the bulk of our value add happens within the US because we have a plant in EPL Limited

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the US, okay? But we are looking at creative solutions of what we can do either to bring in stuff from other countries laminates or even tubes tomorrow and also work with customers to get pricing.

So the current real challenge on tariff is the US is the tariff on the imported laminate, right? And nobody knows exactly, but even this morning, there's news that tariff rates are going to temper, right, and hopefully sooner rather than later. But in the interim, I just want you to know that we're not very quiet.

We are actively engaged with our customers to get pricing and actively engaged with other possible partnerships to do creative sourcing, okay? So that we try our best to mitigate as much as possible any impact of US tariffs.

Moderator: Thank you. The next question is from the line of Smith Gala from RSPN Ventures. Please go ahead.

Smith Gala: My question was regarding the employee expenses. The last year, we were maintaining a run rate of INR200 crores to INR205 crores. Due to annual increment, it's gone up, it went up to INR215 crores in Q1 and now to INR233 crores in Q2. So is it because of the Thailand plant getting commissioned or what are the reasons behind the increase in employee cost run rate?

Anand Kripalu: The Thailand plant will not be material to our global numbers at this stage, okay? So it is not because of a greenfield startup. Now we will get into the numbers possibly in more detail and address it offline. But one of the major structural changes we have made is to ramp up our sales capability in Beauty & Cosmetics around the world.

Our frontline selling capabilities because one of the realizations is that as we get into more value-added smaller volume cu

stomers, you need to go and hunt down B&C sales, B&C opportunities and that capability is quite different from key account management, which is really good at managing the large global Oral customers.

So this has been a conscious increase in investment of people in sales. And this is something that I've spoken about in past quarterly calls as well, right? So that is the major one. But since you asked this question, we take a look more closely to see if there's any other specific driver, but not to my understanding.

Smith Gala: Okay. Sure. Sir, are we looking -- are we planning to add any further sales force then?

Anand Kripalu: I mean some of this is an ongoing activity. I don't think there's going to be any significant step-up at least immediately, right? But we do recognize that as our ambition continues to grow Beauty & Cosmetics, not just double-digit, but much higher than just double-digit.

And as we get into dealing with more fragmented customers with higher innovation demand and higher agility and speed demand, we will need to increase the resourcing at some point in time, but that resourcing will be good cost because it will generate good revenue for the company and good margin, because B&C also is very good as far as ASP is concerned.

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So as long as -- my view is this. As long as we are increasing cost, which is good cost, right, which is delivering returns, we must absolutely do it. We need to be ruthless about bad cost, which is cost that doesn't add value to the business. And that has been our philosophy. Thank you. One last question.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to Mr. Pratik Tholiya, for closing comments. Thank you, and over to you, sir.

Pratik Tholiya: Yes. Thanks, Iqra . On behalf of Systematix Institutional Equities, I would like to thank the participants for logging into this call. Again, I would like to thank the management for giving us this opportunity to host this call. Anand, would you like to make any closing comments?

Anand Kripalu: No, I just want to say that , listen, it has been a privileg e for me to interact with you every quarter and to interact with you even beyond that many one -on-one meetings and so on. And I'm going to take away just wonderful memories of my time at EPL working with you all.

As many of you know, I'm not stepping off c ompletely. I'll continue on the Board. So I'll remain a very, very close follower of EPL's performance. But I have no doubt that the future is in very, very good hands with Hemant moving into the saddle on the 1st of January. And I'm excited to sit by the sidelines and applaud EPL's continuing performance. So thank you all very much.

Pratik Tholiya: Thank you so much, sir.

Moderator: Thank you, sir. On behalf of Systematix Shares & Stocks Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 19, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")

2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation(s) dated February 6, 2026 and February 13, 2026, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on February 13, 2026, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on December 31, 2025 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>

This is for your information and records.

Thanking you.

Yours faithfully, For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

ICSI Membership No.: A30636

Encl.: As above

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"EPL Limited Q3 FY'26 Earnings Conference Call "

February 13, 2026

M
MANAGEMENT : MR. HEMANT BAKSHI - MANAGING DIRECTOR &
GLOBAL CHIEF EXECUTIVE OFFICER , EPL LIMITED
MR. M. R. RAMASAMY - CHIEF OPERATING OFFICER ,
EPL LIMITED
MR. DEEPAK GOYAL - CHIEF FINANCIAL OFFICER ,
EPL LIMITED
MR. THOMAS STEPHEN - PRESIDENT , AMESA REGION ,
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD - LEGAL , COMPANY
SECRETARY & COMPLIANCE OFFICER , EPL LIMITED
MODERATOR : MR. PRATIK THOLIYA - SYSTEMATIX SHARES AND
STOCKS LIMITED

EPL Limited

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Moderator : Ladies and gentlemen, good day and welcome to the EPL Limited Q3 FY' 26 Earnings Conference Call hosted by Systematix Shares and Stocks Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Tholiya of Systematix Shares and Stocks Limited . Thank you and over to you, sir.

Pratik Tholiya: Thanks , Anushka. Good evening , everyone. On behalf of Systematix Institutional Equities, I would like to welcome all the participants who have logged in to this conference call of EPL for 3rd Quarter and 9-month ending FY '26 Earnings Call.

From the Management Team , we have with us Mr. Hemant Bakshi – MD and Global CEO ; Mr. M. R. Ramasamy – COO; Mr. Deepak Goyal – CFO ; Mr. Thomas Stephen President – AMESA Region and Mr. Onkar Gangurde – Head - Legal, Company Secretary & Compliance Officer. At the outset, I would like to thank the Management for giving us this opportunity to host this conference call.

I would now like to welcome Mr. Hemant Bakshi and ask him to begin the proceedings of this call. Thank you and over to you, sir.

Hemant Bakshi: Good evening , everyone and thank you for joining us for EPL Limited's Q 3 FY '26 Earnings Call. This is the first Earnings Call that I am addressing as the CEO and I am delighted to be here

Over the past 3 months, I have visited our plants in India, China, USA, Mexico, Poland, Germany and Thailand. This has given me an opportunity to spend meaningful time with our teams, interact with our key customers and engage with our partners. These interactions have given me deeper understanding of our operational strengths, the quality of our talent and the opportunities that lie ahead of us. I am truly excited with where we are as a business and even more so for what the future holds for us.

I am pleased to share that we have delivered another strong and consistent quarter. Revenue grew by 13.3%, EBITDA grew by 12% and EBITDA margin stood at 20.1%. ROCE improved to 18.7%, expanding by 184 basis points year -on-year. This is the 3rd Quarter of double -digit growth, clearly showing that our strategy to accelerate Beauty & Cosmetic growth is working and is being executed with rigor and discipline across the organization. Our consolidated revenue
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growth of 13.3% was broad based with double digit growth in 3 of our 4 regions. EAP and Americas delivered particularly strong performance, growing 18% and 19% respectively, supported by improved mix and customer momentum. AMESA grew 10% while India standalone recorded a solid growth of 8.7% aided by continued traction in Beauty & Cosmetic segment. Growth in Europe was lower than our expectation at 8%. The Beauty & Cosmetic segment continued to outperform delivering 26% year -on-year growth in line with our strategic focus to grow faster in this category. All regions delivered nearly 20% growth, materially outperforming the market and highlighting accelerating market share gains. EBITDA margin stood at 20.1%, 20 basis points lower than last year but firmly within our target operating range. Margins improved across all regions except Europe where performance was impacted by short term operational issues and adverse mix. We are confident of returning to targeted mid -teen margins in the coming quarters. Profit after tax is flat versus last year due to the one -off benefit in the base. Excluding this, PAT grew by 11% in line with EBITDA growth. The cash flow continues to be strong with net debt to EBITDA ratio at 0.65

while ROCE

expanded by 184 basis points versus last year and stood at 18.7%. Sustainability and innovation remain central to our growth agenda. During the quarter, sustainable tube formats contributed 38% of sales reflecting sustained customer adoption.

We were recognized among the top 2% globally on CDP Climate and Water A List 2025 and received the CII Sustainable Packaging Excellence Award, underscoring our leadership in sustainability. In parallel, our focus on innovation was recognized through multiple awards at the IFCA Awards and Pure Beauty Awards Europe for our innovative tube solutions. Some of our most exciting innovations like tube -in-tube formats in China are getting to scale and command a 8x premium over standard tubes.

Now looking ahead, our priorities are clear to deliver sustainable, profitable, double -digit growth guided by four priorities that will shape the next phase. One, accelerating momentum in Beauty & Cosmetics. Our deliberate strategic shift towards Beauty & Cosmetics is translating into sustained performance. We have now delivered four consecutive quarters of over 20% growth in this segment with non -oral accounting for 53% of our total portfolio. With continued investments in innovation, extruded solutions, front -end specialization and new technologies,

we see strong headroom to sustain and scale this momentum. Number two, scaling in high-growth emerging markets. Emerging markets continue to be an important growth driver. Brazil has been a consistent outperformer. Thailand is gaining traction and we remain focused on building scale and capabilities in these markets to drive long-term growth while also exploring other markets which remain a white space for us. Number three, sustainability as a growth enabler. Sustainability is increasingly influencing customer choice and our capabilities are well aligned with this shift. With 38% of our sales coming from sustainable tube formats and recognition through EcoVadis Platinum, we are well positioned to deepen relationships with global customers and win incremental share. Number four, margin expansion and capital

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efficiency. Margin discipline remains a core focus. We have delivered six consecutive quarters of 20% plus EBITDA margins and we expect gradual improvement through scale benefits. Europe margin initiatives and targeted operational initiatives at the same time are focused on capital efficiencies yielding results with ROCE improving to 18.7% and we remain confident in our journey to consistently improve ROCE. To sum up, this quarter demonstrates our ability to execute with discipline in a dynamic environment. We are growing profitably, strengthening returns and building a resilient future ready business. I would like to thank our teams for their disciplined execution, our customers for their continued trust and our shareholders for their confidence in EPL. And I must end by saying the best is yet to come.

With that, we are now happy to take your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first question from the line of Mihir Shah from Nomura. Please proceed.

Mihir Shah: Hi team, congrats on a great set of numbers. Thank you for taking my question. Firstly, just wanted to check what drove the strong AMESA growth, especially in B&C? Was it any new subcategory that you have got share from or a new clientele? Or was there any element of restocking post the GST changes that happened there? Also, an update on oral care in India, which continues to see headwinds as we saw in the market leader's results. Can you break up the growth of B&C and oral care for us in India? That's my first question.

Hemant Bakshi: I think, firstly, India continues to be a very attractive market for us with category growth. We have always maintained that India will come back

to growth as soon as the impact of the earlier quarters, which were due to one-off like GST. This quarter is definitely a step in the right direction. We are seeing momentum in B&C category and oral is gradually coming back. We are confident of continuing and improving this growth trend even further. Focusing more on B&C, I think what we are doing is expanding our customer base, reaching more and more customers. Most of them are coming to us because of the high quality products we offer. And we definitely see that there is significant runway for further growth.

Mihir Shah: Got it. I have a further one on India, but I'll probably come back for India. Moving on to China, despite the unit closure, the sales saw an increase. Firstly, what was the reason for the unit closure? And ex of Thailand, what was the growth for EAP? Next quarter also, there can be an impact because of Chinese New Year. So, ex of that, can one expect this strong growth to sustain at these levels? Like we saw when you had entered Brazil and we saw the growth in America took off from there. So, similar trajectory can we expect for EAP from year on with Thailand getting added?

Hemant Bakshi: So, Mihir, firstly, let me address the question on the factory closure. The China factory closure was driven by customer filling facility movement closer to another EPL plant. Accordingly, we

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moved our equipment from one facility to another existing facility we had. However, it did mean that we had to pay severance cost here and that has been shown in our results as well. So, this was purely because of a customer initiated action. As far as EAP is concerned on an overall basis, we commercialized our Thailand plant in this quarter itself, Quarter 3. And therefore, Thailand is a very exciting market. In fact, Southeast Asia is a very exciting market, very high consumption level. And we are very confident and excited about the results we will get in Thailand. But to be fair, in this quarter, it's been scaling up. And therefore, the results which you see here are driven entirely by our incredibly good performance in China. And you can see from our results, we are building significant momentum in B&C in China and gaining share. And we see this momentum continuing.

Mihir Shah: Got it. And if I can put in one last question, you highlighted that the best is yet to come. If you can just touch a little bit deeper on what do you entail by this? Because two things. One is that, if you see the America's growth of strong double-digit growth, it will start cycling a higher base

from next year onwards from FY '24. So, growth there can normalize. Secondly, the margins have come back to 20 %+. So, room for further improvement can be lower from here. So, when you say best is yet to come, can you elaborate a little more on that? That's all from my side. And thank you very much.

Hemant Bakshi: Now, I think , Mihir, I'm really confident and very excited about the pivot we've made strategically towards B &C. If you look at B &C and compare it with Oral, B &C market size is twice that of Oral. It's growing at twice the rate of Oral. And in addition to that, our market shares in B &C are relatively lower. So, if we were to double our market share, which is very well within our reach in the next few years, we have a runway for growth which is higher than what we've seen so far. So, I feel B &C and the move towards B &C makes for a really exciting future for EPL.

Mihir Shah: Got it. Thank you. That's all from my side.

Moderator: Thank you. We take the next question from the line of Sameer Gupta from India Infoline. Please proceed.

Sameer Gupta: Hi. Good evening, sir. And first of all, congratulations on a good set of numbers and thanks for taking my question. First question is on Europe. So, revenue growth has kind of come back

k. It's

not still at a level which you mentioned is still below expectations, but it's still a decent number and margins still have witnessed a sharp contraction. Overall, this has been a troubled geography, volatile performance. So, you've had some interventions, but we are yet to see those results. So, just wanted your sense as to what is happening in this geography. And I know you mentioned in the presentation, but a little more details here ?

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Hemant Bakshi: Sameer , very good to hear from you. And I think your question is valid. So, firstly, when 8% is good growth, but our expectation in this quarter was for even higher growth and therefore our plan etc. were constructed on that basis. And that's why we are saying it's below our expectation. So, as I was mentioning, our growth was below our expectation, although to be fair, in Europe kind of environment, 8% is good growth. But our challenges were adverse customer mix. In addition to that, we were impacted by short-term operational challenges, which are in the nature of higher write-off, higher outsourcing and some production issues as well. Also, Quarter 3 tends to be a slower quarter in Europe because of Christmas and hence the lower margin. Last year, of course, was helped by one-time gains, which we had in the business. Having said that, the more important thing is we've identified key initiatives, which will address these issues and will improve margins. We should start seeing the benefits of these in the coming quarters. And we are confident that going forward, Europe will operate at mid-teen margins.

Sameer Gupta: Sir, if you could elaborate those initiatives, it would be helpful.

Hemant Bakshi: So, these are operational initiatives in terms of the actions we are taking as we consolidate some of our operations, which were planned. We will be taking very significant actions to reduce some of the costs, which we've seen emerge as a result of these operational issues.

Sameer Gupta: Got it, sir. Thanks for this. My second question is on AMESA, taking it forward from here. So, the growth here has rebounded after four consecutive quarters, is there an element of negative pricing which has got anniversarized now? Or do you see a pickup in oral care , because we are yet to see any meaningful uplift in the market leader's performance? So, just wondering how sustainable this growth number is, if you could address that ?

Hemant Bakshi: I don't think there is any pricing advantage in these numbers. Having said that, I think the key issue is we are seeing early recovery signs in oral care. Obviously, you will see it will take some time for it to fully recover. But definitely, this quarter has been better and we feel that momentum will start turning and become positive.

Sameer Gupta: Got it, sir. That's all from me. I'll come back in the queue for any follow-ups.

Moderator: Thank you. We take the next question from the line-up of Amit Aggarwal from Leeway Investments. Please proceed.

Amit Aggarwal: Hello. Good afternoon. Can you bifurcate the raw material expenses between polymer and aluminium raw materials? And how do you see our margins shaping up in the next one year if the polymer prices go up in the next one year?

Deepak Goyal: So, Amit, our effort has been to make our margins delinked from the commodity prices. And we have taken multiple initiatives to achieve that objective. We review our customer margins, gross

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margins on a monthly basis. We are mostly on a pass-through basis. And hence, 50% of our business is on pass-through basis. Balance 50% is negotiated when the prices go up. Today, our ability to have those discussions with our customers, as soon as we start seeing the upward

movement in prices is much higher because of the internal processes that we have set up. And hence, our expectation is, as the prices go up, our margins should not get impacted.

Amit Aggarwal: Can you bifurcate the raw material expenses in percentage terms between aluminum and polymer?

Deepak Goyal : See, polymer is a significantly higher part of our raw material cost. Aluminum is much smaller also because now we are more and more moving towards plastic -based laminate. And hence, polymer remains our largest raw material, though I obviously wouldn't be able to give you an exact percentage of both the raw materials.

Amit Aggarwal: And any particular reason that net debt has increased in the last one quarter or one year?

Hemant Bakshi: This is just phasing. So, in this quarter, we do a dividend payout. And we have some accelerated CAPEX spending. This is a timing impact and should get corrected on a full year basis.

Amit Aggarwal: My last question is regarding Thailand. How much of the capacity has been utilized till now? And what is the assumption in the next one year, how much capacity are you going to use in the next one year in Thailand?

Hemant Bakshi: I think to be fair, Thailand is just starting. We commercialized the plant in November of this quarter, which the results we are talking about. It's really early days in Thailand. It's a very attractive market as we spoke about earlier. And I think we should give it some time as it scales up. And I'm sure we'll have a deeper conversation on Thailand as time goes by.

Amit Aggarwal: Okay, thank you. Best of luck.

Moderator: Thank you. We take the next question from the line of Meet Jain from Motilal Oswal. Please proceed.

Meet Jain: Hello, sir. I have one question on your operation. So, as we've seen and also guided that there are some operation issues happening in that. So, in terms of demand front, how are we seeing the demand? As we understand that for the B & C market, it will be one of the largest markets. So, any new product launches that we are planning or how is the traction in terms of demand that we are seeing there? Also, if you can throw some light on the current mix of the Beauty & Cosmetic and Oral care in the market?

Hemant Bakshi: So, I think we are very excited by the performance we are seeing in Beauty & Cosmetics. We've had multiple quarters of 20% plus growth. And even in this quarter, each of our regions are close

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to 20% or ahead of 20% growth. So, I think we are seeing a lot of positive momentum in this space. And as I was mentioning earlier, this is a very attractive market, large, fast -growing, where our capabilities become very relevant. Some of our very interesting innovations which are coming out of different parts of the world, including China, are getting to traction. I spoke about Tube -in-Tube, which we've talked about earlier. But also, other applicators which we are using are getting a lot of customer positive response. So, overall, we feel very positive and confident of B & C and the demand in that space.

Meet Jain: Understood. And also, one bookkeeping question in terms of debt itself. So, currently, we are doing an interest cost of around Rs. 28 crores. So, can you throw some light on the current outlook? Will it come down? How do you see the interaction going in this part?

Deepak Goyal: So, Meet, we will continue with our gradual reduction of debt. And interest cost will show the consequential benefit. However, we prioritize growth. And growth is the biggest priority for the company. And hence, we will keep investing in our growth priorities as well.

Meet Jain: Understood. And lastly, on the current momentum. We are in the middle of the last quarter. So, how is the performance in the economic geographies right now? Can you throw some light on that?

Deepak Goyal: Our long -term guidance remains unchanged, which is double -digit revenue growth. We've delivered it now consistently for the last

few quarters. And we are confident that we will continue to deliver to our strategy.

Meet Jain: Okay, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Abhishek Maheshwari from Skyridge Fund Managers LLP. Please proceed.

Abhishek Maheshwari: Hi, thank you for taking my question. Just a few things. So, you mentioned about the factory closure in China. Can you elaborate a little bit more on that? Because you said the customer moved, so we had to move our machines also. But does other plants have enough space to accommodate those machines? I mean, can you elaborate a little on that?

Hemant Bakshi: Yes, Abhishek. Actually, the move has been executed already. So, we do have space in the other facility which we had. This is a customer -initiated change. And we've had to close because our customer -filling facility moved closer to another plant we already had. So, we just moved our machines there. We have enough space. The only impact has been on some of our employees where we've had to pay severance cost. But this is an action which has already been executed.

Abhishek Maheshwari: Alright, got it. So, no capacity cuts in the sense this machine is operating elsewhere?

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Hemant Bakshi: Yes.

Abhishek Maheshwari: Okay. And the next question is regarding Europe. I think last quarter concall you had mentioned that Europe was slightly slow because a big customer was destocking. And it seems that the slowness has persisted this quarter also. So, what are we seeing from that customer again, the big customer? Has the inventory build-up started again or are we still seeing some slowdown there?

Hemant Bakshi: There is recovery. And as you can see in the results on growth also, you can see between the two quarters there has been an improvement. As I mentioned earlier, our expectation was of even higher growth. We are beginning to see some turnaround in the customer which we spoke about.

But there is some way to go still and we need to watch the situation carefully.

Abhishek Maheshwari: Got it. Thank you so much. All the best.

Moderator: Thank you. We take the next question from the line of Smith Gala from Rspn Ventures. Please proceed.

Smith Gala: Thank you for the opportunity and congratulations on a good set of numbers. My first question is, by when can we expect some clarity on Thailand ramp -up? Because the depreciation has grown 3% sequentially from Rs. 94 cro res to Rs. 97 crores. So do we expect any more increase in the near future or this is a steady state at least for the next two or three quarters?

Hemant Bakshi: I think we can get back to you on Thailand as a little time passes by. As I told you, we just commercialized our plant in November. These are early days. It's a very, very promising market.

And on investments, Deepak can add more to it.

Deepak Goyal: So our investment philosophy continues where we invest in line with depreciation. And the depreciation on cost, obviously because of phasing and the fallout of existing assets, can move up or down. But essentially, as a strategy, it will always remain lower than revenue growth. And that's what you see in the YTD numbers as well. Our depreciation growth is lower than the revenue growth.

And that's what we'll continue following.

Smith Gala: Okay. So next question is, in the future, after as and when Thailand ramps up, do we expect our revenue growth from double digits to mid-teens kind of thing? And secondly, can we expect some operating leverage or in future now, the revenue growth will mirror EBITDA growth going forward?

Hemant Bakshi: So our guidance remains unchanged, which is that we will deliver sustained double -digit growth on revenue. And our EBITDA growth will be slightly ahead of that. So that's our guidance and that remains unchanged.

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Smith Gala: Okay.

Thank you.

Moderator: Thank you. We take the next question from the line of Yogesh Mittal, an individual investor. Please proceed.

Yogesh Mittal: Thank s for giving me the opportunity. Sir, I have a question to ask about the operational aspect of the c ompany. Please pardon my ignorance. Sir, I wanted to understand that when we make the empty tubes, they are shipped to the client's place and the filling an d packing of that is done at the client's place, including the labeling and the printing, or that is done at our facility?

Hemant Bakshi: We sell empty printed tubes to our customers and they do the filling at their own location. That's the normal conventi onal model which is followed.

Yogesh Mittal: Right, sir. Sir, I have one more thing to ask on this. So, coming to that point of when we were shifting the facility in China near to the client's place, so understanding this part, then what was the reason to shift to the client's place? So, do I understand that we have some more coordination to do with the client's manufacturing where they have the contents to fill? In that, do we have a close coordination to do with them?

Hemant Bakshi: No, I think I should c larify that our customer in this case, they decided to change their own filling unit. So, they were producing in one place where we were producing very close to them. They shut down their factory there and moved to another location and therefore we had to follow them. So, this was initiated by the customer and it was a customer decision. And what we can tell you is that there is extremely high coordination between us and our customers so that we can do a lot of these things in synchronization.

Yogesh Mittal : Right, sir. Sir, and one thing more, please, if I may ask. So, the final means, the batch number, etc., those kind of printing might be done at the client's place. So, basically, other than that, all the product labeling is done on your empty tube and we ship to the client. Is that understanding right?

Hemant Bakshi: Your understanding is right.

Yogesh Mittal: Thank you so much for helping me out on this one. Wish you all the best. Thanks.

Moderator: Thank you. We take the next question from the line of Chirag from Keynote Capitals. Please proceed.

Chirag: Thank you for the opportunity. Sir, my first question is to understand what kind of operating margin difference there is on non -oral care and oral care products. As we are seeing the move and growth in Beauty & Cosmetics to be in the high double digits of more than 20% , the margin

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is expected to take a shift accordingly. So, I just wanted to understand what kind of margin difference is there?

Deepak Goyal: So, our ASP in Beauty & Cosmetics, which is the larger part of non -oral care business, is significantly higher than the Oral care business. As a function of that, the per tube margin that we make in non -oral care or Beauty & Cosmetics is significantly higher than the Oral care. However, as a percentage of margin, they are roughly similar. But because the ASP is higher, the fixed cost absorption happens better and hence Beauty & Cosmetics or our movement to non-oral care is margin a bit advantageous as an overall.

Chirag: So, it would be fair to assume that it is better for us to look at unit economics rather than margins because higher ASP, slightly higher cost. But because of operating leverage, your margins are slightly higher as it is balanced off. Correct?

Deepak Goyal: I would say that we look at our business on a revenue basis because that becomes the equalizer. Beauty & Cosmetics deliver better economics on an overall P&L basis.

Chirag: Sir, the second thing I wanted to understand, in the personal care category, there have been multiple subcategories that we have been catering. Since last 2.5 years, I am able to see that there is no new cat

egory being added into it. So, is it fair to assume that the width of the product that we wanted to manufacture, we have catered to them ? Moving forward, this would be the product basket we would be catering to ?

Hemant Bakshi : I think Personal Care and Beauty & Cosmetics has multiple categories, subcategories within it. You can go from conditioners to shampoo to face wash, face care and then you can go into mascara, eyes. So, there are multiple categories in Beauty & Cosmetics and Personal Care. We are able to operate in all of them. So, we have capabilities and we have skills to be in all of these spaces and that is something which we have been executing for some time. So, it isn't like there is any area in which we can't be present or are not present.

Chirag: Perfect. Since the time Shudhanshu ji used to run this Company in 2020, we used to provide a regional -wide bifurcation between rural care and non -rural care, which I am not able to see in the last 3 -4 years. So, will it be possible for you to again show those numbers? Because we are able to see that the growth is completely driven currently by retail cosmetics, by the initiatives that we have taken. So, it would be fair for us to understand this regional -wide story?

Hemant Bakshi: Our understanding is that this is the information we have been disclosing for a very long period of time and that is what we will continue to do. In the meanwhile, we will check what is there in the past that anything is missed.

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Deepak Goyal: So, that's fair. I think our business , we deliver or we provide the category -level information at a global level. The regional numbers at a quarterly level could be very volatile and hence may not be productive to discuss. However, at an overall level, we provide enough guidance to show the category momentum. That's what we should continue with and as Hemant said, we will look at what we were doing as well .

Chirag: No issues, sir. Sir, one more thing. Will it be possible for you to give the capacity size in metric tons after the Thailand CAPEX got completed?

Hemant Bakshi: Our capacity does not work in the metric tons manner. The laminates are actually in square meters. However, the kind of tubes that we make are very different from each other depending upon the size of dia, the printing etc. Hence, it will not make sense to provide a capacity in that metric.

Chirag: No issues. That is it from our side . Thank you.

Moderator: Thank you. We take the next question from the line of Aditya from Securities Investment Management. Please proceed.

Aditya: Hi, sir. Thanks for the opportunity. I just wanted to get a better sense of the scale-up in Thailand. So when we had expanded in Brazil, we had an anchor customer with us which helped us in scaling up that geography faster. Is it a similar case in Thailand as well or do you think the scale - up will be much more gradual here?

Hemant Bakshi: Our model in Thailand of entry is different. This is a much more organic entry model. We

worked in Thailand now for more than a year with the actual sales team on the ground which has been building a pipeline of business for us. We have a really strong and healthy pipeline. We will execute against that over a period of time because Thailand has been operational in this quarter for less than 4 weeks. So it is a bit premature to start talking about what is the performance and so on. You will see that come through in the next few quarters. But our model of entry has definitely been different and it is a very interesting new model which will open up many more markets for us. So yes, what we have done in Thailand is different.

Aditya: Just a follow-up. Is Thailand a completely new geography for us or we were supplying to the geography from other manufacturing plants?

Hemant Bakshi: There was some export happening from China into T

hailand. We did have a connection with the market and tubes used to come from China. But obviously in this business, on-ground presence

and having a manufacturing base makes a huge difference. So it is indeed a new opportunity.

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Aditya: Understood, sir. And secondly, sir, if I look at your target for ROC E expansion from 18% to 25%, I just wanted to get a better sense. So is it that the margins would have to do the heavy lifting for us to improve our ROC E or there is more capital efficiency which we can bring in in the business? So which of these two would be the growth driver for us for the ROC E expansion?

Hemant Bakshi: So our ROCE this year has gone up. It is at 18.7%. It has gone up by 200 basis points. And we will continue to target to improve our ROC E year-on-year as we go forward. But we do not want to provide any year-level guidance on it. Having said that, there are multiple levers which can be deployed to improve ROC E and we will do all of them. And we will always, as I think we mentioned earlier, prioritize growth over all other metrics.

Aditya: Understood. But sir, structurally, if I have to understand, so Beauty & Cosmetics would give us better margins. Our platinum segment has also, I believe, better margins. So going forward, do you think structurally this business can operate at 20%-23% margins?

Hemant Bakshi: Sir, firstly, I should clarify and I think Deepa k did mention it earlier. Our B&C and oral care margins as a percentage are the same. So it is not that B&C has higher margins on a percentage basis. Of course, because the selling price is much higher, the total cash you make or the amount of money you make might be higher in B&C per unit, etc. Having said that, our intention is to grow EBITDA slightly ahead of revenue. But we will continue to prioritize growth over other metrics.

Aditya: Understood, sir. Got it. And so just last question. Now, if I look at our target for double-digit revenue growth, one of the things you have mentioned is we might look for M&A opportunities.

So just if you could help us understand, I believe we have a good amount of markets here in oral care. Beauty also, we are growing. And we have manufacturing facilities in many of the major geographies. So just wanted to get a better sense. So are we looking at opportunities in the Beauty & Cosmetics or something new, kind of a packaging? Just if you could provide some flavor, where are we looking?

Hemant Bakshi: So I think firstly, we must say that we continue to actively pursue M&A opportunities. When we look at M&A, we use two criteria to look at targets. One is anything which takes us to a new geography or indeed helps us build new capabilities, capabilities we don't have. So we see incremental capabilities or presence in geography from an M&A point of view. And of course, we have other criteria for value creation on it being margin and growth accretive. Keeping all of this in mind, we are actively considering M&A. But we don't have anything concrete to come back and discuss with you at this stage.

Aditya: Understood, sir. Thanks, sir, for answering my questions.

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Moderator: Thank you. We take the next question from the line of Chirag from Keynote Capital s. Please proceed.

Chirag: Yes, thank you for the follow-up. So just wanted to understand what kind of initiatives that you are taking which is helping us to grow more than 20% in Beauty & Cosmetics. If you can highlight one or two of them?

Hemant Bakshi: I think Beauty & Cosmetics as we've been speaking through this discussion is extremely important for us. And the initiatives we've taken are showing very good results. I think what we have done is firstly to build front-end and back-end capabilities. The B&C business is distinct f

rom Oral care. We have many more customers in beauty and cosmetics. Oral tends to be dominated by a few customers. B&C has many more customers. And therefore, our sales effort

has to be one of acquiring and retaining customers on an ongoing basis. So we've invested in front-end capabilities. We've also built a center of excellence in Mumbai, which is managing our innovation, pulling it all together globally and also building capabilities on proofing, sampling and so on. And we are also at the same time investing in extruded capacity. So overall, there are many things we need to do. Many new capabilities have to be built. And we are investing in doing so. We've been doing it for the last few quarters. As you can see, the investments are bearing fruit. But the investments will continue in the future as well.

Chirag: Fair enough. And sir, just from the perspective, you've already answered it. I know that the pass-on CAPEX cost, the pass-on capabilities we have enhanced. Just wanted to have a view that the improvements related to this was taking place in the last cycle where polymer prices shot up in 2022. Was that the time the new research was related to cost-pass-on? Which is giving us the confidence that down the line, it would be much more easier to maintain the kind of margin that we have.

Deepak Goyal : Chirag, we went through a cycle where our margins kind of dipped after the RM increases . So, last time when we saw margin contraction, we as an organization went through every process and introspectively what went wrong. And how can we prevent it from happening again. One thing that came out was that the pricing discussions that we were doing with the customers were not timely. And hence, we were out of pocket on many of these. We have significantly strengthened our capabilities to first review our margins at a customer level. And then also, how can we have those discussions with our customer s a lot more proactively. That we have demonstrated in certain pockets, in certain products, certain reasons. And hence, feel confident that in case there is a cycle turn that happens on commodities, we are well equipped to protect our markets. Does that answer your question, Chirag?

Chirag: I'm so sorry , my line got disconnected. Your voice was a little muffled. If you could just repeat the last part again.

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Deepak Goyal : I'm saying that we have learned from the last episode that happened. And we have built in capabilities to review our margins and have proactive discussions with our customers to make sure that our margins don't get impacted in case the commodity cycle turns. And that we are building as a core capability in the organization.

Chirag: Happy to hear that . And so this last thing, from a longer term view, like 5 years point of view, are we expecting the internal targets to be around double-digit kind of a growth in top line?

Hemant Bakshi: Absolutely, without doubt. Our guidance continues to be sustained double-digit revenue growth in the future.

Chirag: So it would be fair to assume that we would be growing our Beauty & Cosmetics into high teen kind of a growth on topline ?

Deepak Goyal : That's correct. That's the model that the Beauty & Cosmetics there is a significant headroom, we'll grow it in high teen and then oral and pharma will continue to grow on a steady pace.

Chirag: That is it from my side. Thank you so much, sir.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Pratik Tholiya for closing comments. Over to you, sir.

Pratik Tholiya: Thanks, Anushka. On behalf of Systematix Institutional Equities , I would like to once again thank all the participants who joined this call. I would like to also thank the management for giving us this opportunity. Thank you so much, sir. And thanks for a

nsvering all the questions in so much detail. So would you like to make any closing comments?

Hemant Bakshi: No, thank you very much. Really welcome the engagement of everyone. And we look forward to speaking to you again in the future.

Pratik Tholiya: Great, sir. Thank you so much, sir.

Moderator: Thank you. On behalf of Systematix Shares and Stocks Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Apr 2026

April 7, 2026
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra -Kurla Complex, Bandra (E), Mumbai - 400051
Scrip Code: 500135 Trading Symbol: EPL

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ub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref

. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")
2.ISIN: INE255A01020

Sir/

Madam,

I

n furtherance of our intimation(s) dated March 29, 2026 and March 30, 2026, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on March 30, 2026, to discuss the Scheme of Amalgamation of Indovida India Private Limited (Transferor Company) with EPL Limited (Transferee Company) and their respective shareholders ("said transcript").

T

he said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>

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his is for your information and records.

T

hanking you.

Y

ours faithfully,
For EPL Limited

O

nkar Ghangurde
Head - Legal, Company Secretary & Compliance Officer
ICSI Membership No.: A30636

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ncl.: As above
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EPL and Indovida Merger"
March 30, 2026

MANAGEMENT : M R. HEMANT BAKSHI – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER , EPL LIMITED
MR. M. R. RAMASAMY – CHIEF OPERATING OFFICER ,
EPL LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER ,
EPL LIMITED
MR. ONKAR GHANGURDE – HEAD - LEGAL , COMPANY
SECRETARY AND COMPLIANCE OFFICER ,
EPL LIMITED
MODERATOR : M R. PRATIK OZA – SYSTEMATIX SHARES & STOCKS
INDIA LIMITED

EPL Limited
March 30, 2026
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Moderator: Ladies and gentlemen, good day, and welcome to EPL Limited Conference Call hosted by Systematix Shares & Stocks India Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Oza from Systematix Shares & Stocks India Limited. Thank you, and over to you, sir.

Pratik Oza : Thank you. Good morning, everyone. Thank you for joining us for this conference call to discuss

the strategic merger between EPL and Indovida. Joining us today from EPL's management team are Mr. Hemant Bakshi, Managing Director and Global CEO; Mr. M. R. Ramasamy, Chief Operating Officer; Mr. Deepak Goyal, Chief Financial Officer; and Mr. Onkar Ghangurde, Head of Legal, Company Secretary and Compliance Officer.

We will begin with opening remarks from the management to provide context on transaction, followed by an interactive question-and-answer session. We kindly request to limit your question on the merger itself.

I would now like to invite Bakshi sir, to share his opening remarks. Over to you sir.

Hemant Bakshi : Good morning, everyone. I'm truly delighted to be here today and share with you what we believe is one of the most exciting and transformational chapters in our company's journey. EPL today is a leading global flexible packaging company that has consistently delivered strong financial performance. As a recap, we have delivered double-digit revenue growth over the last three consecutive quarters at 20% plus EBITDA margin.

Also, we have delivered 500 basis points of EBITDA margin improvement over the last 15 quarters. We operate across 21 manufacturing sites in 11 countries as the trusted partner for leading oral care and beauty and cosmetic brands globally and holds EcoVadis Platinum sustainability rating, a distinction that very few in our industry can claim.

Last time we spoke, I had shared that we are working on the strategy for the next phase of EPL's growth journey. Our vision is to become a leader in consumer packaging for the emerging markets. This means we would enter new emerging markets in Southeast Asia and Africa, evolve from a single-format supplier to a multi-format player and become an innovation partner for both the large and emerging brands globally.

Today, I'm excited to share that we've taken a foundational step towards our vision by entering into definitive agreements for the merger of EPL and Indovida to create a consumer packaging leader focused on emerging markets. This merger will create a \$1 billion revenue packaging powerhouse with expanded product portfolio and capabilities, wider global presence across emerging markets and stronger financial metrics.

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I can't be more excited. Indovida a global leader in rigid packaging, is a subsidiary of Indorama Ventures Group, which is a global group with US \$13.6 billion revenue, specializing in polymer value chain integration with a deep understanding of operating in emerging markets.

In the year 2025, Indovida delivered over INR3,800 crores in revenue, EBITDA margin of 21.3% and ROCE of 23.7% and a volume CAGR of 8% over the last 5 years, including organic and inorganic expansions, which are an integral part of the core business model. It operates in 19 production facilities across nine countries with approximately 90% of revenue coming from high-growth emerging markets in Southeast Asia and Africa.

Indovida holds the number one or number two position in most of its key markets, including Thailand, Vietnam, Philippines, Egypt, Nigeria and Ghana.

The merger is much more than the sum of two organizations, and we expect it to be highly synergistic for both EPL and Indovida.

Together, we are creating a diversified multiformat packaging platform that doubles our combined revenue to INR8,300 crores and EBITDA to approximately INR1,750 crores. The combined platform will be an emerging market leader with 75% of revenue coming from emerging markets in Asia, Africa and Latin America, which are growth oriented in nature. The geographic footprint for EPL and Indovida is deeply complementary, giving us the ability to cross leverage each other's leading market positions across large emerging markets. Our partnership with IVL Group in Thailand over the past year is a strong proof point where EPL was able to enter the market in less than 9 months, our shortest time of entry in any new markets. The low product overlap between the businesses means we immediately diversify our portfolio with a complementary mix of rigid and flexible packaging with no cannibalization.

The merger with Indovida is EBIT margin, EPS and ROCE accretive to EPL. We've identified synergies of ~ \$35 million to \$50 million across geographical footprint, product capabilities and costs, which will drive an EBITDA upside over the next few years. Both companies are recognized in sustainable business practices, creating significant potential for cross learning and sharing of best practices. Indovida is a net cash company and along with EPL's strong balance sheet, this will create a significant war chest that we can deploy for organic growth and M&A. Let me talk through the transaction details now. This is a share swap merger, entirely cash neutral for EPL, with EPL continuing as the listed entity. The Board approved this transaction on 29th of March 2026. EPL was valued at INR339 per share, ~ 70% premium to Friday's closing price. EPL's transaction multiple represents a 55% premium relative to Indovida.

The attractive relative valuation makes the merger hugely accretive to EPL shareholders. The swap ratio is based on joint recommendations by two reputed valuers, BDO and Duff & Phelps, with a fairness opinion issued by Ernst & Young. Completion of merger process is subject to

regulatory approvals and is expected to take approximately 12 months.

This transaction is well aligned with IVL's long -term strategy to expand and deepen its participation in India. And through the merger, they've increased their stake in a business they deeply believe in. Post -merger, IVL will hold 51.8% of MergeCo and will be promoter of EPL .

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Blackstone has been an integral part of EPL's journey. Post -merger, Blackstone will hold 16.6% of MergeCo and will remain a promoter.

In summary, what we are announcing today is a historic milestone, one where the scale of EPL doubles and sets us up to become the leading packaging player focused on emerging markets. We have the foundation. We have the vision. We have the right partners, and now we have the platform to drive higher growth. I'm really excited about leading this fantastic company into the future. The EPL team and I remain deeply grateful for your continued confidence in EPL.

With that, I'm happy to open the floor to questions. Thank you.

Moderator: The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: I have a couple of questions. First on the Board composition with IVL becoming the promoter, what are the changes in the Board composition that is expected or agreed upon? That's number one.

Number two, now that this company will generate a lot more cash flow than what we were generating and from a net debt -to-EBITDA situation will be significantly better for EPL post the acquisition, what will be the capital allocation and dividend distribution policy? That's the second one. Just on the operation its

elf, post the merger, how do we plan to leverage? Because geographically, both EPL and Indovida have a very different geographical presence and

transportation really doesn't work so well in this business. How do we look at leveraging it? This means that will EPL and Indorama will start manufacturing in their respective plant, both rigid as well as the flexible packaging? These are my initial questions. Thank you.

Hemant Bakshi: Yes, so thank you very much for those questions. I think firstly, on the Board composition, this obviously has to wait for the regulatory approval, but what's been agreed is that Indorama will have at least three Board seats. Blackstone will retain a single Board seat and rest of the independent directors, etc , will be based on the regulations and the laws of the country. So that's how the Board will be set up.

I think your second question is on the balance sheet and the ability for us to really leverage it.

I think firstly, what is really, really positive is that Indovida is a net cash positive organization.

As a result of this merger, our debt -to-EBITDA ratio will come down to 0.25, and therefore we will have significant investment ability.

And one of the things we've talked about in the past is that inorganic opportunities will remain an important part of our strategy. We've set very clear criteria on how we will approach this. The first is that we want to leverage any opportunity which gets us into a new geography or helps us build a new capability in a new format. And of course, it must be margin accretive.

Interestingly, if you really look at the merger today, all those three criteria are fully met. But we will look at similar opportunities in the future as well. And capital allocation is something which

will be determined by the Board. As you've seen, we've been very disciplined about in the past,

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but we will remain disciplined, but we will also seek opportunities for growth, which are in line with our ambition to become a leader in the emerging markets business.

I think the third was on footprint synergies. So I want to firstly step back and share with you what we've already done. Last year, as we've shared, we entered Thailand and we leveraged the Indorama infrastructure to do so. From the time we conceived of the idea to the time we were able to commercialize this in the market, it took us just nine months. Normally we would take much longer. This is the shortest lead time we've ever had . Obviously, this was done at arm's length basis and so on.

Now the same opportunity will become more accessible to us in markets where Indovida exists today. For example, Vietnam in Southeast Asia, big growing market. Indovida has a strong presence. EPL is not present there. It's an attractive market for us. Also, if you look at Africa, Nigeria is one of the large markets in Africa. It's a challenging market to operate in, but Indovida has been there for a long time. And therefore, for us, it becomes easier to access this market and other markets in Africa, which without this merger may not have been something we would have sought.

Equally, let's look at it in another way. For Indovida, there are markets in which EPL is present, like India, China, Latin America, and they can enter these markets by leveraging our presence here. There's another way of looking at it, which is really the third opportunity. Look at a market

where neither of us are present like Indonesia.

While we could have entered this on our own, with the scale we now have of two companies, entering this market, especially if we were to use inorganic route becomes even easier. So therefore, as you can see, there are lots of synergies in the footprint, which we will leverage post the approval of the merger.

Sanjesh Jain: No, that's clear. Quite helpful. One particularly on India, interesting, while the flexi packaging is highly c

onsolidated market, rigid packaging is highly fragmented market and the presence of Indovida is really not that material in this market. How do we plan to develop India market? That's number one. Number two, is the synergy of parent for the sourcing of the raw material, that is IVL has a strong petrochemical footprint. What percentage of raw material today Indovida buys it from the parent entity?

Hemant Bakshi: So I think firstly, let's talk about the India market. I think the India opportunity is very significant. India is probably the most attractive consumer market in the world today. And we do believe that this attraction will continue for the foreseeable future. For Indovida, it is not present in India today. And therefore there will be an opportunity to do so in the future.

How we approach the market, the entry strategy and so on is something which we will have to build. And that is something which we will work on in the future post the merger. But India will be an attractive opportunity for us.

As far as the Indorama sourcing is concerned, I think firstly what's important is to keep in mind that this is done at a very arm's length basis in a very fair and transparent manner. But the access, the preferential access that Indovida has to IVL being one of the large petrochemical companies EPL Limited

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is of enormous value to us. We've also agreed transition service agreements to ensure that access will remain available to us as we go into the future. And obviously I just want to clarify, while this is an option available to the business, there is no obligation to do so.

Sanjesh Jain: That's fair enough. Thanks, Hemant, for all those answers and very helpful. Best of luck.

Hemant Bakshi: Thank you so much.

Moderator: Thank you. The next question is from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi, sir. Thank you for taking my question. Congrats on the merger. It seems to be an interesting one. First question is on, can you talk a bit more on the current preform business of Indo and the moats around it, what are the USPs, the competitive intensity in that space, the market, the market shares? And secondly, I believe you highlighted some potential entry into new product categories. So in continuation of that, what are the other new product categories that you're thinking about? So that's my first question.

Hemant Bakshi: Yes, thank you very much, Mihir, for your questions. Yes, sorry for the interruption, Mihir. To continue with your question on Indovida's business, firstly they operate in rigid plastics. Within that they have three sub-segments. Preform is 75% of their business, bottles and caps and closures are the balance 25% equally divided across the two of them. So that's the formats they are in.

They are in nine key countries: Thailand, Vietnam, Philippines, Egypt, Nigeria, Ghana, Tanzania and Myanmar. And in each of these countries they are either number one or number two supplier. And they work with really blue-chip global as well as local customers. Their big customers are Coca-Cola, Pepsi, Nestle, ThaiBev, Masan, Unilever, Danone, P&G, L'Oreal, Guinness and Northern Islands. So therefore a really marquee set of customers which they work with and with very strong positions across all their markets. Their business size is INR3,800 crores last year and 21.3% EBITDA.

Mihir Shah: Hemant, any insights if you can share on what are their moats, their USPs, what is the competitive intensity in that category of preforms given it's 75% of your sales and the potential new subcategories that you've highlighted in subsequent slides that you can probably enter into rigids. So something on that.

Hemant Bakshi: Yes, so I think firstly let's talk about Indovida's USPs. I think firstly, they have really set up a strong customer relationships based on superior service. So, they are known for high-

class

service to their customers. Secondly, they work very, very efficiently with a high-quality management team which works at a low operating cost. The other valuable thing is that they have access to raw material and they built the ability to operate in difficult frontier markets. So, I think those are the multiple USPs the business has. When you really look at their business, this opportunity, this USP can be leveraged into many other new markets which are available to them. And I think one of the interesting things for them is that very often the leading customers they work with like Coca-Cola and Pepsi invite them to come into markets where they find that other people are not able to operate.

And this is something they have leveraged in the past. And they have identified new geographies which they will enter. They have just entered Tanzania. They are looking at an opportunity of entering Morocco and Algeria. And this is the business model they have had for some time. Very often at the behest of their key customers, they enter new markets. I think you also have a question of what new formats we can go into.

We have been looking at additional formats which could be of interest to us. Obviously one format which we both play in is closures. We do closures for tubes, they do closures for bottles.

There is an opportunity to move to specialty caps and closures. We will leverage the technology and capabilities they have built both for bottles as well as tubes. So that is an interesting area for us.

The other area which we are very interested in and so are they is really rigid custom containers.

This is a capability which we will access and we will seek both organic and inorganic ways in which we can get into these formats.

Mihir Shah: Understood. That is clear. Thank you for that. Secondly, if you can elaborate more on the synergy benefits that you highlighted that you can leverage on customer or on geography level and any duplication of department staff, manufacturing etc., that you have been able to identify.

The \$35 million to \$50 million synergy benefit seems to be large. So, this is across how many years and how should one think on the margins with these synergy benefits should kick in? Yes, I mean that is the other one?

Hemant Bakshi: Yes, so Mihir, we have identified synergies of \$35 million to \$50 million. These fall into three main areas. The first is footprint. I spoke a bit about it, but we do believe that we will be able to expand geographically into new markets as a result of this. As I was mentioning, there are markets like Vietnam, Nigeria, which are very attractive for us. Indovida is present there. EPL can leverage their infrastructure to go into those markets.

Equally, they can come into markets where we have infrastructure available like India, China, Latin America, but we can also go into completely new markets where together we will have the scale to enter, especially if we were to do it inorganically like Indonesia. So, footprint synergies

are quite significant and we are very excited about that. The second is product and portfolio diversification.

Firstly, rigid and flexible are quite complementary. But we also have areas in which we can move together like closures and other rigid plastic formats which we spoke about. So that is

really in portfolio diversification. We have also looked at cost synergies. We think there will be significant opportunity in sourcing benefit. So, procurement is one area, but also network optimization on supply chain and logistics will be quite valuable.

And there are other things which we will review as we go along. So that is really our view on synergies. The other thing is that they are a net cash company. After the merger, our debt-to-EBITDA ratio will fall to 0.25 from 0.65 right now. This gives us significant and strong free cash flow which we will

leverage for growth and M&A opportunities. I spoke about M&A earlier. We seek geographical opportunities. We will seek new capabilities.

So, therefore there is a strong balance sheet which we can leverage. But also, there is a significant advantage because if you look at Indorama Ventures, they have a track record of 15 plus successful integrations in the last few years. And therefore, that capability is also very important.

We lean on that and leverage the balance sheet to be able to move fast towards our vision using inorganic opportunities as well.

Mihir Shah: Understood. Just lastly if I can squeeze in just one more to just understand the nuances. In B2B businesses most times the vendor onboarding approvals are required. With Indovida merging with EPL, any new approvals will be required for the current existing supplies that they are doing and any impact of this is expected on the back of that? Also are there any customer overlaps currently where both the companies are supplying to the similar customer separate products that they have? Yes, that is the last one from my side?

Hemant Bakshi: Yes, on the first one which is to seek any revalidation from customers, we should not have any need to do so. Since this merger this morning, we have now been in touch with all our customers.

We have communicated with them. And I am very happy to say that most of them have welcomed and have given us really kudos for building, doing this transaction with such scale.

So, I can assure you that our customers are really happy with this move. We do have some common customers. Unilever, L'Oreal are common customers both and P&G. Both Indovida and EPL serve these customers. But on the customer side, I think there is a lot of positive response we are getting.

Mihir Shah: Got it. Wishing you all the very best. Thank you. And that is all from my side.

Hemant Bakshi: Thank you.

Moderator: Thank you. The next question is from the line of Kirthi K. Jain from Bandhan AMC. Please go ahead.

Kirthi K. Jain: Good morning, sir, and congratulations for the deal. Sir, my question -- firstly was with regard to the proforma profits of the Indovida Limited. What is the proforma PAT for the company?

Hemant Bakshi: Yes, Kirthi, just give me a second. I will hand over to Deepak Goyal, our CFO, to respond to the specific numbers for you.

Deepak Goyal: Yes, so Indovida generates, as Hemant mentioned, a revenue of INR3,800 crores and EBITDA margin of 21.3%. So, their EB ITDA is INR800 crores plus. If you look at the combined entity, in the last 12 months, EPL has delivered a profit of or EBITDA of about INR940 crores. So combined entity will have an EBITDA of about INR1,750 crores.

Kirthi K. Jain: And what about PAT, sir?

Deepak Goyal: Just one second, give me a minute. Kirthi, if you have another question, just go ahead with that and I will come back to this one.

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Kirthi K. Jain: And my second question was with regard to revenue synergies. Given these businesses operate in a mature category and in mature markets. So, what sort of revenue growth we should expect organically in the merged entity over 3 to 5 years period, sir?

Hemant Bakshi: So Kirthi, firstly I would say we do not operate in mature markets, we operate in emerging markets and therefore there is a significant growth opportunity for us in these markets. These markets tend to be underpenetrated and normally grow at twice the rate at which developed markets grow. So, there is a significant growth opportunity. But let us look at our track record firstly.

We have delivered double-digit revenue growth consecutively for the last three quarters. And if you look at Indovida, they have an 8% volume CAGR in the last 5 years, including acquisitions. So, both these companies have a very strong track record

of revenue growth. We now have an

exposure to even more emerging markets. 90% of our business will come from emerging markets. And I feel very strongly about the growth prospects of the combined company. Our guidance on EPL remains unchanged of double-digit revenue growth in the future.

Deepak Goyal: Yes. And let me get back on the PAT number. So Indovida generates a PAT of 10.6% or INR410 crores. This is almost equal to what EPL generates and hence our combined entity will deliver a PAT of INR815-odd crores.

Kirthi K. Jain: Sure, sir. Sir, given the crude-related inflation which has happened in the last 2 months, sir, with that background do you think this 20% plus margin should be sustainable for the entity or EBITDA per kg whatever we call out, should we -- can we sustain this, sir, through our agreements in both entity?

Hemant Bakshi: Yes. So I will give you an overall answer and then I will also request Mr. Ram our COO to give more color to this. So firstly, the Middle East crisis is a significant event for us. We are absolutely focused all hands on the deck to make sure that this crisis we come out even stronger after it.

There are two priorities for us right now.

One is to secure supply for our customers. Our customers are absolutely keen that we do not have any supply dislocation and at this point in time that is what we are focused on. The second is there is a price increase. Our raw material costs are going up. But our model is very clear. Our cost inflation is passed through to our customers and that is something which we are already discussing with them. But just to give you a little more detail, I will request Ram to add to this.

M.R. Ramasamy: It is a fact that geopolitical things are disrupting the supply chain. We have day-to-day management of supplies. See, better fact is both suppliers as well as customers acknowledges the crisis everyone is in. So that is the best thing. It is not one-sided story. Everyone has the same similar kind of an issue. So, our first priority as Hemant was saying is to ensure supplies. We have a certain level of inventories.

From March 1

st we started accelerating our inventory levels to the level that we can hold and we have approached customers to have an immediate relief in terms of pricing. Some of them have given, some of them we are discussing, some of them are contractually obligated to give in the next quarter. So, we do not see a big disruption either in supplies, big disruption either in the

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margin. Probably if you look at the overall period of 4-5 months that we should be doing well, really well. There is no risk on the margin.

Hemant Bakshi: Yes, I also feel if I was to add to it that in a situation like this, large companies which have scale and we do have scale, but we also have long-standing relationships with some of our big suppliers. This will ensure that our position is stronger than some of the other people who may not have the scale or the relationships. We are very, very certain that we have to be agile and adaptable during this period and we will come out stronger at the end of it than where we were earlier. So, we feel confident that we can cope with this crisis.

Kirthi Jain: Sure, sir. Thanks. These were my two questions.

Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Bajaj Alternate Investment Management Limited. Please go ahead.

Bhavya Gandhi: Yes. Thanks for the opportunity. I just joined the call a bit late. What is the combined EV post-merger if you can share that number and also the total number of shares post the merger for the combined entity?

Deepak Goyal: So, the total valuation of the combined entity is about \$2 billion. In this transaction EPL is being valued at 12.5x EBITDA and Indovida is being valued at 8.1x EBITDA. EPL pricing as per the valuation is at about INR339

per share, which is about 70% premium to the current pricing.

Bhavya Gandhi: And the number of shares.

Deepak Goyal: And the number of shares, we currently have INR 32.5 crore shares. As part of the transactions, we will issue INR 18.5 crore additional shares and hence the total number of shares would be around INR51 crores.

Bhavya Gandhi: Any reason for valuing Indovida at a lower multiple compared to EPL?

Hemant Bakshi: Yes, let me respond to that by saying that EPL is at a 55% premium to Indovida. And firstly, just to clarify, this valuation has been done by independent experts and the fairness opinion has been given by EY. So, I feel that in some ways this acknowledges the strong position that the EPL

business is in. We spoke about our track record. We have delivered double-digit growth for the last three quarters. We have improved EBITDA by 310 basis points in the last three years.

So, a strong foundation. But equally, we have made a pivot to beauty and cosmetic recently. And if you start seeing the numbers we are delivering, we delivered 20% growth in the last quarter. And we are seeing significant gains in a category which is growing fast, which has high average selling price and also where innovation is necessary.

So, our B&C pivot is working. We have also entered new markets like Brazil where the results are absolutely stunning, but we are also leveraging on that and entering Thailand which gives us access to Southeast Asia. We are clearly seen as leaders in sustainability and innovation. In some ways the premium we are getting acknowledges the strength and the long-term potential of the EPL Limited

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EPL business and we feel very excited and proud about where we are. And therefore, this transaction would also deliver significant value creation for all stakeholders.

Bhavya Gandhi: And just one if I can squeeze in, what would be the total ...

Moderator: I am sorry to interrupt, Mr. Gandhi, please rejoin the queue for more questions.

Bhavya Gandhi: Sure.

Moderator: Thank you. The next question is from the line of Sameer Gupta from IIFL Capital. Please go ahead.

Sameer Gupta: Hi, good morning, sir and congratulations on the merger. I will just take it up from the last participant and I have one more question of my own. So let me look at it this way. Fair, EPL deserves the premium, but let's look at Indovida's valuation. It is a higher margin, better ROCE, net cash company and PET rigid is an attractive category. Emerging market portfolio is larger than EPL. So just wondering why such a low valuation which is being given or attributed to Indovida? Is it like the historic track record of growth if you strip out acquisitions is not that great? Any nuances which we are missing?

Hemant Bakshi: Yes, I think Sameer the valuation has been done based on the past track record as well as what they foresee as the future opportunities this business has. Obviously, I think the valuation and the way the experts have looked at it is premium on account of very good performance of EPL and a significantly higher potential.

I think our move into B&C has really helped us get that premium. At this point in time, the Indovida business is focused on beverages. I am sure there are opportunities beyond that. And maybe the valuers thought that the potential we had in B&C is much higher than the formats they could go into.

Sameer Gupta: Got it, sir. Second question, more like a clarification. So just to confirm, the transaction does it require a majority of minority shareholder approval and an open offer to minority shareholders of EPL by Indorama? And on the Indorama side, since there also business is being sold, would they require a majority of minority shareholder approval? And just your thoughts or clarification on these two aspects?

Deepak Goyal: Yes. So, Sameer this transaction is being done th

rough a share swap and a scheme of amalgamation and hence there would not be an open offer. On the shareholder approval, this will go through multiple levels of approval. It will go into SEBI approval, then NCLT and then it will also go through the shareholder approval process.

Sameer Gupta: Yes, but on shareholder approval just wanted to know would there be majority of minority shareholder approval?

Hemant Bakshi: Yes, majority of minority. I mean we will need to get that approval.

Sameer Gupta: So, majority of minority is required on your end as well as Indorama's end?

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Hemant Bakshi: It is required on our end for sure.

Sameer Gupta: Got it. And last question if I may.

Moderator: I am sorry to interrupt, Mr. Gupta, please rejoin the queue for more questions.

Sameer Gupta: Sure. No worries. Thanks.

Moderator: Thank you, sir. The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari: Hello sir, thank you for the call. A question from my end was in terms of the long-term free cash flow of the business now as EPL, as you highlighted earlier point that IVL has been acquisitive. So, does this make EPL now a lot more acquisitive in terms of growth now going forward? And how do you think about on a \$100 million kind of a profit base in terms of your free cash flow generation, including growth capex?

Hemant Bakshi: So, let me try and respond to the question on inorganic growth or acquisition, and then I will request Deepak to talk about the free cash flow. So, as we mentioned earlier, we have set clear guidelines on how we will approach inorganic opportunities. We want to look at opportunities which will take us into new geographies or help us build new capabilities in new formats. So those are the two criteria we'll use. In addition to that, anything new we do must be margin accretive to the business.

As you can see, this merger meets all three of those criteria. But we will keep looking at that in the future as well. And you are right, inorganic opportunities will play a significant part of our growth strategy as we go forward. On free cash flow, I'm going to request Deepak to share the numbers which you've asked for.

Deepak Goyal: Yes. So the combined business, Mayank, would generate about \$200 million of EBITDA. Both companies, EPL as well as Indovida, have a very healthy cash to EBITDA conversion ratio with about 60% to 65% of EBITDA getting converted into cash. This obviously provides us a lot of firepower to look at growth opportunities.

But as Hemant mentioned, we have always been disciplined about what we look for. We have very specific criteria of acquisitions and hence we'll be very careful on what we go for, but it will remain an important growth driver for us going forward.

Moderator: The next question is from the line of Pratham Kankariya from Quantum AMC.

Pratham Kankariya: Sir, just one thing. So now our promoter changing to Indorama and the parent is still debt heavy.

So how do you think about this? So like will there be increase in dividends to service that debt because still they're looking at multiple credit lines for liquidity and all those things. So what is the plan of action here?

Hemant Bakshi: Yes. So firstly I must say that Indovida, the business that's merging with EPL is net cash positive.

So they are debt free. In fact, as a result of this merger, our debt-to-EBITDA ratio will fall from

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0.65 to 0.25. So therefore we feel strongly about the fact that the balance sheet will become even healthier than it was earlier.

As far as the dividend policy is concerned, we have been a dividend paying stock in the past, as you are well aware of. Any future dividend policy will be decided by the Board of the combined company post the merger is completed. So that's

something which the Board will take a call on.

Pratham Kankariya: Sir, I'm talking about the debt on the promoter side, Indorama Ventures, Thailand entity. They are having a lot of debt on them and they're focused on structurally deleveraging the balance sheet. So now with EPL being a subsidiary for them, so what are your thoughts on this?

Deepak Goyal: So Pratham, if you look at it, Indovida today is also IVL subsidiary and it still manages net cash position and it's not leveraged. In fact, the balance sheet and ROCE of Indovida is stronger than EPL's. And hence on the combined entity also, we do not expect to take incremental debt and pay a lot of dividends. We will continue with our dividend policy as we are doing now and it will be decided by the Board of the new entity.

Pratham Kankariya: Okay, sure. And whatever the \$35 million to \$50 million synergies we are planning, so in how many times would it be realized post-merger?

Hemant Bakshi: So we'll try and move as quickly as possible after the approvals come through and we will try and realize these synergies at the earliest. However, as you would have seen, our synergies will come through geographical expansion and format expansion. These things do take time, entering new countries, but I can assure you that we will move the fastest we can.

Pratham Kankariya: This would be a cumulative number, sir. Just a follow-up. This would be a cumulative number?

Hemant Bakshi: Annual number, this is an annual number.

Moderator: The next question is from the line of Kashyap Javeri from Emkay Investment Managers Limited.

Kashyap Javeri: My two questions, sir. If I look at Indovida's numbers for last let's say three years, in at least Thai Baht terms they have been declining including the production there which used to be about

0.33 million tons coming down to about 0.3 million tons. And secondly, when we look at the EBIT or EBITDA of that company today, what kind of growth then we would be assuming in the valuations?

And connected question is also that if I look at THB2.9 billion kind of EBITDA there, I mean the number of INR813 in INR terms is actually based on the closing of exchange rate. But if I look at overall exchange rate, then it would be significantly lower. So if you can provide clarification on these two questions?

Deepak Goyal: So first of all the EBITDA conversion. So we don't expect the FX exchange rate to kind of move dramatically and it's calculated and we represented of exchange rate. And the INR813 crores is the representative number. From a growth point of view, Indovida has grown at about 8% CAGR over the last five years. It includes both the organic and inorganic growth opportunities which is part of the core model.

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The growth opportunities even going forward continue to be very attractive given their market footprint is emerging market focus. On top of that, Indovida is planning to enter new markets as well. They recently entered Tanzania and now they are planning to enter Morocco and Algeria as well.

So the growth prospects for Indovida are as attractive. EPL, as you know, we have been talking about double-digit revenue growth. In the last three quarters, we have delivered double-digit revenue growth already. And as a combined entity, we believe we are creating a company which is growth oriented.

Moderator: The next question is from the line of Manav Saraf from Guardian Partners LLP.

Manav Saraf: My questions have actually been answered, but congratulations on your role and congratulations on the transaction. My questions were with regards to the open offer potential and the valuation which have been answered?

Moderator: The next question is from the line of Jaymin from ARDEKO Asset Management.

Jaymin: So one was the specific thing we wanted to understand is that what was the reason for the weaker numbers year-on-year for Indo

vida on CY25 over CY24? Has there been any client loss and what led to the impact on their growth and margin in CY25? Also on this front only, Indorama Ventures was preparing Indovida for a standalone IPO, but today it is being merged into EPL. So what drove that choice for them?

Hemant Bakshi: Yes. So I think we've spent some time trying to understand the Indovida business. And '25 was quite a distinct unique year in Southeast Asia because of the weather pattern and it's also linked to the previous year 2024 which had a very high tourism boom in Thailand. So there were two factors which impacted the business. One was the base was high because of a higher degree of tourism.

And then again '25 the weather patterns were not very strong. Equally in Vietnam there was a significant change in the tax policy which led to almost 8,000 stores shutting down during that period which had an impact. So there are multiple operational reasons across different markets which have impacted the 2025 performance. But I think what's important to look at this business is to look at a long-term CAGR rather than just look at a couple of quarters.

In the long term, and this is data which you can access, the volume CAGR of Indovida is 8%, including both organic and inorganic growth, and that's really positive in this business. But I

think also we should consider what the future prospects of this business are. As we were saying, they just entered Tanzania, which is a good market for them. They're entering Morocco and

Algeria. But as we speak, there are other markets, both in Africa and Central Asia, which are opportunities for Indovida. As you can imagine, there are many countries where entry of a business like this could be required. But the way this model works is that because they have strong relationships with Coca-Cola and Pepsi, very often they are invited by these companies to come and set up operations in markets which otherwise are not easy to operate in.

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And over a period of time, Indovida has built a track record of working in frontier markets and being very successful. So overall, keeping everything in mind, we think the opportunity for growth is significant.

Jaymin: Sure, sir. And so just the question that we had also spoken of that they were preparing Indorama for a standalone IPO and now it is being merged into EPL, what drove that choice?

Hemant Bakshi: So, I think from what I do know, the IVL Group values the EPL business enormously. They've made an investment in the past and what they've seen in this business, they find really, really attractive. And I think our past track record shows that this merger will be more value creating for them than to do anything else. That is just a vote in favour and of confidence in the EPL business, our track record and our future potential for growth.

Jaymin: Okay. And then the final question just on the...

Moderator: I'm sorry to interrupt, Jaymin, please rejoin the queue for more questions. Yes, thank you. The next question is from the line of Sagar Jethwani from PhillipCapital India PMS. Please go ahead.

Sagar Jethwani: Hello.

Moderator: Yes, you are audible.

Sagar Jethwani: Yes, congratulations on the positive development. You talked a lot about the synergy benefits. I just have one follow-up on the same. In the first year or after the merger completion, what kind of synergy benefits can we foresee and what would be your top priorities in the first year?

Hemant Bakshi: So, I think our opportunity post the merger getting approved will be on leveraging the synergies. We feel the geographical synergy is really very, very significant. We will work towards that and see how much of it can be realized immediately. You can imagine entering a new country is not straightforward, but we'll start working on it, both from an EPL's perspective, but also from an Indovida's perspective.

tive.

So that's something which we will look towards. But we are also very focused on doing a very robust and rigorous post-merger integration to ensure that our businesses hit the ground running and we can realize synergies as soon as possible.

Sagar Jethwani: And lastly, how many number of new clients we will be adding with this merger?

Hemant Bakshi: The number of new customers will be very significant because the entire beverage category is new for us. So therefore, businesses like Coca-Cola, Pepsi, ThaiBev, Masan, Guinness are all new customers for us. So therefore, a significant increase in our repertoire, but also by Indovida, a number of new customers again. So therefore, I think we work with the best companies in the world. We have marquee customers and we are very excited that that number will grow at this merger.

Sagar Jethwani: Can you provide the number or range?

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Hemant Bakshi: The number of customers per se, let me see if we can access the data and provide to you. It's not readily available right now, but we'll get it to you.

Sagar Jethwani: Sure.

Moderator: Thank you. The next question is from the line of Majid Ahamed from PinpointX Capital. Please go ahead.

Majid Ahamed: Am I audible sir?

Hemant Bakshi: Yes.

Majid Ahamed: Thank you for the opportunity. Sir, my question is regarding Indovida's working capital and the FCF to EBITDA conversion. Like, how much is it, sir, if you can give a number?

Hemant Bakshi: Yes, just give us a minute, we'll pull out the data.

Deepak Goyal: Working capital of Indovida?

Majid Ahamed: Working capital and cash flow conversion.

Deepak Goyal: So, cash flow as I said, Indovida generates about 60% of its EBITDA as free cash flow.

Majid Ahamed: Operating cash flow, how much operating?

Deepak Goyal: I'm sorry.

Majid Ahamed: EBITDA to operating cash flow, not free cash flow.

Hemant Bakshi: So, we are just pulling out the data and we'll share with you. In the meanwhile, if you have any other questions, you can go ahead with that.

Majid Ahamed: Sure, sir. So, secondly, sir, so now Blackstone stake is getting reduced. So, is it Blackstone going to be a partner or eventually it will be succession where Indorama takes over EPL? Any colour on that?

Hemant Bakshi: So firstly, I must say that Blackstone has been a very valued partner for us and they've been pivotal in our journey. We've benefited a lot from the thought leadership and the extensive network which becomes accessible to us. So I think firstly we must acknowledge that. Also they remain highly engaged and active participants on our Board and that is again of great value to us.

In the next 12 months nothing changes till the approvals come through. Post the approval, while they'll be diluted to 16.6% of shareholding, they will remain a joint promoter on the Board of the merged EPL business. I think we have the data for you for cash as well now.

Deepak Goyal: So, the working capital for Indovida business is 50 days and the operating cash flow, so the working capital investments are limited in line with the revenue investments, about 90% of EBITDA is the operating cash flow.

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Majid Ahamed: Okay, sir. Okay. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Aman Gupta from Guardian Capital Partners.

Please go ahead.

Aman Gupta: Hi. Thanks for the opportunity. I just wanted to understand that given the current geopolitical conflict and everything, is EPL business in the laminated packaging part more susceptible to the commodity inflation or the rigid packaging one on the Indovida's side? And can we quantify the impact to some extent for foreseeable future?

Hemant Bakshi: Yes. So, I think as far as the EPL business is concerned, clearly this is a significant event and we have to manage

it very sensitively and have to be agile and adaptable. As far as our model is concerned, we've been working with our customers and the first priority for us is to make sure we can secure supply. We have long -standing relationships with our petrochemical suppliers and we are working closely with them to make sure that supply is ensured and our scale really helps us in this situation.

I think the second is there is cost inflation which is obvious. Our model is clearly one of pass-through. So therefore we would recover the cost through our customers. In some cases it's contractual in the form of a model which we have. In others we have been having discussions with our customers. So therefore we will recover the cost from our customers and that's something which is built into our model.

As far as the Indovida business is concerned, they also have the advantage of being part of Indorama which is a supplier, in some ways is a supplier to their business. They operate in an arm's length business, but it does give you preferential access, so they are also protected from that point of view. Overall, both businesses are managing the situation to ensure we remain resilient and come out of it stronger than where we were earlier.

Aman Gupta: Got it. Thank you.

Moderator: Thank you. We will take our last question from the line of Bhavya Gandhi from Bajaj Alternate Investment. Please go ahead.

Bhavya Gandhi: Yes. Hi. Thanks for the opportunity. Just wanted to understand, I mean, instead of paying dividends, any thoughts on buyback since EPL is being valued at almost \$1.2 billion versus current market price? So any thoughts over there? And what would be the size of RPD business in the merged entity?

Deepak Goyal: On the buyback, it's about the capital allocation, Bhavya. We believe that we have very exciting opportunities to invest this money in growth. Also as part of the merged entity, what we are creating is a growth-oriented company. So far the management and Board have been pro-growth and that's where our investments are growing. However, if we realize that there is a better opportunity in buyback, we will consider that.

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Bhavya Gandhi: In terms of, so I was asking, say, instead of dividends, why don't we do buyback because the valuation that we are baking in, it's much higher. It makes logical sense to go for buyback versus paying dividends?

Deepak Goyal: Sure, Bhavya. We will look at that.

Hemant Bakshi: Since we are running out of time, I just want to put this. This is a historic day for us. We are taking a foundational step towards our vision, which is to become an emerging market consumer packaging leader. And as you can see, we are all very, very excited with where we are.

We think the future is even brighter and we are very optimistic and excited. I also know that there are about 10 people who are still in the queue. So please do reach out to us and we will suitably respond to your questions from tomorrow onwards. And once again, thank you very much for the time and thank you for your continued support.

Moderator: Thank you very much. On behalf of Systemix Shares & Stocks India Limited, that concludes this conference. Thank you all for joining us today and you may now disconnect your lines.

Call: May 2026

May 20, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited
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Sub. : Transcript of the Conference Call - EPL Limited ("Company")

Ref. : 1. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended) ("SEBI LODR Regulations")

2. ISIN: INE255A01020

Sir/ Madam,

In furtherance of our intimation(s) dated May 7, 2026 and May 8, 2026, we are enclosing herewith, the Transcript of the conference call for the Analysts/ Investors, which was held on Thursday, May 14, 2026, to discuss the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended on March 31, 2026 ("said transcript").

The said transcript is also made available on the website of the Company i.e. at <https://www.eplglobal.com/investors/shareholder-information/>

This is for your information and records.

Thanking you.

Yours faithfully, For EPL Limited

Onkar Ghangurde

Head - Legal, Company Secretary & Compliance Officer

ICSI Membership No.: A30636

Encl.: As above

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"EPL Limited

Q4 FY26 Earnings Conference Call "

May 14, 2026

MANAGEMENT : MR. HEMANT BAKSHI – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – EPL LIMITED

MR. M. R. RAMASAMY – CHIEF OPERATING OFFICER –
EPL LIMITED

MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER –
EPL LIMITED

MR. ONKAR GHANGURDE – HEAD LEGAL , COMPANY
SECRETARY AND COMPLIANCE OFFICER –
EPL LIMITED

MODERATOR : MR. PRATIK OZA – SYSTEMATIX INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to EPL Limited Q4 FY 26 Earnings Conference Call hosted by Systematix Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Oza from Systematix Institutional

Equities. Thank you, and over to you, sir.

Pratik Oza : Thank you, Nitesh. Good evening, everyone. On behalf of Systematix Institutional Equities, I welcome you all to the Q4 and Full Year FY 26 Earnings Conference Call of EPL Limited.

Representing the management today, we have Mr. Hemant Bakshi, MD and Global CEO;

Mr. M.R. Ramasamy, COO; Mr. Deepak Goyal, CFO; and Mr. Onkar Ghangurde, Head, Legal, Company Secretary and Compliance Officer. We thank the EPL management team for giving us the opportunity to host this call.

Without further ado, I will hand the floor to Mr. Hemant Bakshi to commence the proceedings.

Over to you, sir.

Hemant Bakshi: Thank you. Good evening, everyone and thank you for joining us for EPL Limited's Quarter 4 FY26 Earnings Call. This has been a landmark quarter for EPL. We announced our proposed merger with Indovida, a transformational move that will significantly enhance our scale and strengthen our position as a leading player in emerging markets.

Together, the combined entity will create a nearly \$ 1 billion consumer packaging platform with a broader product portfolio, stronger manufacturing and innovation capabilities and an expanded presence across high-growth markets, while also being margin and value accretive. We, as a management team, are very excited about this combination. I am pleased to share, at the same time we have delivered exceptional operating performance in a dynamic and challenging macro-economic environment, reflecting the resilience of our business model and the strength of our execution.

Revenue for the quarter grew by 17.6%, with EBITDA growing by 17.2% and margins sustained above 20%. This is the highest ever revenue growth in the last 5 years. This is also the fourth consecutive quarter of double-digit revenue growth, reflecting the consistency and strength of our performance.

The momentum was led by Beauty & Cosmetics, which delivered a record 30% year-on-year growth, aligned with our strategic focus on this segment. Oral Care also showed a healthy recovery, growing 10% year-on-year. Growth during the quarter was broad-based with all 4 regions delivering double-digit performance.

EAP and the Americas led the way, growing 25% and 24.1%, respectively, driven by a focused push in Beauty & Cosmetics, new customer additions and strong pipeline conversions. Europe also delivered a robust performance, growing 15.5%. AMESA grew by 10.4%, while India stand-alone recorded a healthy 11.5% growth.

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EBITDA margin stood at 20.2% with all regions within our guided operating range, marking the seventh consecutive quarter of 20% plus margins. PAT for the quarter, excluding exceptional items, marginally increased by 1%. However, on a full year basis, PAT grew by 15%. For the full year, we delivered a solid performance.

Revenue grew by 13%, in line with our commitment to deliver consistent double-digit growth.

EBITDA increased by 15.8% with margins at 20.4%. Our strategic shift towards Beauty & Cosmetics is now translating into results, with the segment delivering fourth consecutive quarter of over 20% growth in this segment and an exceptional 30% growth during the year.

This helped us effectively manage temporary headwinds in Oral Care. Our Personal

Care and

Beyond mix now stands at 53% and Beauty & Cosmetics is now larger than Oral Care in most key markets, marking a clear shift towards a more balanced and diversified portfolio. Strong EBITDA and PAT performance, combined with healthy cash flow generation have enabled a further deleveraging of our balance sheet with net debt to EBITDA improving to 0.52x.

Return on capital employed also improved to 19%, expanding by 96 basis points.

Sustainability and innovation: Sustainability and innovation continue to be integral to our growth agenda. During the quarter, sustainable tube formats contributed 38% of total sales, reflecting steady progress in customer adoption.

We are also proud to have achieved the EcoVadis Platinum rating this year, placing us among the top 1% of companies globally on ESG performance. We are the only packaging company

from India to be globally certified. Innovation remains a key focus area with continuous progress across advanced tube formats and differentiated solutions aligned to evolving consumer needs.

EPL was certified as a Great Place to Work across seven countries this year, a reflection of our consistent efforts to build an inclusive, engaging and high-performance workplace. Looking

ahead, let me first address the impact of current Middle East crisis on our business. The crisis has affected both the availability and cost of our key raw materials.

We are proactively navigating the situation with a clear and structured approach. We are prioritizing supply security for our customers while ensuring that cost impact gets fully passed on. In these dynamic times, we realize that strength of our decades-long supplier partnerships and meaningful scale allow us to be a reliable partner for our customers.

With nearly 50% of our business covered under contractual pass-through arrangements and capabilities built post-COVID to effectively implement pass-throughs across the balanced business. We remain confident of delivering robust absolute EBITDA growth. Our approach during this period is anchored in a few clear principles, executing with agility, maintaining financial discipline, safeguarding customer relationships and continuing to drive long-term value creation. As we navigate this environment, our priorities for the future remain clear. First, to sustain the growth momentum in Beauty & Cosmetics. We have now delivered consistent performance and with ahead of the curve investments in capacity, innovations, extruded solutions, front-end specialization and new technologies, we see strong headroom to maintain

this robust growth trajectory. Second, we remain committed to scaling in high-growth emerging markets. Brazil continues to outperform and deliver strong growth. Our plant in Thailand is gaining traction, supported by a strong pipeline and new customer acquisitions.

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Thailand represents a large and attractive beauty & cosmetics market with significant long-term potential for us. We are strengthening our presence and capabilities to capture this opportunity while also exploring new markets that represent white spaces. Third, we remain focused on margin discipline and capital efficiency.

We continue to focus on delivering profitable growth and improved margins through scale benefits and efficiency projects. In closing, FY 26 has been a defining year for EPL, marked by consistent double-digit growth, resilient margins and a transformative strategic milestone with the announcement of our proposed merger.

As we move into the next year, we remain focused on sustaining this growth momentum, executing our strategy with discipline, scaling our presence in high-growth markets and navigating near-term challenges with agility and a continued hunger for more. Thank you for your continued support and we will now open the floor for questions.

Moderator: Thank you very much. We will now begin

in the question and answer session. We have first question from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Yes. Good evening sir. Thanks for taking my questions and for this opportunity. First, on the point you did touch upon your initial remark, post-COVID in an inflationary environment, we have seen a 2 year of struggle to reach back to the margin of 20%, you did make a point that you have taken a corrective measure in terms of contracts, pass-through and all. How much are we prepared in this scenario? Because this appears to be very similar, higher logistic costs, higher raw material costs, higher power cost in Europe. It appears to be a very close scenario what happened for us between '23 and '24. How should we see FY '27 playing out for us?

Hemant Bakshi: Yes. Okay. Thank you very much, Sanjesh, for that question. Obviously, very, very topical and something which is top of mind for everyone. So firstly, I think this is a significant event. There's no question about it. And there are two important things that we are dealing with at this point in time.

The first is to secure supply availability, which is something which is extremely important for our customers. And second is then to manage cost. As far as the first is concerned, as I mentioned, we have long-standing relationships with our supply partners as well as the fact that we are a scale player, which gives us an advantage.

And we've made sure that availability is adequately covered till at least at this point in time till middle of July, and we continue to increase that on a weekly basis. So therefore, on availability, we are in a strong position. I think on pass-through of our costs, our model is much more advanced and sophisticated compared to where it was at the time of COVID.

We've learned a lot from that period as well. More than 50% of our business comes from contractual customers, where there is a clear agreement on pass-through. On the other customers, we've been very proactive by being in the market and making sure we are able to get price increases. So at this point in time, we are very confident that we will be able to manage the cost impact that we will feel through this crisis.

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Sanjesh Jain: So when we say pass-through contractual term, is this pass-through for the raw material or this also includes the logistics plus currency plus freight? How is this pass-through working as of now? I think in the past, the problem was that we were able to pass on the raw material cost inflation, but other operational cost inflation is what took a lot of time for us to recoup, those costs and renegotiate the contract?

Hemant Bakshi: Yes. Our model right now is a landed cost plus power pass-through model. And therefore, it covers a lot of things which you've spoken about. So that is something which we have covered

for, and this has been something which we've also learned through and evolved over a period of time.

Sanjesh Jain: Got it. My second question is on the availability, which you touched upon. Have you seen any - or have we been in a position where we were not able to meet the requirement? And is the shortage a reality? And hence, if we are able to procure the raw material, we have an opportunity to grab some market share?

Hemant Bakshi: So availability overall is a challenge. But in our case, we've been able to secure supplies of all our raw materials, as I've already mentioned. And we are being very agile at this point in time where we are being able to expand our inventories and extend this on a weekly basis. So at this point in time, across all our raw materials, we are secure. Having said that, this is a difficult time, challenging time. And we do feel that we have some competitive advantage in a situation like this. And therefore, there would be some opportunity for market share gains as well.

Sanjesh Jain: Got it

. One follow-up question on AMESA. The revenue appears to have grown 10%. I think a lot of pricing pass-through would have happened, but EBITDA is still at just 1% growth, right? And EBIT growth negative 11%. And we have seen volume recovery for some of the FMCG players as they have reported the results. How should we see AMESA? Are we expecting a recovery in the EBITDA and EBIT for AMESA in FY 27?

Hemant Bakshi: Yes. So I will cover one part of your question and then pass on to Deepak, our CFO, who can respond to the second half. I think you implied that in this volume growth, there might be some effect of the Middle East crisis. I just want to clarify that's not the case. This quarter has not really been to that extent, affected by the Middle East crisis.

So this is really underlying growth which we are seeing. And I think it's made up of two very important factors. I think one is that beauty & cosmetics, which is something which we've spoken about in the past, which is a strategic priority for us, is gaining momentum in AMESA, especially in our large market of India, and we are seeing really good response there.

And that continues to grow quarter-on-quarter. I think in addition to that, we've clearly seen recovery in the Oral Care category as well. And when the two of them come together, we get good results on the top line, as indeed you are seeing for India stand-alone as well as AMESA.

I think on bottom line, I'll ask Deepak to cover that part.

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Deepak Goyal: Sanjesh. So AMESA margins remain structurally very strong. If you look at full year, our margins have improved from 18.5% last year to 18.7%. This quarter is particularly impacted because of two one-offs. One, we had CEO transition-related costs. We had two CEO costs in this quarter, which impacted. And second is last year, margin included a phasing one-off reversal, because of which the base is high. If we equalize for both, then our margins are in the target range, and that's reflected in the full year numbers.

Sanjesh Jain: Got it. One question on Beauty & Cosmetics. Earlier, we used to tell that then as the Beauty & Cosmetic contribution increases, we will see a kicker in the margin. This year has been an exceptionally strong year for Beauty & cosmetics, but that really didn't translate into the better margin, though we are able to hold on to 20%. I thought there was a scope to increase further considering that there was a product mix tailwind with us?

Deepak Goyal: So if you look at our margin, Sanjesh and we should look at.

Moderator: Participant please be on hold. Management line has been disconnected. I'm reconnecting. Please wait. Participant management line has been reconnected.

Deepak Goyal: Hello?

Sanjesh Jain: Yes. Deepak, we can hear you.

Deepak Goyal: Yes. Sanjesh, margin, let's look at full year to full year because that's the right benchmark. We have improved from 19.9% to 20.4%, right, which is a 50 basis point expansion in a year on an already high base. Another thing is that we have got this margin improvement when we continue to invest in the Beauty & Cosmetics category.

We are investing in the front line. We are investing in innovation. We are also investing in the capabilities across both back end and front end, right? And those investments, if you see some of our cost lines, et cetera, have grown. And I have mentioned it in the past as well that our priority is to drive growth, and we will resource the growth fully because we believe that these are the good costs. And hence, the expansion is gradual, and that's how we expect it to continue.

Sanjesh Jain: Deepak, I was just looking at EBIT because some of the currency-led benefit would have come in EBITDA, while that got negative at the level of depreciation, right? You will have higher EBITDA, you will have higher depreciation, that's purely a tra

nslation effect. EBIT margin has

not really grown. So my fear is that the growth what we are putting, I completely appreciate that

we are focusing on growth. No doubt, that's the priority for us. But if I look at EBIT level, the growth really doesn't look like as strong as it appears at the level of EBITDA?

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Deepak Goyal: So if I look at EBIT, and again, I prefer to look at full year numbers versus the quarter when we are comparing as a structural business performance. Our revenue has grown at 13%. Our EBITDA has grown at 15.8%. EBIT has grown at 18% and EBIT has moved from 11.8% to 12.3%. So even in EBIT, we see 50 basis point expansion.

And you're right. So if you look at our capex for this year, we have spent INR 480 crores -plus, which reflects the investments that we are making in B&C. So there are investments in all the lines, but all the investments are in the areas where we want to grow and the results are also reflecting. But at the same time, we are very, very conscious of our margin profile and how we are spending costs. And I believe both EBITDA and EBIT are moving in the right direction.

Sanjesh Jain: No, I was referring to more Q4, Deepak.

Deepak Goyal: Yes. But Q4, my request is, Sanjesh, that for the structural question, saying, are we really improving our EBITDA margin or not, a slightly longer term allows us to see how we're performing on a yearly basis.

Sanjesh Jain: No, that's fair enough. That's fair enough. Just one last question. With the improving volumes in India, are we hopeful of a better AMESA performance in FY 27?

Hemant Bakshi: I think as we mentioned in the past, we are clearly seeing improvement on Oral Care, which had headwinds which we had faced last year. We feel confident that this year will be a much better year in oral, and we are sustaining our B&C momentum. So we remain very, very optimistic about the AMESA region and more specifically India.

Moderator : We have next question from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: Congrats on a good set of numbers. Firstly, sir, can you just quantify the amount of inflation that we are facing in our cost basket? And I know Sanjesh asked this question, but last time around, we saw EBITDA margin bottoming at around 16% with the current capabilities and sophistications around the pass-through, where do you expect the margin to bottom out at this time? And your absolute growth, absolute EBITDA might not see a contraction, but margin optically will still because the pass-through will just cover the absolute increase in prices. So this is the first question, sir?

Hemant Bakshi: Yes. So thank you very much for the question, Sameer. Obviously, as we said, this is a very uncertain and volatile time. We are managing it on an agile basis at this point in time. I think what we can say very confidently is that we will recover all the additional costs, which comes on account of this crisis. And that itself is a monumental task, but we've built the muscle to be able to do it, and we will do it both with our contractual customers as well as other customers. There might be some optical changes as a result of it, which we will see as we go along.

Sameer Gupta: And do you still expect the non-contractual to come with a significant lag or any kind of guidance on this will be helpful?

Hemant Bakshi: Yes. So we don't see, even with non-contractual, we don't see any lag, any likely lag. But over a period of time, we are absolutely confident that we will recover all the additional costs.

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Sameer Gupta: Great, sir. Second question, and I think Deepak mentioned this to Sanjesh, but capex of INR480 crores this year versus depreciation of INR 385 crores, slightly on the higher side, I understand there was a greenfield in Thailand, but is there any other or maybe you can just

give a breakup

of the broad capex this year? And a related question to that is, I noticed no dividend this time.

So any particular reason for that? Are we planning on a big capex or is this like an indication of any further inorganic activity that is in the plans?

Deepak Goyal: Yes. Let me take that. First of all, capex is largely driven by the beauty & cosmetics investments. If we see that the beauty & cosmetic category has grown by 30% on an already higher base. And that requires certain investments. And as we had said earlier, while over a period of time, our capex will be closer to our depreciation, we will pull back, we will do the phasing of the capex investments to make sure that the growth is not constrained. And for this kind of growth, then we have invested ahead of the curve. And we will continue doing that if we see that there are growth opportunities that we can capture. On the dividend, the dividend is actually because of the merger.

We are doing a share swap as per the proposed merger announcement. And both the companies cannot declare dividend till the merger is completed, which is common in these kind of mergers to ensure that the valuation construct remains. But at the same time, let me also talk about the

inorganic.

We continue to remain hungry for the inorganic because we believe that as a combined organization or as we are kind of going along, we have significant balance sheet muscle and also customer relationships that we can capitalize on. So we continue to be on a lookout for an inorganic opportunity.

Sameer Gupta: Just a follow-up here. Can you quantify the Greenfield investment in Thailand that has gone?

Deepak Goyal: \$ 5 million.

Sameer Gupta: Great, sir. And last question, if I may squeeze in, more of a bookkeeping one. Tax rate continues to be up and down. So I understand there are nitty-gritties, but any kind of guidance here would be helpful?

Deepak Goyal: I think our tax rate is a combination of country mix where the tax rates continue to be very, very different. We have tax rates right from 0% because of certain exemptions going up to 34%, 35% in some countries. And hence, the country mix plays a big role on the tax rate. Steady state, I expect our tax rates to be in the range of 18% to 22%. I know it's a large wide range, but that's how differential or the variation in the tax rate exists in various countries. If you see this year, our tax rate is about 18%, which is at the lower end of the range.

Moderator: Next question from the line of Mihir Shah from Nomura.

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Mihir Shah: This is Mihir Shah from Nomura. First question on the revenue growth of 17.5% and across the geographies, except for AMESA, the growth has been relatively super strong. Can you explain what is really driving the 17.5% revenue growth? Is there any pricing growth element in this, point one? Or is there any because of the Trump tariff, any inventory push of sorts or any one-off that was there sitting in this quarter?

Hemant Bakshi: Yes. So Mihir Shah, thank you for your question. The first thing I want to clarify is that there is no one-off in this growth. All the things you mentioned, whether it's the Middle East crisis of the tariffs, et cetera, this growth is not because of that. I feel that our strategy, which we've articulated many times, you are seeing the manifestation of that.

We've said that we will get steady growth in Oral Care, and we will get significantly higher growth in B&C. And in this quarter, both of those categories have done well and have been on strategy. So let me first talk about B&C, which has grown 30%. We've made some very conscious strategic choices this year. We've invested ahead of the curve on capex.

We have focused a lot in building our innovation capabilities. We've then started participating in the extrusion segment, which we hadn't done as actively in

the past. And in addition to that, we are bringing in a lot of premiumization and new technologies in the B&C market. It's a faster -

growing market. We start with lower market shares and we are gaining market share across all markets. And some of our big markets are really getting to scale and they are driving growth. So B&C, our strategy is clearly working, and you've seen the results this quarter, but I think it's also important to look at oral. Oral Care did have some headwinds last year, which we've spoken about. But in this quarter, we've seen a very healthy return to growth in oral. Oral has grown by 10%. So therefore, both our categories have done well. But in addition to that, B&C now has scale. So 40% of our business comes from B&C, 47% of our business comes from oral. And when a large category, which has scale starts growing at this rate, you get the growth, which we've delivered this quarter. So I feel very confident that our strategy, which we've articulated where we've invested behind and really gotten behind it is now delivering, and you can see the results in this quarter.

Mihir Shah: Understood. So the 25% growth in EAP is largely Thailand led and the 24% in Americas and 15% in Europe is broadly category-led or any specifics you can share out there?

Hemant Bakshi: Yes. No, very happy to share that. So firstly, I must start by saying that Thailand is a very attractive market. It's a large B&C market. We feel very excited about what we can do in Thailand. We have a strong pipeline. But to also be fair, our plant was set up only in November.

We've since then been working on validation with our customers, there's a lot of certification, which has to be done, and you will see significant growth coming out of Thailand in the future. However, in this quarter, I must say that bulk of the growth, if not the entire growth, is because of a very strong performance, which we've got in China. So therefore, Thailand, we are very excited about, very optimistic, but that has not contributed to growth in this quarter. This is coming from our core market of China. As far as Americas is concerned, again, Brazil has been a standout performance - it's a blockbuster for us. In the last, since the 3 years we've gone there, we've made a significant impact in Brazil. We started with a single customer, but we've got multiple customers there. So Brazil, again, a standout performance.

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But what I'm even happier about is that every country in Americas has grown double digit. So therefore, a great performance in Americas, but it is because of U.S., Mexico, Colombia and Brazil, all 4 growing double digits. So really good performance there. And again, in Europe, it's a growth which we are getting as a result of a strong category performance across different markets. So there is no one-off in this growth.

Mihir Shah: Understood. Sounds like all -round performance. So how should one think about the sustainability of this growth, sir? I mean, should one expect this kind of elevated growth to continue given that the structural changes have happened? Any light you can share on that one?

Hemant Bakshi: So if you look at our full year growth, Mihir, it is 13%. And we've so far guided to a low double - digit growth in the range of 11% to 13%. And for a longish period of time, we will hold on to the same guidance. So therefore, you can expect a low double-di git growth from us. Our range remains between 11% to 13%.

Mihir Shah: Understood. Sorry, I am asking a few more questions, pardon me for that. Just on the West Asia crisis, if you can share what is the element of price increases that you will have to take and that will be sitting in the growth in the coming quarters? And the impact on margins, if at all, how should we think about that in the near term? And I'm sure 50% is covered, 50%, you will have to take a hit initi

ally and then it will be recovered later on. So just how the walk -through of the West Asia crisis pricing growth and the margins? And I'll stop here for my questions.

Hemant Bakshi: Yes, Mihir, on West Asia crisis, we've spoken earlier as well. So the first thing is that we are confident that we will recover the full cost impact. And we do not think that there will be a lag in recovery of the cost. Your question implies that with 50% of our customers, there will be a lag. We are making sure that our price increase is proactive, and we do not have a lag. So we remain confident that the full cost will be recovered.

As far as how much will be the pricing, it's very difficult to give one number because it's different by market, every geography is behaving differently. And the situation changes on an ongoing basis. As I've said earlier, we'll remain agile, we will act quickly, and we'll make sure that our model is resilient to this crisis which we face. But I again want to reiterate that we will recover the entire cost increase which we see.

Moderator : Your next question from the line of Shubham Sehgal from SIMPL.

Shubham Sehgal: My first question is previously we had mentioned that to focus on increasing our gross margins and our operating margins, the management has monthly meetings where I think the discussion is mainly about where we can take the price hikes and the price decreases. So , first part is that are we still doing the proactively monthly meetings and what kind of price increases to the customers have been requested .

Deepak Goyal: Yes. Shubham, your voice is volatile going up and down. So we couldn't hear you fully. But what I understand, I think you are referring.

Shubham Sehgal: Should I repeat the question?

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Deepak Goyal: Are you referring to our customer GC review that we had spoken about?

Shubham Sehgal: Are you able to hear me properly?

Deepak Goyal: Yes, we can hear you now.

Shubham Sehgal: Yes. I'm just asking, I'm just asking about the monthly meetings that we had mentioned about taking price hikes throughout our customers wherever we can to support our margins and increase our margins. So my question was, are we still conducting these monthly meetings with the management and where we are taking proactive decisions to increase prices across the customers? And like if we are doing it, what have we achieved through it? That's my first question?

Deepak Goyal: So let me clarify. What we had mentioned was that we have post -corona , we have developed the muscle on pricing. We now review our customer -wise GC on a monthly basis to make sure that if there are any deviations, any abnormal margins, etcetera, we go and initiate conversations at an early stage. In times like this, that muscle becomes very, very important.

So today, we are even more focused on customer -wise margins and what is the price increase that we have to take to absorb all the costs that we are getting and that we are doing very, very regularly. And that is why Hemant has mentioned that we remain confident that we'll be able to recover all the cost increase that will come through.

Hemant Bakshi: Yes. I just want to say that we are not doing monthly meetings. We are doing more likely weekly or even more frequent meetings. This is a time where we have to be significantly agile. We can't wait for a month. So within our business, in this crisis, it's all hands on the deck, and we are being significantly more agile than what you would have expected in the past.

Shubham Sehgal: Got it. My second question was, could you provide any colour on Indovida's operating margin?

Like are we able to maintain the operating margins there for?

Hemant Bakshi: Yes. So I think the first thing I want to say is that we are very excited about the opportunity we have of this merger. It's in line with our strategy. It takes us into more emerging

markets. It helps us expand our portfolio. And in addition to that, it's margin accretive. It will lead to faster growth for us. So it has lots of positives.

It's also one thing which I think we did mention in the past is that we are completely debt -free.

And therefore, with our ratio of debt also being very low, we now have a very healthy balance sheet, which will allow us to invest both for growth as well as acquisitions. So we are very excited about this opportunity, the merger, which we have spoken about.

At this point in time, we are seeking a regulatory approval for it. And the work which needs to be done for that is also on track. We are hopeful that we will have the approval within a year of us filing for it. But till such time, as per the regulation, we have to remain extremely careful that there is no sharing of information of any kind between the two companies because we remain independent companies till such time as we get approval. So we neither have any knowledge of nor can we share, obviously, any information about Indovida now.

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Shubham Sehgal: Okay. Got it. Just lastly, two short questions. So the oral growth, we have finally seen recovery, good growth we saw this quarter. So firstly, how are we seeing the oral segment going forward?

Like what do you believe will we still continue this kind of growth or what exactly is going on, if you could provide some color? And the second question being, as you mentioned that we already have gotten good growth through our Thailand plant, and we are still in order to get good growth from there. So what could be the -- roughly the capacity utilization at our Thailand plant? Just last two questions?

Hemant Bakshi: Yes. Shubham, I just want to clarify the Thailand question first. What I had said earlier as well that we are very optimistic of what Thailand will deliver in the future. At this point in time, the plant was set up in November. Since then, we've been doing certification in the plant, validation with customers and building a pipeline.

All of that is going very well and on track. But at this point in time, in these numbers, there's not much volume from Thailand because it's still at a stage where it's being set up and will be ready.

So therefore, we are very optimistic about it, but I think it will be wrong to assume that there is a significant volume of Thailand in our numbers, which we've declared so far.

As far as Oral Care is concerned, our core is in Oral Care. 47% of our business comes from Oral Care. It's a very steady category. And globally, we have very strong relationships with leading customers. And therefore, we feel that this will be a category which will deliver as expected results in this year. So we are optimistic about Oral Care as well.

Shubham Sehgal: Okay. Got it. So Thailand plant, so you mean to say that we can expect the growth coming in, in FY '27? Or will it take much more longer for all the validation to clear? Or all of that has happened and now we are ready for it?

Hemant Bakshi: FY27, we will start seeing volumes from Thailand in the next couple of quarters. And it will scale gradually. And as you've seen Brazil after 3 years is giving us fantastic growth, which you are all aware of. And we see no reason why Thailand will not repeat the same example. We will see growth over an extended period of time. But I just want to also say that the expectation that in the quarter which has just gone by, we would have got significant high volume is unrealistic.

Moderator : Next question from the line of Akshay Chheda from Canara Robeco MF.

Akshay Chheda: Just on your guidance, the question is related to the guidance that you have given about 11% to 13%. So sir, if I just see the RM inflation that I'm referring to the Slide 27, even if I assume the 40% that is our COGS, that has gone up by around 20%. You can correct me here what is the

ended inflation that we are seeing at the company level I assume 20% inflation, then 40% goes up by 8% would come from the cost inflation itself?

So still why we are guiding for 11% to 13%, shouldn't it be a mid-teens kind of a number because even your Thailand plant has to start kicking in. And if we are anticipating a strong growth in B&C, which I assume is a better ASP product, so still why 11% to 13%, sir? Yes, that is the only question that I have?

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Hemant Bakshi: Yes. I think our guidance is a long-term guidance. And therefore, for us to look at it every quarter and all will be challenging. If you look at our full year delivery this year, it's 13%. And we are guiding in the long run that we will continue to deliver low double-digit growth. Having said that, there will be quarters where if the pricing -- I mean, costs go up, pricing is much higher.

There could be some change from -- there could be a variation from that. But I think we just want to make sure that we are guiding for the long run. And in the long run, we are guiding that we will grow in the range of 11% to 13% consistently, and our EBITDA growth will be slightly ahead of our revenue growth. Deepak, do you want to add anything on specific inflation?

Deepak Goyal: I would just say that the situation in Middle East is very, very volatile. And hence, we don't know for how long would it continue. And right now, what we can guide, which is a steady-state guidance, etcetera, cannot include the inflation, right? So that will come probably on a temporary basis in a quarter or two.

Akshay Chheda: And any blended inflation that we are seeing on the raw material at the company level, if you could quantify? I know it would be difficult, but still any blended number?

Deepak Goyal: I would say it is actually different by region, right? So I can tell you that India impact is different from China. In fact, while both are in Southeast Asia and Europe and U.S. are exiting differently. And hence, this impact is actually changing almost by week. The pricing is changing by the week. The availability challenges are there. And hence, it's very difficult to quantify to a common global number.

Moderator: We have the next question from the line of Smith Gala from RSPN Ventures.

Smith Gala: Congratulations on a good set of numbers. My first question is on a bookkeeping question. Like our depreciation has grown by INR7 crores to INR 8 crores on a sequential basis and INR385 crores for the full year. So what has gone along this quarter? And what is the steady state capex -- what is the capex will we be looking at for FY '27? And will the depreciation be in line with the capex? And secondly, have we booked all of our merger expenses in this quarter?

Deepak Goyal: Yes. So first on the depreciation, there were some large equipment's, which we got in Q4 and capitalized and hence the depreciation in the quarter has grown sequentially. As I said, when the B&C is growing at 30%, we had to make investments in capacity, innovation and flexibility at the back end, and that is reflected in our capex as well as depreciation. For FY '27, I think we will continue at a slightly elevated level of capex because we are seeing the opportunity in the marketplace gain market share, and we will continue capturing that. Your second question was on?

Smith Gala: On the merger expenses, have all the expenses been booked already?

Deepak Goyal: Yes. On the merger, we have taken almost all cost in this quarter.

Moderator: We have next question from the line of Tushaar Talwar, Individual Investor.

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Tushaar Talwar: I have a limited question on the dividend point, which was raised earlier. So I just wanted to understand that when are we expecting the merger to be complete because I assume that for that period, we will not be able

to issue any dividends?

Deepak Goyal: Yes. We had said, Tushaar, that merger would take about 12 months from the date of announcement, which was end of March. So it could get completed, let's say, in Q4 of this financial year.

Tushaar Talwar: Right, sir. So the typical timeline generally tends to extend to at least 18 months practically. So should we be looking at no dividend for roughly the next 2 financial years, this one and the next one?

Deepak Goyal: Right now, as we understand, we expect the merger to get completed by Q4 of next financial year. However, obviously, it is dependent on multiple approvals happening at multiple levels.

We are working rapidly on all the processes. We have already filed for SEBI approval. We have already filed for CCI approval. We are antitrust approvals, et cetera, in multiple countries. So we have done all that. We are moving at a fast pace. However, the timeline is not in our hand.

Moderator: Participant please hold the management line has disconnected. Please be on. I am reconnecting.

Management: No problem.

Deepak Goyal: Hello?

Tushaar Talwar: Yes, sir, you are audible?

Deepak Goyal: Yes. Tushaar, so basis what lawyers are guiding us, we believe that Q4 FY '27 is a fair timeline post which we will operate as a merged entity and then dividend payout will happen as per the Board guidance and approval.

Tushaar Talwar: Understood, sir. And sir, we have mentioned a few times, and we have actually mentioned it over the years also that we are always open to the right acquisition. And given -- we could have up to 1, 1.5 years where we're going to be accumulating a substantial amount of cash. Are we seriously looking at any opportunities or should we simply -- I mean, just from a conservative perspective, just consider that there's going to be a new dividend policy after the merger, and we should just look at this cash being used at that point in time?

Hemant Bakshi: No, we are very actively looking for acquisitions. We've said this in the past that inorganic growth is a clear part of our strategy. Having said that, we always say that when we are looking for a new acquisition, it should get us either into a new geography or get us a new capability. So those are the two key criteria we use.

As we've said very often in the past and many times today, B&C is a priority for us. That's a strategic choice we've made. So we will look for acquisitions, which will strengthen our position in B&C. And if they get us into new geographies and help us get new capabilities, that would be ideal.

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We also always maintain internal guideline that any acquisition we do should be growth and margin accretive. So those are the conditions and criteria we have, but we are very actively looking for acquisitions. And as soon as we have something which is in place, we will come back to you and inform you about it.

Tushaar Talwar : Just one last follow-up question. Are we looking especially hard now that we don't have any dividend payout obligations for the next year or so?

Hemant Bakshi: No, I don't think that's influencing our decision. As we said and you said this even before the merger announcement that we are actively seeking acquisitions. After the merger, actually, our desire as well as our ability goes up because as I have mentioned, Indovida is debt-free. Our debt-to-EBITDA ratios are very low.

We have a very strong balance sheet. So we have the capability to do acquisition. In addition to that, the IVL Group has strong capabilities in this space, which should again help us. And it's a clear part of our strategy. So we've sought acquisitions in the past. We continue to seek

acquisitions now very, very actively. And the dividend policy has no material impact on that.

Tushaar Talwar : And would we be maybe looking to pay down our debt further? Is that on the cards? Or are we comfortable with what we have?

Deepak Goyal: That is the ongoing cash management. So far, we keep seeing growth opportunities. All our capex are organically funded. B&C is kind of doing well. If we need to invest in capex, we will not make it -- we will not -- our growth will not be resource constrained. And if we have excess cash, then we'll pay off.

Moderator : We have next question from the line of Nishant Sharma from Nuva ma Wealth PCG Research.

Nishant Sharma: Congratulations for great top line growth that we achieved. Sir, while I understand that we can't share any details related to Indovida, but it would be great help if you can share some sense on how the beverages category where they are strong, that has done well because going forward, that would also be an important factor to look at it. So just wanted to have some comfort on that front that how is the performance -- how is the industry growth over there?

Hemant Bakshi: We don't have any customers in the beverages industry. It's not a category we track. So we are not in a position to be able to give you any information or insights about the beverages category.

Nishant Sharma: Sure. Because just wanted to sense going forward, we would also be closely tracking how is the performance because that is going to get merged with us. And broadly, what we are targeting 11% to 13% kind of a growth that is precisely for EPL. But as a consolidated entity, just wanted to have some sense on that front. That's why I was just looking at that number ?

Hemant Bakshi: Post merger, once the merger is completed, we'll give you as much information as possible on the beverages category. At this point in time, we have no knowledge or information on what's happening on the Indovida business, their market, their market shares, etcetera. And I think it will be -- we are not in a position to be commenting on the beverages category at this point in time.

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Deepak Goyal: I could add that at the time of acquisition basis, the information that we've shared with the investors, Indovida will grow in high single digits on a steady-state basis because it's a very strong business with number 1 or number 2 position in all the markets that it plays in. They have a very strong new geography expansion strategy and hence, have very solid growth plans in place. So it's a business which we -- at least from a historical performance basis, we looked at very, very closely, and we realize that it's accretive to our growth strategy. It's accretive to our margins, it's accretive to our balance sheet, and that's how we decided on the merger.

Moderator : Ladies and gentlemen, that was the last question. I now hand conference over to management for closing comments.

Hemant Bakshi: No, I think -- thank you for a very engaging conversation. As we said earlier, we are very excited about what lies ahead for this business, and we look forward to your continued support. So, thank you very much.

Moderator : Ladies and gentlemen, on behalf of Systematix Institutional Equities, that concludes this conference. Thank you for joining us. You may disconnect lines. Thank you.